28 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets will have plenty to digest today, with Australian CPI and policy decisions from the RBNZ, BoC and FOMC all due.

Global equities were generally stronger, with AI-related stocks supporting gains in the US and tech-heavy Asian markets following positive headlines around AI financing.

US and Australian government bond yields were little changed ahead of today's key data and central bank decisions, with markets assigning just a 7% probability to an FOMC hike today.

The US dollar strengthened on pre-FOMC positioning, although the AUD outperformed most major currencies and gained against the greenback.

Oil prices eased on hopes diplomacy could avert renewed escalation in the US-Iran conflict, while iron ore remained below US$90/t amid persistent concerns around global demand.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.7028	0.2%
AUD/JPY	111.00	0.4%
AUD/GBP	0.5279	0.4%
AUD/NZD	1.2362	0.1%
AUD/EUR	0.6312	0.5%
AUD/CNH	4.6843	0.1%
AUD/SGD	0.9004	0.2%
AUD/HKD	5.5138	0.2%
AUD/CAD	0.9875	0.4%
EUR/USD	1.1136	-0.3%
USD/JPY	157.93	0.3%
USD Index	102.29	0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.73	0.02
90 day BBSY	4.90	0.00
180 day BBSY	5.25	-0.01
1 year swap	4.95	0.00
2 year swap	4.91	0.00
3 year swap	4.88	0.00
4 year swap	4.88	0.00
5 year swap	4.91	0.00
6 year swap	4.95	0.00
7 year swap	4.99	0.00
8 year swap	5.04	-0.01
9 year swap	5.08	0.00
10 year swap	5.12	-0.01

Equities	Close	Change
S&P/ASX 200	8,850	0.5%
S&P 500	7,735	0.8%
Japan Nikkei	63,268	1.7%
Hang Seng	23,041	-0.7%
Euro Stoxx 50	6,165	0.8%
UK FTSE100	10,687	-0.8%
VIX Index	17.48	-4.9%

Commodities	Current	Change
CRB Index	411.85	-0.7%
Gold	4061.10	1.1%
Copper	14474	1.0%
Oil (WTI futures)	99.85	-1.9%
Coal (coking)	266.75	0.1%
Coal (thermal)	153.00	-1.9%
Iron Ore	89.35	-1.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.15	-0.01
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3-month T Bill	4.02	-0.01
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- US equities moved higher, supported by AI-related stocks. The S&P 500 gained 0.8%, while the NASDAQ outperformed, rising 1.2%, and the Dow Jones was unchanged. European markets were mixed, with the Euro Stoxx 50 up 0.8%, while the FTSE 100 fell 0.8% ahead of the UK Budget.
- Tech-heavy Asian markets were buoyed as recent headlines helped ease concerns around AI financing. The KOSPI led gains, rising 3.1%, while the Nikkei 225 also performed strongly, up 1.7%. The Hang Seng diverged from regional peers, falling 0.7%. Locally, the ASX 200 gained 0.5%.
- US Treasury yields were little changed, with the 2-year yield rising 1bp and the 10-year yield unchanged. Futures markets remain cautious about pricing further Fed tightening in 2026, with the probability of a hike at today's FOMC meeting sitting at just 7%, taking the implied year-end fed funds rate to 4.10%.
- Australian government bond yields were little changed ahead of today's CPI release, with the 3-year yield rising 1bp and the 10-year yield falling 1bp. Swap markets remain cautious around additional RBA tightening in 2026, with the probability of a November rate hike priced at 62%, taking the implied year-end cash rate to 4.80%.
- Pre-FOMC positioning supported the US dollar, with the DXY up 0.3%. The AUD outperformed other major currencies, rising 0.2% against the greenback to 0.7028 and also gaining across the major crosses. The euro and yen both fell 0.3% against the USD, while the sterling declined 0.2%.
- Oil prices declined on hopes that diplomacy could avert a renewed escalation in the US-Iran conflict. Brent fell 1.6% to US$114/bbl, while WTI declined 1.9% to US$99.9/bbl. Dated Brent traded at US$121/bbl. Gold rose 1.1% ahead of today's FOMC meeting, while positive risk sentiment supported base metals, with copper up 1.0% and aluminium gaining 1.5%. Iron ore fell 1.1%, remaining below US$90/t amid persistent concerns around global demand.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Monthly CPI Indicator Sep	4.2%	4.0%
11:30	AU Trimmed Mean CPI Q3	1.0%	0.8%
11:30	AU Trimmed Mean CPI Q3	3.6%	3.6%
11:30	AU Headline CPI Q3	1.2%	0.6%
12:00	NZ RBNZ Policy Decision 28/10/2026	3.00%	2.75%
23:30	US Wholesale Inventories Sep Prel.	0.5%	0.5%
0:45	CA BoC Policy Decision 28/10/2026	2.25%	2.25%
5:00	US FOMC Policy Decision 28/10/2026	3.875%	3.875%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US durable goods orders rose 1.8% in September after a 0.1% gain in August. Growth for core orders (non defence, ex aircraft) was more modest in September at 0.5% but follows a 1.6% rise in August.

US S&P Cotality Case Shiller house prices rose a further 0.3% in August, accelerating annual growth at the margin to 2.7%yr.

US new home sales fell 0.6% in September following a downwardly revised 5.1% gain (prev 6.4%) in August. Sales are currently near the average of the past 5 years.

US Conference Board consumer confidence jumped from 84.2 to 91.7 in October on an improvement in current conditions and expectations. While still below average, this measure of consumer confidence continues to outperform the University of Michigan survey, held up by the robust strength of the labour market. Responses to the Michigan measure instead look to be focused more on cost of living.

The **Richmond Fed manufacturing index** was unchanged at -2 in October.

Local Data

Our New Zealand team published their **2026 General Election preview**, outlining the major parties' key policies (see here).

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- Australian government bond yields were little changed ahead of today's CPI release, with the 3-year yield rising 1bp and the 10-year yield falling 1bp. Swap markets remain cautious around additional RBA tightening in 2026, with the probability of a November rate hike priced at 62%, taking the implied year-end cash rate to 4.80%.
- Pre-FOMC positioning supported the US dollar, with the DXY up 0.3%. The AUD outperformed other major currencies, rising 0.2% against the greenback to 0.7028 and also gaining across the major crosses. The euro and yen both fell 0.3% against the USD, while the sterling declined 0.2%.
- Oil prices declined on hopes that diplomacy could avert a renewed escalation in the US-Iran conflict. Brent fell 1.6% to US$114/bbl, while WTI declined 1.9% to US$99.9/bbl. Dated Brent traded at US$121/bbl. Gold rose 1.1% ahead of today's FOMC meeting, while positive risk sentiment supported base metals, with copper up 1.0% and aluminium gaining 1.5%. Iron ore fell 1.1%, remaining below US$90/t amid persistent concerns around global demand.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Monthly CPI Indicator Sep	4.2%	4.0%
11:30	AU Trimmed Mean CPI Q3	1.0%	0.8%
11:30	AU Trimmed Mean CPI Q3	3.6%	3.6%
11:30	AU Headline CPI Q3	1.2%	0.6%
12:00	NZ RBNZ Policy Decision 28/10/2026	3.00%	2.75%
23:30	US Wholesale Inventories Sep Prel.	0.5%	0.5%
0:45	CA BoC Policy Decision 28/10/2026	2.25%	2.25%
5:00	US FOMC Policy Decision 28/10/2026	3.875%	3.875%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US durable goods orders rose 1.8% in September after a 0.1% gain in August. Growth for core orders (non defence, ex aircraft) was more modest in September at 0.5% but follows a 1.6% rise in August.

US S&P Cotality Case Shiller house prices rose a further 0.3% in August, accelerating annual growth at the margin to 2.7%yr.

US new home sales fell 0.6% in September following a downwardly revised 5.1% gain (prev 6.4%) in August. Sales are currently near the average of the past 5 years.

US Conference Board consumer confidence jumped from 84.2 to 91.7 in October on an improvement in current conditions and expectations. While still below average, this measure of consumer confidence continues to outperform the University of Michigan survey, held up by the robust strength of the labour market. Responses to the Michigan measure instead look to be focused more on cost of living.

The **Richmond Fed manufacturing index** was unchanged at -2 in October.

Local Data

Our New Zealand team published their **2026 General Election preview**, outlining the major parties' key policies (see here).

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Cliff Notes: the source and persistence of inflation

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Ryan Wells, Illiana Jain & Elliot Clarke

11:16 October 30 2026

Share

Key insights from the week that was.

In Australia this week, all eyes were on the September CPI. Headline inflation rose 0.8% (4.3%yr) in the month, largely owing to a 9.4% jump in fuel prices and a seasonal surge in domestic and international holiday travel & accommodation. The underlying inflation pulse also proved hotter than anticipated for Q3 overall, up 1.0% (3.7%yr).

While some parts of the basket are seeing disinflation – housing in particular looks to be cooling faster than expected as builders lure sales with discounts – other components are still showing persistence. Highlighting this is market services ex volatiles, which the RBA watches closely as an indicator of price pressures related to domestic capacity. In Q3, this metric rose 1.2% (3.2%yr), and the monthly detail points to momentum holding up – in line with our expectations for another chunky read in Q4.

With inflation running well above the RBA's August forecasts, and some of the energy risks flagged then materialising, we continue to expect the Monetary Policy Board will deliver a 25bp rate hike to 4.85% in November. Beyond November, another rate hike in February is a risk, but is not currently part of our base case.

Across the Tasman, the RBNZ this week surprised market expectations for a 25bp rate hike, deciding instead to wait for further information before taking the next step with policy. The decision was made 4:3, with the Governor in the 'on hold' camp. A 25bp hike in December to 3.00% and further tightening in 2027 (Westpac NZ forecasts a peak of 4.00% in September) seems probable; however, each decision will depend on fuel prices, inflation expectations and evidence of second-round pricing pressures, along with the evolution of global economic risks.

In the US, the FOMC also held rates steady at its October meeting. Based on prior comments by key members, the decision was not a surprise, and neither were Governor Cook and Cleveland Fed President Hammack's dissents in favour of a 25bp hike. The Committee remains positive on economic activity, characterising it in the statement as "expanding at a strong pace" (an upgrade from "solid" in September). Chair Warsh also subsequently emphasised the breadth of economic growth outside of tech-related investment (evinced by Q3 GDP the day after; see below).

The Committee refrained from spotlighting key price risks in the statement. However, inflation "remains elevated" and the FOMC are determined to achieve a "timely" and sustainable return of annual inflation to 2.0%yr after 6 years above target. This guidance and the "accumulation of more information will help the Committee determine the policy stance" suggests another 25bp hike is likely in December. Thereafter, the FOMC will remain attentive to any broadening in inflation and related risks through 2027; although, in the absence of another shock, we expect them to remain on hold.

The Q3 GDP report certainly supported Chair Warsh's view on the breadth of growth, the 3.4% annualised gain for GDP benefitting from a 3.8% annualised increase in household consumption, 12.7% growth in non-residential investment as well as a robust increase in government spending. Notably though, the contribution from business investment was effectively offset by net exports' drag given most of the componentry related to AI infrastructure investment is imported. This is not to say that US firms won't benefit from the investment once complete, but simply that much of the initial return goes to the foreign businesses who provide the necessary capital equipment.

On consumption, the monthly PCE data implies downside risks remain for the consumer, the increase in nominal spending seen in the month requiring dissaving and, on a real basis, consumption flat in the month following a 0.5% gain in August. Cost-of-living pressures and uncertainty over the outlook is

expected to see household consumption growth average around trend over the coming year, albeit with considerable volatility quarter to quarter. This should see PCE inflation slow back towards its 2.0%yr medium-term target as the FOMC desires, from 3.6%yr and 3.1%yr for the headline and core measures respectively as of September.

Across the Atlantic, the ECB also left its key policy rates unchanged in October. Of note from the meeting communications, energy prices continue to pose upside risks for inflation, but also downside risks for growth. "While the full effects of the energy shock are still unfolding, underlying inflation has remained broadly stable so far and wages do not show a material response". "Financing conditions have [also] tightened", "which is likely to weigh on inflation and growth". In the press conference, President Lagarde noted that, between the October and December meetings, a significant amount of new economic information will be released, allowing forecasts and risks assessments to be tested.

Based on the October meeting communications, we continue to expect a rate hike at the December meeting but believe this will be prove to be the last hike of the cycle. Note though, the spectrum of risks Europe faces is broad and skewed towards inflation in the near term, hence the Council’s guidance will remain hawkish. President Lagarde also announced today that she will step down as ECB President in February ahead of the scheduled conclusion of her term next October.

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September CPI: Inflation accelerating in the run up to Christmas

#inflation #australia #rba #economicbulletinsaustralia #inflation

By Justin Smirk & Neha Sharma

16:08 October 28 2026

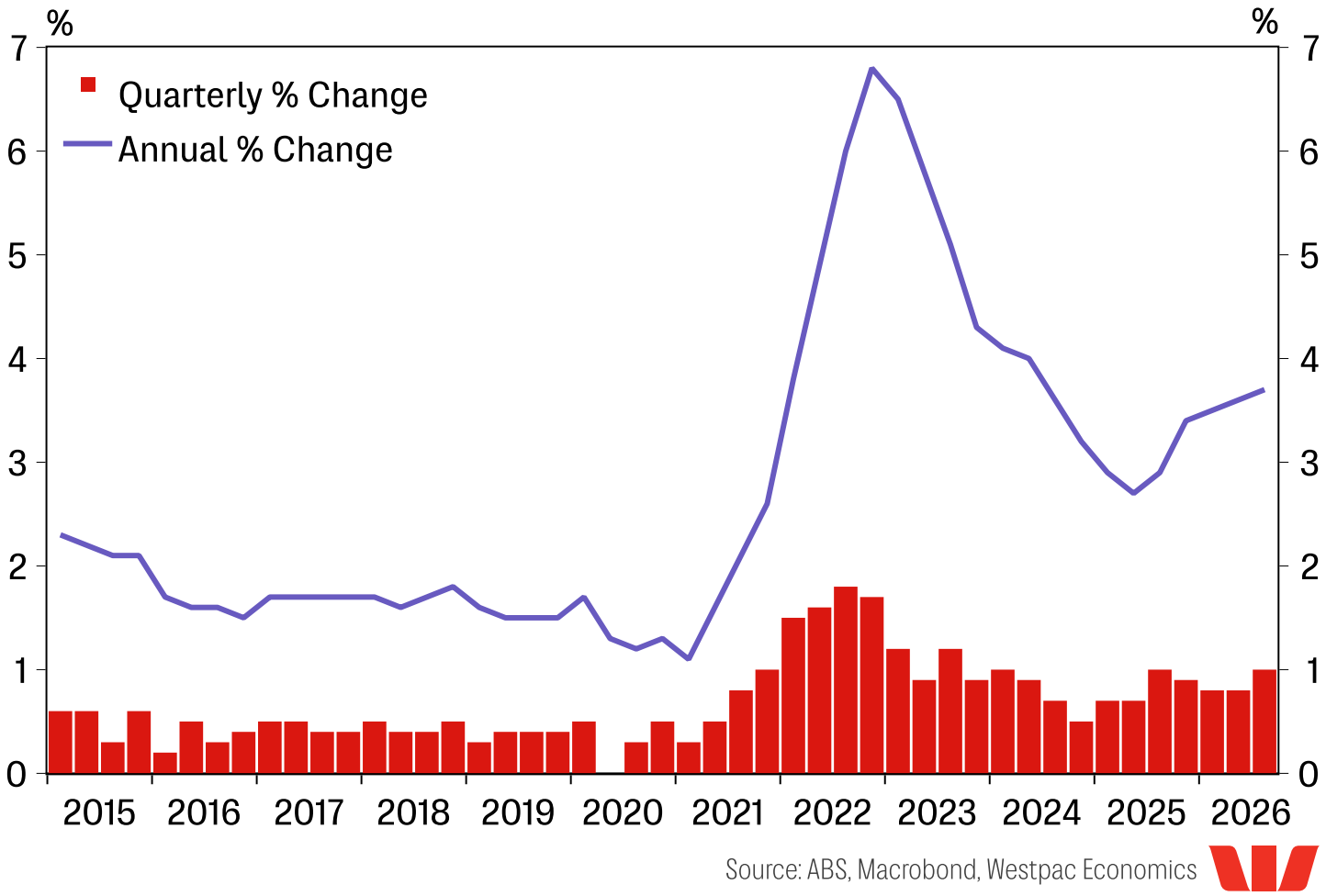
Share

September Monthly CPI: Headline 0.8%mth/4.3%yr, Trimmed Mean 0.3.%mth/3.6%yr. Market services ex volatile 1.6%mth/4.0%yr. September Quarter CPI: Headline 1.3%qtr/3.9%yr; Trimmed Mean 1.0%qtr/3.7%yr.

- The CPI rose 0.8% in the September month, stronger than Westpac's 0.6% estimate and the market's expectation of 0.7%. The annual pace picked up from 4.0%yr to 4.3%yr, The seasonally adjusted CPI rose 0.6% in September highlighting some positive seasonality in the month.

- Key factors driving the headline monthly result were: automotive fuels (9.4%mth); domestic holiday travel & accommodation (8.0%mth); international holiday travel & accommodation (7.2%mth); and property rates & charges (5.5%mth). There were modest offsets from: women's garments (–3.1%mth); household textiles (–6.6%mth); and accessories (–4.1%mth).
- The Trimmed Mean (TM) gained 0.3% in September, spot on both Westpac and market expectations with the annual pace lifting from 3.5%yr (revised from 3.6%yr) to 3.6%yr. The six-month annualised pace is now 4.0%yr the fastest in the short history of this series.
- Headline CPI lifted 1.3% in the September quarter compared to an expectation of 1.3% by Westpac and 1.2% by the market. This saw the annual pace hold at 3.9%yr.
- **The RBA's key underlying inflation measure, the quarterly TM, lifted 1.0% vs an expectation of 0.9% by Westpac and market estimate of 1.0%. The annual pace lifted from 3.6%yr to 3.7%yr with the six-month annualised pace accelerating to 3.7%yr from 3.4%yr.**
- Overall, the estimates come in broadly as expected so we see minimal risk to our current December quarter forecast of 1.3%qtr for the headline CPI. Softer housing inflation does present a very modest downside risk to our 0.9%qtr for the TM but there are offsetting gains elsewhere.
- The September CPI update revealed underlying inflationary pressures continuing even while a moderation in housing inflation (dwellings in particular) is unfolding slightly faster than we had anticipated. As such, the near-term risk for inflation remains to the upside. The RBA will remain alert to these near-term inflationary risks and as so, we hold to the view that the RBA will raise rates again at the November meeting.

Quarterly Trimmed Mean Inflation



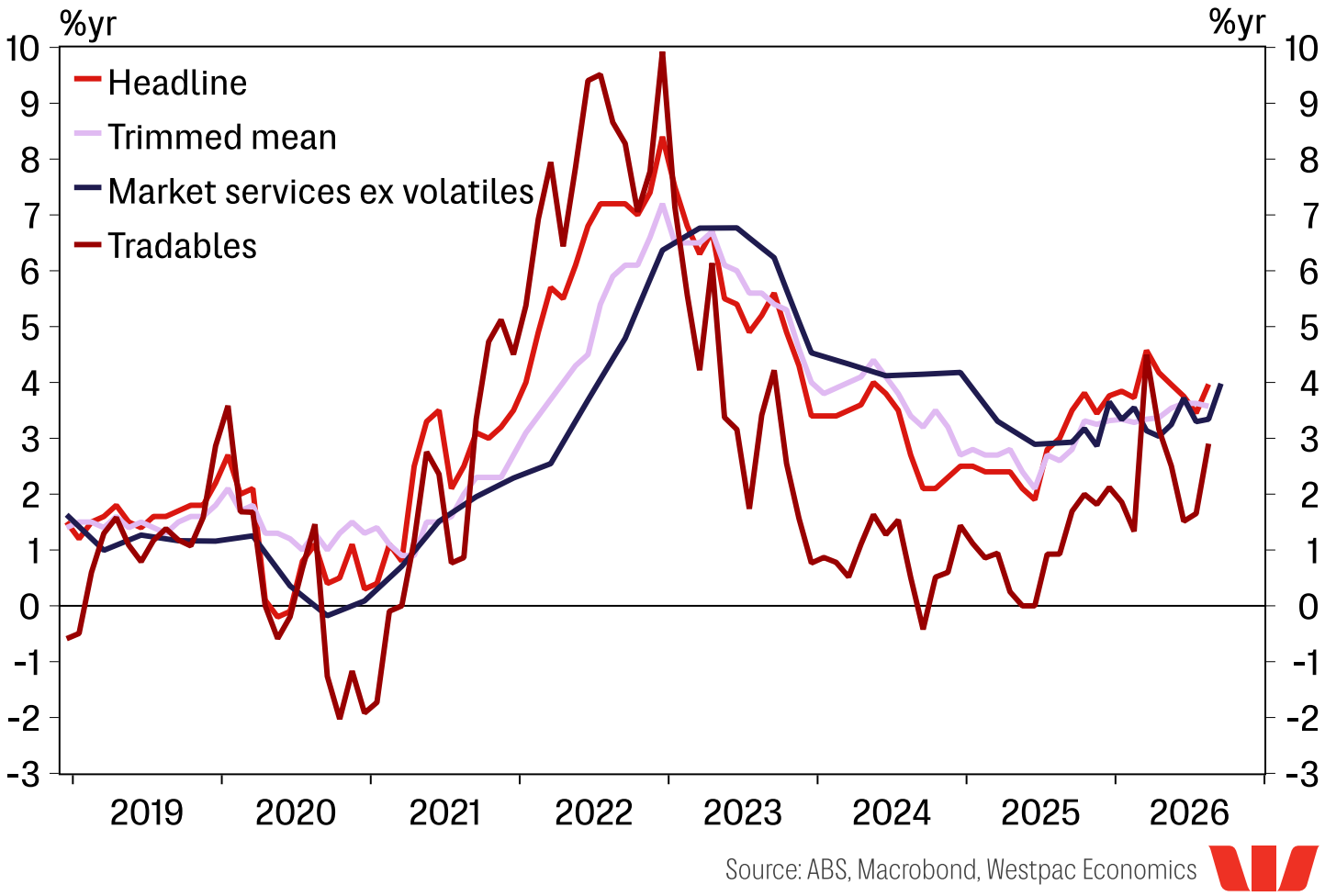
Month of September CPI

The monthly CPI rose 0.8%mth in September, above both our expectation of a 0.6%mth increase and the market forecast of 0.7%mth. This lifted the annual pace by 0.3ppts to 4.3%yr. On a seasonally adjusted basis, the CPI increased 0.6%mth.

The key contributors to the monthly increase were: automotive fuel (9.4%mth, +0.3ppts); and holiday travel & accommodation (7.6%mth, +0.5ppts), alongside a smaller contribution from the annual reset in property rates (5.5%mth, +0.1ppt). There was no single major offset. Instead, several components across household furnishings and clothing & footwear recorded modest declines, together subtracting a little over 0.1ppt from the monthly result.

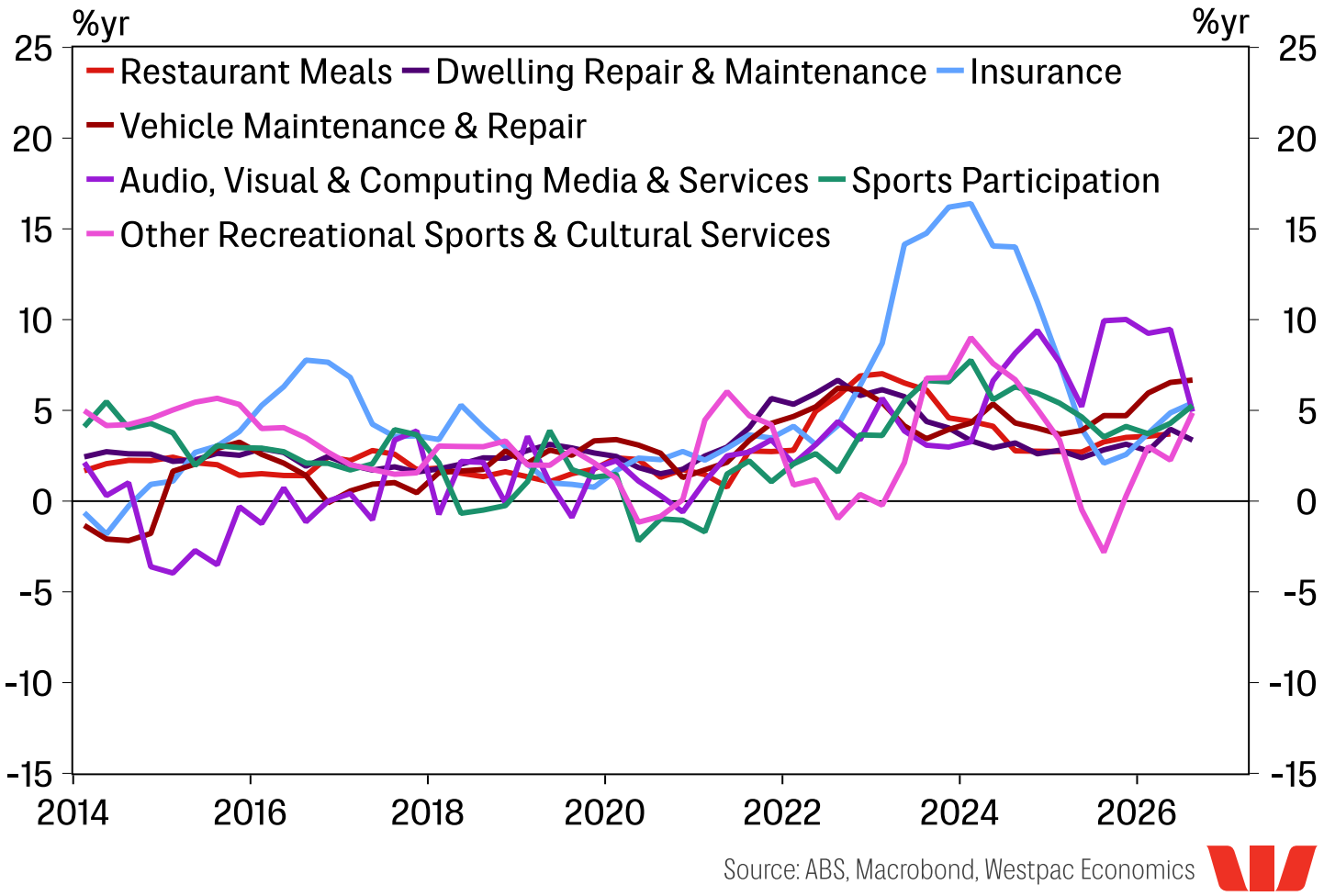
The monthly trimmed mean (TM) rose 0.3%mth, in line with both our and the market's expectations. The annual pace edged up to 3.6%yr, although the August outcome was revised down to 3.5%yr. Underlying inflation has remained broadly stuck in the 3.5–3.6%yr range since May. On a 3m/3m basis, the monthly TM was 1.1%.

Monthly Inflation Indicators



Market services excluding volatile items and holiday travel were flat in the month, with annual inflation easing to 3.8%yr, its softest pace since November 2025. On a seasonally adjusted basis, monthly inflation moderated across most components in this measure, with telecommunications services, rents and other financial services the key exceptions. However, all but two components are still recording annual price growth above 3%, suggesting that disinflation across market services remains slow and relatively narrow. The persistence of these underlying price pressures is likely to remain a concern for the RBA.

Selected Market Services



Source: ABS, Macrobond, Westpac Economics

Housing inflation was notably softer in the month, rising 0.3%mth to be 5.2% higher over the year. Rents increased 0.2%mth, slightly below our expectation for a 0.3%mth rise. The biannual indexation of Commonwealth Rent Assistance occurred late in the month, weighing on the September outcome, with the remainder of the impact expected to flow through in October. The ABS noted that rents would have risen 0.3%mth in the absence of the measure, while on a seasonally adjusted basis rents increased 0.4%mth.

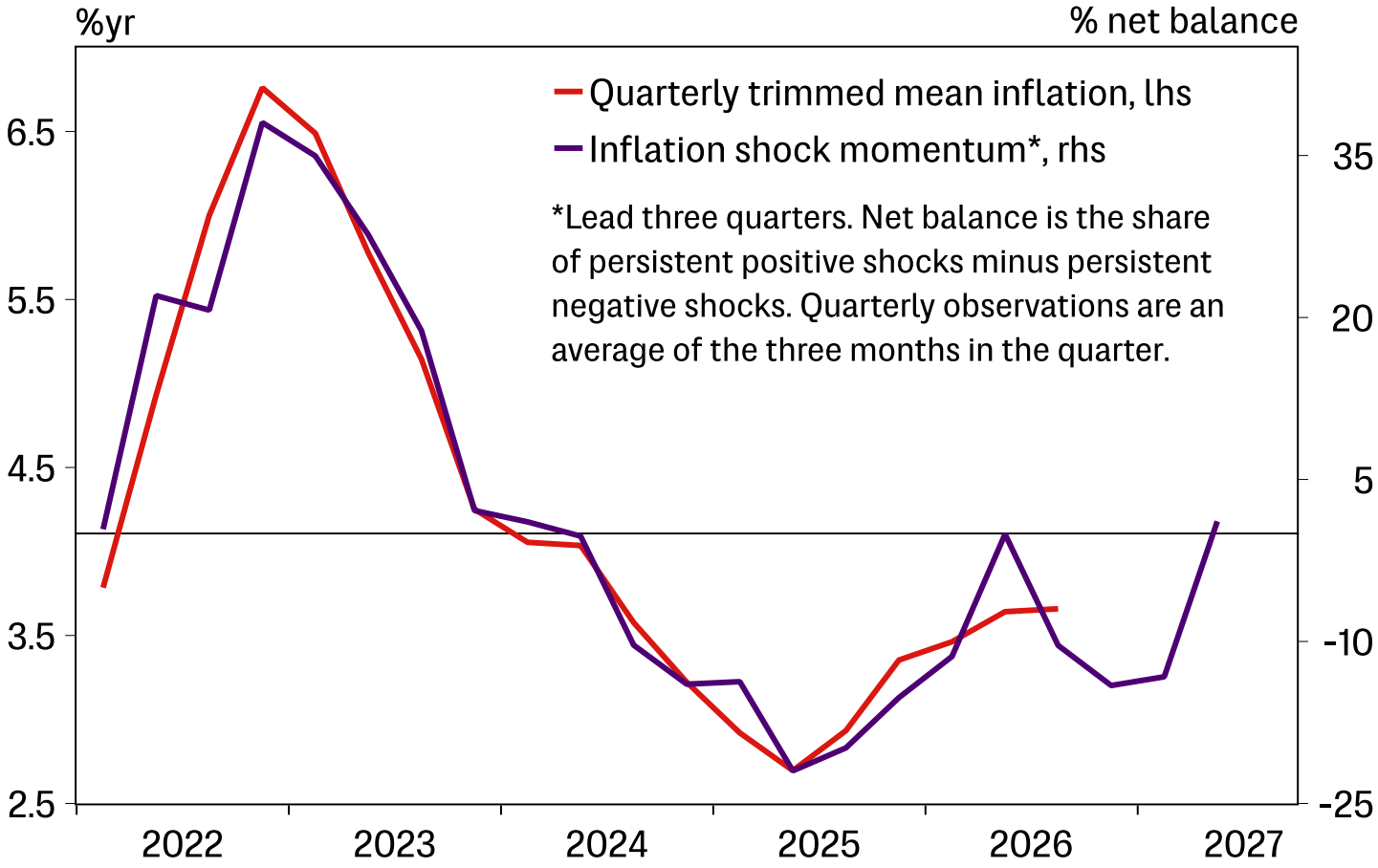
New dwelling inflation was flat in the month, the softest reading since May 2025. Monthly inflation has now slowed in each successive month since May 2026, suggesting homebuilders' pricing power is becoming increasingly constrained. The ABS noted that some project home builders raised base prices this month only to be offset by some builders increasing discounts and promotional offers in response to slowing demand. The annual pace eased to 4.7%yr. Dwelling repair costs were also a downside surprise, falling 0.1%mth, their first decline since February 2025, although prices remain 3.4% higher over the year. Some of this softness was offset by a firmer-than-expected increase in property rates and charges, which rose 5.6%mth.

Recently, we have also focused on audio, visual and computing given the potential for spillovers from strong global demand for semiconductors and other computing resources associated with the AI build out. Prices for both equipment and services came in weaker than August, with equipment prices falling 1.1%mth, while services rose 0.3%mth. Despite this, annual price growth remains relatively high for these categories, running at 4.6% and 4.9% respectively. Some of this pressure might also be showing

through in gaming, toys and hobbies, which is running at 5.2%mth/15.5%yr.

Overall, the breadth of inflation moderated for a second consecutive month. The share of the basket running above 3%yr fell from 40% to 35%, meanwhile the share below 2%yr lifted from 27% to 32%. Our replication of the San Francisco Fed's inflation shock momentum served as a good guide to the quarterly TM. With the full monthly reads in for the September quarter in, this measure does signal some persistence/upside pressures for the quarterly TM going into the coming quarters. It is worth cautioning that this measure will be impacted as the ABS refines its seasonal adjustment process for the monthly indexes.

Inflation Shock Momentum



Source: Federal Reserve Bank of San Francisco, Macrobond, Westpac Economics

Compared to our expectations, the key surprises were:

Upside surprises

- Fruit & vegetables was the key upside surprise, 0.6%mth against our expectations for 3.7%mth fall.
- Holiday travel & accommodation also surprised to the upside, following a run of downside surprises since early this year. It rose 7.6%mth against our expectations for a 4.4%mth lift.
- Automotive fuel rose 9.4%mth against expectations of an 8.3%mth lift.

Downside surprises

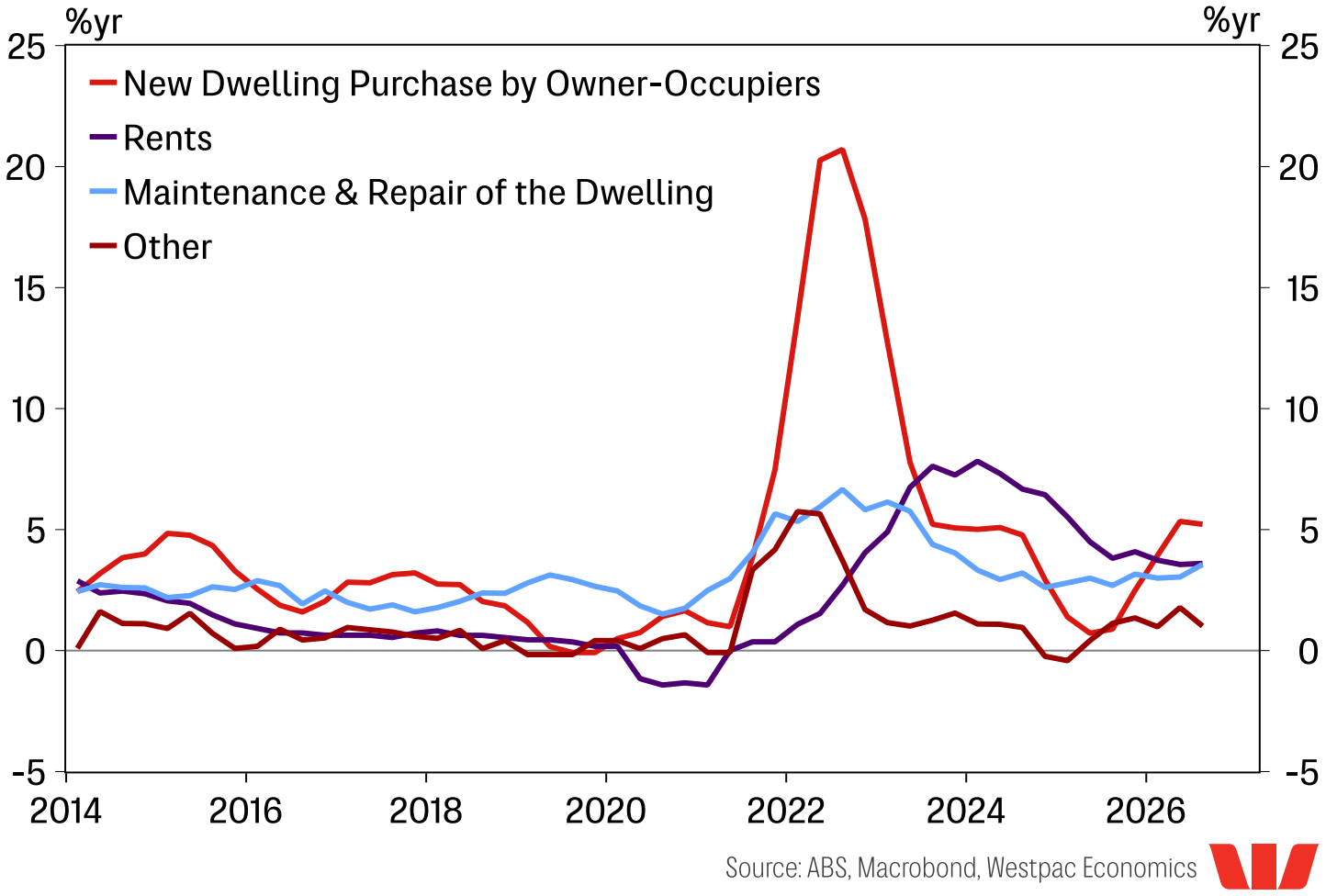
- Clothing & footwear was the key downside surprise with prices falling 2.7%mth against our expectations for a 0.2%mth fall. The misses were broad-based: garments (–2.3%mth vs –2.0%mth); footwear (–2.5%mth vs 1.8%mth); and accessories & clothing services (–4.1%mth vs 2.8%mth).
- Household textiles declined 6.6%mth against our expectations for a 3.2%mth fall. Furniture & furnishings rose by less-than-expected 0.4%mth vs 1.6%mth. Household appliances, utensils and tools also came in softer, –3.2%mth vs –2.4%mth.
- Dairy prices fell 1.2%mth against our expectations for a 0.1%mth lift.

	Qtr CPI	Monthly CPI			WBC fcs
CPI	Sep-26	Jul-26	Aug-26	Sep-26	Sep-26
Item	% qtr	% mth	% mth	% mth	% mth
Food	0.7	0.3	-0.1	0.0	-0.5
of which, bread & cereals	0.2	-0.3	0.0	-0.1	0.2
of which, meat & seafood	-0.4	0.2	-0.9	-0.7	0.0
of which, dairy & related products	1.4	0.2	-0.1	-1.2	0.1
of which, fruit & vegetables	-0.4	-0.8	-1.1	0.6	-3.7
of which, food products nec	0.0	0.0	0.3	0.5	0.0
of which, non-alcohol beverages	1.2	0.0	0.3	-0.4	-1.5
Alcohol & tobacco	1.7	1.2	0.5	0.7	1.1
of which, Alcohol	1.5	1.2	0.5	0.0	-0.3
of which, Tobacco	2.3	1.2	0.5	2.2	4.0
Clothing & footwear	-0.6	2.6	-0.9	-2.7	-0.2
of which, garments	-2.1	3.2	-1.9	-2.3	-2.0
Housing	1.1	0.4	0.2	0.3	0.6
of which, Rents	1.0	0.4	0.3	0.2	0.3
of which, House purchases	1.0	0.4	0.2	0.0	0.2
of which, Electricity	-1.2	-1.6	0.0	-0.8	0.0
of which, Gas & other fuels	3.5	2.8	0.0	-0.2	1.3
H/hold contents & services	1.2	4.4	-0.6	-0.6	-0.2
Health	-0.1	0.1	0.1	-0.3	-0.1
Transportation	3.3	2.6	4.2	3.0	2.0
of which, auto fuel	7.8	7.5	14.8	9.4	8.3
Communication	1.4	1.8	-0.2	0.5	-0.1
Recreation	2.5	1.8	-1.0	3.8	2.1
of which, holiday travel	2.7	1.8	-3.3	7.6	4.4
Education	0.1	0.0	0.1	0.0	0.0
Financial & insurance services	1.0	0.2	0.2	0.6	0.4
CPI: All groups %qtr/%mth	**1.3**	**1.0**	**0.4**	**0.8**	**0.6**
Trimmed Mean: %qtr/%mth	**1.0**	**0.5**	**0.2**	**0.3**	**0.3**

September Quarter CPI

The September quarter CPI printed spot on our expectation of 1.3%. The key factor driving this increase was the slightly stronger surge in auto fuel (7.8%, +0.27ppt) and holiday travel & accommodation (2.7%qtr, +0.16ppt) being offset by a slightly softer than expected increase in housing (1.1%qtr, +0.24ppt) with rents and dwellings both increasing 1.0% in the quarter and utilities lifting 1.2%. Food was also slightly stronger than expected (0.7%qtr, +0.12ppt) and while not significant to the overall result it is interesting to track the ongoing rise in motor vehicle prices (0.3%qtr) despite a very competitive market with Chinese manufacturers rapidly gaining market share over legacy brands.

Housing-related Inflation



It is worth noting that food was stronger than we expected (0.7% vs 0.5%) with a robust 1.7% increase in restaurant meals and a solid 1.2% increase in take away & fast foods outweighing the –0.4% decline in fresh fruit & vegetables and meat & seafoods. Overall, market services ex volatile prices increased a very solid 1.2%qtr but with the annual pace easing to 3.2%yr from 3.36%yr.

Outside of housing the other main downside surprise in the quarter was the –0.6% fall in clothing & footwear (+0.3% expected) with prices falling across just about all categories of garments, footwear and accessories.

September Quarter Trimmed Mean

Recall that the TM is calculated from seasonally adjust consumption expenditure classes so any numbers quoted here may not be the same as the original estimates quoted from the CPI. The TM gain of 1.0% in the quarter was slightly stronger than we had expected even though dwellings (which have a weight of almost 11% in the TM) was a touch softer at 1.0% compared to the 1.1% we had pencilled in. Rents (1.0%, 10% weight) also made a solid contribution as did restaurant meals (1.7%qr, 6% weight), take away & fast food (1.2%, 4% weight), other financial service (1.0%, 6% weight). Domestic travel was in the TM (1.0%, 4% weight) as was medical & hospital service (1.0%, weight 5%). The range of the TM was from 0.0% (motor vehicles) to 1.7% (beer).

What does this mean for our December quarter forecast and into 2027?

We are working though the monthly results to see what changes they may imply for individual component inflationary momentum. Our preliminary analysis suggests that the softer trend in dwellings is not enough, on its own, to change our Q4 CPI forecast of 1.3%. It does, however, suggest that if all else held equal (which is not the case as there is likely to be some offsetting stronger gains elsewhere) the moderation in dwelling inflation presents a very modest downside risk our Q4 TM estimate of 0.9%. We are still working the numbers and will publish an updated inflation profile as soon as we can. In addition, the overall momentum in underlying inflationary pressures suggest the downside risk to the TM from dwellings is more likely to appear in 2027 than in the last quarter of 2026.

CPI forecasts	Sep-26 Actual		Sep-26 14-Oct-26	
Item	% qtr	contrib	% qtr	contrib
Food	0.7	0.12	0.5	0.09
of which, fruit & vegetables	-0.4	-0.01	-1.8	-0.04
Alcohol & tobacco	1.7	0.11	1.9	0.12
of which, Tobacco	2.3	0.05	2.9	0.06
Clothing & footwear	-0.6	-0.02	0.3	0.01
Housing	1.1	0.24	1.4	0.31
of which, Rents	1.0	0.07	1.0	0.07
of which, House purchases	1.0	0.08	1.1	0.08
of which, Utilities	1.2	0.05	1.4	0.06
H/hold contents & services	1.2	0.09	1.3	0.10
Health	-0.1	-0.01	0.0	0.00
of which, Pharmaceuticals	-1.6	-0.01	-1.6	-0.01
Transportation	3.3	0.38	3.1	0.35
of which , car prices	0.3	0.01	0.0	0.00
of which, auto fuel	7.8	0.27	7.4	0.26
Communication	1.4	0.03	1.2	0.03
Recreation	2.5	0.31	1.7	0.21
of which, audio visual & computing	3.8	0.07	3.8	0.07
of which, holiday travel	2.7	0.16	1.6	0.10
Education	0.1	0.00	0.1	0.00
Financial & insurance services	1.0	0.05	0.9	0.05
CPI: All groups %qtr	**1.3**	–	**1.3**	–
CPI: All groups % year	**3.9**	–	**3.9**	–

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28 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets will have plenty to digest today, with Australian CPI and policy decisions from the RBNZ, BoC and FOMC all due.

Global equities were generally stronger, with AI-related stocks supporting gains in the US and tech-heavy Asian markets following positive headlines around AI financing.

US and Australian government bond yields were little changed ahead of today's key data and central bank decisions, with markets assigning just a 7% probability to an FOMC hike today.

The US dollar strengthened on pre-FOMC positioning, although the AUD outperformed most major currencies and gained against the greenback.

Oil prices eased on hopes diplomacy could avert renewed escalation in the US-Iran conflict, while iron ore remained below US$90/t amid persistent concerns around global demand.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.7028	0.2%
AUD/JPY	111.00	0.4%
AUD/GBP	0.5279	0.4%
AUD/NZD	1.2362	0.1%
AUD/EUR	0.6312	0.5%
AUD/CNH	4.6843	0.1%
AUD/SGD	0.9004	0.2%
AUD/HKD	5.5138	0.2%
AUD/CAD	0.9875	0.4%
EUR/USD	1.1136	-0.3%
USD/JPY	157.93	0.3%
USD Index	102.29	0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.73	0.02
90 day BBSY	4.90	0.00
180 day BBSY	5.25	-0.01
1 year swap	4.95	0.00
2 year swap	4.91	0.00
3 year swap	4.88	0.00
4 year swap	4.88	0.00
5 year swap	4.91	0.00
6 year swap	4.95	0.00
7 year swap	4.99	0.00
8 year swap	5.04	-0.01
9 year swap	5.08	0.00
10 year swap	5.12	-0.01

Equities	Close	Change
S&P/ASX 200	8,850	0.5%
S&P 500	7,735	0.8%
Japan Nikkei	63,268	1.7%
Hang Seng	23,041	-0.7%
Euro Stoxx 50	6,165	0.8%
UK FTSE100	10,687	-0.8%
VIX Index	17.48	-4.9%

Commodities	Current	Change
CRB Index	411.85	-0.7%
Gold	4061.10	1.1%
Copper	14474	1.0%
Oil (WTI futures)	99.85	-1.9%
Coal (coking)	266.75	0.1%
Coal (thermal)	153.00	-1.9%
Iron Ore	89.35	-1.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.15	-0.01
United States		
3-month T Bill	4.02	-0.01
2 year bond	4.73	0.01
10 year bond	4.99	0.00
Other (10 year yields)		
Germany	3.36	-0.01
Japan	2.81	0.01
UK	5.35	0.00

Sydney Futures Exchange	Current	Change
10 yr bond	5.19	0.02
3 yr bond	4.87	0.02
3 mth bill rate	4.77	0.00
SPI 200	8,883	0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally buoyed overnight, with Anthropic's IPO filing and Meta's US$25bn equity offering closing five times oversubscribed adding momentum back into the AI trade, while softer oil prices provided further support. Attention now turns to a series of key economic developments, with Australian CPI due today alongside policy decisions and accompanying guidance from the RBNZ, BoC and FOMC.

- US equities moved higher, supported by AI-related stocks. The S&P 500 gained 0.8%, while the NASDAQ outperformed, rising 1.2%, and the Dow Jones was unchanged. European markets were mixed, with the Euro Stoxx 50 up 0.8%, while the FTSE 100 fell 0.8% ahead of the UK Budget.
- Tech-heavy Asian markets were buoyed as recent headlines helped ease concerns around AI financing. The KOSPI led gains, rising 3.1%, while the Nikkei 225 also performed strongly, up 1.7%. The Hang Seng diverged from regional peers, falling 0.7%. Locally, the ASX 200 gained 0.5%.
- US Treasury yields were little changed, with the 2-year yield rising 1bp and the 10-year yield unchanged. Futures markets remain cautious about pricing further Fed tightening in 2026, with the probability of a hike at today's FOMC meeting sitting at just 7%, taking the implied year-end fed funds rate to 4.10%.
- Australian government bond yields were little changed ahead of today's CPI release, with the 3-year yield rising 1bp and the 10-year yield falling 1bp. Swap markets remain cautious around additional RBA tightening in 2026, with the probability of a November rate hike priced at 62%, taking the implied year-end cash rate to 4.80%.
- Pre-FOMC positioning supported the US dollar, with the DXY up 0.3%. The AUD outperformed other major currencies, rising 0.2% against the greenback to 0.7028 and also gaining across the major crosses. The euro and yen both fell 0.3% against the USD, while the sterling declined 0.2%.
- Oil prices declined on hopes that diplomacy could avert a renewed escalation in the US-Iran conflict. Brent fell 1.6% to US$114/bbl, while WTI declined 1.9% to US$99.9/bbl. Dated Brent traded at US$121/bbl. Gold rose 1.1% ahead of today's FOMC meeting, while positive risk sentiment supported base metals, with copper up 1.0% and aluminium gaining 1.5%. Iron ore fell 1.1%, remaining below US$90/t amid persistent concerns around global demand.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Monthly CPI Indicator Sep	4.2%	4.0%
11:30	AU Trimmed Mean CPI Q3	1.0%	0.8%
11:30	AU Trimmed Mean CPI Q3	3.6%	3.6%
11:30	AU Headline CPI Q3	1.2%	0.6%
12:00	NZ RBNZ Policy Decision 28/10/2026	3.00%	2.75%
23:30	US Wholesale Inventories Sep Prel.	0.5%	0.5%
0:45	CA BoC Policy Decision 28/10/2026	2.25%	2.25%
5:00	US FOMC Policy Decision 28/10/2026	3.875%	3.875%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US durable goods orders rose 1.8% in September after a 0.1% gain in August. Growth for core orders (non defence, ex aircraft) was more modest in September at 0.5% but follows a 1.6% rise in August.

US S&P Cotality Case Shiller house prices rose a further 0.3% in August, accelerating annual growth at the margin to 2.7%yr.

US new home sales fell 0.6% in September following a downwardly revised 5.1% gain (prev 6.4%) in August. Sales are currently near the average of the past 5 years.

US Conference Board consumer confidence jumped from 84.2 to 91.7 in October on an improvement in current conditions and expectations. While still below average, this measure of consumer confidence continues to outperform the University of Michigan survey, held up by the robust strength of the labour market. Responses to the Michigan measure instead look to be focused more on cost of living.

The **Richmond Fed manufacturing index** was unchanged at -2 in October.

Local Data

Our New Zealand team published their **2026 General Election preview**, outlining the major parties' key policies (see here).

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Cliff Notes: managing expectations

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Ryan Wells, Illiana Jain & Elliot Clarke

11:04 October 23 2026

Share

Key insights from the week that was.

With little domestic data of significance, participants' attention focused on RBA Deputy Governor Hauser's fireside chat, which saw an abrupt shift in market expectations of a follow-up rate hike at the November meeting.

Hauser warned in his remarks that the current inflation outlook was "materially worse" than the RBA's

August forecasts. Three upside inflation risks were characterised as having "crystallised" ahead of the September meeting – the Middle East, the AI boom, and domestic supply constraints. Hauser noted the Middle East picture "looks worse" given oil prices are "about a third higher than [the RBA] assumed in August". He then positioned AI and data centre developments among an "extraordinary sequence of positive demand shocks around the world", with "higher AI prices, tech prices feeding through into CPI". Finally, on domestic capacity pressures, the Deputy Governor noted that "inflation's been coming in at or a little bit above expectations, despite an apparent easing in the labour market". He went on to state that the staff are currently assessing "whether [the RBA] need to change [its] judgement on capacity pressures in the labour market again" – in other words, revise up their assumption for the NAIRU.

Hauser's comments prompted a material reassessment of market pricing for a follow-up November hike, from just a 20% chance at the end of last week to a 50/50 proposition today ahead of next week's Q3 CPI. For that release, we are forecasting a 1.3% (4.1%yr) lift in headline inflation and a 0.9 (3.5%yr) increase in trimmed mean inflation. Our preview provides more detail behind the component mix for Q3 as well as our upward revisions to the preliminary Q4 forecast. Provided inflation prints broadly in line with our expectations, the RBA is likely to hike by 25bp at the November meeting.

Across in New Zealand, consumer prices rose 0.7% in Q3 and annual inflation eased from 4.1%yr to 3.7%yr. Under the surface of this 'as expected' read though, several closely watched measures of core inflation took a step higher to now be at or slightly above the top of the RBNZ's target band. Our NZ economics team consequently expect the RBNZ will raise the OCR 25bps to 3.00% at its October policy review, while retaining a 4.00% terminal OCR forecast for September 2027.

Earlier in the week, China's economy surprised to the upside in Q3, GDP growth accelerating from 0.9%qtr to 1.2%qtr, lifting annual growth from 4.3%yr to 4.5%yr – keeping authorities on track to achieve their 4.5-5.0% full-year growth objective.

While annual retail sales growth improved in September, rising from 0.4%yr to 1.1%yr, the current pace of growth is only a quarter of the gain seen just a year ago and very weak versus history. Consumer spending continues to be constrained by weak confidence, particularly with respect to employment prospects and wealth. On housing wealth, five years into the property downturn, house prices continue to decline month-on-month and investment remains in a deep downturn, -20.6%ytd.

Total fixed asset investment has been detracting from annual GDP growth since April owing to a lull in high-tech investment, a lack of confidence in future demand amongst domestically oriented businesses as well as property's malaise. For aggregate growth to hold up through 2027 and 2028 as the contribution from net exports moderates, broad-based stimulus in scale will prove necessary. Expect recent targeted support measures to be broadened and given much greater scale in coming months.

Finally, in the UK, inflation accelerated from 3.1%yr to 3.5%yr in September, exceeding both market expectations and the Bank of England's July forecast. The surprise was largely driven by energy, fuel prices rising 5.4%mth. However, core inflation also edged up from 2.6%yr to 2.8%yr as services inflation increased from 3.4%yr to 3.7%yr. While not an immediate concern inflation, the labour market showing resilience, the ILO unemployment rate falling from 4.9% to 4.7% in August, suggests demand

risks for inflation will need close monitoring as well as supply-side concerns.

Next week will see the focus once again return to the US as the FOMC meet and US Q3 GDP is released. For both events, the implications for risks to the outlook will be the focus. The week after, the US mid-term elections are due.

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28 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets will have plenty to digest today, with Australian CPI and policy decisions from the RBNZ, BoC and FOMC all due.

Global equities were generally stronger, with AI-related stocks supporting gains in the US and tech-heavy Asian markets following positive headlines around AI financing.

US and Australian government bond yields were little changed ahead of today's key data and central bank decisions, with markets assigning just a 7% probability to an FOMC hike today.

The US dollar strengthened on pre-FOMC positioning, although the AUD outperformed most major currencies and gained against the greenback.

Oil prices eased on hopes diplomacy could avert renewed escalation in the US-Iran conflict, while iron ore remained below US$90/t amid persistent concerns around global demand.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.7028	0.2%
AUD/JPY	111.00	0.4%
AUD/GBP	0.5279	0.4%
AUD/NZD	1.2362	0.1%
AUD/EUR	0.6312	0.5%
AUD/CNH	4.6843	0.1%
AUD/SGD	0.9004	0.2%
AUD/HKD	5.5138	0.2%
AUD/CAD	0.9875	0.4%
EUR/USD	1.1136	-0.3%
USD/JPY	157.93	0.3%
USD Index	102.29	0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.73	0.02
90 day BBSY	4.90	0.00
180 day BBSY	5.25	-0.01
1 year swap	4.95	0.00
2 year swap	4.91	0.00
3 year swap	4.88	0.00
4 year swap	4.88	0.00
5 year swap	4.91	0.00
6 year swap	4.95	0.00
7 year swap	4.99	0.00
8 year swap	5.04	-0.01
9 year swap	5.08	0.00
10 year swap	5.12	-0.01

Equities	Close	Change
S&P/ASX 200	8,850	0.5%
S&P 500	7,735	0.8%
Japan Nikkei	63,268	1.7%
Hang Seng	23,041	-0.7%
Euro Stoxx 50	6,165	0.8%
UK FTSE100	10,687	-0.8%
VIX Index	17.48	-4.9%

Commodities	Current	Change
CRB Index	411.85	-0.7%
Gold	4061.10	1.1%
Copper	14474	1.0%
Oil (WTI futures)	99.85	-1.9%
Coal (coking)	266.75	0.1%
Coal (thermal)	153.00	-1.9%
Iron Ore	89.35	-1.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.15	-0.01
United States		
3-month T Bill	4.02	-0.01
2 year bond	4.73	0.01
10 year bond	4.99	0.00
Other (10 year yields)		
Germany	3.36	-0.01
Japan	2.81	0.01
UK	5.35	0.00

Sydney Futures Exchange	Current	Change
10 yr bond	5.19	0.02
3 yr bond	4.87	0.02
3 mth bill rate	4.77	0.00
SPI 200	8,883	0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally buoyed overnight, with Anthropic's IPO filing and Meta's US$25bn equity offering closing five times oversubscribed adding momentum back into the AI trade, while softer oil prices provided further support. Attention now turns to a series of key economic developments, with Australian CPI due today alongside policy decisions and accompanying guidance from the RBNZ, BoC and FOMC.

- US equities moved higher, supported by AI-related stocks. The S&P 500 gained 0.8%, while the NASDAQ outperformed, rising 1.2%, and the Dow Jones was unchanged. European markets were mixed, with the Euro Stoxx 50 up 0.8%, while the FTSE 100 fell 0.8% ahead of the UK Budget.
- Tech-heavy Asian markets were buoyed as recent headlines helped ease concerns around AI financing. The KOSPI led gains, rising 3.1%, while the Nikkei 225 also performed strongly, up 1.7%. The Hang Seng diverged from regional peers, falling 0.7%. Locally, the ASX 200 gained 0.5%.
- US Treasury yields were little changed, with the 2-year yield rising 1bp and the 10-year yield unchanged. Futures markets remain cautious about pricing further Fed tightening in 2026, with the probability of a hike at today's FOMC meeting sitting at just 7%, taking the implied year-end fed funds rate to 4.10%.
- Australian government bond yields were little changed ahead of today's CPI release, with the 3-year yield rising 1bp and the 10-year yield falling 1bp. Swap markets remain cautious around additional RBA tightening in 2026, with the probability of a November rate hike priced at 62%, taking the implied year-end cash rate to 4.80%.
- Pre-FOMC positioning supported the US dollar, with the DXY up 0.3%. The AUD outperformed other major currencies, rising 0.2% against the greenback to 0.7028 and also gaining across the major crosses. The euro and yen both fell 0.3% against the USD, while the sterling declined 0.2%.
- Oil prices declined on hopes that diplomacy could avert a renewed escalation in the US-Iran conflict. Brent fell 1.6% to US$114/bbl, while WTI declined 1.9% to US$99.9/bbl. Dated Brent traded at US$121/bbl. Gold rose 1.1% ahead of today's FOMC meeting, while positive risk sentiment supported base metals, with copper up 1.0% and aluminium gaining 1.5%. Iron ore fell 1.1%, remaining below US$90/t amid persistent concerns around global demand.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Monthly CPI Indicator Sep	4.2%	4.0%
11:30	AU Trimmed Mean CPI Q3	1.0%	0.8%
11:30	AU Trimmed Mean CPI Q3	3.6%	3.6%
11:30	AU Headline CPI Q3	1.2%	0.6%
12:00	NZ RBNZ Policy Decision 28/10/2026	3.00%	2.75%
23:30	US Wholesale Inventories Sep Prel.	0.5%	0.5%
0:45	CA BoC Policy Decision 28/10/2026	2.25%	2.25%
5:00	US FOMC Policy Decision 28/10/2026	3.875%	3.875%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US durable goods orders rose 1.8% in September after a 0.1% gain in August. Growth for core orders (non defence, ex aircraft) was more modest in September at 0.5% but follows a 1.6% rise in August.

US S&P Cotality Case Shiller house prices rose a further 0.3% in August, accelerating annual growth at the margin to 2.7%yr.

US new home sales fell 0.6% in September following a downwardly revised 5.1% gain (prev 6.4%) in August. Sales are currently near the average of the past 5 years.

US Conference Board consumer confidence jumped from 84.2 to 91.7 in October on an improvement in current conditions and expectations. While still below average, this measure of consumer confidence continues to outperform the University of Michigan survey, held up by the robust strength of the labour market. Responses to the Michigan measure instead look to be focused more on cost of living.

The **Richmond Fed manufacturing index** was unchanged at -2 in October.

Local Data

Our New Zealand team published their **2026 General Election preview**, outlining the major parties' key policies (see here).

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28 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets will have plenty to digest today, with Australian CPI and policy decisions from the RBNZ, BoC and FOMC all due.

Global equities were generally stronger, with AI-related stocks supporting gains in the US and tech-heavy Asian markets following positive headlines around AI financing.

US and Australian government bond yields were little changed ahead of today's key data and central bank decisions, with markets assigning just a 7% probability to an FOMC hike today.

The US dollar strengthened on pre-FOMC positioning, although the AUD outperformed most major currencies and gained against the greenback.

Oil prices eased on hopes diplomacy could avert renewed escalation in the US-Iran conflict, while iron ore remained below US$90/t amid persistent concerns around global demand.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.7028	0.2%
AUD/JPY	111.00	0.4%
AUD/GBP	0.5279	0.4%
AUD/NZD	1.2362	0.1%
AUD/EUR	0.6312	0.5%
AUD/CNH	4.6843	0.1%
AUD/SGD	0.9004	0.2%
AUD/HKD	5.5138	0.2%
AUD/CAD	0.9875	0.4%
EUR/USD	1.1136	-0.3%
USD/JPY	157.93	0.3%
USD Index	102.29	0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.73	0.02
90 day BBSY	4.90	0.00
180 day BBSY	5.25	-0.01
1 year swap	4.95	0.00
2 year swap	4.91	0.00
3 year swap	4.88	0.00
4 year swap	4.88	0.00
5 year swap	4.91	0.00
6 year swap	4.95	0.00
7 year swap	4.99	0.00
8 year swap	5.04	-0.01
9 year swap	5.08	0.00
10 year swap	5.12	-0.01

Equities	Close	Change
S&P/ASX 200	8,850	0.5%
S&P 500	7,735	0.8%
Japan Nikkei	63,268	1.7%
Hang Seng	23,041	-0.7%
Euro Stoxx 50	6,165	0.8%
UK FTSE100	10,687	-0.8%
VIX Index	17.48	-4.9%

Commodities	Current	Change
CRB Index	411.85	-0.7%
Gold	4061.10	1.1%
Copper	14474	1.0%
Oil (WTI futures)	99.85	-1.9%
Coal (coking)	266.75	0.1%
Coal (thermal)	153.00	-1.9%
Iron Ore	89.35	-1.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.15	-0.01
United States		
3-month T Bill	4.02	-0.01
2 year bond	4.73	0.01
10 year bond	4.99	0.00
Other (10 year yields)		
Germany	3.36	-0.01
Japan	2.81	0.01
UK	5.35	0.00

Sydney Futures Exchange	Current	Change
10 yr bond	5.19	0.02
3 yr bond	4.87	0.02
3 mth bill rate	4.77	0.00
SPI 200	8,883	0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally buoyed overnight, with Anthropic's IPO filing and Meta's US$25bn equity offering closing five times oversubscribed adding momentum back into the AI trade, while softer oil prices provided further support. Attention now turns to a series of key economic developments, with Australian CPI due today alongside policy decisions and accompanying guidance from the RBNZ, BoC and FOMC.

- US equities moved higher, supported by AI-related stocks. The S&P 500 gained 0.8%, while the NASDAQ outperformed, rising 1.2%, and the Dow Jones was unchanged. European markets were mixed, with the Euro Stoxx 50 up 0.8%, while the FTSE 100 fell 0.8% ahead of the UK Budget.
- Tech-heavy Asian markets were buoyed as recent headlines helped ease concerns around AI financing. The KOSPI led gains, rising 3.1%, while the Nikkei 225 also performed strongly, up 1.7%. The Hang Seng diverged from regional peers, falling 0.7%. Locally, the ASX 200 gained 0.5%.
- US Treasury yields were little changed, with the 2-year yield rising 1bp and the 10-year yield unchanged. Futures markets remain cautious about pricing further Fed tightening in 2026, with the probability of a hike at today's FOMC meeting sitting at just 7%, taking the implied year-end fed funds rate to 4.10%.
- Australian government bond yields were little changed ahead of today's CPI release, with the 3-year yield rising 1bp and the 10-year yield falling 1bp. Swap markets remain cautious around additional RBA tightening in 2026, with the probability of a November rate hike priced at 62%, taking the implied year-end cash rate to 4.80%.
- Pre-FOMC positioning supported the US dollar, with the DXY up 0.3%. The AUD outperformed other major currencies, rising 0.2% against the greenback to 0.7028 and also gaining across the major crosses. The euro and yen both fell 0.3% against the USD, while the sterling declined 0.2%.
- Oil prices declined on hopes that diplomacy could avert a renewed escalation in the US-Iran conflict. Brent fell 1.6% to US$114/bbl, while WTI declined 1.9% to US$99.9/bbl. Dated Brent traded at US$121/bbl. Gold rose 1.1% ahead of today's FOMC meeting, while positive risk sentiment supported base metals, with copper up 1.0% and aluminium gaining 1.5%. Iron ore fell 1.1%, remaining below US$90/t amid persistent concerns around global demand.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Monthly CPI Indicator Sep	4.2%	4.0%
11:30	AU Trimmed Mean CPI Q3	1.0%	0.8%
11:30	AU Trimmed Mean CPI Q3	3.6%	3.6%
11:30	AU Headline CPI Q3	1.2%	0.6%
12:00	NZ RBNZ Policy Decision 28/10/2026	3.00%	2.75%
23:30	US Wholesale Inventories Sep Prel.	0.5%	0.5%
0:45	CA BoC Policy Decision 28/10/2026	2.25%	2.25%
5:00	US FOMC Policy Decision 28/10/2026	3.875%	3.875%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US durable goods orders rose 1.8% in September after a 0.1% gain in August. Growth for core orders (non defence, ex aircraft) was more modest in September at 0.5% but follows a 1.6% rise in August.

US S&P Cotality Case Shiller house prices rose a further 0.3% in August, accelerating annual growth at the margin to 2.7%yr.

US new home sales fell 0.6% in September following a downwardly revised 5.1% gain (prev 6.4%) in August. Sales are currently near the average of the past 5 years.

US Conference Board consumer confidence jumped from 84.2 to 91.7 in October on an improvement in current conditions and expectations. While still below average, this measure of consumer confidence continues to outperform the University of Michigan survey, held up by the robust strength of the labour market. Responses to the Michigan measure instead look to be focused more on cost of living.

The **Richmond Fed manufacturing index** was unchanged at -2 in October.

Local Data

Our New Zealand team published their **2026 General Election preview**, outlining the major parties' key policies (see here).

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Cliff Notes: getting the balance right

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Ryan Wells, Illiana Jain & Elliot Clarke

10:46 October 16 2026

Share

Key insights from the week that was.

Australia's key data release this week was the September Labour Force Survey. Employment surprised to the downside, -39.3k. However, a 0.2ppt decline in labour force participation from August's near-historic high largely offset. The unemployment rate therefore held at 4.7% after August was revised up.

Residual seasonality may be in the mix. Regardless, the take home point from the update is that the

labour market is continuing to ease as employment growth runs below working-age population growth. We expect the unemployment rate to grind higher into 2027 as tighter financial conditions and cost-of-living pressures restrict activity growth to a below-trend pace. Although, our forecast peak is near at 4.8%, due by Q2 2027.

This update on the labour market complicates the communication challenge for the RBA. The September minutes were firmly on the hawkish side, with the discussion focussing on materialising upside risks to inflation. But, with the unemployment rate now through the RBA's NAIRU assumption of 4.6%, Governor Bullock's "a little tight" descriptor for the labour market is becoming harder to defend. Still, with a clear focus on inflation risks – which also led us to revise up our near-term CPI forecasts in the October Market Outlook – we still expect a 25bp rate hike at the November meeting.

Over in the US, the headline CPI rose 0.6% as expected in September, taking the annual rate up to 3.7%yr. Energy prices were a key contributor (5.2%, 20.4%yr), while core inflation was a touch above consensus in the month at 0.3% (2.6%yr). Within the core components, core goods prices gained 0.3% after being broadly unchanged over the past 6 months (0.7%yr). Core services meanwhile rose 0.4% (3.1%yr) on a 0.4% increase in shelter (3.2%yr), a 0.6% gain for transport services and a 0.3% increase in medical care services (2.7%yr and 2.5%yr respectively). Further, the subsequent release of the PPI pointed to continued upstream price pressures, with the headline and core measures up 6.3%yr and 5.0%yr respectively. The latest Beige Book provided colour on these developments, firms across multiple districts citing tariffs, insurance and commodity prices as ongoing sources of cost pressure. Guiding on the risks, many respondents expect further price increases as contracts/hedges roll off.

Given their telegraphed concerns over inflation, there is enough signal in these reports to warrant a follow-up hike at the October FOMC meeting. Though it seems Committee members believe they are near the end of the tightening cycle and so have time on their side. This week, Daly and Bowman both showed patience in assessing the trend, with no clear bias towards an October or December decision. Williams stated he believes one more hike would prove sufficient in this cycle given known information. And Waller also showed confidence, highlighting that elevated long-term yields are doing some of the FOMC's work, restricting demand in interest rate sensitive sectors. We hold a similar view, anticipating that one more hike by year end and a little time will bring inflation near the 2.0%yr medium-term target. However, as discussed in this month's Market Outlook, capacity pressures are likely to see inflation consistently above target, rather than below, in coming years – particularly if, as we suspect, capacity in the housing sector remains tight. This will mean the FOMC have to remain modestly restrictive over the forecast horizon and will also bias up long-term yields.

In Asia, there was one release that stood out, China's trade account. At USD133.5bn, the September result was a whisker inside January 2025's record high of USD137.9bn. More impressively, throughout 2025 and 2026 year-to-date the surplus has now averaged USD100.9bn, almost 3 times the average of 2019, prior to the pandemic. The geographic breadth of export growth is as impressive as the headline annual gain of 36.3%yr, even more so given the ongoing strength in Chinese investment in neighbouring nations' production chains. In time, both trade and income receipts from offshore investment should buoy the renminbi, although for now continued outbound foreign investment should moderate the pace of gains against other nations in the region, and likely versus the US dollar.

Another key trend assessed in October's Market Outlook is the evolution of producer prices across Asia, and the likelihood of the disinflationary benefit the west has received in recent decades continuing. Historically, labour cost arbitrage was one of the key drivers of declining goods prices. While still possible, we expect the next phase of manufacturing development to instead be driven by capital, technology and energy. Many end users and the manufacturers undertaking production are also increasingly prioritising resilience, security and specialisation over cost minimisation. It is therefore more probably future supply-chain developments will help contain rising costs through productivity than drive sustained price declines for the goods bought by consumers and businesses.

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28 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets will have plenty to digest today, with Australian CPI and policy decisions from the RBNZ, BoC and FOMC all due.

Global equities were generally stronger, with AI-related stocks supporting gains in the US and tech-heavy Asian markets following positive headlines around AI financing.

US and Australian government bond yields were little changed ahead of today's key data and central bank decisions, with markets assigning just a 7% probability to an FOMC hike today.

The US dollar strengthened on pre-FOMC positioning, although the AUD outperformed most major currencies and gained against the greenback.

Oil prices eased on hopes diplomacy could avert renewed escalation in the US-Iran conflict, while iron ore remained below US$90/t amid persistent concerns around global demand.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.7028	0.2%
AUD/JPY	111.00	0.4%
AUD/GBP	0.5279	0.4%
AUD/NZD	1.2362	0.1%
AUD/EUR	0.6312	0.5%
AUD/CNH	4.6843	0.1%
AUD/SGD	0.9004	0.2%
AUD/HKD	5.5138	0.2%
AUD/CAD	0.9875	0.4%
EUR/USD	1.1136	-0.3%
USD/JPY	157.93	0.3%
USD Index	102.29	0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.73	0.02
90 day BBSY	4.90	0.00
180 day BBSY	5.25	-0.01
1 year swap	4.95	0.00
2 year swap	4.91	0.00
3 year swap	4.88	0.00
4 year swap	4.88	0.00
5 year swap	4.91	0.00
6 year swap	4.95	0.00
7 year swap	4.99	0.00
8 year swap	5.04	-0.01
9 year swap	5.08	0.00
10 year swap	5.12	-0.01

Equities	Close	Change
S&P/ASX 200	8,850	0.5%
S&P 500	7,735	0.8%
Japan Nikkei	63,268	1.7%
Hang Seng	23,041	-0.7%
Euro Stoxx 50	6,165	0.8%
UK FTSE100	10,687	-0.8%
VIX Index	17.48	-4.9%

Commodities	Current	Change
CRB Index	411.85	-0.7%
Gold	4061.10	1.1%
Copper	14474	1.0%
Oil (WTI futures)	99.85	-1.9%
Coal (coking)	266.75	0.1%
Coal (thermal)	153.00	-1.9%
Iron Ore	89.35	-1.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.15	-0.01
United States		
3-month T Bill	4.02	-0.01
2 year bond	4.73	0.01
10 year bond	4.99	0.00
Other (10 year yields)		
Germany	3.36	-0.01
Japan	2.81	0.01
UK	5.35	0.00

Sydney Futures Exchange	Current	Change
10 yr bond	5.19	0.02
3 yr bond	4.87	0.02
3 mth bill rate	4.77	0.00
SPI 200	8,883	0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Today's key data and events

Time	Event	Exp	Prev
11:30	AU Monthly CPI Indicator Sep	4.2%	4.0%
11:30	AU Trimmed Mean CPI Q3	1.0%	0.8%
11:30	AU Trimmed Mean CPI Q3	3.6%	3.6%
11:30	AU Headline CPI Q3	1.2%	0.6%
12:00	NZ RBNZ Policy Decision 28/10/2026	3.00%	2.75%
23:30	US Wholesale Inventories Sep Prel.	0.5%	0.5%
0:45	CA BoC Policy Decision 28/10/2026	2.25%	2.25%
5:00	US FOMC Policy Decision 28/10/2026	3.875%	3.875%

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28 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets will have plenty to digest today, with Australian CPI and policy decisions from the RBNZ, BoC and FOMC all due.

Global equities were generally stronger, with AI-related stocks supporting gains in the US and tech-heavy Asian markets following positive headlines around AI financing.

US and Australian government bond yields were little changed ahead of today's key data and central bank decisions, with markets assigning just a 7% probability to an FOMC hike today.

The US dollar strengthened on pre-FOMC positioning, although the AUD outperformed most major currencies and gained against the greenback.

Oil prices eased on hopes diplomacy could avert renewed escalation in the US-Iran conflict, while iron ore remained below US$90/t amid persistent concerns around global demand.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.7028	0.2%
AUD/JPY	111.00	0.4%
AUD/GBP	0.5279	0.4%
AUD/NZD	1.2362	0.1%
AUD/EUR	0.6312	0.5%
AUD/CNH	4.6843	0.1%
AUD/SGD	0.9004	0.2%
AUD/HKD	5.5138	0.2%
AUD/CAD	0.9875	0.4%
EUR/USD	1.1136	-0.3%
USD/JPY	157.93	0.3%
USD Index	102.29	0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.73	0.02
90 day BBSY	4.90	0.00
180 day BBSY	5.25	-0.01
1 year swap	4.95	0.00
2 year swap	4.91	0.00
3 year swap	4.88	0.00
4 year swap	4.88	0.00
5 year swap	4.91	0.00
6 year swap	4.95	0.00
7 year swap	4.99	0.00
8 year swap	5.04	-0.01
9 year swap	5.08	0.00
10 year swap	5.12	-0.01

Equities	Close	Change
S&P/ASX 200	8,850	0.5%
S&P 500	7,735	0.8%
Japan Nikkei	63,268	1.7%
Hang Seng	23,041	-0.7%
Euro Stoxx 50	6,165	0.8%
UK FTSE100	10,687	-0.8%
VIX Index	17.48	-4.9%

Commodities	Current	Change
CRB Index	411.85	-0.7%
Gold	4061.10	1.1%
Copper	14474	1.0%
Oil (WTI futures)	99.85	-1.9%
Coal (coking)	266.75	0.1%
Coal (thermal)	153.00	-1.9%
Iron Ore	89.35	-1.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.15	-0.01
United States		
3-month T Bill	4.02	-0.01
2 year bond	4.73	0.01
10 year bond	4.99	0.00
Other (10 year yields)		
Germany	3.36	-0.01
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28 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets will have plenty to digest today, with Australian CPI and policy decisions from the RBNZ, BoC and FOMC all due.

Global equities were generally stronger, with AI-related stocks supporting gains in the US and tech-heavy Asian markets following positive headlines around AI financing.

US and Australian government bond yields were little changed ahead of today's key data and central bank decisions, with markets assigning just a 7% probability to an FOMC hike today.

The US dollar strengthened on pre-FOMC positioning, although the AUD outperformed most major currencies and gained against the greenback.

Oil prices eased on hopes diplomacy could avert renewed escalation in the US-Iran conflict, while iron ore remained below US$90/t amid persistent concerns around global demand.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.7028	0.2%
AUD/JPY	111.00	0.4%
AUD/GBP	0.5279	0.4%
AUD/NZD	1.2362	0.1%
AUD/EUR	0.6312	0.5%
AUD/CNH	4.6843	0.1%
AUD/SGD	0.9004	0.2%
AUD/HKD	5.5138	0.2%
AUD/CAD	0.9875	0.4%
EUR/USD	1.1136	-0.3%
USD/JPY	157.93	0.3%
USD Index	102.29	0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.73	0.02
90 day BBSY	4.90	0.00
180 day BBSY	5.25	-0.01
1 year swap	4.95	0.00
2 year swap	4.91	0.00
3 year swap	4.88	0.00
4 year swap	4.88	0.00
5 year swap	4.91	0.00
6 year swap	4.95	0.00
7 year swap	4.99	0.00
8 year swap	5.04	-0.01
9 year swap	5.08	0.00
10 year swap	5.12	-0.01

Equities	Close	Change
S&P/ASX 200	8,850	0.5%
S&P 500	7,735	0.8%
Japan Nikkei	63,268	1.7%
Hang Seng	23,041	-0.7%
Euro Stoxx 50	6,165	0.8%
UK FTSE100	10,687	-0.8%
VIX Index	17.48	-4.9%

Commodities	Current	Change
CRB Index	411.85	-0.7%
Gold	4061.10	1.1%
Copper	14474	1.0%
Oil (WTI futures)	99.85	-1.9%
Coal (coking)	266.75	0.1%
Coal (thermal)	153.00	-1.9%
Iron Ore	89.35	-1.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.15	-0.01
United States		
3-month T Bill	4.02	-0.01
2 year bond	4.73	0.01
10 year bond	4.99	0.00
Other (10 year yields)		
Germany	3.36	-0.01
Japan	2.81	0.01
UK	5.35	0.00

Sydney Futures Exchange	Current	Change
10 yr bond	5.19	0.02
3 yr bond	4.87	0.02
3 mth bill rate	4.77	0.00
SPI 200	8,883	0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally buoyed overnight, with Anthropic's IPO filing and Meta's US$25bn equity offering closing five times oversubscribed adding momentum back into the AI trade, while softer oil prices provided further support. Attention now turns to a series of key economic developments, with Australian CPI due today alongside policy decisions and accompanying guidance from the RBNZ, BoC and FOMC.

- US equities moved higher, supported by AI-related stocks. The S&P 500 gained 0.8%, while the NASDAQ outperformed, rising 1.2%, and the Dow Jones was unchanged. European markets were mixed, with the Euro Stoxx 50 up 0.8%, while the FTSE 100 fell 0.8% ahead of the UK Budget.
- Tech-heavy Asian markets were buoyed as recent headlines helped ease concerns around AI financing. The KOSPI led gains, rising 3.1%, while the Nikkei 225 also performed strongly, up 1.7%. The Hang Seng diverged from regional peers, falling 0.7%. Locally, the ASX 200 gained 0.5%.
- US Treasury yields were little changed, with the 2-year yield rising 1bp and the 10-year yield unchanged. Futures markets remain cautious about pricing further Fed tightening in 2026, with the probability of a hike at today's FOMC meeting sitting at just 7%, taking the implied year-end fed funds rate to 4.10%.
- Australian government bond yields were little changed ahead of today's CPI release, with the 3-year yield rising 1bp and the 10-year yield falling 1bp. Swap markets remain cautious around additional RBA tightening in 2026, with the probability of a November rate hike priced at 62%, taking the implied year-end cash rate to 4.80%.
- Pre-FOMC positioning supported the US dollar, with the DXY up 0.3%. The AUD outperformed other major currencies, rising 0.2% against the greenback to 0.7028 and also gaining across the major crosses. The euro and yen both fell 0.3% against the USD, while the sterling declined 0.2%.
- Oil prices declined on hopes that diplomacy could avert a renewed escalation in the US-Iran conflict. Brent fell 1.6% to US$114/bbl, while WTI declined 1.9% to US$99.9/bbl. Dated Brent traded at US$121/bbl. Gold rose 1.1% ahead of today's FOMC meeting, while positive risk sentiment supported base metals, with copper up 1.0% and aluminium gaining 1.5%. Iron ore fell 1.1%, remaining below US$90/t amid persistent concerns around global demand.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Monthly CPI Indicator Sep	4.2%	4.0%
11:30	AU Trimmed Mean CPI Q3	1.0%	0.8%
11:30	AU Trimmed Mean CPI Q3	3.6%	3.6%
11:30	AU Headline CPI Q3	1.2%	0.6%
12:00	NZ RBNZ Policy Decision 28/10/2026	3.00%	2.75%
23:30	US Wholesale Inventories Sep Prel.	0.5%	0.5%
0:45	CA BoC Policy Decision 28/10/2026	2.25%	2.25%
5:00	US FOMC Policy Decision 28/10/2026	3.875%	3.875%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US durable goods orders rose 1.8% in September after a 0.1% gain in August. Growth for core orders (non defence, ex aircraft) was more modest in September at 0.5% but follows a 1.6% rise in August.

US S&P Cotality Case Shiller house prices rose a further 0.3% in August, accelerating annual growth at the margin to 2.7%yr.

US new home sales fell 0.6% in September following a downwardly revised 5.1% gain (prev 6.4%) in August. Sales are currently near the average of the past 5 years.

US Conference Board consumer confidence jumped from 84.2 to 91.7 in October on an improvement in current conditions and expectations. While still below average, this measure of consumer confidence continues to outperform the University of Michigan survey, held up by the robust strength of the labour market. Responses to the Michigan measure instead look to be focused more on cost of living.

The **Richmond Fed manufacturing index** was unchanged at -2 in October.

Local Data

Our New Zealand team published their **2026 General Election preview**, outlining the major parties' key policies (see here).

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28 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets will have plenty to digest today, with Australian CPI and policy decisions from the RBNZ, BoC and FOMC all due.

Global equities were generally stronger, with AI-related stocks supporting gains in the US and tech-heavy Asian markets following positive headlines around AI financing.

US and Australian government bond yields were little changed ahead of today's key data and central bank decisions, with markets assigning just a 7% probability to an FOMC hike today.

The US dollar strengthened on pre-FOMC positioning, although the AUD outperformed most major currencies and gained against the greenback.

Oil prices eased on hopes diplomacy could avert renewed escalation in the US-Iran conflict, while iron ore remained below US$90/t amid persistent concerns around global demand.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.7028	0.2%
AUD/JPY	111.00	0.4%
AUD/GBP	0.5279	0.4%
AUD/NZD	1.2362	0.1%
AUD/EUR	0.6312	0.5%
AUD/CNH	4.6843	0.1%
AUD/SGD	0.9004	0.2%
AUD/HKD	5.5138	0.2%
AUD/CAD	0.9875	0.4%
EUR/USD	1.1136	-0.3%
USD/JPY	157.93	0.3%
USD Index	102.29	0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.73	0.02
90 day BBSY	4.90	0.00
180 day BBSY	5.25	-0.01
1 year swap	4.95	0.00
2 year swap	4.91	0.00
3 year swap	4.88	0.00
4 year swap	4.88	0.00
5 year swap	4.91	0.00
6 year swap	4.95	0.00
7 year swap	4.99	0.00
8 year swap	5.04	-0.01
9 year swap	5.08	0.00
10 year swap	5.12	-0.01

Equities	Close	Change
S&P/ASX 200	8,850	0.5%
S&P 500	7,735	0.8%
Japan Nikkei	63,268	1.7%
Hang Seng	23,041	-0.7%
Euro Stoxx 50	6,165	0.8%
UK FTSE100	10,687	-0.8%
VIX Index	17.48	-4.9%

Commodities	Current	Change
CRB Index	411.85	-0.7%
Gold	4061.10	1.1%
Copper	14474	1.0%
Oil (WTI futures)	99.85	-1.9%
Coal (coking)	266.75	0.1%
Coal (thermal)	153.00	-1.9%
Iron Ore	89.35	-1.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.15	-0.01
United States		
3-month T Bill	4.02	-0.01
2 year bond	4.73	0.01
10 year bond	4.99	0.00
Other (10 year yields)		
Germany	3.36	-0.01
Japan	2.81	0.01
UK	5.35	0.00

Sydney Futures Exchange	Current	Change
10 yr bond	5.19	0.02
3 yr bond	4.87	0.02
3 mth bill rate	4.77	0.00
SPI 200	8,883	0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally buoyed overnight, with Anthropic's IPO filing and Meta's US$25bn equity offering closing five times oversubscribed adding momentum back into the AI trade, while softer oil prices provided further support. Attention now turns to a series of key economic developments, with Australian CPI due today alongside policy decisions and accompanying guidance from the RBNZ, BoC and FOMC.

- US equities moved higher, supported by AI-related stocks. The S&P 500 gained 0.8%, while the NASDAQ outperformed, rising 1.2%, and the Dow Jones was unchanged. European markets were mixed, with the Euro Stoxx 50 up 0.8%, while the FTSE 100 fell 0.8% ahead of the UK Budget.
- Tech-heavy Asian markets were buoyed as recent headlines helped ease concerns around AI financing. The KOSPI led gains, rising 3.1%, while the Nikkei 225 also performed strongly, up 1.7%. The Hang Seng diverged from regional peers, falling 0.7%. Locally, the ASX 200 gained 0.5%.
- US Treasury yields were little changed, with the 2-year yield rising 1bp and the 10-year yield unchanged. Futures markets remain cautious about pricing further Fed tightening in 2026, with the probability of a hike at today's FOMC meeting sitting at just 7%, taking the implied year-end fed funds rate to 4.10%.
- Australian government bond yields were little changed ahead of today's CPI release, with the 3-year yield rising 1bp and the 10-year yield falling 1bp. Swap markets remain cautious around additional RBA tightening in 2026, with the probability of a November rate hike priced at 62%, taking the implied year-end cash rate to 4.80%.
- Pre-FOMC positioning supported the US dollar, with the DXY up 0.3%. The AUD outperformed other major currencies, rising 0.2% against the greenback to 0.7028 and also gaining across the major crosses. The euro and yen both fell 0.3% against the USD, while the sterling declined 0.2%.
- Oil prices declined on hopes that diplomacy could avert a renewed escalation in the US-Iran conflict. Brent fell 1.6% to US$114/bbl, while WTI declined 1.9% to US$99.9/bbl. Dated Brent traded at US$121/bbl. Gold rose 1.1% ahead of today's FOMC meeting, while positive risk sentiment supported base metals, with copper up 1.0% and aluminium gaining 1.5%. Iron ore fell 1.1%, remaining below US$90/t amid persistent concerns around global demand.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Monthly CPI Indicator Sep	4.2%	4.0%
11:30	AU Trimmed Mean CPI Q3	1.0%	0.8%
11:30	AU Trimmed Mean CPI Q3	3.6%	3.6%
11:30	AU Headline CPI Q3	1.2%	0.6%
12:00	NZ RBNZ Policy Decision 28/10/2026	3.00%	2.75%
23:30	US Wholesale Inventories Sep Prel.	0.5%	0.5%
0:45	CA BoC Policy Decision 28/10/2026	2.25%	2.25%
5:00	US FOMC Policy Decision 28/10/2026	3.875%	3.875%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US durable goods orders rose 1.8% in September after a 0.1% gain in August. Growth for core orders (non defence, ex aircraft) was more modest in September at 0.5% but follows a 1.6% rise in August.

US S&P Cotality Case Shiller house prices rose a further 0.3% in August, accelerating annual growth at the margin to 2.7%yr.

US new home sales fell 0.6% in September following a downwardly revised 5.1% gain (prev 6.4%) in August. Sales are currently near the average of the past 5 years.

US Conference Board consumer confidence jumped from 84.2 to 91.7 in October on an improvement in current conditions and expectations. While still below average, this measure of consumer confidence continues to outperform the University of Michigan survey, held up by the robust strength of the labour market. Responses to the Michigan measure instead look to be focused more on cost of living.

The **Richmond Fed manufacturing index** was unchanged at -2 in October.

Local Data

Our New Zealand team published their **2026 General Election preview**, outlining the major parties' key policies (see here).

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Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
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EUR/USD	1.1136	-0.3%
USD/JPY	157.93	0.3%
USD Index	102.29	0.3%

AUS Interest Rate Swaps	Last	Change
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Gold	4061.10	1.1%
Copper	14474	1.0%
Oil (WTI futures)	99.85	-1.9%
Coal (coking)	266.75	0.1%
Coal (thermal)	153.00	-1.9%
Iron Ore	89.35	-1.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.15	-0.01
United States		
3-month T Bill	4.02	-0.01
2 year bond	4.73	0.01
10 year bond	4.99	0.00
Other (10 year yields)		
Germany	3.36	-0.01
Japan	2.81	0.01
UK	5.35	0.00

Sydney Futures Exchange	Current	Change
10 yr bond	5.19	0.02
3 yr bond	4.87	0.02
3 mth bill rate	4.77	0.00
SPI 200	8,883	0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally buoyed overnight, with Anthropic's IPO filing and Meta's US$25bn equity offering closing five times oversubscribed adding momentum back into the AI trade, while softer oil prices provided further support. Attention now turns to a series of key economic developments, with Australian CPI due today alongside policy decisions and accompanying guidance from the RBNZ, BoC and FOMC.

- US equities moved higher, supported by AI-related stocks. The S&P 500 gained 0.8%, while the NASDAQ outperformed, rising 1.2%, and the Dow Jones was unchanged. European markets were mixed, with the Euro Stoxx 50 up 0.8%, while the FTSE 100 fell 0.8% ahead of the UK Budget.
- Tech-heavy Asian markets were buoyed as recent headlines helped ease concerns around AI financing. The KOSPI led gains, rising 3.1%, while the Nikkei 225 also performed strongly, up 1.7%. The Hang Seng diverged from regional peers, falling 0.7%. Locally, the ASX 200 gained 0.5%.
- US Treasury yields were little changed, with the 2-year yield rising 1bp and the 10-year yield unchanged. Futures markets remain cautious about pricing further Fed tightening in 2026, with the probability of a hike at today's FOMC meeting sitting at just 7%, taking the implied year-end fed funds rate to 4.10%.
- Australian government bond yields were little changed ahead of today's CPI release, with the 3-year yield rising 1bp and the 10-year yield falling 1bp. Swap markets remain cautious around additional RBA tightening in 2026, with the probability of a November rate hike priced at 62%, taking the implied year-end cash rate to 4.80%.
- Pre-FOMC positioning supported the US dollar, with the DXY up 0.3%. The AUD outperformed other major currencies, rising 0.2% against the greenback to 0.7028 and also gaining across the major crosses. The euro and yen both fell 0.3% against the USD, while the sterling declined 0.2%.
- Oil prices declined on hopes that diplomacy could avert a renewed escalation in the US-Iran conflict. Brent fell 1.6% to US$114/bbl, while WTI declined 1.9% to US$99.9/bbl. Dated Brent traded at US$121/bbl. Gold rose 1.1% ahead of today's FOMC meeting, while positive risk sentiment supported base metals, with copper up 1.0% and aluminium gaining 1.5%. Iron ore fell 1.1%, remaining below US$90/t amid persistent concerns around global demand.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Monthly CPI Indicator Sep	4.2%	4.0%
11:30	AU Trimmed Mean CPI Q3	1.0%	0.8%
11:30	AU Trimmed Mean CPI Q3	3.6%	3.6%
11:30	AU Headline CPI Q3	1.2%	0.6%
12:00	NZ RBNZ Policy Decision 28/10/2026	3.00%	2.75%
23:30	US Wholesale Inventories Sep Prel.	0.5%	0.5%
0:45	CA BoC Policy Decision 28/10/2026	2.25%	2.25%
5:00	US FOMC Policy Decision 28/10/2026	3.875%	3.875%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US durable goods orders rose 1.8% in September after a 0.1% gain in August. Growth for core orders (non defence, ex aircraft) was more modest in September at 0.5% but follows a 1.6% rise in August.

US S&P Cotality Case Shiller house prices rose a further 0.3% in August, accelerating annual growth at the margin to 2.7%yr.

US new home sales fell 0.6% in September following a downwardly revised 5.1% gain (prev 6.4%) in August. Sales are currently near the average of the past 5 years.

US Conference Board consumer confidence jumped from 84.2 to 91.7 in October on an improvement in current conditions and expectations. While still below average, this measure of consumer confidence continues to outperform the University of Michigan survey, held up by the robust strength of the labour market. Responses to the Michigan measure instead look to be focused more on cost of living.

The **Richmond Fed manufacturing index** was unchanged at -2 in October.

Local Data

Our New Zealand team published their **2026 General Election preview**, outlining the major parties' key policies (see here).

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Coal (coking)	266.75	0.1%
Coal (thermal)	153.00	-1.9%
Iron Ore	89.35	-1.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.15	-0.01
United States		
3-month T Bill	4.02	-0.01
2 year bond	4.73	0.01
10 year bond	4.99	0.00
Other (10 year yields)		
Germany	3.36	-0.01
Japan	2.81	0.01
UK	5.35	0.00

Sydney Futures Exchange	Current	Change
10 yr bond	5.19	0.02
3 yr bond	4.87	0.02
3 mth bill rate	4.77	0.00
SPI 200	8,883	0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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- Oil prices declined on hopes that diplomacy could avert a renewed escalation in the US-Iran conflict. Brent fell 1.6% to US$114/bbl, while WTI declined 1.9% to US$99.9/bbl. Dated Brent traded at US$121/bbl. Gold rose 1.1% ahead of today's FOMC meeting, while positive risk sentiment supported base metals, with copper up 1.0% and aluminium gaining 1.5%. Iron ore fell 1.1%, remaining below US$90/t amid persistent concerns around global demand.

Today's key data and events

Time	Event	Exp	Prev
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11:30	AU Trimmed Mean CPI Q3	1.0%	0.8%
11:30	AU Trimmed Mean CPI Q3	3.6%	3.6%
11:30	AU Headline CPI Q3	1.2%	0.6%
12:00	NZ RBNZ Policy Decision 28/10/2026	3.00%	2.75%
23:30	US Wholesale Inventories Sep Prel.	0.5%	0.5%
0:45	CA BoC Policy Decision 28/10/2026	2.25%	2.25%
5:00	US FOMC Policy Decision 28/10/2026	3.875%	3.875%

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28 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets will have plenty to digest today, with Australian CPI and policy decisions from the RBNZ, BoC and FOMC all due.

Global equities were generally stronger, with AI-related stocks supporting gains in the US and tech-heavy Asian markets following positive headlines around AI financing.

US and Australian government bond yields were little changed ahead of today's key data and central bank decisions, with markets assigning just a 7% probability to an FOMC hike today.

The US dollar strengthened on pre-FOMC positioning, although the AUD outperformed most major currencies and gained against the greenback.

Oil prices eased on hopes diplomacy could avert renewed escalation in the US-Iran conflict, while iron ore remained below US$90/t amid persistent concerns around global demand.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.7028	0.2%
AUD/JPY	111.00	0.4%
AUD/GBP	0.5279	0.4%
AUD/NZD	1.2362	0.1%
AUD/EUR	0.6312	0.5%
AUD/CNH	4.6843	0.1%
AUD/SGD	0.9004	0.2%
AUD/HKD	5.5138	0.2%
AUD/CAD	0.9875	0.4%
EUR/USD	1.1136	-0.3%
USD/JPY	157.93	0.3%
USD Index	102.29	0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.73	0.02
90 day BBSY	4.90	0.00
180 day BBSY	5.25	-0.01
1 year swap	4.95	0.00
2 year swap	4.91	0.00
3 year swap	4.88	0.00
4 year swap	4.88	0.00
5 year swap	4.91	0.00
6 year swap	4.95	0.00
7 year swap	4.99	0.00
8 year swap	5.04	-0.01
9 year swap	5.08	0.00
10 year swap	5.12	-0.01

Equities	Close	Change
S&P/ASX 200	8,850	0.5%
S&P 500	7,735	0.8%
Japan Nikkei	63,268	1.7%
Hang Seng	23,041	-0.7%
Euro Stoxx 50	6,165	0.8%
UK FTSE100	10,687	-0.8%
VIX Index	17.48	-4.9%

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Gold	4061.10	1.1%
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19 October 2026

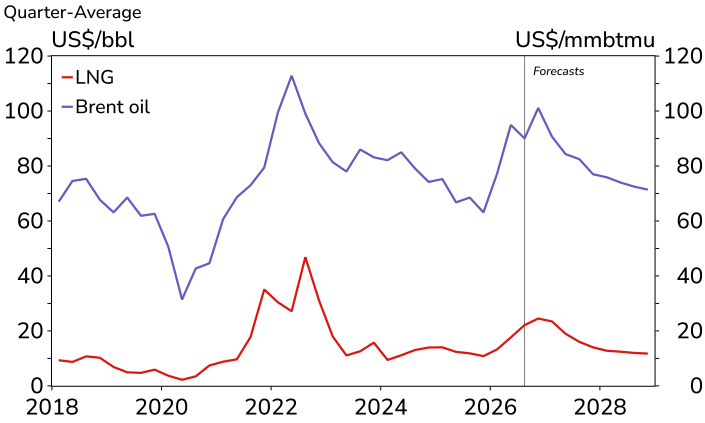
MIDDLE EAST BULLETIN

Persistent energy pressures have further to run

Key points

- Shipping disruptions, depleted inventories and elevated freight costs are keeping physical crude and fuel markets tight despite a reported recovery in Gulf exports.
- Brent is forecast to average US$101/bbl in Q4 before easing to US$77/bbl in Q4 2027.
- Refined product markets are expected to ease more slowly than crude, with elevated gasoil cracks, shipping and insurance costs slowing declines in petrol and diesel prices.
- Under an escalation scenario, renewed conflict and deeper supply disruptions could push Brent towards US$150/bbl in H1 2027, prolonging elevated fuel and LNG prices.
- Under an early resolution scenario, a durable US-Iran agreement accelerates supply recovery, taking Brent towards US$65/bbl by Q4 2027 and bringing fuel and LNG prices down faster.

Oil and LNG forecasts



Source: Bloomberg, Macrobond, Westpac Economics

Q4 2026 forecasts:

Brent crude US$101/bbl

Japanese LNG US$24.5/MMBtu

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Oil and fuel prices push higher ...

Sian Fenner, Head of Business & Industry Economics
Justin Smirk, Senior Economist
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Low inventories and higher shipping costs will keep oil and fuel prices elevated, with Brent futures forecast to average US$101/bbl in Q4 before easing to US$77/bbl by Q4 2027 as supply recovers. Refined fuels and LNG prices should ease more slowly. Risks are two-sided: escalation could push Brent towards US$150/bbl, while an early US-Iran agreement could see a faster normalisation in supply with prices returning close to pre-conflict levels by end-2027.

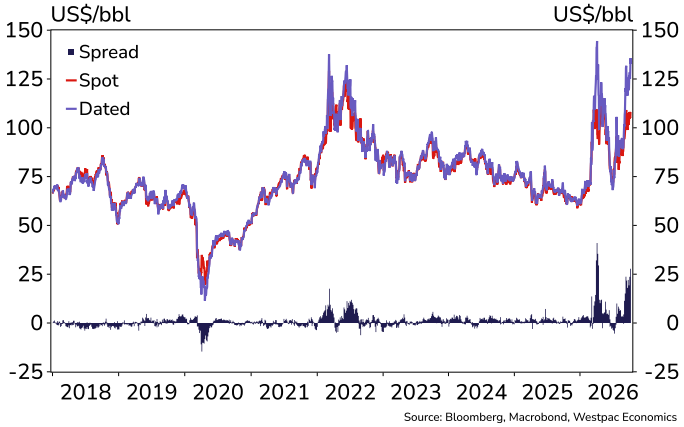
This article was first published in the October Market Outlook.

Brent crude is back above US$100/bbl on fading confidence in a lasting US-Iran agreement and intermittent attacks on shipping. Buffers remain depleted, with the IEA estimating global observed inventories were 507mb lower at the end of August than at the start of the conflict.

This comes despite reported crude exports through the Strait of Hormuz recovering to around 70% to 90% of pre-conflict levels in late September. Saudi and UAE exports through the Yanbu and Fujairah pipelines continue, with the East-West pipeline back to normal after the early September attacks. Tanker crossings have risen, although transponders remain switched off, leaving visible transit at 1% to 4% of pre-conflict levels, while cargo transfers in the Gulf of Oman have increased as an alternative route.

However, these workarounds are slower and more costly. Ship-to-ship transfers can take 5 to 10 days, US escorts through the Gulf via a route close to the Oman shoreline cause delays while some tankers are taking longer routes. Fewer ships are also available, with many redeployed to other markets. Higher insurance premiums are adding to costs, with Gulf-to-China tanker rates above US$0.9mn a day, around 15x higher than a year ago. With prompt barrels (available for physical delivery) scarce, the gap between physical and futures prices widened again, with Dated Brent around US$136/bbl in early October against US$101/bbl for front-month futures.

Spot and Dated Brent



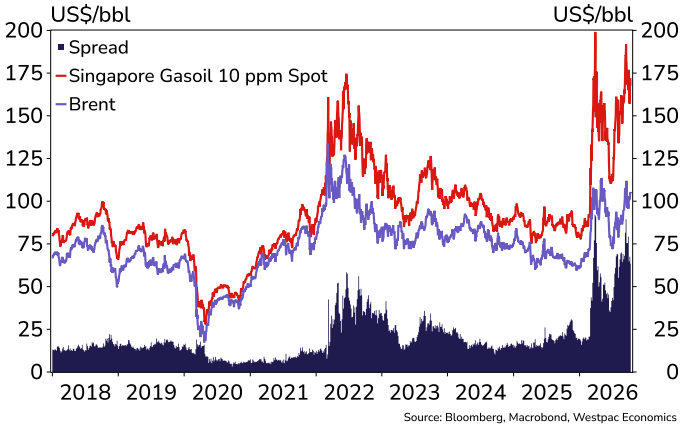
Source: Bloomberg, Macrobond, Westpac Economics

Refined prices have risen more than crude

Refined product markets were already tight going into the conflict. Reduced Gulf supply, exacerbated by Ukrainian strikes on Russian refineries, has added to that tightness. Together with higher shipping costs and rising Dated Brent prices, Singapore Gasoil 10ppm (diesel) has roughly doubled since the Strait closed, compared with around 40% for crude futures.

Consequently, Singapore gasoil crack spread widened to an average of around US$36.1/bbl in early October, from US$17.5/bbl across 2025. Alongside the Australian government's excise tax returning to normal, after it had been halved, this has lifted national diesel and petrol prices to around A$2.83/L and A$2.41/L.

Singapore gasoil crack remains elevated



Source: Bloomberg, Macrobond, Westpac Economics

Outlook

We do not see a lasting US-Iran agreement until at least mid-2027. In the meantime, we assume there will not be a return to full-scale military intervention. However, periodic Iranian attacks on ships and facilities are expected to continue, as will the US blockade of Iranian exports, keeping a supply risk premium in place. We look for Brent futures to average around US$101/bbl in Q4, then ease gradually as demand from refiners and governments to rebuild stocks partly offsets recovering supply. As the premium fades and the market moves into surplus in late 2027, we forecast Brent at around US$77/bbl in Q4 2027, easing towards US$70/bbl in 2028 as Middle East production fully recovers.

Oil balance to gradually improve over 2027

Global oil supply is expected to rise by 4.0mb/d (4.0%) to 103.7mb/d in 2027, following a 6.1% fall in 2026. Most of this reflects a gradual recovery in Gulf output, with Houthi

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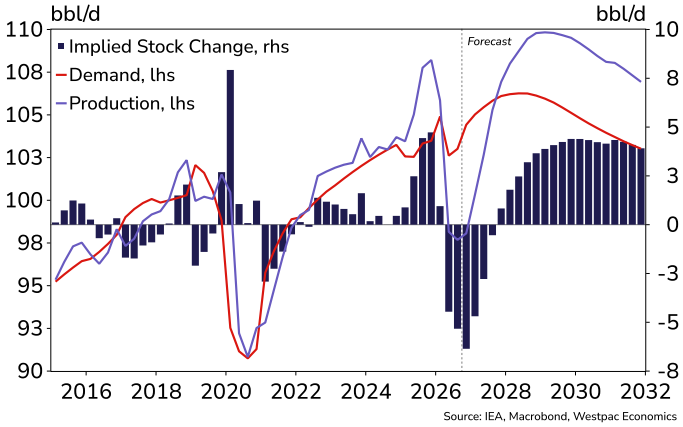
... and risks remain and while they are two sided ...

attacks on Red Sea shipping keeping Saudi production below its pre-conflict level until H2 2027. Meanwhile, we look for UAE production to continue to improve over 2027 and lift above pre-conflict levels from 2028, as it is no longer constrained by OPEC quotas. We do not expect a meaningful return of Iranian oil until an agreement is reached, and damage sustained during the conflict means production will take time to recover.

We expect global oil demand to be 103.7mb/d in 2026, 0.8mb/d (0.7%) higher than in 2025, and to rise a further 1.9mb/d (1.8%) to 105.6mb/d in 2027. Chinese crude imports will continue to recover over the coming months as refiners restock ahead of Lunar New Year, but we expect only a gradual return to pre-conflict levels, as the electrification of transport limits the recovery in Chinese demand. Globally, demand for diesel and jet fuel recovers as transport and aviation activity picks up, although some demand destruction and efficiency gains are expected to be permanent. The conflict has also highlighted strategic vulnerabilities, particularly across Asia, so we expect a push to rebuild reserves adding around 0.5% to demand over 2027.

Oil Production and Demand



Source: IEA, Macrobond, Westpac Economics

Fuel prices to ease more slowly than crude

Refined product supply is expected to recover more slowly than crude, with Gulf refinery runs not returning to pre-war levels until at least late 2027. Outside the Gulf, there has been some constructive news. The US has lifted sanctions on Russian diesel until April 2027, with Russia saying it will supply more than 4Mt over the coming months, while China has lifted its ban on refined product exports. However, we are cautious about how much this will add to the market in the short term. Much of the Russian supply is headed to the US and will depend on Russia's ability to restore refining and export capacity, while doubts remain over the Russia-Ukraine energy ceasefire announced by President Trump. China still manages exports through quotas, which are likely to increase only gradually as domestic stocks are rebuilt. Refinery runs should lift ahead of Lunar New Year, but any increase in exports will take time to reach regional markets.

With product supply recovering slowly and depleted inventories being rebuilt, Singapore gasoil crack is likely to stay above its long-run average even as Brent eases, narrowing from US$71/bbl in Q4 to US$27/bbl by Q4 2027. With Singapore Gas 10ppm prices, shipping and insurance costs to remain elevated and easing only gradually in 2027, we forecast Australian diesel to retail at an average of 274¢/L in Q4, easing to 200¢/L in Q4 2027, and petrol at 230¢/L and 187¢/L respectively.

LNG prices supported through 2027

Japanese LNG prices surged 15.2%mth in September, averaging US$25.4/MMBtu as supply disruptions in Qatar and its inability to divert exports around the Strait of Hormuz tightened markets and intensified competition between importers. While prices are now more than double pre-conflict levels, demand destruction across Asia is providing some offset to tight supply

Our Q4 forecast for Japanese LNG is now US$24.5/mmbtu and we expect the market to remain structurally tight, with supply recovery likely to be gradual and prices not returning to pre-conflict levels until around 2028. Still, Australia's domestic gas market should remain insulated, supported by the FY2027 Federal Budget's domestic gas reservation scheme, which requires exporters to supply the domestic market with the equivalent of up to 20% of gas exports. So far this year, despite the increase in LNG spot prices in Asia, Australian natural gas prices have remained under the $12 per GJ cap that has proposed by the Commonwealth government. We are expecting this to continue well into 2027.

Risks around our oil price outlook are two-sided

Talks are still ongoing in the background, with the US and Iran exchanging proposals to reopen the Strait, but the gap between them remains wide. The conflict has also expanded to the Red Sea and, with inventories sharply drawn down, there is a smaller buffer to absorb a further shock.

Using the Oxford Economics model, we assess an escalation scenario, where energy markets face a deeper and more persistent disruption as the conflict in the Middle East intensifies. In this case, Brent futures rise to around US$150/bbl in H1 2027, only dipping to below US$100/bbl in Q2 2028. We also consider an early resolution scenario, where shipping and Gulf supply normalise faster, returning Brent to near pre-conflict levels by end-2027.

Escalation scenario

In the escalation scenario we assume:

Talks stall and the conflict escalates: the gap between the US and Iran proves too wide and the US resumes strikes after the midterms. Iran responds with attacks on shipping and Gulf energy infrastructure, damaging export, storage and refining facilities. A lasting agreement is not reached until 2028.

Export routes are disrupted: more frequent attacks curtail dark crossings of the Strait and ship-to-ship transfers in the Gulf of Oman. Houthi attacks also cut off Saudi alternative routes, forcing Gulf producers to cut output and Middle East crude exports sharply lower. New routes and shipping arrangements eventually support a recovery in Gulf flows, but trade patterns take time to adjust.

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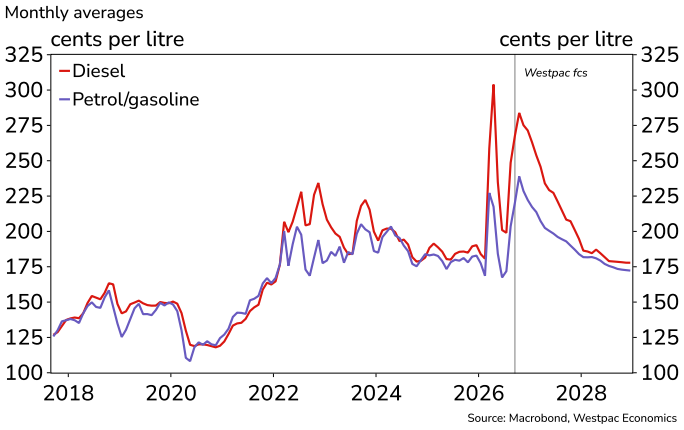
... the upside presents a more dramatic shift in prices

Product supply fails to recover: The Russia–Ukraine energy ceasefire does not hold and strikes on Russian refineries continue, limiting how much diesel Russia can export, even with the US sanctions waiver extended. China also reintroduces its export ban to protect domestic supply.

Oil prices lift to around US$150/bbl in H1 2027: With little buffer to absorb the supply loss, competition for physical delivery intensifies, with physical prices well above futures as prompt barrels remain scarce. Higher prices support supply growth outside OPEC and drive demand destruction, alongside further emergency stock releases, but a deeper and more prolonged global deficit remains. Brent stays above US$100/bbl until mid-2028 as governments rebuild reserves.

Australian pump prices for auto fuel



The Singapore gasoil crack widens and, with freight and insurance costs also higher, Australian diesel and petrol prices average around 247 cpl and 231 cpl at end 2027. Japanese LNG also remains elevated around US$23.2/MMBtu in Q4 2027, $9.1 above our baseline.

Early resolution scenario

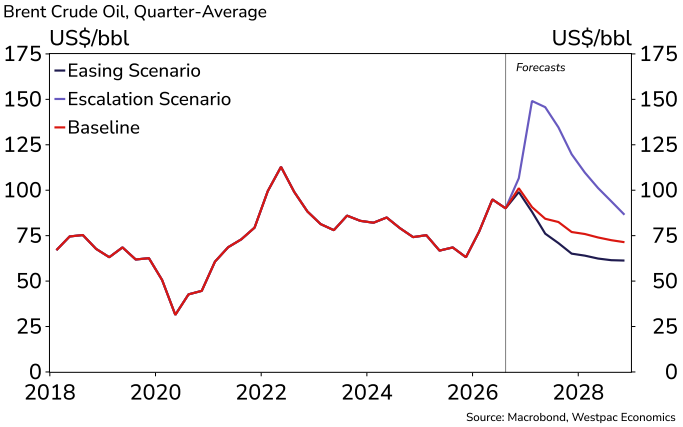
In the early resolution scenario we assume:

A durable agreement: The US and Iran agree terms to reopen the Strait by the end of year, and, unlike the June interim deal, the agreement holds, with progress towards a permanent settlement in early 2027. Attacks on shipping cease and the US blockade is lifted, allowing Iranian oil back into the market, initially from storage. Vessels are quickly repositioned to the Gulf, with freight and war-risk insurance easing from early 2027 rather than mid-year.

A faster recovery in supply: With export routes secure, Gulf production and damaged refinery and export capacity recover sooner than in the baseline. Outside the Gulf, the US extends its waiver on Russian diesel beyond April 2027 and China raises export quotas as domestic stocks are rebuilt.

Demand settles below pre-conflict trend: Some demand destruction and efficiency gains persist, particularly in China. With inventories rebuilding faster, government restocking is smaller and more gradual than in the baseline.

Oil Price Scenarios



Prices fall quickly, but restocking provides a floor: Brent Brent futures ease to around US$88/bbl in Q1 2027 as the premium for prompt physical barrels unwinds. As the market moves into balance, Brent eases to around US$65/bbl by Q4 2027, close to pre-conflict levels.

Refined product prices ease faster on lower freight costs with the Singapore gasoil crack narrowing. Australian diesel and petrol prices fall to around 182 cpl and 170 cpl by Q4 2027. Gas markets also ease, although damage to Qatar's gas facility means export capacity recovers gradually. Japanese LNG falls to around US$11.9/MMBtu by end-2027, $2.1 below our baseline.

Economic impact

In the escalation scenario, higher fuel costs flow through to transport, food and other energy-intensive goods such as plastics and fertilisers. Australian headline CPI remains above 4.5% for much of 2027, with underlying inflation remaining sticky at above 3% until late 2028. The RBA faces a difficult trade off between much higher inflation and a significant hit to activity, as households cut discretionary spending and businesses defer investment. Higher LNG export earnings provide only a moderate offset. In the early resolution scenario, headline inflation is around 0.1ppt below the baseline in 2027.

New Zealand is more exposed in both scenarios, with food and energy a larger share of its CPI and no offsetting energy exports. Headline inflation is around 1ppt higher in the escalation scenario in Q1 2027.

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‘Cost-Plus’ Costs

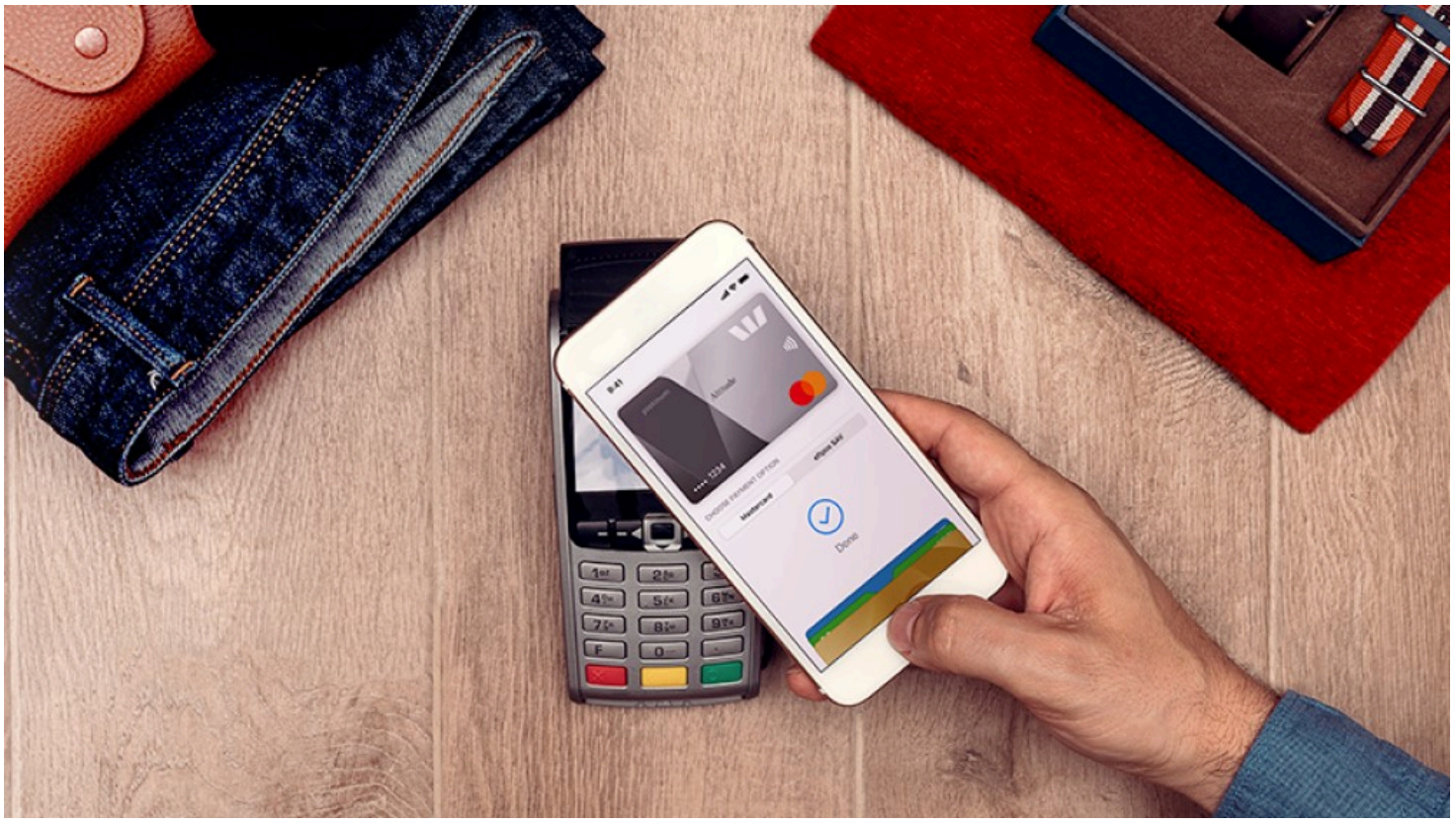
#australia #luciellis #labour #rba #productivity

By Luci Ellis
Chief Economist Westpac Group, Westpac

10:40 October 16 2026

Share

Entrenched expectations that cost increases can and should be passed on are precisely what tight monetary policy is leaning against, but only indirectly.



- The recent tendency of some firms to bundle into prices card-acceptance costs that had previously been surcharged – and then some, in some cases – demonstrates a ‘cost-plus’ approach to pricing.

To the extent they can pass on these costs through to prices, it suggests that demand was strong enough to bear it. The RBA will take this as a signal that demand is still outstripping supply.

- This is mostly a story about non-labour costs. Base wages growth has been moderate for some years, though the above-average increase in award wages this year will add a little. Not all firms will seek to pass these cost increases on, but some will, including because they have limited scope to absorb the cost increase into margins.
- A cost-plus mentality has drawbacks, including that it limits the imagination away from finding alternative, efficiency-improving responses. It also accords with recent academic research suggesting that firms form expectations and set prices according to what is happening in their own industry and experience, while putting little weight on economy-wide inflation or central bank credibility. This is an unpleasant message for many consumers or anyone in an interest-sensitive sector when supply shocks abound.

The recent banning of card surcharges has caused considerable upset this month, even though it is a reversion to historical and international practice. The card schemes used to impose “no-surcharge” rules, until the RBA banned these in 2003, and many other countries still have them. The turnaround represents the RBA throwing in the towel on its longstanding effort to use price incentives to get people to choose low-cost payment methods. Surcharges no longer made sense in a largely cashless economy. In any case, least-cost routing puts the power to choose lower-cost methods in the hands of the merchants who actually bear the cost.

In most cases, firms will simply roll the surcharge into the sticker price, leaving the total cost to the consumer unchanged, just more transparent. We also understand that some large retailers have absorbed the cost – if they were surcharging in the first place, which many did not. (The RBA estimated that around 16% of businesses imposed surcharges.) Inevitably, though, some firms have lifted their prices by more than any reasonable estimate of the merchant service fee that the surcharge was meant to cover. And because this is Australia, of course takeaway coffee has been the centre of consumer discontent.

Higher prices for one’s caffeine fix was unlikely to be the main instigator of this month’s slump in consumer sentiment. Petrol prices are typically more salient for cost-of-living concerns, and the before-and-after picture on the RBA announcement that week shows that higher interest rates also contributed to the decline.

In some senses, though, the post-surcharge prices and the RBA’s decisions *are* linked: businesses passing on increased costs into their own prices – and expecting to be able to make that increase stick – is exactly the kind of inflationary environment the RBA is leaning against. Firms have been subjected to an array of non-labour cost escalations, from pandemic-era supply chain issues to electricity to fuel to water to building supplies. And IT equipment prices, which for decades were a reliable source of cost reductions, are nowadays flat to up. Passing these costs on, leaving margins intact, demonstrates that demand is not weak enough to prevent this, and signals that firms’ inflationary expectations might be higher than the RBA desires. The RBA will take this as a sign that demand is still outstripping supply.

This is mostly a story about non-labour costs. While the Fair Work Commission did hand down an above-average increase in award wages this year and this was probably passed through to prices in hospitality and other labour-intensive sectors, base wages growth has been moderate for some years. Business surveys point to non-labour cost escalation being the real issue lately. This is why we were puzzled by the passage in the RBA minutes this week suggesting that cost pressures reported in business surveys might imply that the unemployment rate consistent with inflation at target (the NAIRU) has risen. It is a convenient belief, though, if unemployment is starting to overshoot your forecasts, as the latest labour market data have done compared with the RBA's August forecasts.

Not all firms can pass on cost increases. Most small firms do not have the market power, though coffee may be an exception because convenience induces a kind of local market power. And as noted above, large firms with everyday-low-price strategies will instead try to find savings elsewhere in the supply chain.

Still, some firms will seek to pass these cost increases on. Some observers might see this as corporate greed, but another way to frame this strategy is simply as a 'cost-plus' mentality. It turns out that cost-plus pricing is especially common in areas where regulators determine the price – water and other utilities being examples where costs and prices have escalated a lot in recent years.

There are limits to firms' ability to absorb costs, too. The failures of so many building firms a few years ago, squeezed between post-pandemic cost escalation, delivery delays and fixed-price contracts, were a case in point. Normally, there is a contractual response, and it need not end in insolvency. The episode does illustrate, however, that it is unrealistic to expect firms never to pass cost increases through to prices.

The cost-plus mentality does have its drawbacks. It limits the imagination away from finding responses that might save costs elsewhere to absorb the cost hike, and in so doing, boost efficiency. It was equally limiting in times of soft demand: in the years before the pandemic, many firms professed a belief that, because they couldn't get price increases to stick, they could not possibly accept cost increases, including in wages. Thus, Australia ended up with wages growth too low to be consistent with inflation at target, and the peculiar spectacle of a central bank governor complaining that wages growth was too low. And if labour remains cheap, why invest to economise on it and thereby boost productivity?

A cost-plus mentality also amplifies the pass-through of supply shocks. This is not quite the same thing as the 'inflation expectations' seen in standard economic models of inflation, but it is related. The stronger the tendency towards cost-plus pricing, the worse the inflation response to a supply shock. This is also true when inflation expectations are high, but the distinction matters. The recent academic literature includes some fascinating empirical evidence from New Zealand that suggests that beliefs about current and future overall inflation have little bearing on many firms' pricing decisions. As related work using French data shows, firms' pricing choices are shaped less by economy-wide inflation developments than by what is happening to *their* costs and in their industry.

That adds up to economy-wide behaviour that looks a lot like firms (in aggregate) setting prices according to expected inflation (in aggregate), but under the hood something quite different is going on. If firms' beliefs about future economy-wide inflation do not matter much in their pricing decisions, then neither does the credibility of a central bank's commitment to return inflation to target. The mechanism to get inflation down then must be simply to weaken demand enough to convince firms that cost-plus will not fly in the market. This is an unpleasant message for many consumers or anyone in an interest-sensitive sector when supply shocks abound. It does, however, imply that if supply shocks fade or even self-correct, so will high inflation. If and when that happens, tight monetary policy can be unwound.

The deeper question is whether cost-plus price dynamics can be reduced. That is more likely to be a question for regulators than for central banks.

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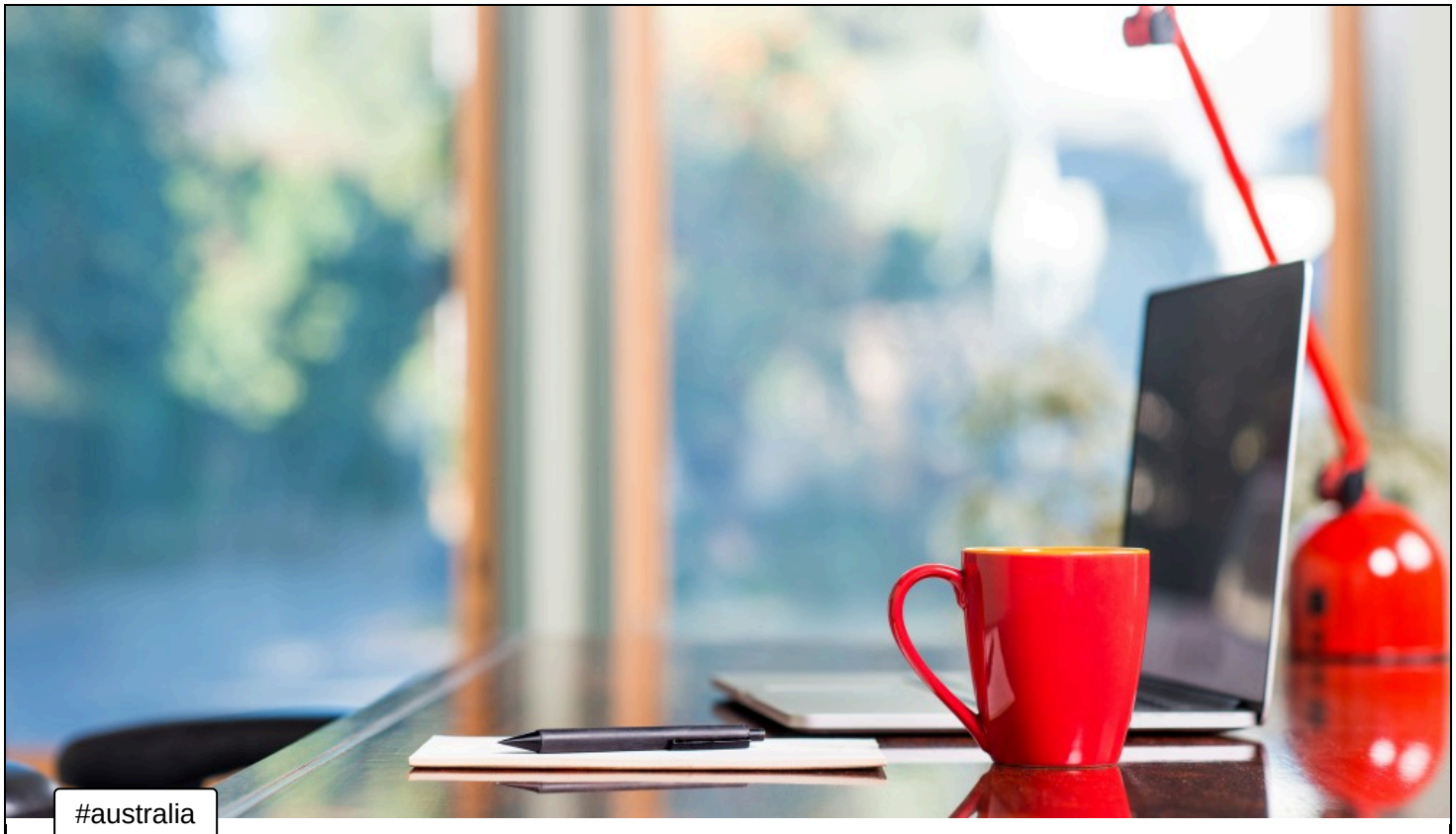

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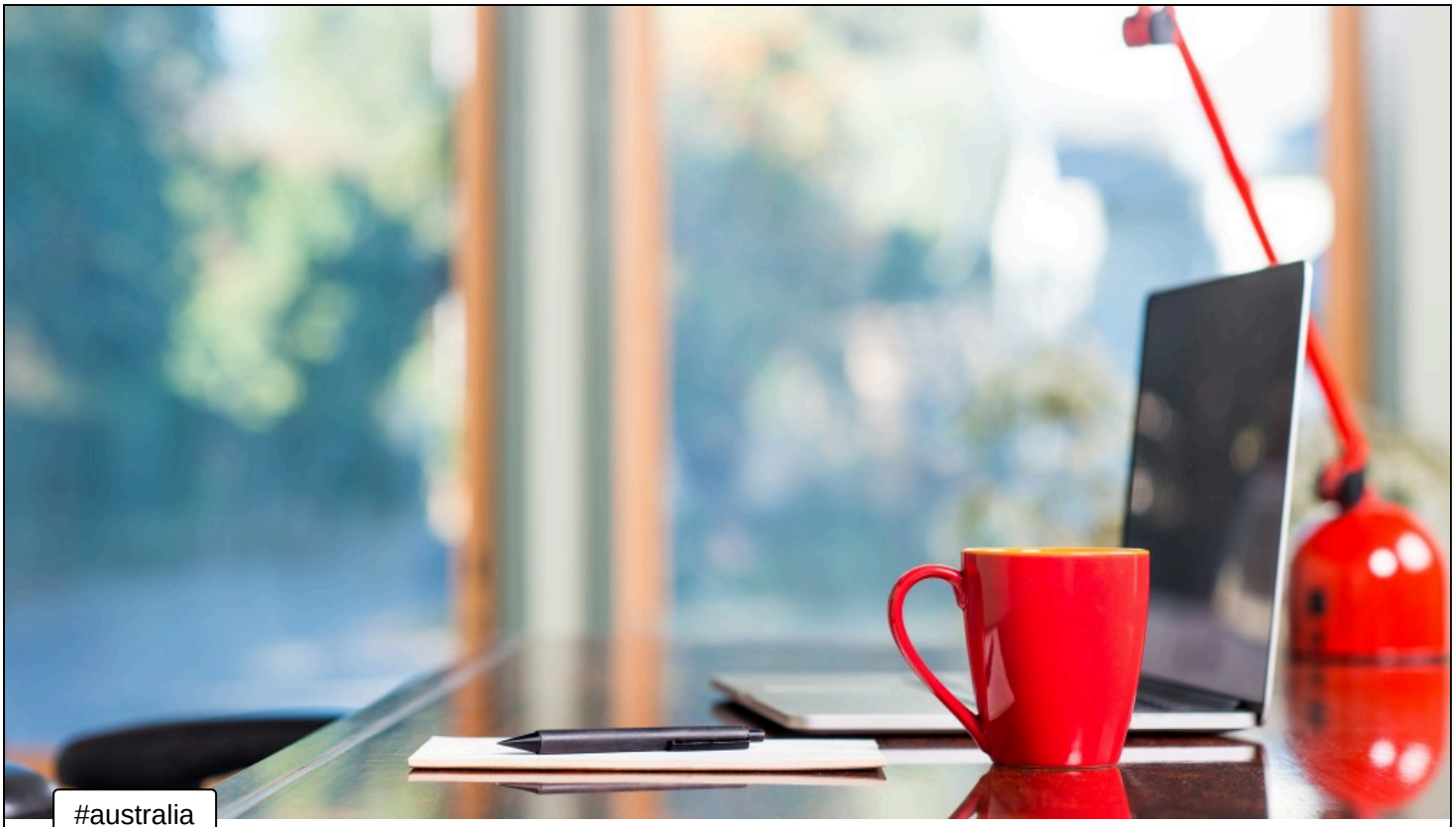

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14 October 2026

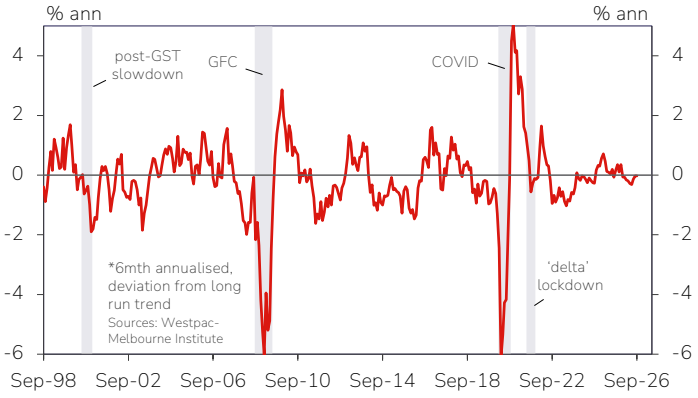
WESTPAC-MI LEADING INDEX BULLETIN

Latest insights into economic momentum

Key points

- Index growth rate holds at –0.03% in September, unchanged from August.
- Momentum is a touch below trend heading into late 2026/early 2027.
- Mixed detail suggests the economy lacking a clear direction.

Westpac-MI Leading Index



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Leading Index still tracking a touch below trend

Matthew Hassan
Head of Australian Macro-Forecasting

The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, held at –0.03% in September, unchanged from August.

The Leading Index continues to show moderately improved momentum compared to the middle of the year, with the latest reads pointing to growth holding at or slightly below trend heading into late 2026/early 2027. Growth appears to be stabilising at a slow pace rather than stalling. That said, both the latest fuel prices and the RBA's September interest rate increase are still working their way through to the economy with impacts likely to take some of the gloss off growth near term. Overall, Westpac expects annual growth to come in at 1.5% for calendar 2026, a below-trend result.

The Leading Index growth rate has firmed slightly over the last six months, rising from –0.16% back in March to –0.03% in September. The component detail shows mixed moves over the period. Four components have contributed more positively with reduced drags from the Westpac-Melbourne Institute Unemployment Expectations Index (adding +0.23ppts to the Index growth rate); the Westpac-Melbourne Institute Consumer Expectations Index (adding another +0.15ppts); and the S&P/ASX200 (+0.15ppts) combining with a modest lift in growth in US industrial production (adding +0.12ppts). These positives have been partially offset by modest drags from four previously stable components: dwelling approvals (–0.34ppts); monthly hours worked (–0.08ppts); commodity prices, measured in AUD terms (–0.07ppts) and the yield spread (–0.05ppts).

Overall, the component mix speaks to a lack of direction. Indeed, despite some large shocks over the last year, the Leading Index growth rate has been relatively contained since early 2025, holding in a narrow –0.3% to +0.5% range. This compares to history which, outside of the COVID and GFC shocks, has seen growth rates move between a much wider –1.9% to +1.6% range. Of course, the apparent stability, which is evident across all components of the index, may not last but for now it suggests the economy has been stuck in a bit of a holding pattern over the last two years.

The Westpac-Melbourne Institute Leading Index of Economic Activity is designed to assist in identifying turning points in the economy. The index combines variables that reflect different aspects of the economy into a single index that generally produces a more reliable cyclical indicator than any single component taken individually. The Leading Index of Economic Activity provides advance information on the state of the economy and gives early warnings of cyclical turning points.

***Please note that this will be the last Westpac press release for the monthly Westpac-Melbourne Institute Leading Index. We will continue to publish regular bulletin updates through our westpaciq.com.au website.*

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Week beginning 2 November 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA to hike in November, as inflation remains too high.

The Week That Was: Cliff Notes: the source and persistence of inflation.

Focus on New Zealand: A lesson to be learned.

For the week ahead:

Australia: RBA policy decision, Cotality home value index, household spending indicator, goods trade balance, dwelling approvals.

New Zealand: Q3 labour market surveys, building permits, LCI wage inflation.

China: Ratingdog manufacturing and services PMIs.

Euro Area: CPI, PPI, retail sales.

United Kingdom: BoE policy decision.

United States: nonfarm payrolls, enemployment rate, ISMs, UoM consumer Sentiment, trade balance.

Global: S&P Global manufacturing and services PMIs.

Information contained in this report current as at 30 October 2026.

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RBA to hike in November, as inflation remains too high

Luci Ellis
Chief Economist, Westpac Group

We reaffirm our expectation that the RBA Monetary Policy Board will again increase the cash rate at the November meeting. Today's inflation data and Senate testimony are the final pieces of information before the RBA Monetary Policy Board (MPB) meets next week. Recent data and communication have consistently pointed to the staff recommending an increase in the cash rate. We expect a majority of the external members to agree, though some members might dissent.

Inflation is above target, and above what the RBA's August forecasts implied. Some upside risks identified in August have partially materialised, particularly energy prices. The RBA is especially worried that above-target inflation will become embedded in people's expectations and pricing decisions. It will therefore deem that further policy tightening is needed.

The RBA has made it clear that it is down-weighting the recent easing in the labour market, even though this was more than it forecast. In today's opening statement to the Senate hearing, the Governor said, "Despite the unemployment rate recently rising a little more than we had expected, the labour market seems a little tighter than we had previously judged. The evidence for this is elevated underlying inflationary pressures. That is, when we exclude some of the large volatile price movements such as fuel we see inflationary pressure in areas that reflect domestic demand for goods and services." In the Senate, the Governor also said that they were not worried about the current pace of increase in unemployment.

Of course, this takes no account of the lagged relationship between the labour market and inflation. The argument is that if that measure of inflation last quarter was too high, it must therefore be that the labour market is too tight. Nor does it allow sufficiently for non-labour cost shocks, which business surveys indicate are the real issue. But whether this judgement by the RBA turns out to be right or not will not be revealed for some time, certainly not soon enough to change its mind before next week. And while some MPB members might have a more optimistic view about labour supply trends than the RBA staff, they are likely to be a minority.

The RBA is also relatively sanguine about the current downturn in the housing market. The Governor and other RBA officials are at pains to highlight that they do not target housing prices; nor should they. The RBA considers that most, though not all, of the current downswing is an expected effect of tighter monetary policy.

The question then turns to the future beyond November. While we still expect a hawkish tone in the RBA's communication until inflation has clearly turned down, further hikes beyond next week are not currently our base case. Clearly, though, the risks of another hike – most likely in February – have increased. Our current forecast for Q4 inflation would seem to give them cover for such a move. We note, however, that home-building costs in the CPI have undershot expectations in the past couple of months. This might imply a different view of the extent of domestic demand pressures than the RBA currently believes.

> **"We reaffirm our expectation that the RBA Monetary Policy Board will again increase the cash rate at the November meeting"**

However, a lot can happen in three months, as we have just seen. The conflict in the Middle East could escalate further, lifting energy prices beyond our current base case. It could also go the other way, though, if the US and Iran manage to strike a post-midterm-election deal. And as their counterparts in New Zealand highlighted today, one risk is that the global economy weakens suddenly. In the post-meeting statement, the RBNZ Monetary Policy Committee said, "the world economy could tip abruptly into a downturn causing weaker inflation over the medium term." This risk was something the RBNZ MPC thought could crystallise in the next six weeks. Whether on this timetable or something more drawn out, this possibility does not appear to be on the RBA's radar. Nor is it our base case, though we have previously worried that the AI financing boom could hit a wall quite suddenly.

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Cliff Notes: the source and persistence of inflation

Elliot Clarke, Head of International Economics
Ryan Wells, Economist
Illiana Jain, Economist

In Australia this week, all eyes were on the September CPI. Headline inflation rose 0.8% (4.3%yr) in the month, largely owing to a 9.4% jump in fuel prices and a seasonal surge in domestic and international holiday travel & accommodation. The underlying inflation pulse also proved hotter than anticipated for Q3 overall, up 1.0% (3.7%yr).

While some parts of the basket are seeing disinflation – housing in particular looks to be cooling faster than expected as builders lure sales with discounts – other components are still showing persistence. Highlighting this is market services ex volatiles, which the RBA watches closely as an indicator of price pressures related to domestic capacity. In Q3, this metric rose 1.2% (3.2%yr), and the monthly detail points to momentum holding up – in line with our expectations for another chunky read in Q4.

With inflation running well above the RBA's August forecasts, and some of the energy risks flagged then materialising, we continue to expect the Monetary Policy Board will deliver a 25bp rate hike to 4.85% in November. Beyond November, another rate hike in February is a risk, but is not currently part of our base case.

Across the Tasman, the RBNZ this week surprised market expectations for a 25bp rate hike, deciding instead to wait for further information before taking the next step with policy. The decision was made 4:3, with the Governor in the 'on hold' camp. A 25bp hike in December to 3.00% and further tightening in 2027 (Westpac NZ forecasts a peak of 4.00% in September) seems probable; however, each decision will depend on fuel prices, inflation expectations and evidence of second-round pricing pressures, along with the evolution of global economic risks.

In the US, the FOMC also held rates steady at its October meeting. Based on prior comments by key members, the decision was not a surprise, and neither were Governor Cook and Cleveland Fed President Hammack's dissents in favour of a 25bp hike. The Committee remains positive on economic activity, characterising it in the statement as "expanding at a strong pace" (an upgrade from "solid" in September). Chair Warsh also subsequently emphasised the breadth of economic growth outside of tech-related investment (evinced by Q3 GDP the day after; see below).

The Committee refrained from spotlighting key price risks in the statement. However, inflation "remains elevated" and the FOMC are determined to achieve a "timely" and sustainable return of annual inflation to 2.0%yr after 6 years above target. This guidance and the "accumulation of more information will help the Committee determine the policy stance" suggests another 25bp hike is likely in December. Thereafter, the FOMC will remain attentive to any broadening in inflation and related risks through 2027; although, in the absence of another shock, we expect them to remain on hold.

The Q3 GDP report certainly supported Chair Warsh's view on the breadth of growth, the 3.4% annualised gain for GDP benefitting from a 3.8% annualised increase in household consumption, 12.7% growth in non-residential investment as well as a robust increase in government spending. Notably though, the contribution from business investment was effectively offset by net exports' drag given most of the componentry related to AI infrastructure investment is imported. This is not to say that US firms won't benefit from the investment once complete, but simply that much of the initial return goes to the foreign businesses who provide the necessary capital equipment.

On consumption, the monthly PCE data implies downside risks remain for the consumer, the increase in nominal spending seen in the month requiring dissaving and, on a real basis, consumption flat in the month following a 0.5% gain in August. Cost-of-living pressures and uncertainty over the outlook is expected to see household consumption growth average around trend over the coming year, albeit with considerable volatility quarter to quarter. This should see PCE inflation slow back towards its 2.0%yr medium-term target as the FOMC desires, from 3.6%yr and 3.1%yr for the headline and core measures respectively as of September.

Across the Atlantic, the ECB also left its key policy rates unchanged in October. Of note from the meeting communications, energy prices continue to pose upside risks for inflation, but also downside risks for growth. "While the full effects of the energy shock are still unfolding, underlying inflation has remained broadly stable so far and wages do not show a material response". "Financing conditions have [also] tightened", "which is likely to weigh on inflation and growth". In the press conference, President Lagarde noted that, between the October and December meetings, a significant amount of new economic information will be released, allowing forecasts and risks assessments to be tested.

Based on the October meeting communications, we continue to expect a rate hike at the December meeting but believe this will be prove to be the last hike of the cycle. Note though, the spectrum of risks Europe faces is broad and skewed towards inflation in the near term, hence the Council's guidance will remain hawkish. President Lagarde also announced today that she will step down as ECB President in February ahead of the scheduled conclusion of her term next October.

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A lesson to be learned

Kelly Eckhold
Chief Economist NZ

The RBNZ delivered the biggest shock to markets outside of a crisis period in over 20 years this week by leaving the OCR unchanged. Markets had priced around a 98% probability of a 25bp increase, and all major domestic analysts concurred. After the CPI data the week earlier, we belatedly shifted our call to a hike despite plenty of good arguments in favour of the RBNZ sticking to its plan to pause. With the benefit of hindsight, too much weight was put on market pricing and short-term inflation drivers and not enough on the medium term. That's an important lesson to be learned.

The highlight of an action-packed week of central banking news was the unexpected decision of the RBNZ to leave the OCR at 2.75%, despite near unanimous analyst expectations and market pricing in favour of a 25bp hike. We had shifted sides from a hold to a hike just a week earlier, in the wake of a CPI outcome that was weaker than RBNZ expectations on the surface, but with some evidence of firm core inflation undertones.

While we clearly cannot claim to have gotten this call right, we always thought that the outcome was not the "done deal" that markets had priced in. For example, in our preview of the meeting we noted:

"We still think a more measured tightening approach is appropriate from here. Raising the OCR at every meeting until something 'breaks' could be a risky strategy if downside growth concerns crystalise."

And we saw a vote on the decision as very possible:

"A vote seems very possible as differences in view will likely remain among the MPC about how much the medium-term inflation outlook has really shifted in recent weeks."

The 4:3 vote that was ultimately required to bring the MPC to a decision is a testament to just how finely balanced the decision was. We had thought that the hike was perhaps around a 60-70% probability whereas the Record of Meeting implies something more like a 50:50 call.

In the final analysis, the RBNZ has merely followed through on the pause it signalled for this meeting back in the September Monetary Policy Statement. All MPC members continue to see a case for a higher OCR in time, but there are different views around the timing of those increases. Governor Breman noted that further interest rate increases remain likely in coming meetings but are conditional on the whether the outlook evolves in line with expectations. Indeed, the Governor noted in later comments to press that a December hike was a "high" probability and that the outlook remains for OCR "hikes" as the base case. This suggests that the RBNZ's view on the terminal OCR hasn't really shifted down from the 3.25% level presented back in September. And it may be reasonable to speculate, subject to data evolving as the RBNZ expects, that a modest upgrade in those forward OCR forecasts could be in the offing.

So how did we all get this so wrong? This outcome was a real shock given the historical record shows that over the history of the OCR the market has without exception correctly predicted a 25bp hike when the implied probability built into markets was as high as it was. Clearly some recalibration of the model is required. We can identify two key areas where lessons should be learned: too much weight on market pricing; and not enough on drivers of medium-term inflation.

Market pricing did not adequately reflect the MPC's desire to shift strategy.

Firstly, and most importantly, we put too much weight on market pricing and too little on the RBNZ's clearly stated strategy of preferring a pause at the October meeting to assess the impact of interest rate increases already done. In our Preview we incorrectly surmised that silence equated to assent and that market pricing of a hike would make an OCR hike the less disruptive option – especially given the sense that a hike to 3% was still likely in December as implied by the RBNZ's September forecasts. From a macroeconomic perspective, raising rates six weeks early is of little consequence.

This logic, as sound as it was, was wrong, as market pricing did not reflect a large enough change in the medium-term inflation outlook to justify a change in RBNZ strategy. Markets at least partially held the view, based on a long history of revealed RBNZ preference, that the RBNZ keeps moving the OCR in the same direction until confronted with compelling evidence that a halt to the cycle is in prospect. That operating approach may be under review now.

It's not uncommon for other central banks to take breaks while amid an interest rate cycle to gather information on the impact of work already done before moving forward. This week's pause by the FOMC in the face of a fierce set of monthly inflation readings in the last month is an example. Pausing does not need to imply stopping or reversing. Indeed, taking a more measured approach could prove to be solid risk management – as we identified in our MPR preview note. Risk management concerns probably should have greater prominence in this cycle given we are seeing a measure of

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supply side cost shocks that might not be persistent. The Statement of Record contains a wealth of material related to these sorts of uncertainties and concerns. Markets were not listening to these concerns, however.

An insufficient focus on drivers of medium-term inflation

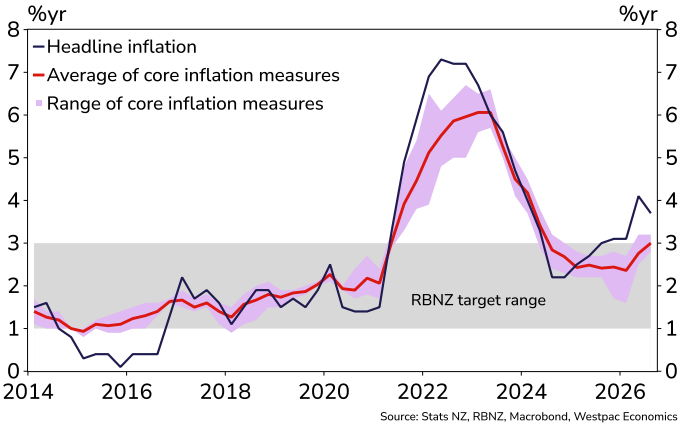
Markets were not listening to the alarm bells because there was a heavy focus on factors that may be more relevant to the short-term inflation outlook than medium-term inflation. Top of mind were the rise in energy prices and fall in the exchange rate. Both factors look set to significantly boost the short-term inflation outlook – for example we currently forecast December quarter annual inflation of 4.3%, with upside risks from there if fuel prices do not fall over the balance of the quarter. However, our analysis of the data surprises suggested no significant shift to the implied RBNZ OCR track one year ahead. Upward pressure on the future OCR projection from the lower exchange rate and stronger GDP was balanced by higher long term interest rates and the lower Q3 CPI outcome. Higher energy prices were not seen as a key factor as they don't impact medium term inflation unless inflation expectations are dislodged (no evidence was found of that since September) or if the increase in energy prices is viewed as persistent (futures markets continue to imply lower forward energy prices, although MPC hawks clearly see risks of persistent inflation coming from supply shocks).

The RBNZ's communications at the MPR and in its aftermath are directing markets to pay more attention to medium-term inflation drivers in the future. Hence the references to the strength of demand and inflation expectations. The risk to the RBNZ's inflation forecasts are to the upside, and hence we might reasonably expect some upgrade of the OCR profile when we see new forecasts in December. But it's not a done deal by any means as data and events between now and then will dictate what stance the RBNZ takes. This week's business and consumer confidence reports do not seem to present many smoking guns of imminent second-round inflation pressures, even though business and consumer sentiment seems to be taking the higher oil price in its stride.

Is core inflation high enough yet to shift the strategy?

Another interesting point made by the Governor was that the markets (and analysts) misinterpreted how the September quarter CPI was read by the RBNZ, which evidently took greater comfort from the outcome. Governor Breman has noted she wished the RBNZ has protocols in place to communicate with markets the RBNZ's view on that CPI data given that it seems to have been a factor that figured importantly in at least some MPC member's thinking. Headline inflation was lower than the RBNZ expected and importantly the core inflation measures, that we had thought might have been of concern to the MPC, do not yet seem to have been at a level sufficient to shift the RBNZ from its pause-then-hike strategy. We remain sceptical that a 3.25% OCR will prove sufficient to bring core inflation down significantly. But core inflation appears to need to lift for the MPC to become more agitated. It likely will lift, but we won't get more data on that until January 2027.

Headline and core inflation measures



Source: Stats NZ, RBNZ, Macrobond, Westpac Economics

December hike likely but not a done deal

We expect a further 25bp hike at this year's final meeting on 9 December and then 25bp increases in the February and March 2027 meetings, followed by a slower pace of increases at the June and September Monetary Policy Statement meetings. Our forecast of a peak OCR of 4% from September 2027 has remained unchanged throughout, as has our assessment of a 3.75% neutral OCR.

That said, in the current uncertain environment, it goes without saying that the evolution of monetary policy will depend on how both global events and key data evolve. Therefore, as the RBNZ noted itself, the exact timing of the tightening profile is highly uncertain and even the tightening we forecast at the December meeting should not be regarded as a done deal.

Looking ahead, the 'hardest' data to come will be the Q3 labour market surveys where we anticipate a small fall in the unemployment rate to 5.5% but still moderate wage pressures. The December quarter RBNZ inflation expectations surveys will be of significant interest (17, 20 and 24 November) for MPC members looking for persistent inflation impacts. The usual run of monthly activity and selected prices indicators will be useful in narrowing down Q4 growth and inflation momentum. And finally, the MPC's focus on external risks will imply keeping an eye on global fixed income, equity and credit markets for signs of imminent calamity.

Finally, November 7 is the general election. A close race is envisaged that could impact on the RBNZ's mandate. We will be offering client briefings on Monday 9 November and Tuesday 10 November to outline the immediate implications of the election outcome for markets and the economy. Contact your relationship manager for details.

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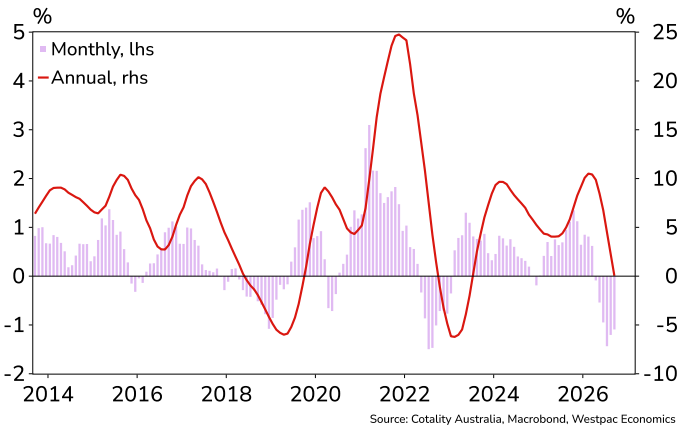
AUS: Oct Cotality Home Value Index (%mth)

Nov 2, Last: –1.1, Westpac f/c: –1.3

The Cotality home value index – covering all of Australia – fell 1.1% in Sep with downward revisions shaving a further 0.4% off prices. The correction has now seen prices decline 5.2% from their March peak, annual growth stalling flat. Cotality reported 97% of capital city suburbs experienced falls over the three months to September.

The October update is set to be another weak one with an added hit coming from the RBA's interest rate rise in late September. The daily measure (covering the five major capital cities rather than all of Australia) is tracking a 1.5% decline vs 1.3% in September. The detail points to slightly bigger falls in Sydney, Brisbane and Perth with Melbourne continuing to record more moderate declines. Note that seasonality is usually a slight positive in the October month.

Dwelling price correction deepening



Source: Cotality Australia, Macrobond, Westpac Economics

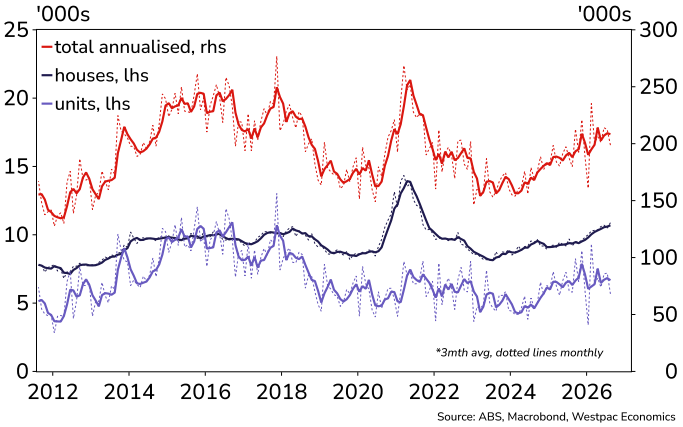
AUS: Sep Dwelling Approvals (%mth)

Nov 2, Last: –6.1, Westpac f/c: –7.0
Market f/c: 2.0, Range: –7.0 to 5.0

Dwelling approvals fell 6.1%mth in August, with the annual pace easing slightly to 10.3%yr. Weakness centred on unit approvals with private detached house approvals actually posting a solid rebound from a July month fall, touching a new cycle high (up 18.4%yr).

We expect the September update to show a much clearer weakening. New construction is coming under pressure from multiple fronts: interest rate rises; a sharp downturn in established markets; and rising costs – with a great deal of uncertainty around each of these. New home sales have fell sharply through the September quarter and we expect to see detached house approvals show something similar. Unit approvals are coming off a weak read and should be more stable. Total approvals are expected to print 7% lower.

Building approvals



Source: ABS, Macrobond, Westpac Economics

AUS: RBA Policy Decision (%)

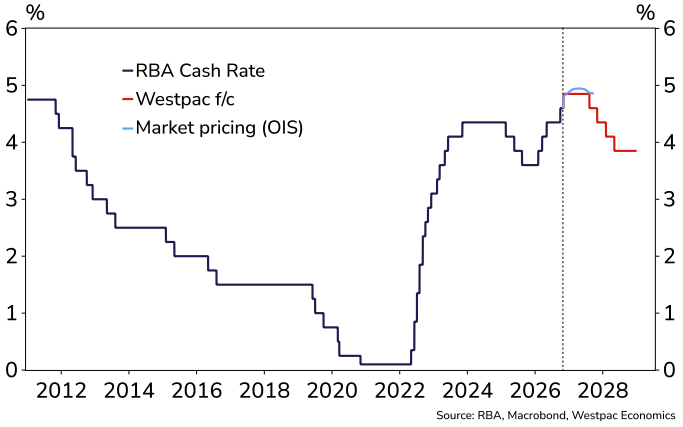
Nov 3, Last: 4.60, Westpac f/c: 4.85
Market f/c: 4.85, Range: 4.60 to 4.85

We reaffirm our expectation that the RBA Monetary Policy Board (MPB) will decide to raise the cash rate by 25bps to 4.85% at the November meeting.

Inflation is above target, and above what the RBA's August forecasts implied. Some upside risks identified in August have partially materialised, particularly energy prices. The RBA is especially worried that above-target inflation will become embedded in people's expectations and pricing decisions.

Recent data and communication have consistently pointed to the RBA staff recommending an increase in the cash rate. We expect a majority of the external board members to agree, though some members might dissent.

RBA to raise cash rate by 25bps in November



Source: RBA, Macrobond, Westpac Economics

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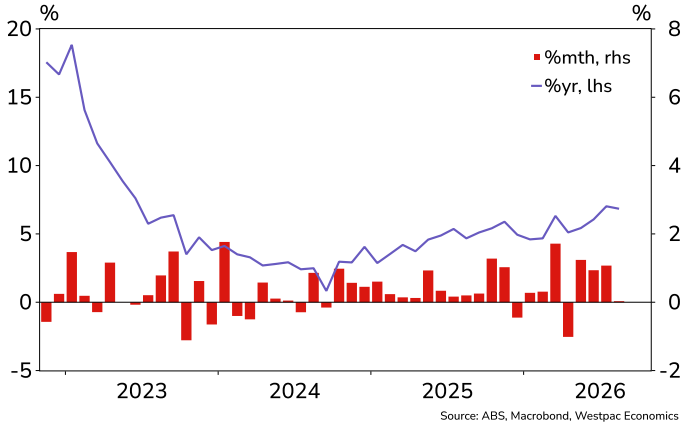
AUS: Sep Household Spending Indicator (%mth)

Nov 4, Last: flat, Westpac f/c: –0.5
Market f/c: 0.2, Range: –0.5 to 0.8

The household spending indicator was unchanged in August, annual growth easing to 6.8%yr. The detail showed a modest rotation away from discretionary categories towards non-discretionary.

Our **Westpac-DataX Card Tracker** showed a decent rise in the September month although new vehicle sales (which are not covered by the tracker but are in scope for the spending indicator) look to have posted a decline. Overall we expect the indicator to show a 0.5% decline in the September month. Note that the update with also include Q3 estimates of real spending – we expect this to show a 0.6%qtr gain with prices up 1.2%qtr and nominal spend up 1.8%qtr.

Monthly household spending indicator



Source: ABS, Macrobond, Westpac Economics

AUS: Sep Goods Trade Balance ($bn)

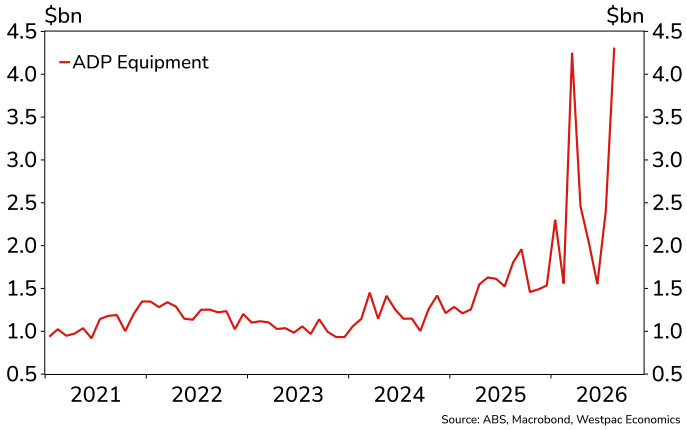
Nov 5, Last: 0.5, Westpac f/c: 2.0
Market f/c: 1.0, Range: –1.0 to 2.5

Australia's goods trade surplus narrowed to $0.5bn in August. Recently, the trade balance has been oscillating between small deficits and surpluses with significant volatility in the underlying trade mix.

Swings in non-monetary gold, fuel and cars have all played a large role, but the most eye-catching result from Aug was the 79% surge in automatic data processing equipment (ADP) imports, which captures the investment upswing related to data centres.

For September, we expect an increase in the surplus as the ADP import surge unwinds, though we are likely in store for ongoing monthly volatility in trade for some time.

ADP equipment imports



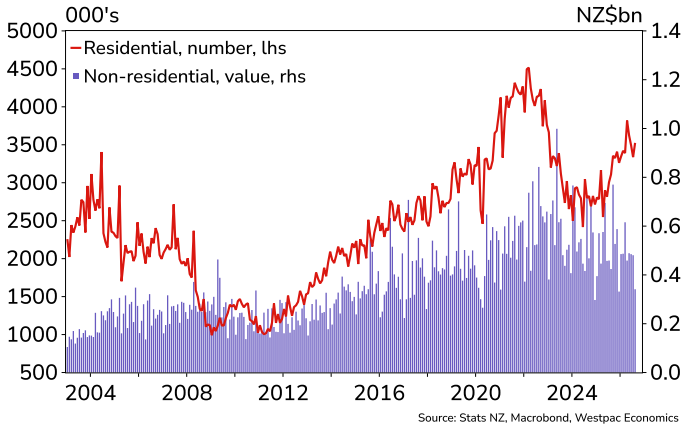
Source: ABS, Macrobond, Westpac Economics

NZ: Sep Building Consents (%mth)

Nov 3, Last: +5.6%, Westpac f/c: Flat

Annual residential building consent numbers are currently at a three year high, and we expect that they will remain firm in the September update. However, monthly consent numbers are showing signs of peaking, with falls in three of the last four months. We're watching to see if that trend has continued, particularly given the ongoing softness in the housing market. In the non-residential space, we've seen softness in the number of retail and office developments, but greater resilience in the industrial and storage segment.

NZ building consents



Source: Stats NZ, Macrobond, Westpac Economics

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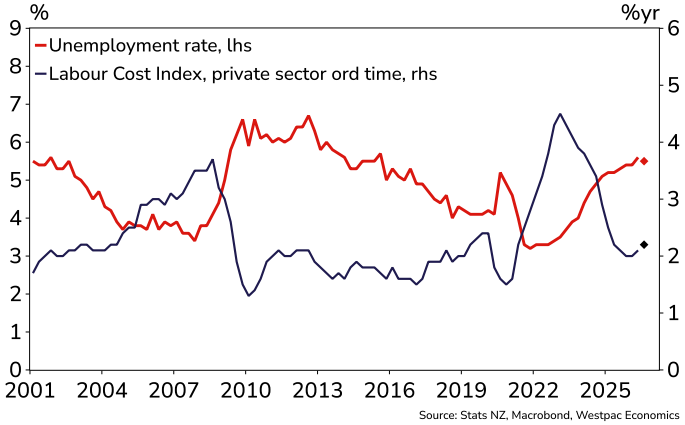
NZ: Q3 Labour Market Surveys (%)

Nov 4, Unemployment Rate, Last: 5.6, Westpac f/c: 5.5
LCI Private Sector, Last: 0.7, Westpac f/c: 0.5

We expect the unemployment rate to edge down to 5.5% for the September quarter. Job numbers have been gaining momentum in recent months, and now look to be enough to outstrip population growth. However, the existing slack in the labour market is likely to be keeping wage growth subdued, despite cost-of-living pressures on workers. Our forecasts are a little more positive overall than what the RBNZ assumed in its September MPS forecasts.

Labour market surveys



Source: Stats NZ, Macrobond, Westpac Economics

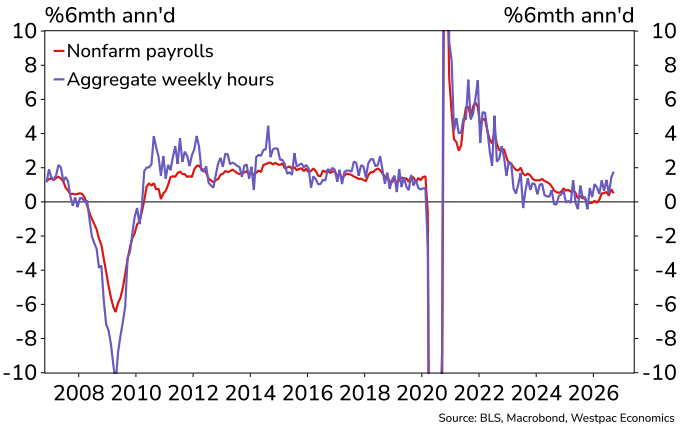
US: Oct Employment Report

Nov 6, Payrolls, Last: 29k, Market f/c: 55k, WBC f/c: 75k
Nov 6, U/E rate, Last: 4.2%, Market f/c: 4.2%, WBC f/c: 4.3%

Nonfarm payrolls have shown considerable volatility of late, July's -10k followed by a 133k gain in August then a 29k increase in September. However, the 3-month average of 51k is likely a good guide on underlying momentum. In October, we look for a 75k gain, although we expect some of that increase to be offset by a modest reduction to the prior two months, keeping the 3-month average around 50k.

While the participation rate has lifted in recent months, it remains well below the average of 2025. Month-to-month, a change either way is not guaranteed, but it seems likely that the participation rate will trend higher in coming months. We therefore expect the unemployment rate to edge up.

Labour demand resilient



Source: BLS, Macrobond, Westpac Economics

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What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 02							
Aus	Oct	Cotality Home Value Index	%mth	–1.1	–	–1.3	Interest rate rises are adding downward pressure.
	Oct	MI Inflation Gauge	%ann	4.8	–	–	Provides a reliable directional signal for monthly inflation.
	Sep	Dwelling Approvals	%mth	–6.1	2.0	–7.0	New construction is under pressure from mutlipel fronts.
Chn	Oct	RatingDog Manufacturing PMI	index	52.1	52.0	–	A bright spot as low borrowing rates support manufacturers.
US	Oct	ISM Manufacturing	index	54.5	54.7	–	Underlying momentum solid despite brewing cost pressures.
	Sep	Construction Spending	%mth	0.9	0.5	–	Data centres supporting as higher rates hit housing demand.
		Fedspeak	–	–	–	–	Goolsbee.
World	Oct	S&P Global Manufacturing PMI	index	–	–	–	Final estimate for Japan, Europe, UK and US.
Tues 03							
Aus	Nov	RBA Policy Decision	%	4.60	4.85	4.85	RBA worried above–target inflation could become entrenched.
NZ	Sep	Building Permits	%mth	5.6	–	Flat	Annual total elevated, maybe close to a peak.
US	Sep	JOLTS Job Openings	000s	7079	7100	–	Vacancies to unemployed almost in balance.
	Sep	Factory Orders	%mth	0.1	1.1	–	Core orders running stronger than the headline figure.
	Sep	Durable Goods Orders	%mth	1.8	–	–	Final estimate.
Wed 04							
Aus	Sep	Household Spending Indicator	%mth	0.0	0.2	–0.5	Softer new vehicles sales to act as a drag.
NZ	Q3	Employment	%qtr	0.5	0.4	0.5	Jobs growth is gradually picking up momentum...
	Q3	Unemployment Rate	%	5.6	5.5	5.5	...potentially enough to tip the unemployment rate lower..
	Q3	LCI Wage Inflation (Pvte, Ord Time)	%qtr	0.7	0.5	0.5	...though existing slack will keep wage pressures subdued.
	Oct	ANZ Commodity Prices	%mth	0.6	–	–1.0	Pullback in beef prices, some gains in dairy.
Chn	Oct	RatingDog Services PMI	index	51.6	51.4	–	Growth accelerated for second consecutive month.
Eur	Oct	CPI	%ann	3.8	3.9	3.9	The ECB sees effects of the energy shock as still unfolding.
US	Sep	Trade Balance	US$bn	–105.6	–107.9	–	Capital goods imports driving the widening deficit.
	Oct	ISM Services	index	54.9	54.7	–	Higher costs the key pressure point among surveyed firms.
World	Oct	S&P Global Services PMI	index	–	–	–	Final estimate for Europe, UK and US.
Thur 05							
Aus	Sep	Goods Trade Balance	$bn	0.5	1.0	2.0	Unwind in data centre–related equipment import surge.
		RBA Deputy Governor	–	–	–	–	Hauser speaking in Canberra, 5:45pm AEDT.
Eur	Sep	PPI	%ann	8.2	–	–	Energy accounting for near 60% of the annual increase.
UK	Nov	BoE Policy Decision	%	3.75	4.00	–	Economic activity proving resilient, price pressures mount.
US		Initial Jobless Claims	000s	194	–	–	Trending lower.
		Fedspeak	–	–	–	–	Hammack, Barkin.
Fri 06							
Eur	Sep	Retail Sales	%mth	0.1	–	–	Weak demand for consumer credit a headwind.
US	Oct	Nonfarm Payrolls	000s	29	55	–	The FOMC views the labour market as both resilient and ...
	Oct	Average Hourly Earnings	%mth	0.1	0.3	–	... broadly in balance. Continued gains in tech infrastructure ...
	Oct	Unemployment Rate	%	4.2	4.2	–	... is likely to support outcomes over the coming year and ...
	Nov	Uni. Of Michigan Sentiment	index	48.0	47.3	–	... precluding a broadening of weakness in consumer spending.
	Sep	Consumer Credit	%bn	8.3	12.0	–	Softer–than–expected in September; some firming anticipated.
		Fedspeak	–	–	–	–	Logan, Williams.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (30 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.60	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.90	4.95	4.95	4.80	4.55	4.30	4.10	3.95	3.95	3.95
3 Year Swap	4.82	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
3 Year Bond	4.81	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
10 Year Bond	5.13	5.20	5.15	5.10	5.05	5.05	5.00	5.00	5.00	5.00
10 Year Spread to US (bps)	20	15	15	15	15	10	0	–5	–10	–15
United States										
Fed Funds	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
US 10 Year Bond	4.92	5.05	5.00	4.95	4.90	4.95	5.00	5.05	5.10	5.15
New Zealand										
Cash	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	3.16	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.96	4.10	4.20	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.85	5.00	5.00	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	–10	–5	0	5	15	10	5	0	–5	–10

Exchange rate forecasts

	Latest (30 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
AUD/USD	0.7039	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5633	0.56	0.58	0.61	0.63	0.64	0.64	0.64	0.65	0.65
USD/JPY	157.47	156	154	153	152	151	150	149	148	146
EUR/USD	1.1187	1.14	1.16	1.18	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3386	1.34	1.35	1.36	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.6587	6.65	t6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2479	1.27	1.24	1.20	1.16	1.15	1.13	1.12	1.12	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.4	0.5	0.2	0.4	0.3	0.4	0.5	–	–	–	–
%yr end	2.5	2.1	2.2	1.5	1.6	1.5	1.4	1.6	2.6	1.5	1.6	2.4
Unemployment rate %	4.2	4.4	4.6	4.7	4.7	4.8	4.8	4.7	4.3	4.7	4.7	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.2	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.3	1.3	0.4	0.5	1.0	0.5	–	–	–	–
%yr end	4.1	3.9	3.9	4.6	3.6	3.4	3.2	2.4	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	0.8	0.8	1.0	0.9	0.7	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.6	3.7	3.5	3.3	3.3	3.1	2.9	3.3	3.5	2.9	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.9	0.2	0.6	0.7	0.9	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.9	1.7	2.1	2.4	2.4	2.5	2.6	2.6	0.3	2.4	2.6	3.0
Unemployment rate %	5.4	5.6	5.5	5.5	5.4	5.3	5.2	5.0	5.4	5.5	5.0	4.4
CPI %qtr	0.9	1.5	0.7	1.2	0.3	0.4	0.5	0.2	–	–	–	–
Annual change	3.1	4.1	3.7	4.3	3.7	2.5	2.3	1.4	3.1	4.3	1.4	1.9

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28 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets will have plenty to digest today, with Australian CPI and policy decisions from the RBNZ, BoC and FOMC all due.

Global equities were generally stronger, with AI-related stocks supporting gains in the US and tech-heavy Asian markets following positive headlines around AI financing.

US and Australian government bond yields were little changed ahead of today's key data and central bank decisions, with markets assigning just a 7% probability to an FOMC hike today.

The US dollar strengthened on pre-FOMC positioning, although the AUD outperformed most major currencies and gained against the greenback.

Oil prices eased on hopes diplomacy could avert renewed escalation in the US-Iran conflict, while iron ore remained below US$90/t amid persistent concerns around global demand.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.7028	0.2%
AUD/JPY	111.00	0.4%
AUD/GBP	0.5279	0.4%
AUD/NZD	1.2362	0.1%
AUD/EUR	0.6312	0.5%
AUD/CNH	4.6843	0.1%
AUD/SGD	0.9004	0.2%
AUD/HKD	5.5138	0.2%
AUD/CAD	0.9875	0.4%
EUR/USD	1.1136	-0.3%
USD/JPY	157.93	0.3%
USD Index	102.29	0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.73	0.02
90 day BBSY	4.90	0.00
180 day BBSY	5.25	-0.01
1 year swap	4.95	0.00
2 year swap	4.91	0.00
3 year swap	4.88	0.00
4 year swap	4.88	0.00
5 year swap	4.91	0.00
6 year swap	4.95	0.00
7 year swap	4.99	0.00
8 year swap	5.04	-0.01
9 year swap	5.08	0.00
10 year swap	5.12	-0.01

Equities	Close	Change
S&P/ASX 200	8,850	0.5%
S&P 500	7,735	0.8%
Japan Nikkei	63,268	1.7%
Hang Seng	23,041	-0.7%
Euro Stoxx 50	6,165	0.8%
UK FTSE100	10,687	-0.8%
VIX Index	17.48	-4.9%

Commodities	Current	Change
CRB Index	411.85	-0.7%
Gold	4061.10	1.1%
Copper	14474	1.0%
Oil (WTI futures)	99.85	-1.9%
Coal (coking)	266.75	0.1%
Coal (thermal)	153.00	-1.9%
Iron Ore	89.35	-1.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.15	-0.01
United States		
3-month T Bill	4.02	-0.01
2 year bond	4.73	0.01
10 year bond	4.99	0.00
Other (10 year yields)		
Germany	3.36	-0.01
Japan	2.81	0.01
UK	5.35	0.00

Sydney Futures Exchange	Current	Change
10 yr bond	5.19	0.02
3 yr bond	4.87	0.02
3 mth bill rate	4.77	0.00
SPI 200	8,883	0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally buoyed overnight, with Anthropic's IPO filing and Meta's US$25bn equity offering closing five times oversubscribed adding momentum back into the AI trade, while softer oil prices provided further support. Attention now turns to a series of key economic developments, with Australian CPI due today alongside policy decisions and accompanying guidance from the RBNZ, BoC and FOMC.

- US equities moved higher, supported by AI-related stocks. The S&P 500 gained 0.8%, while the NASDAQ outperformed, rising 1.2%, and the Dow Jones was unchanged. European markets were mixed, with the Euro Stoxx 50 up 0.8%, while the FTSE 100 fell 0.8% ahead of the UK Budget.
- Tech-heavy Asian markets were buoyed as recent headlines helped ease concerns around AI financing. The KOSPI led gains, rising 3.1%, while the Nikkei 225 also performed strongly, up 1.7%. The Hang Seng diverged from regional peers, falling 0.7%. Locally, the ASX 200 gained 0.5%.
- US Treasury yields were little changed, with the 2-year yield rising 1bp and the 10-year yield unchanged. Futures markets remain cautious about pricing further Fed tightening in 2026, with the probability of a hike at today's FOMC meeting sitting at just 7%, taking the implied year-end fed funds rate to 4.10%.
- Australian government bond yields were little changed ahead of today's CPI release, with the 3-year yield rising 1bp and the 10-year yield falling 1bp. Swap markets remain cautious around additional RBA tightening in 2026, with the probability of a November rate hike priced at 62%, taking the implied year-end cash rate to 4.80%.
- Pre-FOMC positioning supported the US dollar, with the DXY up 0.3%. The AUD outperformed other major currencies, rising 0.2% against the greenback to 0.7028 and also gaining across the major crosses. The euro and yen both fell 0.3% against the USD, while the sterling declined 0.2%.
- Oil prices declined on hopes that diplomacy could avert a renewed escalation in the US-Iran conflict. Brent fell 1.6% to US$114/bbl, while WTI declined 1.9% to US$99.9/bbl. Dated Brent traded at US$121/bbl. Gold rose 1.1% ahead of today's FOMC meeting, while positive risk sentiment supported base metals, with copper up 1.0% and aluminium gaining 1.5%. Iron ore fell 1.1%, remaining below US$90/t amid persistent concerns around global demand.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Monthly CPI Indicator Sep	4.2%	4.0%
11:30	AU Trimmed Mean CPI Q3	1.0%	0.8%
11:30	AU Trimmed Mean CPI Q3	3.6%	3.6%
11:30	AU Headline CPI Q3	1.2%	0.6%
12:00	NZ RBNZ Policy Decision 28/10/2026	3.00%	2.75%
23:30	US Wholesale Inventories Sep Prel.	0.5%	0.5%
0:45	CA BoC Policy Decision 28/10/2026	2.25%	2.25%
5:00	US FOMC Policy Decision 28/10/2026	3.875%	3.875%

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28 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets will have plenty to digest today, with Australian CPI and policy decisions from the RBNZ, BoC and FOMC all due.

Global equities were generally stronger, with AI-related stocks supporting gains in the US and tech-heavy Asian markets following positive headlines around AI financing.

US and Australian government bond yields were little changed ahead of today's key data and central bank decisions, with markets assigning just a 7% probability to an FOMC hike today.

The US dollar strengthened on pre-FOMC positioning, although the AUD outperformed most major currencies and gained against the greenback.

Oil prices eased on hopes diplomacy could avert renewed escalation in the US-Iran conflict, while iron ore remained below US$90/t amid persistent concerns around global demand.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.7028	0.2%
AUD/JPY	111.00	0.4%
AUD/GBP	0.5279	0.4%
AUD/NZD	1.2362	0.1%
AUD/EUR	0.6312	0.5%
AUD/CNH	4.6843	0.1%
AUD/SGD	0.9004	0.2%
AUD/HKD	5.5138	0.2%
AUD/CAD	0.9875	0.4%
EUR/USD	1.1136	-0.3%
USD/JPY	157.93	0.3%
USD Index	102.29	0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.73	0.02
90 day BBSY	4.90	0.00
180 day BBSY	5.25	-0.01
1 year swap	4.95	0.00
2 year swap	4.91	0.00
3 year swap	4.88	0.00
4 year swap	4.88	0.00
5 year swap	4.91	0.00
6 year swap	4.95	0.00
7 year swap	4.99	0.00
8 year swap	5.04	-0.01
9 year swap	5.08	0.00
10 year swap	5.12	-0.01

Equities	Close	Change
S&P/ASX 200	8,850	0.5%
S&P 500	7,735	0.8%
Japan Nikkei	63,268	1.7%
Hang Seng	23,041	-0.7%
Euro Stoxx 50	6,165	0.8%
UK FTSE100	10,687	-0.8%
VIX Index	17.48	-4.9%

Commodities	Current	Change
CRB Index	411.85	-0.7%
Gold	4061.10	1.1%
Copper	14474	1.0%
Oil (WTI futures)	99.85	-1.9%
Coal (coking)	266.75	0.1%
Coal (thermal)	153.00	-1.9%
Iron Ore	89.35	-1.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.15	-0.01
United States		
3-month T Bill	4.02	-0.01
2 year bond	4.73	0.01
10 year bond	4.99	0.00
Other (10 year yields)		
Germany	3.36	-0.01
Japan	2.81	0.01
UK	5.35	0.00

Sydney Futures Exchange	Current	Change
10 yr bond	5.19	0.02
3 yr bond	4.87	0.02
3 mth bill rate	4.77	0.00
SPI 200	8,883	0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally buoyed overnight, with Anthropic's IPO filing and Meta's US$25bn equity offering closing five times oversubscribed adding momentum back into the AI trade, while softer oil prices provided further support. Attention now turns to a series of key economic developments, with Australian CPI due today alongside policy decisions and accompanying guidance from the RBNZ, BoC and FOMC.

- US equities moved higher, supported by AI-related stocks. The S&P 500 gained 0.8%, while the NASDAQ outperformed, rising 1.2%, and the Dow Jones was unchanged. European markets were mixed, with the Euro Stoxx 50 up 0.8%, while the FTSE 100 fell 0.8% ahead of the UK Budget.
- Tech-heavy Asian markets were buoyed as recent headlines helped ease concerns around AI financing. The KOSPI led gains, rising 3.1%, while the Nikkei 225 also performed strongly, up 1.7%. The Hang Seng diverged from regional peers, falling 0.7%. Locally, the ASX 200 gained 0.5%.
- US Treasury yields were little changed, with the 2-year yield rising 1bp and the 10-year yield unchanged. Futures markets remain cautious about pricing further Fed tightening in 2026, with the probability of a hike at today's FOMC meeting sitting at just 7%, taking the implied year-end fed funds rate to 4.10%.
- Australian government bond yields were little changed ahead of today's CPI release, with the 3-year yield rising 1bp and the 10-year yield falling 1bp. Swap markets remain cautious around additional RBA tightening in 2026, with the probability of a November rate hike priced at 62%, taking the implied year-end cash rate to 4.80%.
- Pre-FOMC positioning supported the US dollar, with the DXY up 0.3%. The AUD outperformed other major currencies, rising 0.2% against the greenback to 0.7028 and also gaining across the major crosses. The euro and yen both fell 0.3% against the USD, while the sterling declined 0.2%.
- Oil prices declined on hopes that diplomacy could avert a renewed escalation in the US-Iran conflict. Brent fell 1.6% to US$114/bbl, while WTI declined 1.9% to US$99.9/bbl. Dated Brent traded at US$121/bbl. Gold rose 1.1% ahead of today's FOMC meeting, while positive risk sentiment supported base metals, with copper up 1.0% and aluminium gaining 1.5%. Iron ore fell 1.1%, remaining below US$90/t amid persistent concerns around global demand.

Today's key data and events

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28 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Markets will have plenty to digest today, with Australian CPI and policy decisions from the RBNZ, BoC and FOMC all due.

Global equities were generally stronger, with AI-related stocks supporting gains in the US and tech-heavy Asian markets following positive headlines around AI financing.

US and Australian government bond yields were little changed ahead of today's key data and central bank decisions, with markets assigning just a 7% probability to an FOMC hike today.

The US dollar strengthened on pre-FOMC positioning, although the AUD outperformed most major currencies and gained against the greenback.

Oil prices eased on hopes diplomacy could avert renewed escalation in the US-Iran conflict, while iron ore remained below US$90/t amid persistent concerns around global demand.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.1	0.0%
AUD/USD	0.7028	0.2%
AUD/JPY	111.00	0.4%
AUD/GBP	0.5279	0.4%
AUD/NZD	1.2362	0.1%
AUD/EUR	0.6312	0.5%
AUD/CNH	4.6843	0.1%
AUD/SGD	0.9004	0.2%
AUD/HKD	5.5138	0.2%
AUD/CAD	0.9875	0.4%
EUR/USD	1.1136	-0.3%
USD/JPY	157.93	0.3%
USD Index	102.29	0.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.73	0.02
90 day BBSY	4.90	0.00
180 day BBSY	5.25	-0.01
1 year swap	4.95	0.00
2 year swap	4.91	0.00
3 year swap	4.88	0.00
4 year swap	4.88	0.00
5 year swap	4.91	0.00
6 year swap	4.95	0.00
7 year swap	4.99	0.00
8 year swap	5.04	-0.01
9 year swap	5.08	0.00
10 year swap	5.12	-0.01

Equities	Close	Change
S&P/ASX 200	8,850	0.5%
S&P 500	7,735	0.8%
Japan Nikkei	63,268	1.7%
Hang Seng	23,041	-0.7%
Euro Stoxx 50	6,165	0.8%
UK FTSE100	10,687	-0.8%
VIX Index	17.48	-4.9%

Commodities	Current	Change
CRB Index	411.85	-0.7%
Gold	4061.10	1.1%
Copper	14474	1.0%
Oil (WTI futures)	99.85	-1.9%
Coal (coking)	266.75	0.1%
Coal (thermal)	153.00	-1.9%
Iron Ore	89.35	-1.1%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.85	0.01
10 year bond	5.15	-0.01
United States		
3-month T Bill	4.02	-0.01
2 year bond	4.73	0.01
10 year bond	4.99	0.00
Other (10 year yields)		
Germany	3.36	-0.01
Japan	2.81	0.01
UK	5.35	0.00

Sydney Futures Exchange	Current	Change
10 yr bond	5.19	0.02
3 yr bond	4.87	0.02
3 mth bill rate	4.77	0.00
SPI 200	8,883	0.2%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Markets were generally buoyed overnight, with Anthropic's IPO filing and Meta's US$25bn equity offering closing five times oversubscribed adding momentum back into the AI trade, while softer oil prices provided further support. Attention now turns to a series of key economic developments, with Australian CPI due today alongside policy decisions and accompanying guidance from the RBNZ, BoC and FOMC.

- US equities moved higher, supported by AI-related stocks. The S&P 500 gained 0.8%, while the NASDAQ outperformed, rising 1.2%, and the Dow Jones was unchanged. European markets were mixed, with the Euro Stoxx 50 up 0.8%, while the FTSE 100 fell 0.8% ahead of the UK Budget.
- Tech-heavy Asian markets were buoyed as recent headlines helped ease concerns around AI financing. The KOSPI led gains, rising 3.1%, while the Nikkei 225 also performed strongly, up 1.7%. The Hang Seng diverged from regional peers, falling 0.7%. Locally, the ASX 200 gained 0.5%.
- US Treasury yields were little changed, with the 2-year yield rising 1bp and the 10-year yield unchanged. Futures markets remain cautious about pricing further Fed tightening in 2026, with the probability of a hike at today's FOMC meeting sitting at just 7%, taking the implied year-end fed funds rate to 4.10%.
- Australian government bond yields were little changed ahead of today's CPI release, with the 3-year yield rising 1bp and the 10-year yield falling 1bp. Swap markets remain cautious around additional RBA tightening in 2026, with the probability of a November rate hike priced at 62%, taking the implied year-end cash rate to 4.80%.
- Pre-FOMC positioning supported the US dollar, with the DXY up 0.3%. The AUD outperformed other major currencies, rising 0.2% against the greenback to 0.7028 and also gaining across the major crosses. The euro and yen both fell 0.3% against the USD, while the sterling declined 0.2%.
- Oil prices declined on hopes that diplomacy could avert a renewed escalation in the US-Iran conflict. Brent fell 1.6% to US$114/bbl, while WTI declined 1.9% to US$99.9/bbl. Dated Brent traded at US$121/bbl. Gold rose 1.1% ahead of today's FOMC meeting, while positive risk sentiment supported base metals, with copper up 1.0% and aluminium gaining 1.5%. Iron ore fell 1.1%, remaining below US$90/t amid persistent concerns around global demand.

Today's key data and events

Time	Event	Exp	Prev
11:30	AU Monthly CPI Indicator Sep	4.2%	4.0%
11:30	AU Trimmed Mean CPI Q3	1.0%	0.8%
11:30	AU Trimmed Mean CPI Q3	3.6%	3.6%
11:30	AU Headline CPI Q3	1.2%	0.6%
12:00	NZ RBNZ Policy Decision 28/10/2026	3.00%	2.75%
23:30	US Wholesale Inventories Sep Prel.	0.5%	0.5%
0:45	CA BoC Policy Decision 28/10/2026	2.25%	2.25%
5:00	US FOMC Policy Decision 28/10/2026	3.875%	3.875%

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US durable goods orders rose 1.8% in September after a 0.1% gain in August. Growth for core orders (non defence, ex aircraft) was more modest in September at 0.5% but follows a 1.6% rise in August.

US S&P Cotality Case Shiller house prices rose a further 0.3% in August, accelerating annual growth at the margin to 2.7%yr.

US new home sales fell 0.6% in September following a downwardly revised 5.1% gain (prev 6.4%) in August. Sales are currently near the average of the past 5 years.

US Conference Board consumer confidence jumped from 84.2 to 91.7 in October on an improvement in current conditions and expectations. While still below average, this measure of consumer confidence continues to outperform the University of Michigan survey, held up by the robust strength of the labour market. Responses to the Michigan measure instead look to be focused more on cost of living.

The **Richmond Fed manufacturing index** was unchanged at -2 in October.

Local Data

Our New Zealand team published their **2026 General Election preview**, outlining the major parties' key policies (see here).

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Open mouth operations

#australia #luciellis #rba

By Luci Ellis
Chief Economist Westpac Group, Westpac

13:34 October 23 2026

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The RBA does not want to promise what it will do, but it is increasingly trying to tell us what it thinks.

- Central banks' communication is carefully scrutinised for every nuance. Lately, there seems to have been more RBA communication to pore over. The method of delivery has also evolved. This has

sometimes caused confusion when tone seems to vary. Different audiences call for different tone and varying complexity.

- The content has evolved, too. RBA officials are increasingly using speeches directed to professional audiences to discuss more technical estimates of inferred variables such as neutral rates and financial conditions. They are also highlighting that monetary policy combats inflation in more ways than just squeezing mortgage holders.
- One thing has not changed: the RBA is not in the business of providing 'forward guidance' promises about the future path of interest rates. It does, however, give more running commentary about how it is interpreting recent data. These interpretations are themselves useful signals about what the RBA thinks it might do.

Market participants pore over every utterance by central banks for clues to future rate moves. They will have plenty to pore over in the run-up to the November RBA decision. After the flurry of fireside chats this week, '60 Minutes' will run a pre-recorded interview with chief economist Sarah Hunter on Sunday. Next Wednesday, the whole senior policy team will appear before Senate Estimates, just as the quarterly CPI is released. (This timing will have been the Senate's choice, not the RBA's.) After the decision will come the *Statement on Monetary Policy*, a media release and press conference. More speeches will follow, including one by the Deputy Governor on the Thursday.

RBA communication does seem to have changed, not just following the RBA Review but also more recently. There may be fewer policy meetings each year, but the communication outside that certainly feels more frequent than a couple of years ago. Back in 2024, speaking engagements felt a little sparse outside the post-meeting media conference and parliamentary appearances. We have counted 58 public engagements so far this year on the Speeches page on the RBA's website. This compares with 58 for the whole of last year and 52 in 2024. Excluding the 'compulsory' press conferences and parliamentary appearances, fewer than half of the 2024 events were related to economics, markets and monetary policy.

The 'how' has changed

The way the RBA communicates with markets has changed as well. There are fewer set-piece speeches on policy and a lot more semi-scripted 'fireside chats'. Compared with a few years ago, there are more interviews across a wide range of media. This is a big change from the pre-Review world. It was a huge deal when the previous Governor appeared on the *7:30 Report*; it is hard to imagine him agreeing to an Assistant Governor appearing on *60 Minutes*.

Part of the change reflects increased efforts to reach a general audience. Central banks want to explain why they do what they do. This matters especially when interest rates are rising but the household sector is not the source of the inflation.

Speaking differently to different audiences can sometimes confuse markets. As the RBA's Chief Communication Officer highlighted in a recent panel discussion, the post-meeting media conference is designed to speak to the public. Market participants and economists certainly tune in, but we are not

the primary audience. So if you think that what the Governor said in the media conference sounded more ‘dovish’ than what another official says in a more market-oriented forum, it is partly because she is trying to convey that the RBA understands that its recent policy actions are making things harder for many Australians. But this is in much the same way that a doctor might say, “This might hurt a bit.” It does, but that will not stop the treatment.

A related issue is that it is easier to control tone in pre-drafted material such as the minutes and set-piece speeches than in unstructured Q&A. Senior central bankers are trained to be careful with their words in unscripted settings. If the tone differs, the minutes are still more likely to say what the Board really means than an off-the-cuff answer.

Greater communication with the broader public might have reduced the pressure to make the set-piece speeches more accessible. Research on central bank communication often uses measures such as the Flesch–Kincaid Grade Level and Flesch Reading Ease score. A comprehensive analysis was beyond the scope of this note. However, a spot comparison suggests four speeches from 2026 (1, 2, 3, 4) were harder to read than four from 2021 (1, 2, 3, 4). The 2021 speeches scored in the 11 to 12 range, which is high-school-level complexity. The 2026 speeches scored between 12 and 15, which is academic or technically dense text requiring university-level education. (Including two of my own 2021 speeches is an obvious caveat, but the two speeches by then-Governor Phil Lowe also scored better on these metrics than the sample from this year. It should be noted, though, that readability metrics do not necessarily imply better clarity if the concepts discussed are more abstract.)

The ‘what’ has changed

As noted above, the content of RBA communication has evolved, too. As its intellectual framework has begun to put more weight on the balance of supply and demand, and those invisible ‘star’ variables (NAIRUs, neutral real rates, ‘financial conditions’, etc.), the communication to professional audiences has increasingly focused on those topics.

More recently, the RBA has also placed more emphasis on the full range of transmission channels from interest rates to inflation (though not, as we have noted previously, the labour supply channel). This is understandable in a world of supply shocks. People need to understand that monetary policy is not simply an exercise in hitting mortgage borrowers. We doubt they would be comforted, though, by the Deputy Governor’s explanation this week that the ‘cashflow channel’ was the smallest of the transmission channels from interest rates to inflation, with the exchange rate much more prominent. That implies a lot of pain for a small group, for little effect on inflation. It raises the question of whether other policy tools or institutional arrangements might get the same effect on inflation through the other channels without hitting a minority of households disproportionately.

We have also seen a move away from using catchphrases to summarise the position. From ‘narrow path’ to ‘not ruling anything in or out’ to ‘cautious and predictable’, once entrenched, a phrase can outlast its usefulness.

One thing that has not changed is the way the minutes record the presentations to the Board and the members' discussion. The minutes rarely convey much new information beyond the post-meeting statements. Sometimes, though, the minutes reveal the Board's reaction to the staff's analysis. The August 2024 minutes were a good example: the discussion highlighted just how sensitive the forecasts were to key judgements by the staff.

The 'why' has not changed

Despite these changes, the underlying objectives of the RBA's communication have not changed. It wants to explain – and perhaps justify – its decisions. And it wants to describe how it interprets incoming data, especially inflation, the labour market and the balance of supply and demand.

The RBA, like any central bank, is not really in the business of providing 'forward guidance' about future moves. Circumstances change, so it can never guarantee a particular future path for interest rates. Some academic literature argues that promising to keep rates low for a long time (or high, for that matter) independently amplifies the transmission of monetary policy beyond the effect of current-period interest rates alone, by shifting the short end of the yield curve. Central banks including the RBA have certainly tried jawboning in this way from time to time. The prevailing view, though, is that the potential cost of reputational loss if things do not turn out as predicted outweighs the benefits of a slightly stronger transmission mechanism.

In this context, it is the interpretation of data that provides the signal about future policy directions. This is why it was noteworthy that the Governor still characterised the labour market as 'a little tight' after the September meeting, even though the Board's post-meeting communication did not. We have been noting for some time that the RBA staff have a downbeat view of supply capacity. Together with the RBA's oft-stated concerns about inflation, this is why the Deputy Governor's 'hawkishness' did not surprise us.

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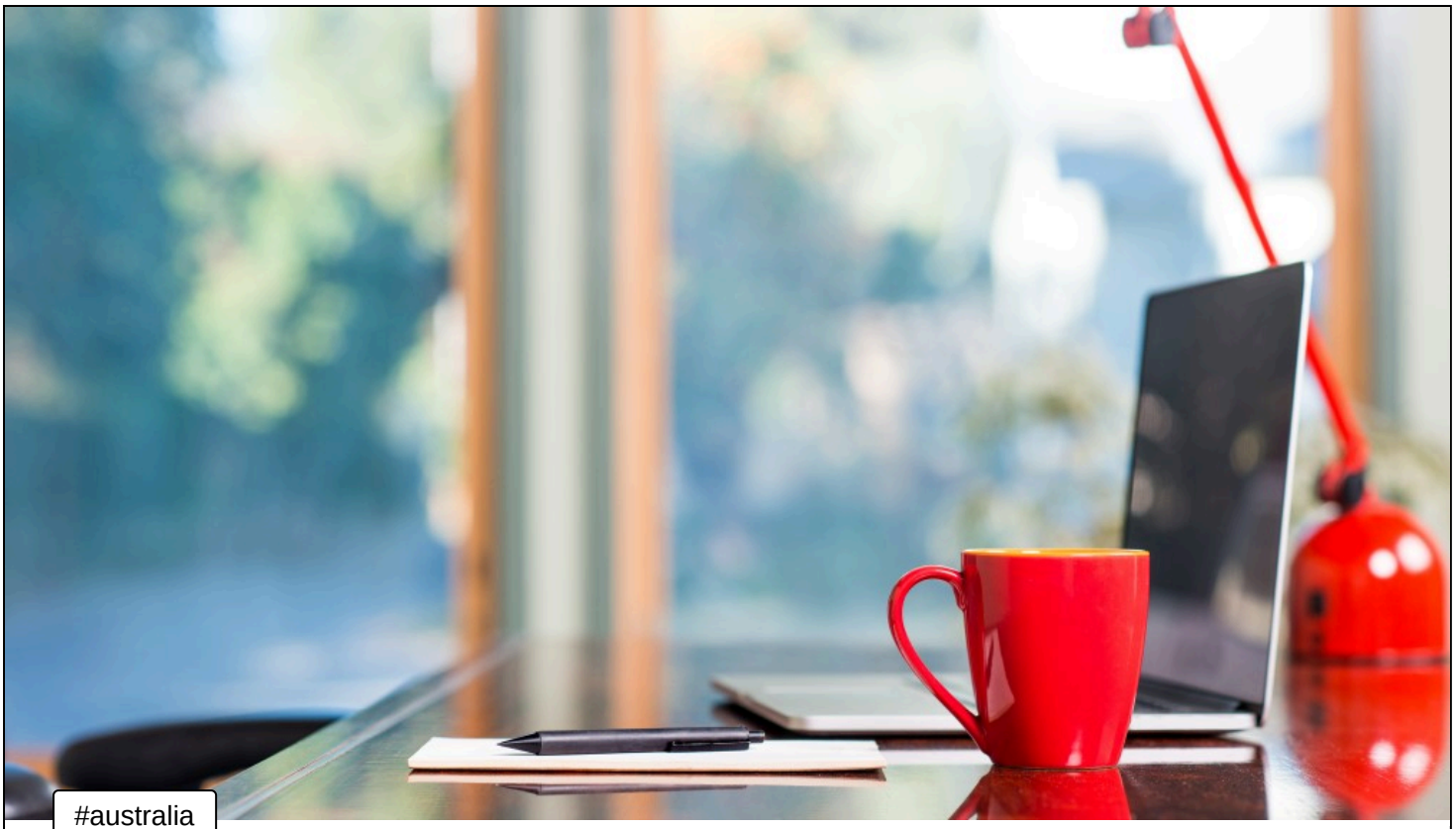

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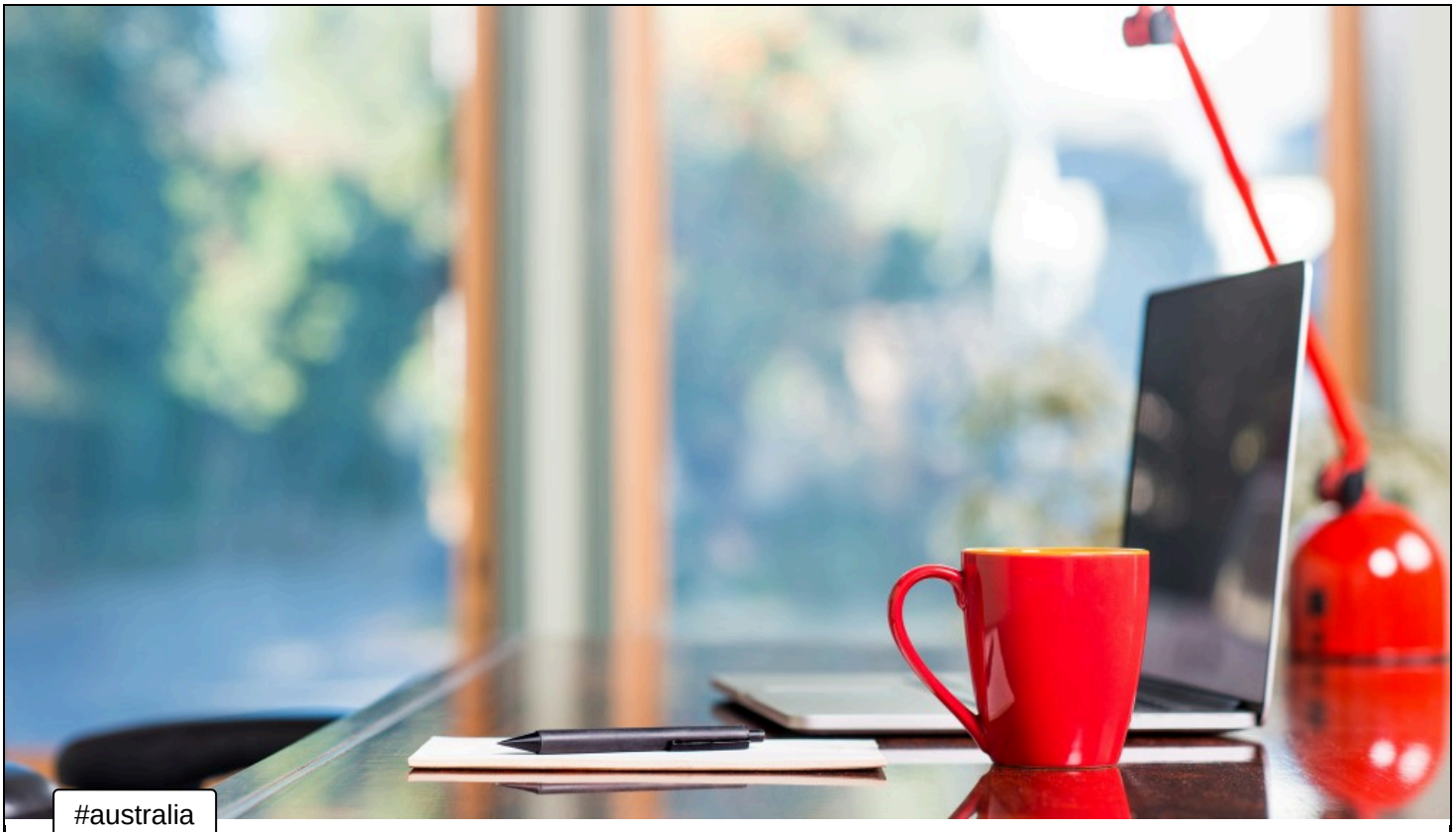

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19 October 2026

SEPTEMBER CPI PREVIEW

Setting the pace for the run into year end

Key points

- September CPI to rise 0.62%mth with the annual pace lifting to 4.1%yr from 4.0%yr. The seasonally adjusted CPI lifts 0.5%mth, a step down from the 0.7% increase in August.
- September Trimmed Mean (TM) is set to lift 0.26%mth holding the annual pace steady at 3.6%yr.
- As we noted in our review of the August CPI, our September quarter CPI estimate is unchanged at 1.3%qtr while the TM remained 0.9%qtr.
- Auto fuel surged ahead of our expectations so along with signs of increase pass-through we lifted our December quarter CPI to 1.3%qtr/3.9%yr and the TM estimate to 0.9%qtr/3.5%yr.
- This is a 0.8ppt increase to the CPI estimate, and a 0.2ppt increase to the TM estimate, highlighting inflation momentum meaningfully above the RBA's current expectations.

CPI Breakdown: Q3 and monthly profile

	Q3	Jul-26	Aug-26	Sep-26
	Qtr fcs	Mth	Mth	Mth fcs
Item	% qtr	% mth	% mth	% mth
Food	**0.5**	**0.3**	**–0.1**	**–0.5**
of which, bread & cereals	0.3	–0.3	0.0	0.2
of which, meat & seafood	–0.2	0.2	–0.9	0.0
of which, dairy & related prod.	1.9	0.2	–0.1	0.1
of which, fruit & vegetables	–1.8	–0.8	–1.1	–3.7
of which, food products nec	–0.2	0.0	0.3	0.0
of which, non–alcohol bev.	0.9	0.0	0.3	–1.5
Alcohol & tobacco	**1.9**	**1.2**	**0.5**	**1.1**
of which, alcohol	1.4	1.2	0.5	–0.3
of which, tobacco	2.9	1.2	0.5	4.0
Clothing & footwear	**0.3**	**2.6**	**–0.9**	**–0.2**
of which, garments	–2.0	3.2	–1.9	–2.0
Housing	**1.4**	**0.4**	**0.2**	**0.6**
of which, rents	1.0	0.4	0.3	0.3
of which, house purchases	1.1	0.4	0.2	0.2
of which, electricity	–0.9	–1.6	0.0	0.0
of which, gas & other fuels	4.0	2.8	0.0	1.3
H/hold contents & services	**1.3**	**2.0**	**0.2**	**–0.2**
Health	**0.0**	**0.1**	**0.1**	**–0.1**
Transportation	**3.1**	**2.6**	**4.2**	**2.0**
of which, auto fuel	7.4	7.5	14.8	8.3
Communication	**1.2**	**1.8**	**–0.2**	**–0.1**
Recreation	**1.7**	**1.8**	**–1.0**	**2.1**
of which, holiday travel	1.6	1.8	–3.3	4.4
Education	**0.1**	**0.0**	**0.1**	**0.0**
Financial & insurance services	**0.9**	**0.2**	**0.2**	**0.4**
CPI: All groups	**1.3**	**1.0**	**0.4**	**0.6**
CPI: Trimmed mean	**0.9**	**0.5**	**0.2**	**0.3**

Sources: ABS, Westpac Banking Corporation

- However, these factors can shift quickly and we see downside risk to our 2027 inflation profile should energy prices ease faster than expected.

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Sep quarter unrevised but Dec upgraded significantly

Justin Smirk, Senior Economist
Neha Sharma, Economist

August inflation came in soft...

Inflation moderated in August following July's strong outcome. The CPI rose 0.4% in the month, in line with our expectation but slightly below market consensus of 0.5%, taking the annual rate to 4.0%. On a seasonally adjusted basis, the CPI increased 0.7%mth, underscoring the impact of seasonal discounting in August and the start of the financial year repricing in July.

More closely watched are the measures of underlying inflation including the Trimmed Mean (TM) and market services. The TM rose 0.2% in August, in line with our expectations but again softer than the market, leaving the annual pace unchanged at 3.6% for a third consecutive month. Meanwhile, market services excluding volatiles & holiday travel increased 0.2%mth/4.1%yr. Notable strength (three-month annualised, seasonally adjusted) was seen in sports participation (10.9%), clothing repair (7.0%), restaurant meals (6.8%) and other household services (5.2%). For full analysis of the August CPI, see "August CPI – Came in on our expectations".

The expenditure-weighted share of the CPI basket experiencing positive price shocks eased to 11% in August from 15% in July, while the share experiencing negative price shocks declined from 17% to just below 13%. The majority of the positive shocks were concentrated in consumer durables On a three-month moving average basis, the net momentum share (positive minus negative) rose to –4.5% from –7.7% in July and a trough of –15.8% in May, suggesting the disinflationary impulse may be nearing exhaustion.

... with September due for a moderate pick-up

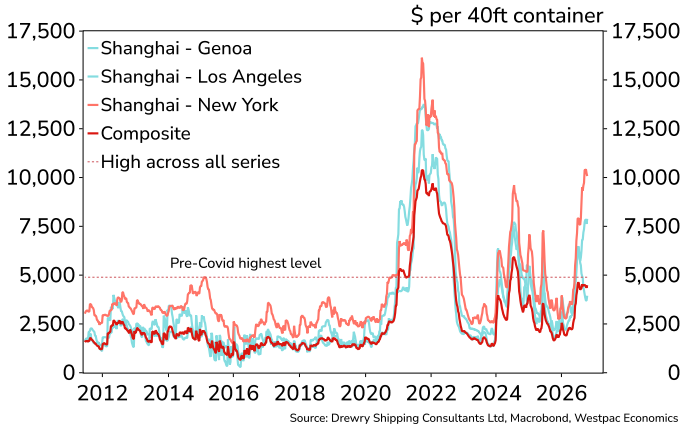
Looking ahead to September, early indicators painted a mixed picture. The NAB business survey showed retail price growth slowing to 0.9%qtr from 1.1%qtr in August, with labour cost growth easing to 1.7%qtr from 1.8%qtr, while purchase cost growth edged up to 2.4%qtr from 2.3%qtr. Nevertheless, all measures remain well above their long-run averages while the gap between purchase costs and final prices continues to widen, indicating businesses are facing margin compression (see here for further detail). Meanwhile, consumers' year-ahead inflation expectations held steady at 4.9% in September (easing slightly at 2dp) but surged to 5.3% in October likely reflecting higher fuel prices, with retail petrol and diesel averaging $2.20/l (+8.2%mth) and $2.68/l (+7.7%mth). We do believe the auto fuel prices are likely to see a near term peak in October. Meanwhile, global shipping costs have also surged recently amid renewed Middle East tensions.

Revision to the September quarter CPI estimate

	11-Sep-26		15-Oct-26	
Item	**% qtr**	**contrib**	**% qtr**	**contrib**
Food	**0.8**	**0.14**	**0.5**	**0.09**
of which, Fruit & vegetables	–0.7	–0.01	–1.8	–0.04
Alcohol & tobacco	**1.4**	**0.09**	**1.9**	**0.12**
of which, Tobacco	2.2	0.04	2.9	0.06
Clothing & footwear	**0.4**	**0.01**	**0.3**	**0.01**
Housing	**1.5**	**0.34**	**1.4**	**0.31**
of which, Rents	1.0	0.07	1.0	0.07
of which, House purchases	1.3	0.10	1.1	0.08
of which, Utilities	1.8	0.08	1.4	0.06
H/hold contents & services	**1.0**	**0.08**	**1.3**	**0.10**
Health	**–0.2**	**–0.01**	**0.0**	**0.00**
of which, Pharmaceuticals	–2.0	–0.02	–1.6	–0.01
Transportation	**2.6**	**0.30**	**3.1**	**0.35**
of which, Car prices	0.1	0.00	0.0	0.00
of which, Auto fuel	6.2	0.22	7.4	0.26
Communication	**1.3**	**0.03**	**1.2**	**0.03**
Recreation	**1.6**	**0.20**	**1.7**	**0.21**
of which, Audio visual & comp.	4.1	0.08	3.8	0.07
of which, Holiday travel	1.6	0.09	1.6	0.10
Education	**0.1**	**0.01**	**0.1**	**0.00**
Financial & insurance services	**0.8**	**0.04**	**0.9**	**0.05**
CPI: All groups	**1.25**	**–**	**1.29**	**–**
CPI: All groups % year	**3.9**	**–**	**3.9**	**–**
Trimmed Mean %qtr	**0.91**	**–**	**0.88**	**–**
Trimmed Mean %yr	**3.5**	**–**	**3.50**	**–**

Sources: ABS, Westpac Banking Corporation

Global container shipping costs



Source: Drewry Shipping Consultants Ltd, Macrobond, Westpac Economics

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The September CPI is expected to rise 0.6% (0.62% to 2dp) with the annual pace lifting to 4.1%yr. Our seasonally adjusted estimate increases 0.5% (0.48% to 2dp). For the monthly TM, we expect a 0.3% (0.26% to 2dp) lift, holding the annual pace steady at 3.6%. On a 3m/3m basis, the TM is tracking a 1.0% gain in September (noting that while this measure is conceptually different to the quarterly TM it still serves as a useful guide). For market services excluding volatiles & holiday travel we have pencilled in another 0.2% rise, slowing the annual pace slightly to 4.0% (a nine-month low).

The largest contributors are recreation & culture (+0.27ppt), driven wholly by holiday travel & accommodation. Transport (+0.23ppt) makes a solid contribution, with gains in fuel (+0.26ppt) partly offset by motor vehicles (–0.02ppt). Housing also contributes (+0.13ppt), with rents and new dwellings each adding 0.02ppt while property rates add 0.08ppt. The key detractors in the month are food & non-alcoholic beverages (–0.08ppt) and garments (–0.04ppt).

Key details for the month of September

Food & non-alcoholic beverages are expected to fall 0.5%mth, easing the annual pace to 2.8%yr. The weakness is concentrated in a 3.7%mth decline in fruit & vegetables, while non-alcoholic beverages are also expected to fall 1.5%mth. Meals out & takeaway is forecast to rise 0.1%mth, easing the annual rate to 3.9%.

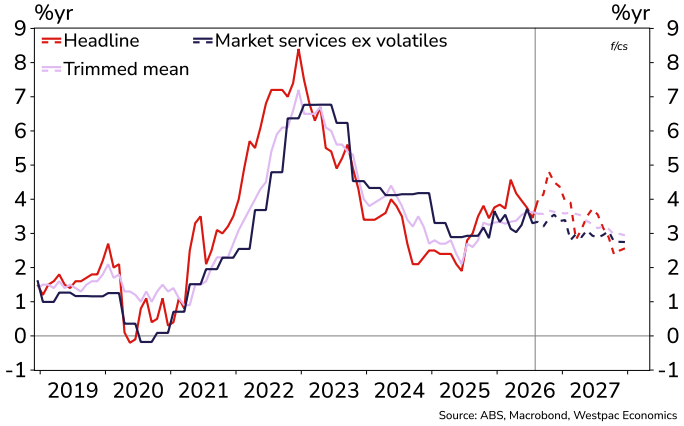
Housing is expected to rise 0.6% in September, slowing the annual pace to 5.5%yr. Component-wise:

- Rents are expected to rise 0.3%mth and 3.7%yr. CPI rent inflation is nearing its peak, consistent with the moderation in asking rent growth. We expect rent inflation to ease to 3.6%yr by end-2026 and 2.5%yr by end-2027.
- New dwelling prices, which capture only the building component of construction costs, are expected to rise 0.2%mth and 4.9%yr. Ongoing weakness in established housing markets would be increasing builders' difficulty in passing through higher costs to new builds. As a result, we expect new dwelling inflation to moderate to 4.5%yr by end-2026 and 2.1%yr by end-2027.

Transport inflation is expected to rise 2.0%mth in September, lifting the annual pace to 7.7%yr reflecting an 8.3%mth increase in fuel prices following higher oil prices through the month. Motor vehicle prices and spare parts are expected to fall 0.7%mth and 1.3%mth, respectively. In NSW, a one-year vehicle registration discount between $80-100 came into effect from 1 September, which is likely to weigh on the other services in respect of motor vehicles component.

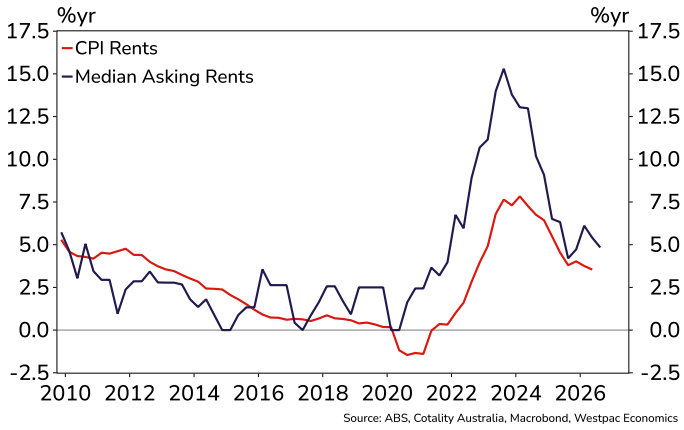
Recreation & culture is expected to rise 2.1%mth driven by a 4.4%mth increase in holiday travel, partly offset by a 0.4% decline in audio, visual & computing equipment & services and a 1.3% fall in sporting services.

Monthly inflation indicators



Source: ABS, Macrobond, Westpac Economics

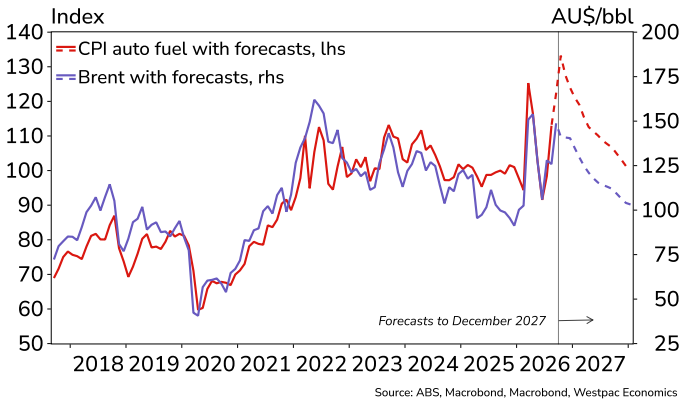
Asking rents vs CPI rents



Source: ABS, Cotality Australia, Macrobond, Westpac Economics

Australian fuels maintain a wide spread to crude

Average pump price for unleaded and diesel auto fuel



Source: ABS, Macrobond, Macrobond, Westpac Economics

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Risks to September baseline

We view the risks around the September CPI outcome as broadly balanced. Waning spending momentum outside of fuel may make it difficult for businesses to pass through higher costs in the near term. However, some of these pricing pressures may be deferred rather than forgone. The October ban on card surcharging may prompt a greater-than-usual degree of price resetting, allowing businesses to recover some of the margin pressures that have built up in recent months.

Risks to housing are mixed. Trade materials suppliers continued to announce above-average price increases through September (around 8%). While soft conditions in the established housing market may limit the extent to which these costs are passed through to new dwelling prices, they nevertheless present an upside risk to housing-related inflation, particularly maintenance & repair and insurance costs. Growth in advertised rents also continues to ease but these new leases take some time to flow through to average rents paid measured in the CPI.

A kick up in October ...

We have a solid preliminary estimate for the October CPI of 0.6%mth lifting the annual pace to 4.8%yr. It is true that the key driver is an 8.9% increase in auto fuel but we estimate the TM to lift 0.4%mth/3.7%yr highlighting broader inflationary pressures. We expect that the removal of credit charge surcharges and resulting increase in retail prices, at most, will contribute 0.1ppt but only just so see it as more of a rounding error. Nevertheless, these changes come at a time of a significant upstream price pressure, particularly for SMEs, so there is some risk of broader price adjustments. As such, we expect marginally larger than usual price adjustments in October particularly in hospitality and household services. Being the first month of the quarter the October lift sets a higher base for the quarterly average estimates resulting in an upgrade to our December quarter estimate.

We have included a table with a monthly profile for the CPI, seasonally adjusted CPI and the TM out to June 2027. At June 2027 we have an annual pace of 3.7%yr for the CPI and seasonally adjusted CPI and 3.3%yr for the TM. There is also a table breaking down the monthly components of the CPI through the December quarter.

... highlights stronger inflationary pressure ...

Our September quarter CPI estimate is unrevised at 1.3%qtr with the annual pace steady at 3.9%yr. At the margin there was a 0.04ppt increase due to a lift in auto fuel but this is 1.29%qtr at two decimal places so still rounds to 1.3%. The seasonally adjusted CPI gains 1.1% in the September quarter highlighting that part of the increase is due to usual seasonality. Our TM estimate for Q3 has a small downward revision of 0.03ppt to 0.88% at two decimal place so our published estimate is also unrevised at 0.9%qtr.

... resulting in an upward revision to Q4 2026

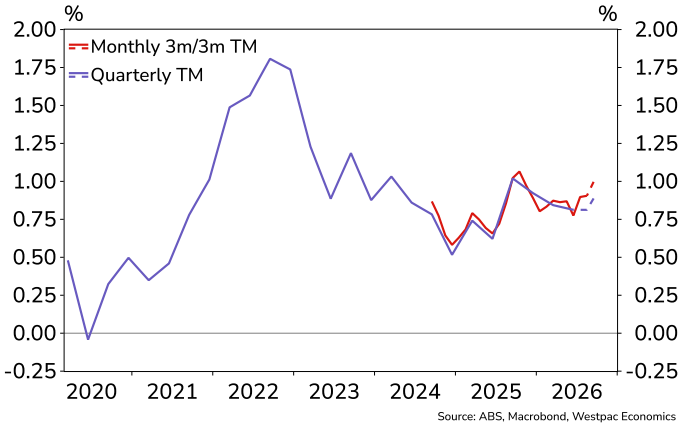
Westpac's December quarter CPI estimate has been boosted from a 0.5%qtr to 1.3%qtr. Driving most of this change from our previous estimate is the 15.3% increase in autofuel, it

Revision to the December quarter CPI estimate

	11-Sep-26		15-Oct-26	
Item	**% qtr**	**contrib**	**% qtr**	**contrib**
Food	**0.3**	**0.05**	**0.5**	**0.09**
of which, Fruit & vegetables	–0.5	–0.01	–0.8	–0.01
Alcohol & tobacco	**0.9**	**0.06**	**1.2**	**0.08**
of which, Tobacco	4.1	0.08	4.8	0.10
Clothing & footwear	**–1.5**	**–0.05**	**–0.9**	**–0.03**
Housing	**0.5**	**0.11**	**0.6**	**0.14**
of which, Rents	0.8	0.05	0.8	0.05
of which, House purchases	0.9	0.07	0.6	0.05
of which, Utilities	–0.4	–0.02	0.3	0.01
H/hold contents & services	**–0.1**	**–0.01**	**0.2**	**0.02**
Health	**–0.5**	**–0.03**	**–0.1**	**–0.01**
of which, Pharmaceuticals	–1.3	–0.01	–1.2	–0.01
Transportation	**0.5**	**0.06**	**4.7**	**0.56**
of which, Car prices	–0.8	–0.03	–0.7	–0.02
of which, Auto fuel	1.9	0.06	15.3	0.61
Communication	**–0.4**	**–0.01**	**0.3**	**0.01**
Recreation	**2.2**	**0.27**	**3.1**	**0.39**
of which, Audio visual & comp.	–0.4	–0.01	0.0	0.00
of which, Holiday travel	4.2	0.25	5.6	0.34
Education	**0.1**	**0.00**	**0.0**	**0.00**
Financial & insurance services	**0.5**	**0.03**	**0.9**	**0.05**
CPI: All groups %qtr	**0.5**	**–**	**1.3**	**–**
CPI: All groups %yr	**3.8**	**–**	**4.6**	**–**
CPI: Seasonall Adjusted %qtr	**0.6**	**–**	**1.4**	**–**
CPI: Seasonall Adjusted %yr	**3.7**	**–**	**4.6**	**–**
Trimmed Mean %qtr	**0.70**	**–**	**0.90**	**–**
Trimmed Mean %yr	**3.31**	**–**	**3.48**	**–**

Sources: ABS, Westpac Banking Corporation

Trimmed mean measures



Source: ABS, Macrobond, Westpac Economics

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was 1.9%, contributing 0.55ppt to the 0.8ppt increase in the quarterly estimate. Outside of a 0.09ppt contribution to the revision from holiday travel & accommodation (revised up from 4.2% to 5.6%) all else was via small contributions for a large number of expenditure categories. This is why there is a 0.2ppt increase in our September quarter TM estimate from 0.7%qtr to 0.9%qtr.

A disinflationary impulse kicks in for 2027

We now expect auto fuel prices to peak in October (240 cpl for petrol, 284 cpl for diesel) and then to trend lower through 2027 (184 cpl for petrol and 194 cpl for diesel by December 2027) leading to a 13.6% falling in auto fuel in the first half of 2027 subtracting 0.46ppt off the CPI over the same period of time. For a detailed description on how we constructed the auto fuels profile please see: "*Persistent energy pressures have further to run*"

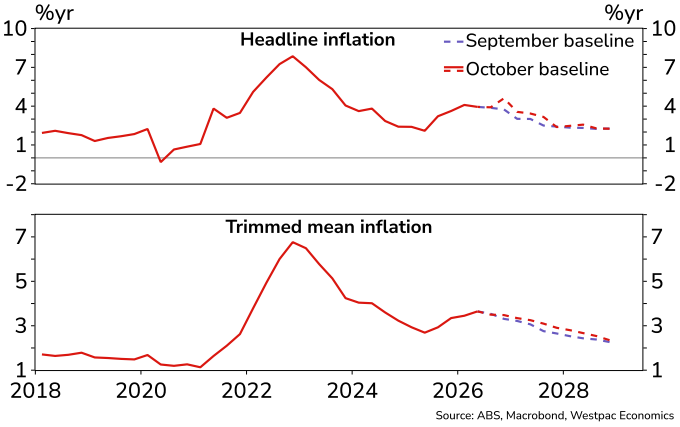
The first half of 2027 will also see an almost 5% decline in holiday travel & accommodation which will subtract a further 0.29ppt off the CPI. However, outside of that any broader moderation in inflation is expected to be more muted hence we have the TM printing 0.7%qtr for each quarter in 2027.

Critical to this moderation in core inflation is our expect step down in dwelling price inflation on the back of falling established home prices. From a 1.1%qtr increase in Q3 2026 we see dwelling price increasing by 0.7% in the Q4 2026, and then 0.6% in both Q1 and Q2 2027 before dropping to 0.5%qtr in Q3 and Q4 2027. This will see dwelling price inflation in the CPI drop from 5.4%yr at June 2026 to 3.0%yr by June 2027 then down to 2.2%yr by December 2027.

At least for the near term a key uncertainty remains the extent to which businesses are able to pass through ongoing labour and non-labour cost pressures and how this unwinds through 2027 as energy prices ease and the domestic economy slows under the weight of higher interest rates and falling established home prices. There is a risk that firms face greater resistance to price increases if discretionary household spending softens by more than expected. That said, these headwinds may be at least partially offset by the stronger starting point for household incomes, which has proven more resilient than previously anticipated, and by higher energy prices due to the ongoing conflict in the Middle East.

That said, there is also the risk that the disinflationary pulse by the second half of 2027 could be greater than what we anticipate. Another rate hike in November, along with a deeper than expected fall in established home prices, could be the proverbial "straw" resulting in a larger than expected fall in demand and thus a more significant moderation in price setting behaviour. It is also possible that our auto fuel prices fall by more than we anticipate. For while we have spot crude prices to fall to about pre-crisis levels by end 2027, a combination of a slow recovery in refining capacity, constrained return of physical supplies and higher shipping cost keep Australian fuel prices above their pre-conflict level. Should all these factors improve fast than we expect, and auto fuel prices return to pre-conflict level if not lower, then headline inflation could dip below 2%yr and the TM would be closer to 2.5%yr (the mid point if the RBA's inflation target), by end 2027.

Quarterly forecast revisions



Source: ABS, Macrobond, Westpac Economics

Quarterly forecast inflation profile

		Sep-26	Dec-26	Mar-27	Jun-27
CPI	Index	103.6	104.9	105.3	105.8
	(%qtr)	1.3	1.3	0.4	0.5
	(%yr)	3.9	4.6	3.6	3.4
Trimmed mean	(%qtr)	0.9	0.9	0.7	0.7
	(%yr)	3.5	3.5	3.3	3.3
	(6mth ann'd)	3.4	3.6	3.3	2.9

Source: ABS, Westpac Economics.

Monthly inflation profile

		Sep–26 (f)	Oct–26 (f)	Nov–26 (f)	Dec–26 (f)	Jan–27 (f)	Feb–27 (f)	Mar–27 (f)	Apr–27 (f)	May–27 (f)	Jun–27 (f)
CPI	Index	104.14	104.80	104.51	105.38	105.33	105.26	105.33	106.00	105.66	105.82
	(%mth)	0.62	0.6	–0.3	0.8	0.0	–0.1	0.1	0.6	–0.3	0.2
	(%yr)	4.1	4.8	4.5	4.4	3.9	3.9	2.8	3.1	3.5	3.7
Seasonally Adjusted	(%mth)	0.5	0.9	0.0	0.0	0.2	0.1	0.0	0.2	0.2	0.2
	(%yr)	4.2	4.9	4.6	4.4	4.0	3.9	2.8	3.1	3.5	3.7
Trimmed mean	(%mth)	0.26	0.4	0.2	0.2	0.3	0.2	0.2	0.3	0.2	0.2
	(%yr)	3.6	3.7	3.6	3.6	3.6	3.6	3.6	3.5	3.4	3.3
	(6mth ann'd)	4.0	4.2	3.8	3.7	3.3	3.3	3.2	2.8	2.9	2.9

Source: ABS, Westpac Economics.

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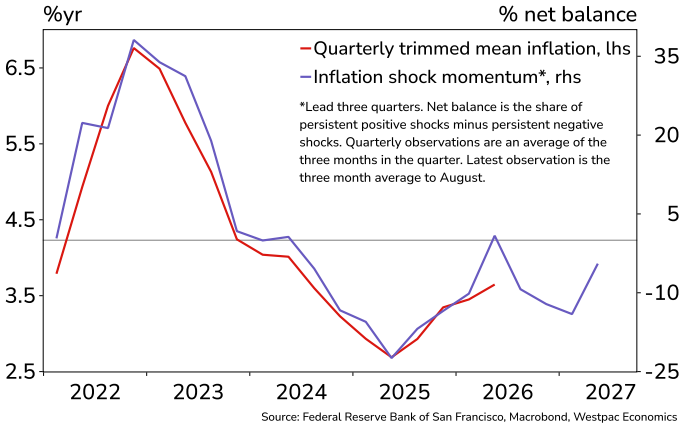
Breakdown Monthly CPI through Dec quarter

	Dec	Oct	Nov	Dec
	Qtr fcs	Mth fcs	Mth fcs	Mth fcs
Item	%qtr	%mth	%mth	%mth
Food	**0.5**	**0.3**	**–0.1**	**–0.5**
of which, bread & cereals	0.3	–0.3	0.0	0.2
of which, meat & seafood	–0.2	0.2	–0.9	0.0
of which, dairy prod.	1.9	0.2	–0.1	0.1
of which, fruit & vegetables	–1.8	–0.8	–1.1	–3.7
of which, food products	–0.2	0.0	0.3	0.0
of which, non–alcohol bev.	0.9	0.0	0.3	–1.5
Alcohol & tobacco	**1.9**	**1.2**	**0.5**	**1.1**
of which, alcohol	1.4	1.2	0.5	–0.3
of which, tobacco	2.9	1.2	0.5	4.0
Clothing & footwear	**0.3**	**2.6**	**–0.9**	**–0.2**
of which, garments	–2.0	3.2	–1.9	–2.0
Housing	**1.4**	**0.4**	**0.2**	**0.6**
of which, rents	1.0	0.4	0.3	0.3
of which, house purchases	1.1	0.4	0.2	0.2
of which, electricity	–0.9	–1.6	0.0	0.0
of which, gas & other fuels	4.0	2.8	0.0	1.3
H/hold contents & services	**1.3**	**2.0**	**0.2**	**–0.2**
Health	**0.0**	**0.1**	**0.1**	**–0.1**
Transportation	**3.1**	**2.6**	**4.2**	**2.0**
of which, auto fuel	7.4	7.5	14.8	8.3
Communication	**1.2**	**1.8**	**–0.2**	**–0.1**
Recreation	**1.7**	**1.8**	**–1.0**	**2.1**
of which, holiday travel	1.6	1.8	–3.3	4.4
Education	**0.1**	**0.0**	**0.1**	**0.0**
Financial & insurance	**0.9**	**0.2**	**0.2**	**0.4**
CPI: All groups	**1.3**	**0.6**	**–0.3**	**0.8**
CPI: Trimmed mean	**0.9**	**0.4**	**0.2**	**0.2**

Sources: ABS, Westpac Banking Corporation

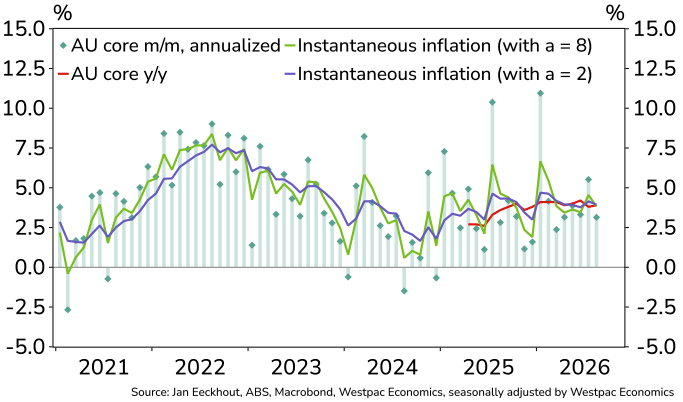
Inflation Shock Momentum



Source: Federal Reserve Bank of San Francisco, Macrobond, Westpac Economics

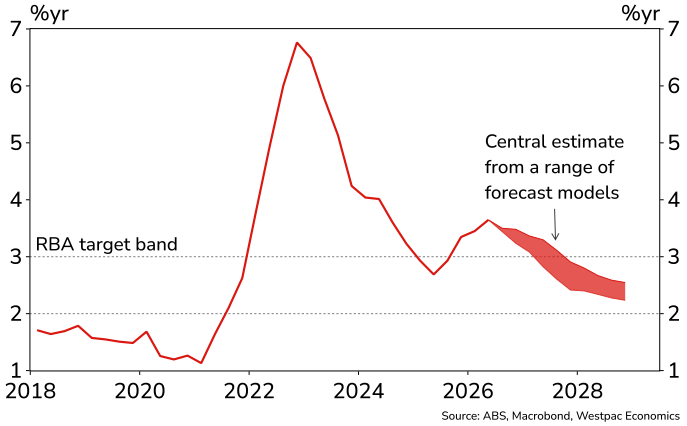
Conventional and instantaneous (s.a.)

Merged new CPI and old indicator



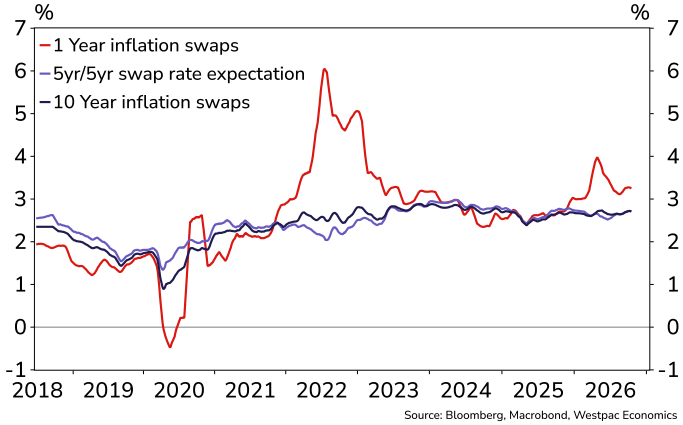
Source: Jan Eeckhout, ABS, Macrobond, Westpac Economics, seasonally adjusted by Westpac Economics

Trimmed mean inflation forecast profiles



Source: ABS, Macrobond, Westpac Economics

Inflation expectations



Source: Bloomberg, Macrobond, Westpac Economics

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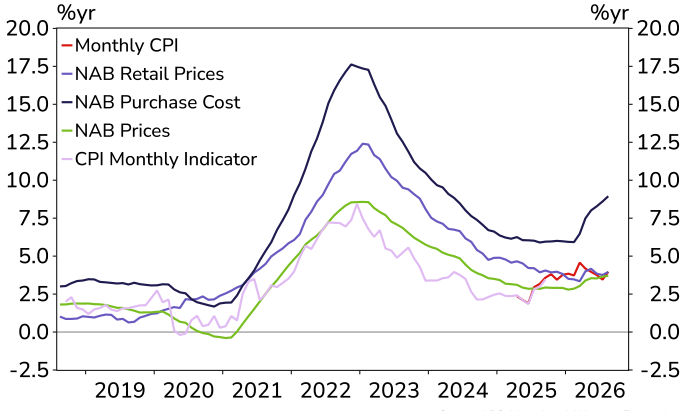
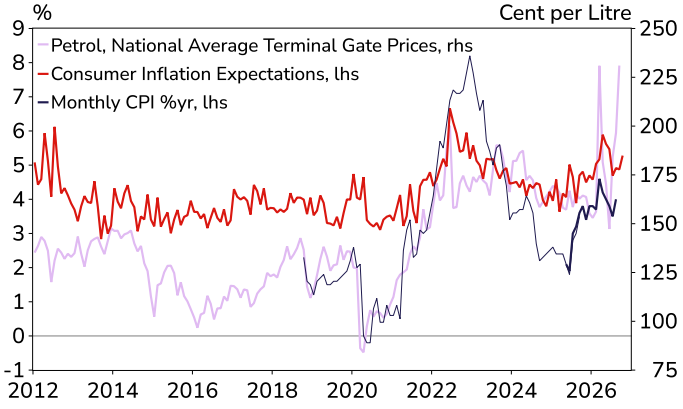
NAB Monthly Inflation Expectations



Source: ABS, Macrobond, Westpac Economics

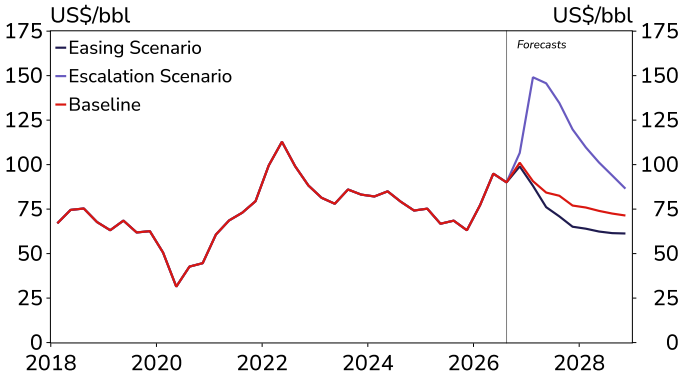
Consumer Inflation Expectations



Source: Melbourne Institute of Applied Economic & Social Research, AIP, ABS, Macrobond, Westpac Economics

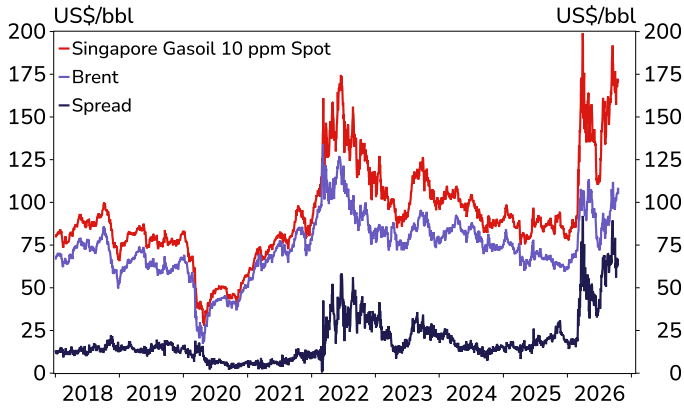
Oil Price Scenarios

Brent Crude Oil, Quarter-Average



Source: Bloomberg, Macrobond, Westpac Economics

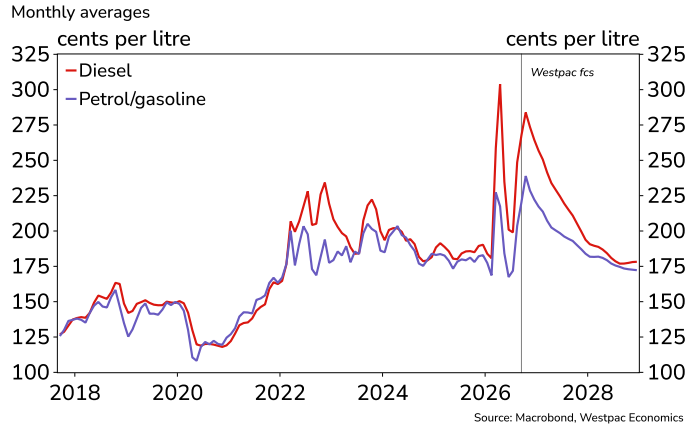
Singapore gasoil crack remains elevated



Source: Bloomberg, Macrobond, Westpac Economics

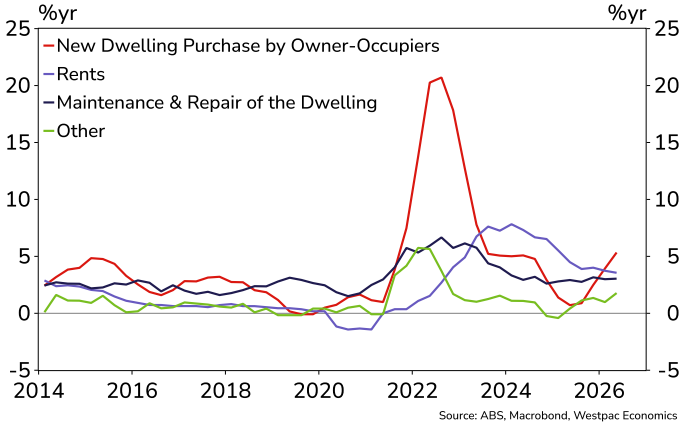
Australian pump prices for auto fuel

Monthly averages



Source: Macrobond, Westpac Economics

Housing-related Inflation



Source: ABS, Macrobond, Westpac Economics

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16 October 2026

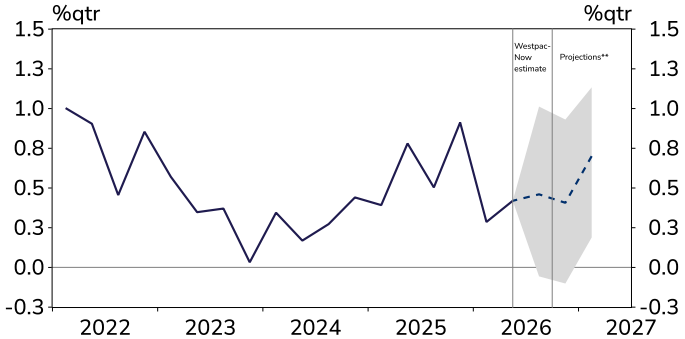
WESTPAC NOWCAST Q3 2026: SECOND ESTIMATE

Growth falters through the quarter

Key points

- The second estimate from Westpac-Now points to GDP growth of around +0.5%qtr in Q3 2026 and 2.1%yr. This is slightly lower than the first estimate of +0.6%qtr. This still represents a slight step up in growth from Q2 2026 but masks some loss of momentum over the course of the quarter.
- Our Monthly Activity Index deteriorated noticeably in August and September. Weakness has become increasingly broad-based, with labour and business condition indicators among the largest drags and relatively few areas providing a meaningful offset.
- The economy is coming under increasing pressure as the cumulative impact of higher interest rates combines with renewed disruptions in global energy markets and a deepening housing downturn. With another rate hike likely in November, these pressures are expected to build further heading into 2027.
- Overall, the economy is becoming increasingly reliant on the upswing in business investment to support growth. This narrow base of growth has left the balance of risks less favourable. Our central case remains one of slowing rather than stalling. Westpac-Now's current model dynamics point to growth moderating to around +0.4%qtr in Q4 2026. Our formal forecasts have growth slowing to a softer +0.2%qtr pace (see here).
- Our final Westpac-Now estimate for Q3 2026 will be published on 20 November.

GDP Growth*



Source: ABS, Macrobond, Westpac Economics
*Dotted line shows Westpac-Now central estimates. Quarter ahead (or Q3 2026) relies on the actual Westpac monthly activity index to September 2026.
**Beyond the quarter ahead, estimates rely on projections of the Westpac monthly activity index generated using internal model dynamics. Confidence intervals reflect empirical out of sample forecasting errors.

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Growth momentum on shaky ground

Neha Sharma
Economist

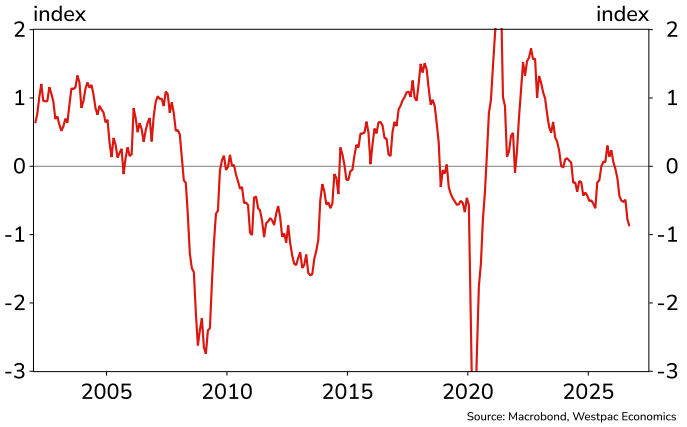
In November 2025, we introduced Westpac-Now (see here), a continuously-updated measure of current activity in the Australian economy. Westpac-Now draws on more than 60 high frequency economic and financial variables, using advanced statistical techniques to provide a timely pulse check on economic momentum. It is the first Australian model to incorporate internal banking data, enhancing its predictive power.

This note provides the second estimate of GDP growth for the September quarter 2026, using domestic and international data released up to and including the September Labour Force Survey (released 15 October 2026). Updates are published monthly (see Appendix A for the release schedule).

Westpac Monthly Activity Index: activity falters as headwinds mount

After showing tentative signs of improvement through the second half of 2025, the Westpac Monthly Activity Index has weakened markedly over 2026. The Index moved back into negative territory in February and has declined further since. While there were some signs of stabilisation around mid-year, this proved to be short lived with the Index falling to –0.88 in September, outside of the pandemic period, the weakest read since 2013.

Westpac Monthly Activity Index



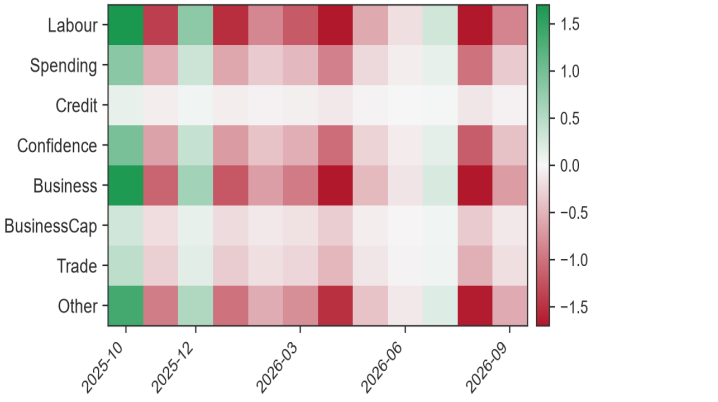
Source: Macrobond, Westpac Economics

The economy is coming under pressure from multiple fronts, with key headwinds coming from higher interest rates, renewed disruptions to global energy markets and a deepening in the housing downturn. Among households, spending held up surprisingly well through the first half of the year despite historically weak sentiment, but more recently spending outside of fuel has started to cool (see here). At the same time, the labour market has continued to soften, with unemployment reaching a cycle high of 4.7% (see here). Meanwhile, the business sector is also showing signs of softening, with sentiment deteriorating and conditions holding at weak levels (see here). Business credit growth remains a notable exception, although even here there are tentative signs of easing (see here).

This deterioration is particularly evident in our heatmap. Negative contributions have become both broader and more pronounced through 2026, with the weakness intensifying in August and September. Labour and business condition indicators are now the largest sources of weakness, while spending and confidence have also deteriorated materially. Credit and capacity utilisation indicators have been comparatively less negative, but there are currently few areas providing a meaningful offset to the broader softening.

Our indicator heatmap decomposes changes in the Monthly Activity Index into group-level contributions, allowing us to assess which components are driving movements in activity. For ease of interpretation, indicators are grouped into broad categories (see the Appendix for further details). For example, the labour market category includes both official ABS Labour Force Survey outcomes and timelier survey-based measures of labour demand and job advertisements.

The Common Activity Factor Heatmap by Groups



Westpac-Now: Resilient growth outlook slowing not stalling

Recall that Westpac-Now is a refined indicator that combines our Monthly Activity Index with advanced econometric techniques to estimate GDP growth. As previously noted, the fit is not expected to be exact. Measured GDP includes

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components that are not well captured by high-frequency activity indicators, such as imputed rents for owner-occupiers, housing-related ownership transfer costs, public and business inventories, and depreciation.

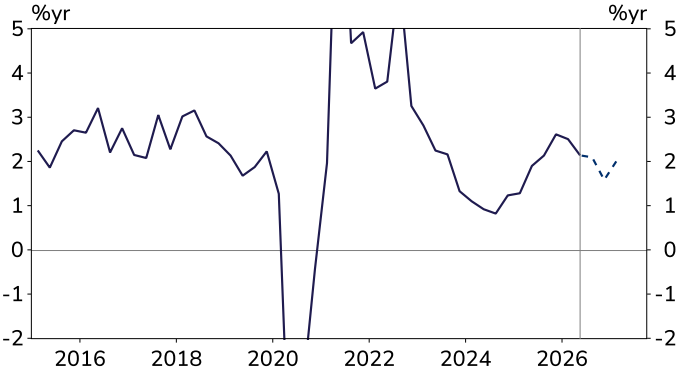
To bridge monthly and quarterly data, we use a MIDAS framework, allowing us to combine mixed-frequency inputs and incorporate partial information for the current quarter when producing GDP forecasts.

Based on current model estimates, Westpac-Now's second estimate for Q3 2026 points to GDP growth of 0.5%qtr (with a 70% confidence interval of –0.1%qtr to 1.0%qtr) and 2.1%yr, representing a slight downgrade from the first estimate of +0.6%qtr but still a step up from the 0.4%qtr (2.1%yr) outcome recorded in Q2 2026. While aggregate growth appears to have held up through Q3, the underlying picture became softer as the quarter progressed. At the second decimal place the estimate is 0.46%qtr, leaving it close to rounding down to 0.4%qtr.

With several headwinds now bearing on the economy simultaneously, there is a growing risk that the slowdown in activity becomes more pronounced than currently anticipated. At the same time, the strength of the business investment upswing provides an important counterweight that should help cushion the broader slowdown.

Looking ahead, model dynamics suggest growth will tick down to 0.4%qtr in Q4 2026 before picking up in Q1 2027. However, these projections remain much more tentative, given their reliance on projected inputs rather than realised data. In addition, heightened uncertainty, particularly around the renewed tensions in the Middle East conflict, means risks around these forward estimates are larger than usual.

Westpac-Now Estimates and Projections*



Source: ABS, Macrobond, Westpac Economics
*Dotted line show Westpac-Now central estimates. Quarter ahead (or Q3 2026) relies on actual Westpac-MAI to September 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac-MAI generated using internal model dynamics.

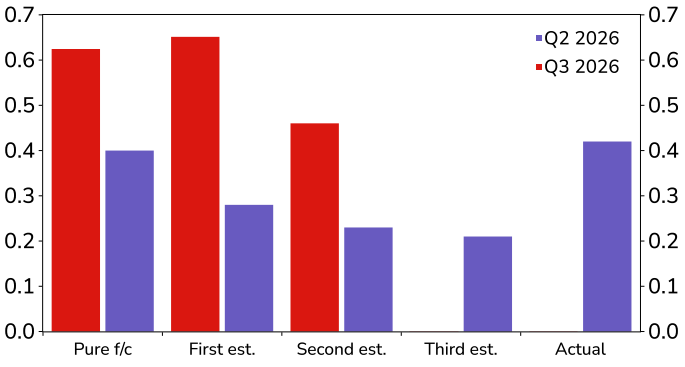
September Quarter data: a softer end to the quarter

Data released in the first month of the September quarter indicated that the economy has picked up momentum relative to the previous quarter, with our first nowcast estimating Q3 growth at 0.6%qtr, in line with the 0.6%qtr "pure forecast" based solely on data available up to June 2026.

However, the flow of data since then shows downside risks to growth have begun to materialise. Incorporating the August, followed by the September (to date), data both yielded nowcasts of 0.5%qtr (with a slight softening at the second decimal place). This contrasts with Q2 2026, when weakness emerged early in the quarter, in April, before subsequent data pointed to stabilisation.

Evolution of Westpac-Now

Within-quarter changes to Westpac-Now, quarterly % change



Source: ABS, Macrobond, Westpac Economics

Note that monthly activity estimates are more uncertain than normal when inflation is shifting. Faster price growth can cause nominal indicators, such as consumer spending, to rise more strongly even though 'real', inflation-adjusted spending may be softening (and vice versa). The inclusion of 'real' indicators, such as employment and banking transaction volumes, helps mitigate some – but not all – of this uncertainty.

Bottom line:

Westpac-Now points to GDP growth of around 0.5%qtr (2.1%yr) in Q3 2026, suggesting aggregate growth held up reasonably well through the quarter, although the flow of data points to softer momentum as the quarter progressed. The substantial upswing in business investment remains an important source of support, helping to offset mounting weakness elsewhere in the economy.

Looking ahead, the accumulation of headwinds is expected to see growth slow further towards year-end, with Westpac-Now currently pointing to growth of around 0.4%qtr in Q4 2026. Downside risks around the outlook have increased, but for now our central case remains one of slower growth rather than a material downturn.

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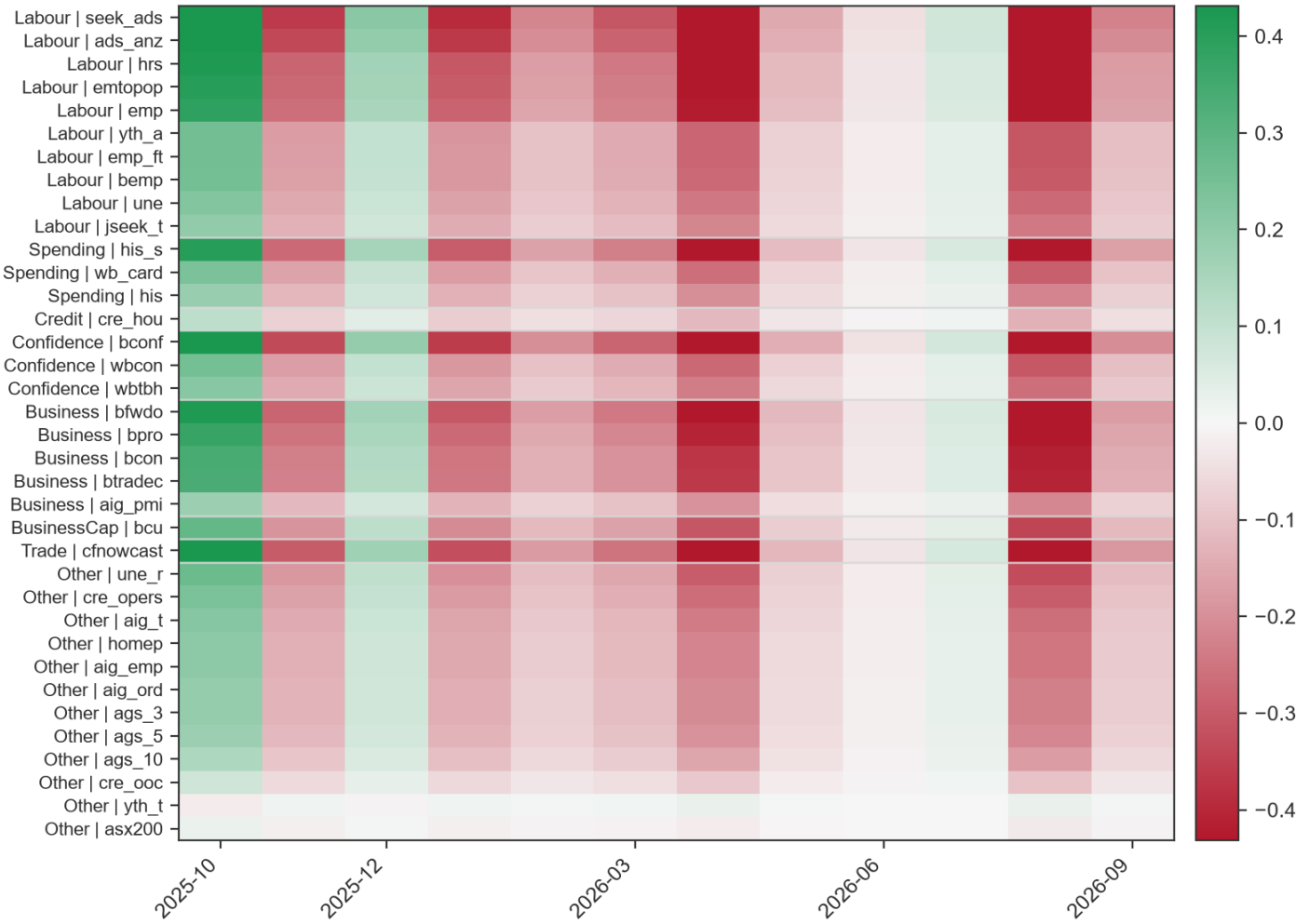
Appendix A: Westpac-Now Release Schedule (2026)

Going forward, Westpac Now will be published on the Friday following each ABS Labour Force Survey (LFS) release, at 11:30am AEDT/AEST (Canberra time). Each release incorporates the latest labour market data alongside other high frequency indicators and provides an updated nowcast for quarterly GDP growth. As the quarter progresses, each update should be interpreted as a progressively more complete estimate of that quarter's economic performance.

Release date (Friday)	LFS reference month	Quarter focus	Interpretation
20 November 2026	October 2026	Q3 2026 – final estimate	Near complete read on Q3 activity
18 December 2026	November 2026	Q4 2026 – first estimate	Initial assessment of Q4 momentum

Appendix B: The common activity factor heatmap by indicators



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2 November 2026

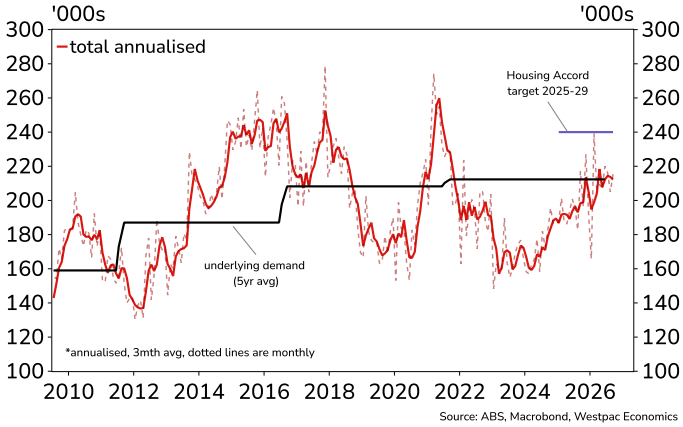
AUSTRALIAN DWELLING APPROVALS BULLETIN

Units lift the headline

Key points

- Total dwelling approvals rose 5.1%mth in September, although the annual pace moved into contraction at –0.8%yr with the detail suggesting the underlying cycle is starting to turn down.
- The headline increase was driven by another volatile rise in private unit approvals (+16.6%) which more than offset a significant decline in private detached house approvals (–5.3%).
- Units drove gains in NSW and Queensland. WA, SA and Victoria all recorded declines. Detached dwelling approvals fell across all states.
- The total value of residential approvals fell 2.8%mth but a sharp rise in non-residential approvals – led by the data centres – saw the total value of building approvals rise 13%mth.
- Interest rate increases, weakness in established housing markets, rising costs and pessimistic consumer sentiment are likely to remain headwinds.

Dwelling approvals



Source: ABS, Macrobond, Westpac Economics

Total dwelling approvals +5.1%mth, –0.8%yr

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Detached approvals point to softer momentum

Luka Belobrajdic
Economist

Total dwelling approvals rose 5.1%mth in September, while the annual pace moved into contraction at –0.8%yr. The result was well above both Westpac's expectation for a 7.0%mth decline and the market expectation for a 2.0%mth rise. Unit approvals continued to drive headline volatility, surging in September, while detached dwellings, which provide a better read on the underlying trend, recorded a sizeable decline.

Note that most figures in the charts and table are presented on a rolling-three month basis to smooth out monthly volatility.

Private detached dwelling approvals fell 5.3%mth in September, unwinding August's upwardly-revised 5.4%mth rise (+1.7ppts). Recent resilience has kept the segment elevated, with approvals remaining above 10,000 and the annual pace at 9.6%yr. However, the quarterly profile provides a clearer read on the underlying trend and suggests detached dwelling approvals are beginning to respond to recent interest rate increases (see here). Approvals rose just 0.9%qtr in September vs 3.1%qtr in June and 5.9%qtr in March.

Private unit approvals remained volatile, rising 16.6%mth in September following 21.7%mth decline in August. Strength was led by high-rise approvals, while low-mid-rise approvals recorded a more modest increase. Despite the monthly rise, the annual pace fell further into contraction at –20.5%yr.

Among the states, NSW recorded the strongest result, with private approvals rising 35.3%mth led by a surge in private unit approvals. Queensland also recorded an increase (+9.3%mth), while WA (–2.9%mth), SA (–3.5%mth) and Victoria (–29.0%mth) all declined.

In value terms, residential building approvals fell 2.8%mth, driven by a 3.3%mth decline in new residential approvals, partially offset by a 0.8%mth rise in renovation activity. Non-residential approvals once again reversed sharply, rising 45.9%mth, as the data centre-dominated 'other commercial' segment recorded an 8-fold increase on a non-seasonally adjusted basis. The total value of building approvals rose 13.0%mth in September. On a non-seasonally adjusted basis, the value of building approvals rose 8.3%mth overall, but declined 3.0%mth when excluding the 'other commercial' segment.

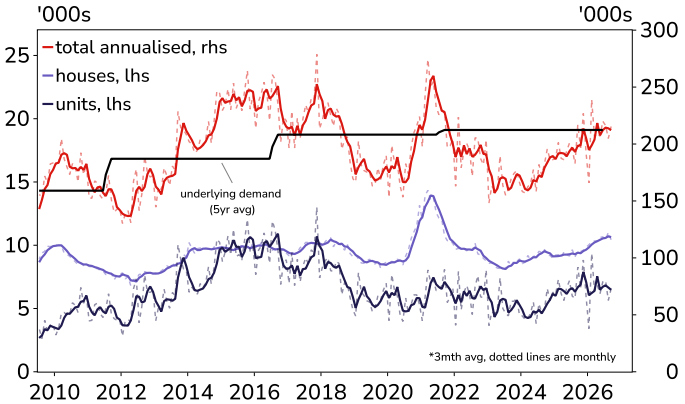
September's result reinforces the importance of looking through headline volatility in unit approvals. While total approvals rose in the month, detached dwelling approvals slowed on a quarterly basis and fell across all states, pointing to softer underlying momentum. The annual pace of total approvals also moved into contraction for the first time since January. Interest rate increases, the sharp downturn in established housing markets and rising costs are likely to weigh on further growth, with pessimistic consumer sentiment an additional headwind (see here).

Building approvals – September 2026

		3mth %chg*		%yr	
3mth avg	latest	Aug	Sep	Aug	Sep
Private houses	10,633	2.7	0.9	15.3	12.9
Private units	6,478	2.8	-3.6	5.3	-3.1
Public dwellings	574	12.3	35.4	-5.3	30.1
Total dwellings	17,684	2.9	flat	10.7	6.9
Total dwellings, mthly*	17,948	-5.2	5.1	12.1	-0.8
– units in 'high rise'^	3,748	11.1	0.1	16.3	4.9
– units in 'low rise'^	3,185	-2.7	3.7	-7.7	-1.4
Renovations, $bn	1.314	-3.4	-3.5	8.3	9.1
Non–res., $bn	7.805	-5.0	-12.8	9.1	10.3

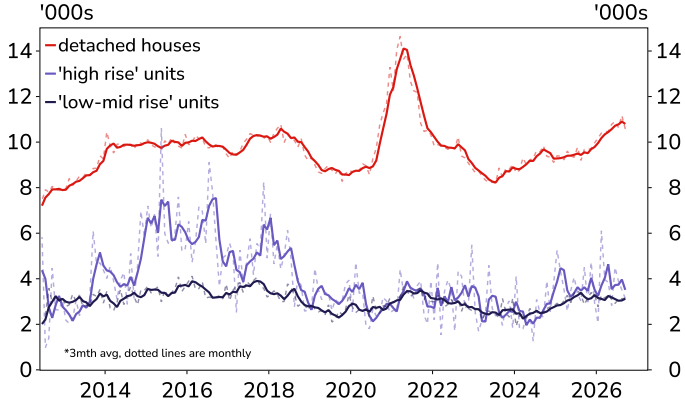
*figures for 'total dwellings mthly' are monthly and mthly%ch, all others are rolling 3mth avg and 3mth%ch; ^all sectors, Westpac estimates
Sources: ABS, Westpac Economics

Dwelling approvals: major segment



Source: ABS, Macrobond, Westpac Economics

Dwelling approvals: detailed segment



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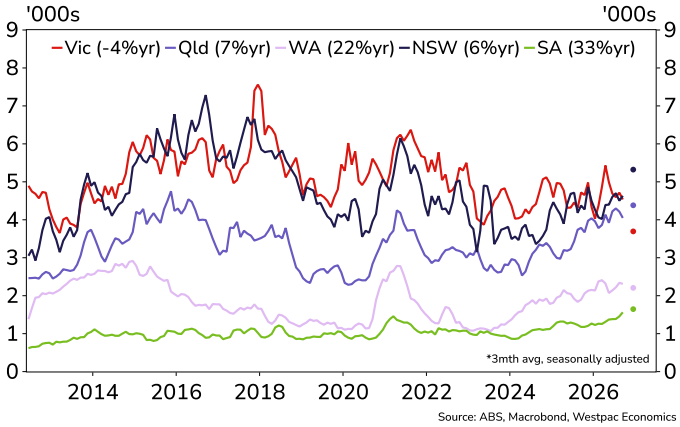
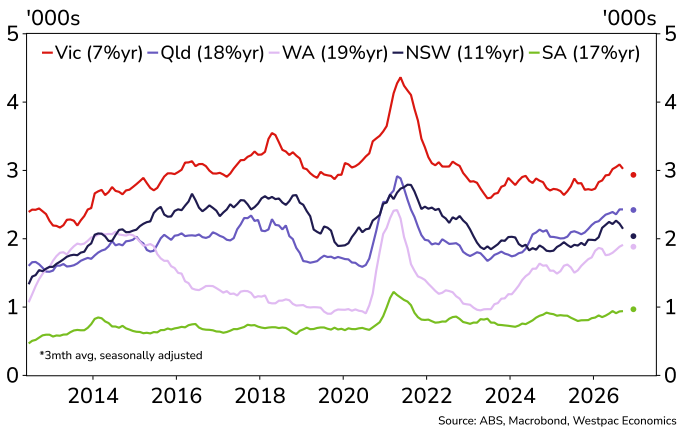
Total dwelling approvals: by state



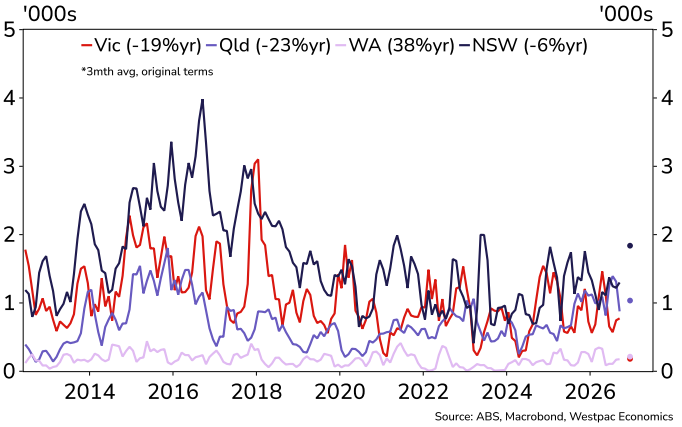
Source: ABS, Macrobond, Westpac Economics

Detached house approvals: by state



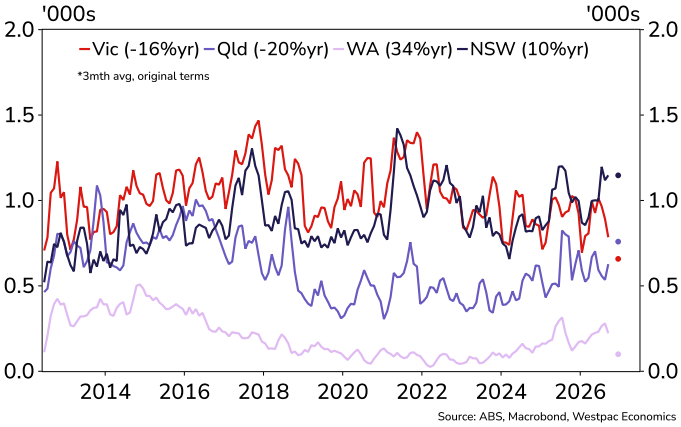
Source: ABS, Macrobond, Westpac Economics

'High rise' approvals: by state



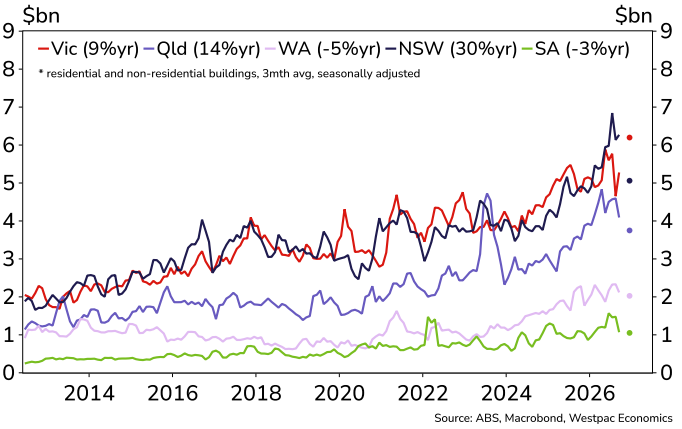
Source: ABS, Macrobond, Westpac Economics

'Low-mid rise' approvals: by state



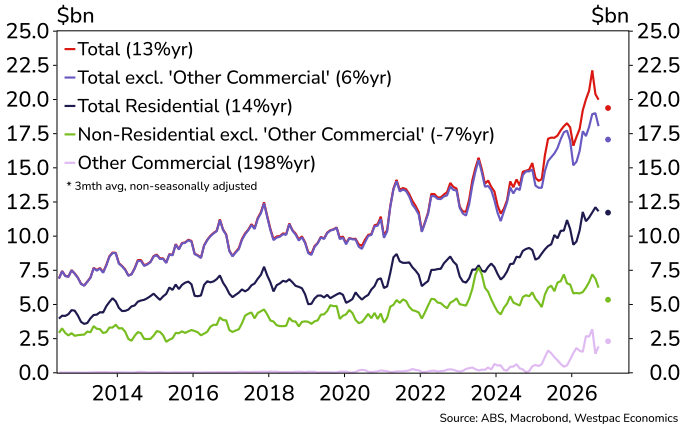
Source: ABS, Macrobond, Westpac Economics

Total building approvals: by state



Source: ABS, Macrobond, Westpac Economics

Total building approvals: by segment



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ECONOMIC BULLETIN

Preview of Q3 labour market surveys: 4 November, 10:45am.

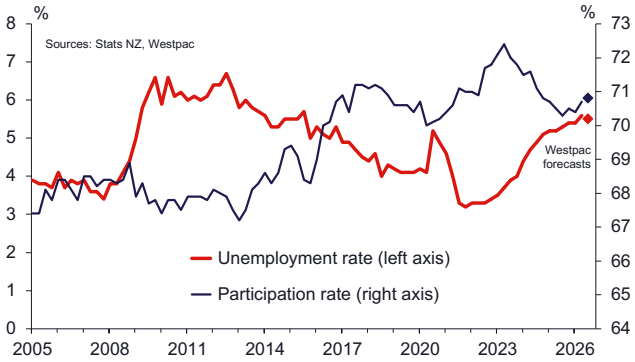
28 Oct 2026 | **Michael Gordon**, Senior Economist | +64 9 336 5670 | michael.gordon@westpac.co.nz

Turning point?

- We expect the unemployment rate to edge down to 5.5% for the September quarter.
- Job numbers have been gaining momentum in recent months, and now look to be enough to outstrip population growth. However, the participation rate will be the deciding factor.
- Despite cost-of-living pressures on workers, the existing slack in the labour market is likely to keep wage growth subdued.
- Our forecasts are a little more positive than what the RBNZ assumed in their September policy statement. Assuming they deliver on an OCR hike this afternoon, the labour market surveys could have an important bearing on whether they follow up with another hike in December.

	Q2 actual	Q3 forecast	
	Quarter	Westpac	RBNZ
Household Labour Force Survey			
Unemployment rate	5.6	5.5	5.5
Employment growth	0.5	0.5	0.3
Participation rate	70.7	70.8	70.6
Labour Cost Index			
All sectors, ordinary time	0.6	0.5	-
Private sector, ordinary time	0.7	0.5	0.4

Unemployment and participation rates



The New Zealand economy has returned to growth over the last year, despite a number of headwinds. That's been accompanied by some modest growth in jobs, though to date it hasn't been enough to prevent a further rise in the unemployment rate. However, we think that next Wednesday's labour market reports could show the jobs market reaching a turning point.

We expect the unemployment rate to ease from 5.6% to 5.5% in the September quarter, which would mark the first fall in almost five years. That's not a firmly held view, given the usual margin of uncertainty around this

measure. But we're now seeing consistent evidence that jobs growth is outstripping the modest pace of population growth. We also note that the previous result was 5.56% in unrounded terms, so it wouldn't take much to tip the rounded rate down to 5.5% this time.

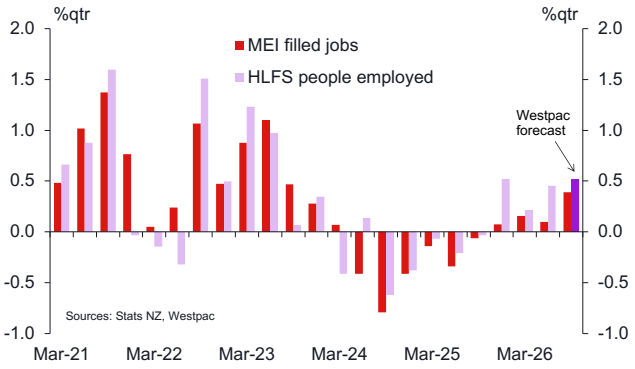
On the whole, our forecasts are a little stronger than what the RBNZ assumed in its September *Monetary Policy Statement*. While our unemployment rate forecast is identical, we're more positive on both employment and labour force participation. Meanwhile, our pick of a 0.5% rise in the Labour Cost Index is slightly ahead of the RBNZ's estimate of 0.4%.

Assuming that the RBNZ delivers the OCR hike that we expect this afternoon, we think they will be noncommittal about the chances of another hike at the 9 December *Monetary Policy Statement*. In that respect, the labour market surveys could be important in setting market expectations for the December review, as there aren't that many major data releases between now and then.

Forecast details.

We expect the Household Labour Force Survey (HLFS) to show a 0.5% rise in employment for the September quarter. That's broadly in line with the Monthly Employment Indicator (MEI), with the September release this morning showing a third straight month of growth in filled jobs. We note that employment growth in the HLFS has actually outstripped the MEI for the last nine quarters, but it's not clear why this has been the case and we're wary of extrapolating it too far into the next quarter.

Quarterly employment change



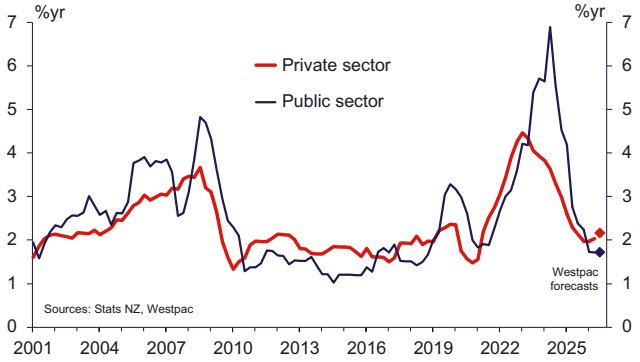
Employment growth of around 0.5% would be more than enough to absorb the modest 0.3% rise in the working-age population, and on its own would suggest a fall in the unemployment rate. But it also comes down to the rate of labour force participation, which we don't really have much guidance on. The participation rate has been choppy over recent quarters, and in the June quarter we saw an unusually large 0.3pt rise to 70.7%; we're assuming some payback this time with a more modest 0.1pt rise to 70.8%.

We'll also be keeping an eye on the broader indicators of slack in the labour market, although we don't formally use these in our forecasts. The June quarter saw a sharp rise in the underutilisation rate from 12.9% to 13.8%. However, we think there's some residual seasonality in this series, relating to one component in particular: people who are available for work but not actively looking. In that case, we could see a substantial pullback in the underutilisation measure this time.

Previously we've characterised the labour market as a "low-fire, low-hire" environment, with much of the rise in unemployment reflecting the difficulty of breaking into the workforce, rather than job losses. There are some signs of a thaw emerging, with job vacancies picking up from their lows over the last year and business surveys pointing to a lift in hiring intentions. But we still expect that it will be a long road to recovery – our current forecasts see the unemployment rate at 5% by the end of next year.

While cost-of-living pressures are again rearing their head as a major concern for workers, the existing degree of slack in the labour market will continue to make it difficult for them to push for bigger pay increases. We expect a 0.5% rise in the Labour Cost Index (LCI) for the September quarter, which would nudge the annual growth rate up slightly to 2.1%. That said, we don't have a lot to go on for this forecast. The MEI includes a measure of median weekly earnings, which has shown no sign of acceleration so far – but this is only a very loose indicator of wage pressures, as it will also reflect any changes in the composition of jobs and pay rates.

Labour Cost Index



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Westpac Banking Corporation.

First Impressions: NZ Consumers Price Index Q3 2026 and change of OCR call

#inflation #newzealand

By Satish Ranchhod
Senior Economist, Westpac NZ

09:19 October 22 2026

Share

Consumer prices rose 0.7% in the September quarter and 3.7% y/y. Core inflation pressures are elevated and market pricing is primed for a 25bp OCR hike next week, which we now expect.

Consumers Price Index, September quarter 2026 – key stats

Headline inflation

Quarterly change: +0.7% (prev: +1.5%)

Westpac forecast: +0.7%

RBNZ: +0.8%

Market median: +0.8%, range +0.5% to +1.2%

Annual change: +3.7% (prev: +4.1%)

Westpac forecast: +3.7%, RBNZ: +3.9%, Market: +3.8%

Non-tradables

Quarterly change: +1.0% (prev: +0.6%)

Westpac forecast: +1.3%

Annual change: +3.3% (prev: +3.4%)

Tradables

Quarterly change: +0.2% (prev: +2.7%)

Westpac forecast: -0.2%

Annual change: +4.3% (prev: +4.9%)

Consumer prices rose 0.7% in the September quarter. That saw the annual inflation rate easing to 3.7%, down from 4.1% in the year to June.

Today's result was in line with our forecast, but lower than the RBNZ's forecast for 3.9% annual inflation.

However, under the surface, the details were more concerning. Measure of core inflation have taken a step higher, with several closely watched measures now at or slightly above the top of the RBNZ's target band.

We suspect that today's result will leave the market continuing to price a strong chance of another OCR hike at next Wednesday's policy review. In that light, we think the RBNZ will regard this as the path of least resistance, and we now expect that they will deliver (previously we expected that they would pause and assess, before hiking at the December MPS).

What contributed to inflation in the September quarter?

Underpinning September's 0.7% rise in consumer prices were some big price movements in both directions.

The largest move in prices this quarter was actually a sharp fall in fuel costs. Fuel prices aren't low by any stretch of the imagination. However, average prices for both petrol and diesel over the September quarter were lower than in the June quarter when prices rocketed higher in the wake of the Middle East

conflict. In terms of specifics, the average price for 91 unleaded was 6.5% lower in September than in the June quarter, while diesel prices were close to 16% lower. Those moves took 0.4ppts off inflation this quarter.

While prices at the pump weren't as high as they were in the June quarter, fuel costs are still painfully high. And that's been bleeding through into higher prices for other goods and services. Of note, the September quarter saw large increases in passenger transport costs, with international airfares up 14% and domestic airfares up nearly 8%.

The September quarter also saw the annual increases in local council rates (up 6.2%) and charges for services like water supply (up 7.5%). That continues the run of large increases seen in recent years.

Lastly, the past few months saw a 1.0% rise in food prices, largely as a result of the seasonal rise in prices for fresh vegetables.

On the downside, we've seen continued softness in housing rents, which are the largest component of the CPI, accounting for 11.2% of the basket. With low population growth and ample supply, rents were flat in the September quarter and have effectively been flat since the start of this year. In annual terms, rental inflation is the lowest it's been in more than two decades, with regions like Wellington seeing outright falls.

Annual and core inflation

The annual inflation rate dropped back to 3.7% in the September quarter, down from 4.1% in the year to June and the highest level in two years.

Looking under the surface, prices in the domestically oriented non-tradables group rose 1.0% over the quarter, less than expected. That saw annual non-tradables inflation nudging down to 3.3% (from 3.4% in the year to June).

Non-tradables inflation has continued to run at above-average rates over the past year. That's despite the softness in economic growth and the labour market. In large part, that's due to the continued sizeable increases in administered prices, such as electricity charges which rose 9.3% over the past year.

However, prices in other areas have also been firm. Non-tradables excluding housing and utilities costs (which also omits local council rates) was 3.4% for the year. In seasonally adjusted terms, quarterly non-tradables inflation has been tracking around 0.8% for most of the past year. It was noted that in sectors like construction, higher materials costs are adding to prices. Feedback from business we've heard indicates that those higher materials costs are likely related to high oil prices.

On the imported front, lower fuel costs saw tradable prices rising by just 0.2% over the September quarter (though above our forecast for a small fall). That saw annual tradables inflation dropping back to 4.3%, down sharply from the 4.9% rise in the year to June.

While fuel costs have been a key driver for tradables inflation, under the surface, other imported inflation pressures are looking firm. Excluding food and fuel costs, tradables prices were up 2.7% over the past year. That's the highest level in three years.

With big swings in fuel costs, and concern that this is spilling over into operating costs more generally, a key focus for the RBNZ is what's been happening to measures of core inflation (which smooth through quarter-to-quarter swings in individual prices and instead track the underlying trend in

inflation).

On this front we did some see worrying signs. Several closely watched measures of core inflation have picked up, and now sit at the top of (or slightly above) the RBNZ target band. In terms of specifics, we saw:

- CPI ex-fuel inflation: +3.0% yr (vs +2.9% previously)
- CPI ex-fuel and food: 3.2% yr (vs +2.9% previously)
- CPI ex-fuel, food and household energy: +2.9% yr (vs +2.5% previously)
- 30% trimmed mean: +3.0% (vs +2.6% previously)
- Weighted median: +3.1% (vs +2.7% previously)

Reinforcing this picture of firm underlying inflation pressures, a growing number of goods have been increasing in price. That could be an early indication that businesses, even those with a limited exposure to fuel costs, are starting to factor in expectations of continued high inflation when setting prices.

Outlook

While today's result was lower than the RBNZ assumed in their September MPS projections, the firmness in core inflation will give the RBNZ pause for thought ahead of their policy review on 28 October. Furthermore, with a sharp rise in petrol prices in recent weeks, September's easing in annual inflation is likely to be just a temporary reprieve. We expect headline inflation to reaccelerate back over 4% before the end of this year, and it's set to remain above the RBNZ's current forecast for most of 2027.

Market pricing and views have coalesced around an October hike which we now suspect the MPC will see as the path of least resistance. Core inflation measures are now close to or above 3%, which will add fuel to arguments from the MPC hawks. We will have more detail in our MPR Preview later today, including on the implications for the shape of the tightening cycle moving forward.

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Q3 China GDP above expectations, but downside risks remain

#china #asia #aud

By Elliot Clarke
Head of International Economics, Westpac

16:03 October 19 2026

Share

Stimulus is required if success in 2026 is to be sustained through 2027 and 2028.

China GDP surprised to the upside in Q3 2026, quarterly growth accelerating from 0.9% in Q2 to 1.2% in Q3. Annual growth lifted from 4.3% to 4.5% as a result; though, on a year-to-date basis, growth edged down 0.1ppts to 4.6%. The Q3 result keeps authorities on track to achieve their 4.5-5.0%ytd ambition for 2026, and also provides a little more time to accelerate domestic demand into 2027.

Broad-based stimulus is required because net exports' contribution to growth will likely abate in coming quarters now that the trade surplus is back at record highs, and as many Chinese firms are increasingly splitting their focus between expanding domestic capacity and offshore production networks.

While annual retail sales growth accelerated from 0.4% to 1.1% in September, the Q3 year-to-date growth pulse of 1.1% is just a quarter of the gain reported a year ago. Automobiles, construction materials and jewellery have been particular heavy detractors over the past year, but most of the other sub-categories also lack momentum. As we detailed in our September Market Outlook, this is not because households are cash constrained, but rather as sentiment is extremely weak and the outlook for employment and wealth highly uncertain. Key for wealth is that house prices for new and established homes continue to decline month-on-month (respectively 0.1% and 0.3% in September) five years into the downturn. Property investment's ongoing decline (-20.6%ytd) suggests this persistent weakness in sales and prices is demand driven.

While total fixed asset investment has been an outright negative for annual GDP growth since April, a recovery is not beyond either the public or private sector's capacity. Rather, across the economy, entities are waiting for direction and incentive from the Central Government. This is likely to come by early-2027 to offset the loss of support from trade, and as downside risks to global growth become more apparent. Helpfully, industrial production continues to grow at a robust pace, 5.3%ytd, borrowing rates for businesses and households are low, and authorities are beginning to provide banks with additional lending capacity. For larger businesses, anecdotes suggest officials are also encouraging major institutional investors to increase their structural allocation to domestic equities, building lasting appetite for new equity issuance, which in turn will fund future waves of real economic capacity and income generation.

We remain comfortable with the view that Chinese GDP growth will hold at or slightly above 4.5% through 2026–2028. But, the longer the Central Government waits to trigger new real investment across both the private and public sectors, the higher the likelihood of poor sentiment becoming entrenched and downside risks crystallising. If authorities wait until after net exports' contribution has faded, even holding annual aggregate growth above 4.0% could become a significant challenge. For this reason, we expect material stimulus initiatives to be announced in the next 3 to 6 months to reset the property sector and turn the business investment trend.

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1 October 2026

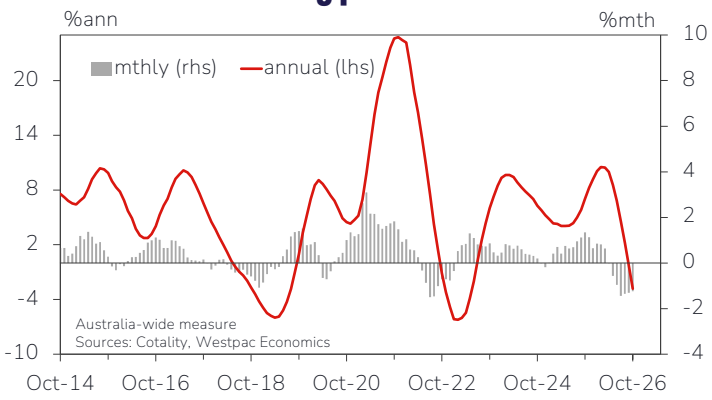
AUSTRALIAN DWELLING PRICES BULLETIN

Sea of red

Key points

- The Cotality home value index – covering all of Australia – fell 1.2% in October following a 1.3% decline in September and 1.4% falls in August and July. Annual growth has turned negative, running at –2.8%yr with prices down 6.7% from their peak in March.
- Across the major cities, Brisbane and Perth led the declines in the October month, recording falls of 2.0% and 1.7% respectively, but the correction remains more pronounced in Sydney (prices down a further 1.6%mth to be off 9.4%yr) with Melbourne also off more sharply over the year (–7.6%yr) but recording a milder October (–0.8%mth). Adelaide remains relatively resilient, recording a 1.2% decline in the month but prices still up 3.7%yr.
- Preliminary estimates show the number of sales, in rolling 3mth terms, down 5.6%qtr and 22.5%yr.

Australian dwelling prices



Oct Cotality home value index: –1.2%mth; –2.8%yr

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Housing downturn deepens

Matthew Hassan
Head of Australian Macro–Forecasting

The Cotality home value index, covering all of Australia, fell 1.2% in October with slight revisions to previous months again shaving a further 0.3% off prices. The correction has now seen prices decline 6.7% from their March peak with annual growth firmly in negative at –2.8%yr. Turnover continues fall as well, down 22.5%yr. Housing-related tax policy changes, interest rate rises and heightened uncertainty have triggered a sharp contraction in markets.

The downturn is now comparable to the previous two housing market corrections. Nationally, the downturn in 2022-23 saw prices decline 7.5% and turnover fall 29% peak to trough. The 2017-18 correction saw prices fall 8.6% and turnover by 24%, with larger falls in Sydney and Melbourne.

Note that unless specified, figures in titles, tables and commentary are in non-seasonally adjusted terms, consistent with the 'headline' figures reported by Cotality. However, figures shown in charts are in seasonally adjusted terms.

Preliminary estimates of turnover show rolling 3mth volumes down 5.6%qtr in October, previous estimates again revised lower. The monthly pattern suggests declines re-accelerated through September-October after stabilising somewhat in July-August. The RBA's interest rate rise in late September and a further expected tightening likely contributed to the shift.

The detail shows Brisbane and Perth are now leading the way in terms of monthly price declines although corrections to date remain significantly larger in Sydney and Melbourne while smaller capitals and regional areas continue to see much milder downturns. Across price tiers, all segments are now showing similar rates of decline after top price tiers had seen a more pronounced and earlier downturn. 'Top tier' segments have tended to lead recent price cycles.

Looking across jurisdictions,

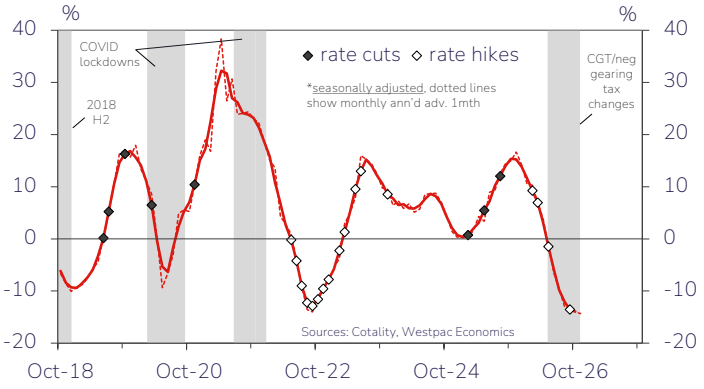
- **Sydney** prices dropped 1.6% in October having averaged similar-sized declines over the previous five months. While all segments and tiers continue to record falls, the last few months has seen the pace of decline moderate a touch in the top tier segments that have led cycles in the past, although they are still a long way from stabilisation.
- **Melbourne** prices declined 0.8%mth, in line with September's move and continuing the slower pace of retreat. As noted, this likely reflects the weaker starting point coming into the correction, prices already at 5½ year lows. Interestingly, the detail shows the moderation in price declines in recent months has been more pronounced for 'top tier' units where prices are back where they were in 2016.

Cotality home value index: October 2026

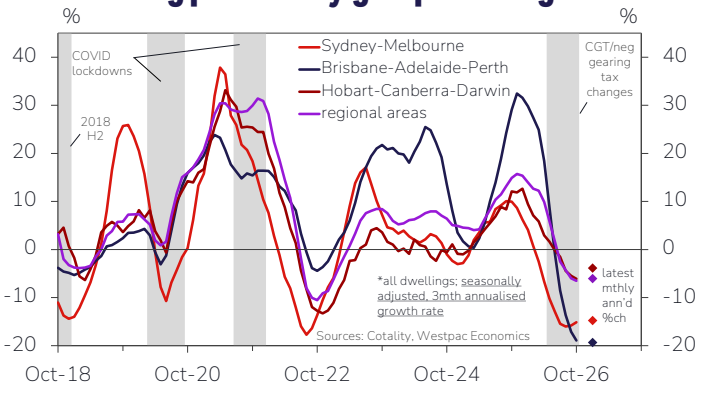
	%mth				%ann			
	Jul	Aug	Sep	Oct	Jul	Aug	Sep	Oct
Australia*	**–1.4**	**–1.4**	**–1.3**	**–1.2**	**4.6**	**2.2**	**–0.3**	**–2.8**
seas. adjusted	–1.2	–1.2	–1.2	–1.3	4.6	2.2	–0.2	–2.8
– houses	–1.5	–1.5	–1.4	–1.4	5.0	2.4	–0.3	–3.0
– units	–1.2	–0.9	–1.1	–0.8	3.0	1.4	–0.4	–2.2
Major capital cities								
Sydney	–1.9	–1.6	–1.5	–1.6	–2.3	–4.8	–7.1	–9.4
Melbourne	–1.5	–1.2	–0.8	–0.8	–2.9	–4.6	–6.1	–7.6
Brisbane	–1.8	–2.1	–2.1	–2.0	13.0	8.9	4.7	0.4
Adelaide	–0.3	–1.0	–1.7	–1.2	10.9	9.1	6.3	3.7
Perth	–1.9	–2.0	–2.1	–1.7	17.9	13.8	8.8	3.9
Turnover^	**–8.4**	**–8.9**	**–5.8**	**–5.6**	**–18.2**	**–19.6**	**–20.2**	**–22.5**

* Australia–wide measure, covering both capital cities and regional areas.
Sources: Cotality, Westpac Economics.
^ rolling 3mth total, %3mth and %ann ch, seasonally adjusted by Westpac.

Australian dwelling prices: 3mth ann'd



Dwelling prices: city groups and regional areas



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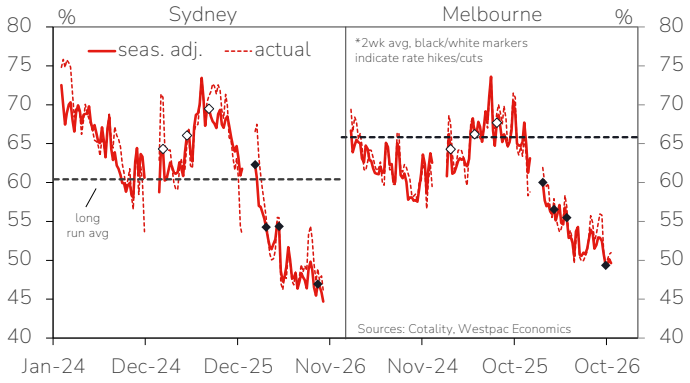
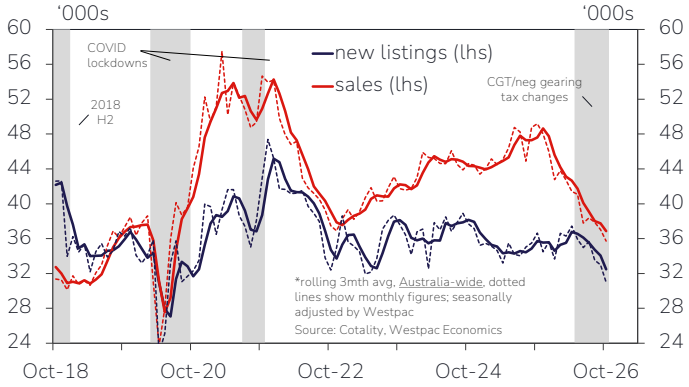
- **Brisbane** prices are tracking a very fast rate of decline that is also seeing large downward revisions. Prices fall 2% in October with September and August now both showing 2.1% falls, revised down from 1.5% and 1.6% respectively (August having previously been estimated at just 1%, July's move having seen a similar series of revisions –1.2% to –1.8%). The combined effect has taken the rolling 3mth change to –6.1%qtr from –4.7%qtr last months and –2.7%qtr in August and –0.6%qtr in July. At 0.4%yr, annual price growth has virtually stalled flat having run at 18%yr as recently as May. All tiers and segments are recording similar rates of decline.
- **Perth** is seeing something very similar, prices dropping a further 1.7% in October, with September's decline revised down to 2.1% from –1.2% and August's to 2.0% from –1.7%. At 3.9%yr, annual growth is still positive but off steeply from the 24% pace back in May. As with Brisbane, all tiers and segments are recording similar rates of decline.
- **Adelaide** dwelling prices posted a somewhat milder 1.2% decline in October, , September's –1.3% decline marked down to –1.7%. Annual price growth slowed to 3.7%yr, similar to Perth's but with less of a whiplash from strong gains to large declines. Turnover has also been much steadier, sales holding flat over the last three months and down just 12.4%yr.
- The smaller capitals were again more mixed, price growth still positive in Darwin (0.6%mth, 9.7%yr), relatively resilient in Hobart (+0.5%mth, 5.5%yr) but weaker in Canberra (–0.7%mth, –3.7%yr).
- **Regional markets** showed a 0.9% decline in Qld but slightly milder declines in NSW (–0.7%) and Victoria (0.6%). Annual prices growth is in the 1.4-3.5%yr range.

All up, the October updates make for bleak reading. With the RBA widely expected to raise interest rates again, the near term outlook remains very challenging. Next week's consumer sentiment update will show how this is shaping housing-related sentiment – so far, consumer price expectations have weakened but stopped short of swinging to the clear negative consensus that emerged in the 2022-23 correction. That now looks to be at risk. Either way, momentum looks set to remain weak into year-end and, barring a significantly improved inflation and interest rate outlook, well into 2027.

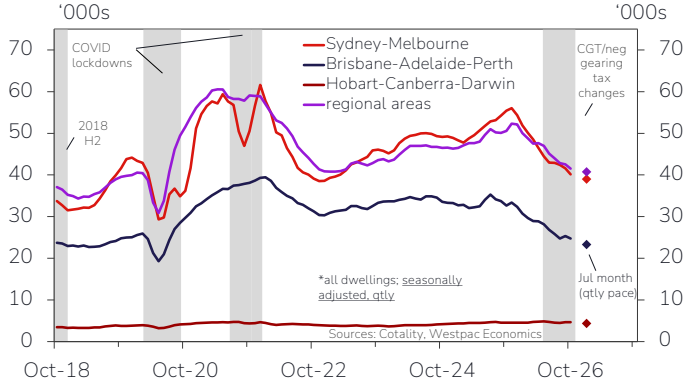
Auction clearance rates



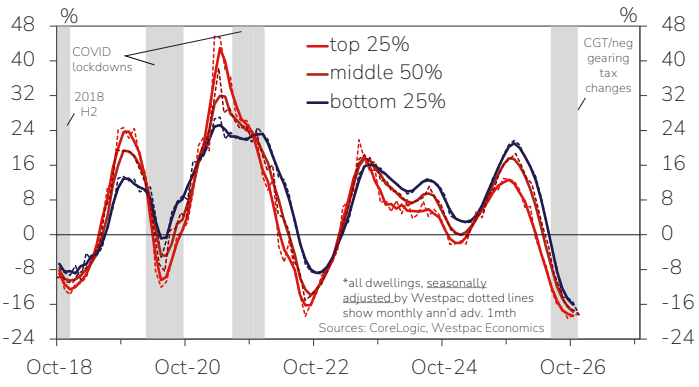
Australian dwellings: sales and listings



Dwelling sales: city groups and regional areas



Australian dwelling prices: price tiers



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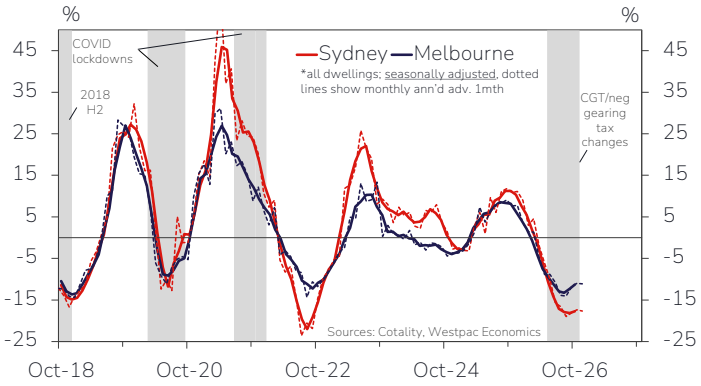
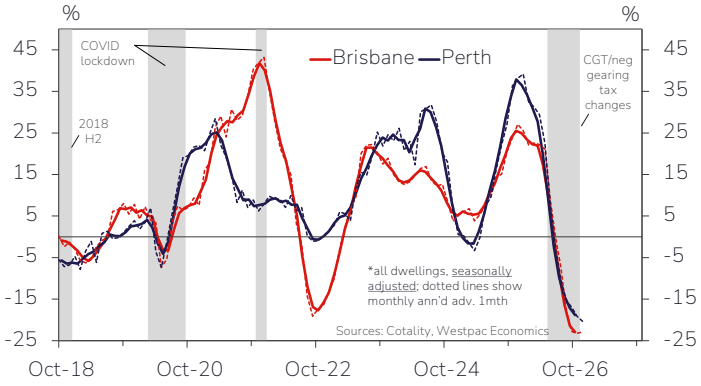
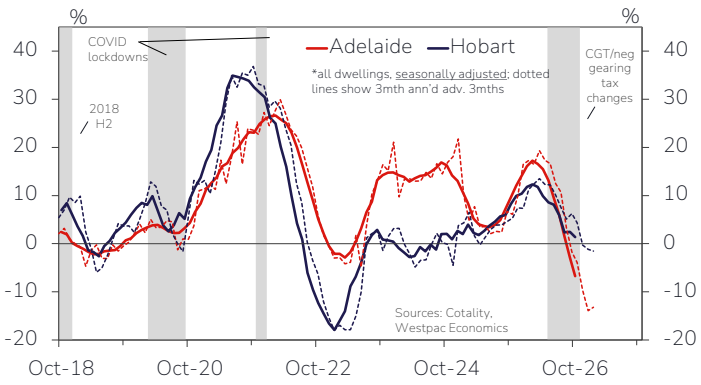
Sydney, Melbourne dwelling prices: 3mth ann'd



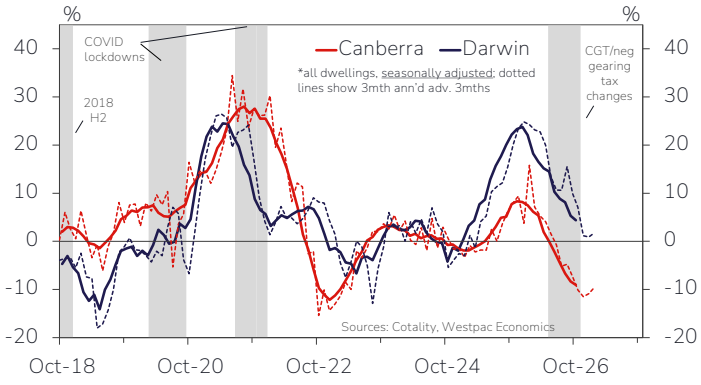
Brisbane, Perth dwelling prices: 3mth ann'd



Adelaide, Hobart dwelling prices: 6mth ann'd



Canberra, Darwin dwelling prices: 6mth ann'd



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The FOMC pause to reflect

#fomc #usd #us

By Elliot Clarke
Head of International Economics, Westpac

08:14 October 29 2026

Share

No change in October, though confidence in the economy's strength and two dissents point to a hike in December.

The FOMC held at their October meeting, albeit with two dissents, Governor Cook and Cleveland Fed President Hammack preferring to hike by 25bps at this meeting. The statement was short and, in the press conference, Chair Warsh again declined to provide definitive guidance on the near-term policy

outlook.

The Committee remains positive on economic activity, characterising it in the statement as “expanding at a strong pace” (an upgrade from “solid” in September). Despite elevated uncertainty, “domestic spending has been resilient”, underpinned by “strong” productivity growth and “robust” capital investment. Chair Warsh subsequently also emphasised the breadth of economic growth outside of tech-related investment. Labour demand and supply were represented as balanced and resilient in both the statement and press conference.

The Committee refrained from spotlighting key price risks in the statement. However, inflation “remains elevated” and the FOMC are determined to achieve a “timely” and sustainable return of annual consumer inflation to 2.0%yr after 6 years above target.

Along with the two dissents, this guidance and the “accumulation of more information will help the Committee determine the policy stance” suggests another 25bp hike is likely in December. Thereafter, the FOMC will remain attentive to any broadening in inflation and related risks through 2027.

Towards the end of the press conference, Chair Warsh also announced a structural change in the FOMC schedule. While there will still be 8 meetings in 2027, a meeting in the fall will focus on monetary policy strategy versus the current stance of monetary policy. Chair Warsh then intends for 2 of the 8 meetings in 2028 to have this strategy focus. If realised, this will see the FOMC review and vote on the current stance of monetary policy just 6 times per calendar year from 2028.

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ECONOMIC BULLETIN

Preview of 2026 General Election.

27 Oct 2026 | **Westpac Economics Team** | **westpac.co.nz/economics** | economics@westpac.co.nz
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- **Polling points to a very close and unusually fragmented election, with the outcome likely to depend on the performance of the Opportunity Party and whether any party achieves "overhang" seats.**
- **While either Labour or National will lead the next government, minor parties are likely to have unprecedented representation in the next government. This makes it harder to assess the mix of policies that will emerge from coalition negotiations.**
- **Compared to the status quo, a returned National-led government with stronger ACT and NZ First representation may be more aggressive on some combination of expenditure restraint, welfare and immigration, resource development and deregulation.**
- **A Labour-Green-Opportunity administration would probably deliver more public-service and social investment, a broader tax base, stronger climate and labour regulation and likely greater borrowing for infrastructure. A centre-left government may find it hard to resist pressure to lift public service salaries and the minimum wage in response to fuel-driven inflation.**
- **The fiscal starting point acts as a constraint: the PREFU projects that OBEGALx will remain in deficit until 2028/29 and achieving that outcome will require exceptional spending control in the current environment.**
- **Whichever government is elected will need to make hard trade-offs, or raise additional revenue or debt. The latter will be costly with global investors requiring higher interest rates to fund government (and other) debt.**
- **A key non-fiscal outcome of a change in government would likely be the implementation of the Labour Party's proposal to restore the RBNZ's dual inflation-employment mandate.**

The election appears close, but the bigger story is fragmentation.

New Zealand goes to the ballot box on 7 November (although advance voting started on 26 October). The campaign is taking place against a mixed economic backdrop: activity has recovered somewhat, but households remain sensitive to high living costs and a weak housing market; the fiscal accounts have improved relative to the Budget but still show deficits until 2028/29. That combination gives the various parties room to argue about priorities, but little room to avoid difficult trade-offs. Additional spending – which may be difficult to avoid in the current environment – will require either additional revenue or a willingness to accept additional debt issuance at a time when international investors are seeking greater compensation to fund government debt (and other).

The striking feature of this campaign is the reduced dominance of the two major parties. Across the major polls, neither traditional centre-left or centre-right blocs can be confident of governing alone, and the composition of the minor-party vote will determine both who governs and how. Because the Opportunity Party sits near the threshold, a movement of only a few tenths of a percentage point could alter the allocation of several seats. In addition, any "overhang" created by Te Pāti Māori or the National Party winning more electorates than their party vote entitlement could also move the majority line above the usual 61 seats.

Together with uncertainty about voter turnout – especially considering changes in voter registration rules – the outcome of this General Election is difficult to call. With major-party support unusually low and the minor parties offering distinct, sometimes internally conflicting programmes, the shape of the next government will be determined not only at the ballot box on 7 November, but at the negotiating table afterwards. Moreover, if the results are especially tight, the outcome may not be clear until sometime after the official results are declared on 27 November. And a hung parliament – where neither the centre-left nor centre-right bloc can command a majority – cannot be entirely ruled out either.

How New Zealand's electoral system works.

New Zealand's electoral system uses Mixed Member Proportional representation (or MMP). Voters receive two votes: an electorate vote for a local candidate and a party vote for a political party. The electorate candidate with the most votes wins the local seat. The party vote is the main determinant of each qualifying party's overall representation in Parliament.

Parliament normally has 120 seats. For the 2026 election there are 71 electorates, comprising 64 general electorates and seven Māori electorates, with the remaining seats ordinarily filled from party lists. A party qualifies for proportional representation by receiving at least 5% of the nationwide party vote or winning an electorate seat. List MPs are then added to electorate MPs so that each qualifying party's total representation broadly matches its party-vote share.

An overhang arises when a party wins more electorate seats than its party vote would otherwise entitle it to. The party keeps those seats and Parliament expands, which can raise the number required for a majority. Government formation is separate from the allocation of seats: a grouping must demonstrate that it can command confidence in the House and pass supply. That can be achieved through a formal coalition, a confidence-and-supply agreement, or other support arrangements. The largest party is not automatically guaranteed office and minority governments are possible (e.g. although the National Party secured more than 44% of the vote in the 2017 election, a minority Labour Party-NZ First coalition was formed, supported by a confidence-and-supply arrangement with the Green Party).

The overhang risk is unusually important in 2026 because current polling leaves both blocs close to, but often short of, a majority. In addition, the fragmentation of the electorate increases the risk that one of the major parties wins more electorates than implied by its party-vote entitlement. This is in addition to the likelihood that Te Pāti Māori will achieve an overhang given that it is running an "electorate vote only" campaign and so asking its supporters to cast their party votes for other left-leaning parties. Each additional overhang seat expands Parliament and so lifts the threshold needed to command a majority.

The direction of the effect depends on which party creates the overhang. Extra Te Pāti Māori electorate seats would add MPs aligned more naturally with a Labour-Green administration and could make Te Pāti Māori support or abstention more consequential. A National overhang would add seats on the right and could improve the arithmetic for a National-ACT-NZ First government. Under the latest RNZ-Reid Research projection, for example, an overhang would arise if National won more than 32 electorates or Te Pāti Māori won more than two.

This makes the party vote strategically important and explains the focus on Opportunity's threshold position. A vote share just below 5% would produce no list seats unless the party won an electorate (which based on limited polling presently seems unlikely). A result just above 5% would give it a parliamentary caucus large enough, on current polling, to become the "kingmaker" and decide which side can form a government. While the Opportunity Party says that it could work with either a centre-left or centre-right government, as detailed in the appendix its broad policy platform might imply that it more naturally aligns with the centre-left.

What the polls imply.

Kiwipoll's six-poll tracker, last updated on 20 October, put Labour on 27.9% and National on 28.7% - a gap of just 0.8 percentage points. More strikingly, the two major parties together attracted only 56.6%. The central message across all polls is therefore fragmentation: neither major party is close to governing alone, and almost half of the represented vote is distributed among parties that would shape the terms of any governing arrangement.

On that average, the balance between the established blocs is also extremely narrow. The model associated with the tracker assigned 56 seats to Labour, the Greens and Te Pāti Māori, and 61 to National, ACT and New Zealand First. Neither side reached a majority in a presumed 124-seat parliament. Opportunity's average support of 6.2% translated into seven seats, enough to take either bloc to the 63-seat threshold needed for a majority. The average therefore implies that the identity of the largest party may matter less than whether Opportunity remains above 5% and which grouping it is prepared to support.

This is not simply a close two-bloc contest. The polling average also suggests that the minor parties would enter negotiations with unusually large leverage. The Greens, ACT and New Zealand First would consequently have more scope than usual to influence tax, expenditure, regulation, immigration and resource policy, or the allocation of Cabinet positions, making it harder to determine the likely form of a final coalition agreement.

That said, the leverage that these parties can apply on their major party coalition partner is limited. The Green Party cannot credibly threaten that it would form an alternative coalition with the National Party. And neither could ACT or NZ First credibly threaten to form an alternative coalition with the Labour Party (while NZ First has worked with the Labour Party in the past, it has ruled out doing so on this occasion). Moreover, it is possible that minor parties would be punished by the electorate if a failure to form a government necessitated a second general election, especially if the minor parties were perceived to have made unreasonable demands or if the electorate simply refocused on establishing a workable parliamentary majority.

The Opportunity Party is the pivotal uncertainty because its average position is above the threshold, but not far above it. A result modestly below 5%, without an electorate victory, would remove its votes from the seat allocation and substantially change the arithmetic, favouring the centre-right bloc. A result around its recent 6% polling average (or higher) would make the party central to government formation.

Formally, National has ruled out working with Opportunity, due to its objection to the latter's tax policy. For its part, Opportunity has said that it would talk first to the party with the most seats, which on present polling could be either Labour or National. However, as noted previously, given Opportunity's policy orientation, it seems more likely that it would ultimately join a centre-left coalition than a centre-right coalition.

To summarise, the bloc contest is close, and the route to a majority depends on threshold and electorate outcomes that remain uncertain. With that in mind, we think that the following two scenarios are the most likely outcomes of the election.

Scenario one: a returned centre-right government, with greater minor party representation.

The first scenario is that the existing coalition is returned, albeit with the minor parties gaining strength and thus additional leeway to pursue their policy agendas. We assume that the coalition is not dependent on the Opportunity Party to govern, which would be more likely to occur if the latter fell marginally short of the party vote 5% threshold needed to enter parliament in the first place.

A renewed National-led government would begin with considerable continuity. National's fiscal plan retains the current coalition's focus on restoring surplus, reducing debt as a share of GDP, keeping new spending constrained and making greater use of planning reform and private capital. It projects an OBEGALx surplus of $4 billion in 2028/29, with net core Crown debt peaking at 43.9% of GDP in 2027/28 and falling to 39.5% by 2030/31. National has ruled out new tax cuts during the next term, saying tax relief should wait until the books are back in surplus and surpluses are growing. But a coalition in which ACT and New Zealand First held a larger share of seats would be different from the current more National-dominated administration. Unless its vote share is particularly low, National would almost certainly still provide the Prime Minister (sharing the role with NZ First and ACT in the context of a three-year electoral term seems quite unlikely – the latter will likely share the Deputy role as they have in the current term). The three parties share a common fiscal framework at the macro level. However, National would have less ability to defer or dilute its partners' priorities.

Fiscal policy and the size of government.

ACT would press for a faster and deeper reduction in the state's footprint. Its fiscal plan proposes cutting $9.5bn across the forecast horizon from spending outside welfare and protected frontline services, reducing future operating allowances by $400m a year to $2.0bn, and moving non-welfare spending back towards 2017 real per-capita levels. ACT says this would lower debt by $12.4bn by 2031 relative to current forecasts. It also proposes consolidating government into 19 departments and 18 ministers.

On its own, that agenda would pull a renewed government beyond National's more incremental expenditure control. Coalition negotiations would likely turn on the pace of implementation and the definition of protected frontline services. The economic effect would depend on whether savings represented genuine efficiency gains or reductions in service capacity and transfers. In the near term, a faster consolidation could subtract from demand, while lower debt issuance and a smaller structural deficit would strengthen the fiscal buffer.

However, New Zealand First would push in a different direction. Its programme combines selective tax relief with active government intervention, regional grants and strategic ownership. The tension within the coalition would therefore not simply be between 'more' and 'less' government. ACT would seek a smaller and more market-oriented state; New Zealand First would accept a larger role where it supported national ownership, regions, families or strategic industries. New Zealand First's proposal to reduce the corporate tax rate for SME's to 20% (from 28%) may well be accepted by its coalition partners during coalition negotiations – possibly phased in over time – and would certainly be much cheaper than the fiscal cost of some other policies promoted by the party (notably compensating employees for higher compulsory Kiwisaver contributions and the nationalisation of the Bank of New Zealand).

Tax, welfare and retirement.

ACT's longer-run objective is a lower and flatter tax system. Its immediate plan removes tax on qualifying KiwiSaver investment earnings, ends the government KiwiSaver contribution and returns net Emissions Trading Scheme auction revenue to households through a carbon-tax refund. Broader tax relief is deferred until the books are balanced. ACT would raise the NZ Super eligibility age by three months a year to 67 by 2035, while allowing compassionate early access for people with long careers in physically demanding work. It would also pause contributions to the NZ Super Fund.

On welfare, ACT proposes tighter medical certification and reassessment for disability-related benefits, a five-year stand-down before migrants can access welfare, and lower spending outside protected services. NZ First would add its own eligibility restrictions, including limiting NZ Super to citizens from 2029, while proposing compulsory KiwiSaver enrolment from birth and a Crown contribution. These policies would create difficult design questions around transitional arrangements, hardship and administration, but the broad direction would be towards tighter eligibility and stronger conditionality.

Regulation, resources and labour markets.

A stronger ACT-NZ First presence would reinforce deregulation in planning, employment and resource development. ACT would seek property-rights-based planning law, easier dismissal, a three-year minimum wage freeze, a lower training wage for workers under 20 and removal of Te Mana o te Wai from consenting. It would repeal the Zero Carbon Act. National's own RMA replacement and fast-track agenda would provide substantial common ground.

NZ First would push more directly for regional and strategic development: a special economic zone at Marsden Point, offshore oil and gas surveying, expanded mineral development, and the return of 50% of mining royalties to producing regions. It also proposes breaking up the power gentailers and has advocated bringing a major bank back into New Zealand public ownership. Both the National Party and NZ First have policies that aim to force additional competition in the supermarket sector, but these are opposed by the ACT Party. Nonetheless, the result could be a government that is simultaneously more deregulatory in consenting and more interventionist in ownership and competition policy.

Immigration would also tighten. ACT proposes annually reviewed work-visa categories, a Rural Workforce Visa, stronger overstayer enforcement and physical-presence requirements for permanent residents. NZ First proposes replacing the Accredited Employer Work Visa with a shortage-led Skilled Work Visa and holding a referendum on a 20,000 annual cap on resident visas. National's more skills-focused approach would be under pressure from both partners to place greater weight on enforcement, settlement obligations and lower aggregate inflows.

Scenario two: Labour and the Greens, supported by Opportunity.

The second main scenario that we view as likely is a Labour Party-led coalition with the Green Party, with the Opportunity Party supporting either inside the coalition or via a confidence-and-supply arrangement. Depending on precise outcome of the election, a confidence-and-supply arrangement may also be required with Te Pāti Māori to secure the necessary parliamentary majority.

A Labour-led alternative would represent a clearer break with the current policy direction, but the size of that break would depend on the success of the minor partners in embedding their policies in the coalition agreement.

For its part, the Labour Party would aim to restore and expand selected public services while remaining inside its published fiscal framework. Its plan retains a $2.4 billion operating allowance for each Budget, targets an OBEGAL surplus in 2028/29 and seeks to reduce net debt below 20% of GDP over time. It would introduce a 28% capital gains tax on post-1 July 2027 gains from investment residential and commercial property, with major exemptions, and use the revenue to help fund health initiatives.

Labour's central commitments include free prescriptions, three free doctors' visits, additional screening and maternity services, 6,000 additional state houses, public-transport fare caps, expanded apprenticeships, a care-worker pay increase and partial reversal of planned public-service cuts.

It would also restore the Reserve Bank's dual price-stability and maximum-sustainable-employment mandate. As we have **discussed in detail in a previous note**, in the current environment – dominated by supply shocks – the return of the dual mandate could mean that the RBNZ is prepared to accommodate a slower return of inflation to target to reduce the impact on employment.

The Greens would shift the centre of gravity.

A strong representation of Green Party ministers in the Cabinet would seek to move a coalition further on redistribution, public ownership, housing and climate policy. The party's tax programme includes a 2.5% wealth tax on net assets above $10 million excluding the family home, a capital-acquisitions tax above $1 million with exemptions, a 45% top personal rate, a higher company tax rate for the largest firms, and a levy on large banks. The stated objective is to raise about $5.1 billion net and shift the tax burden from wages towards wealth and large corporations.

These taxes are needed to finance the Green Party's extensive promises on spending (see below). Formally, the Labour Party has explicitly ruled out supporting the Green Party's tax policies to secure a Labour Party-led coalition. Whether that pre-election commitment would be reversed after the election is a matter of conjecture.

On spending and ownership, the Green Party proposes free dental care and public transport, stronger income support, expanded school lunches, more public housing, a publicly owned renewable-energy entity and the acquisition of supermarket stores to establish KiwiMart. A centre-left government, especially with strong Green Party representation, may find it harder to resist pressure to lift public service salaries and the minimum wage in response to fuel-driven inflation. Relative to PREFU forecasts, this would imply additional expenditure that would need to be met with either additional sources of revenue or additional debt issuance.

Labour would resist parts of this agenda on cost, implementation risk and fiscal credibility. The most likely coalition bargain would therefore be a narrower set of high-priority Green Party reforms, financed by some combination of new revenue, reprioritisation and the available Budget allowances.

The regulatory direction would be unambiguously stronger. Labour and the Greens overlap on restoring pay equity (which was not explicitly budgeted for in Labour's fiscal plan), strengthening worker protections, improving rental standards, expanding public housing and using government more actively in markets with weak competition. Climate, freshwater and biodiversity rules would tighten relative to the current government, and mining on conservation land would face much greater barriers.

Opportunity's role, potentially outside Cabinet.

Opportunity could support a Labour-Green government, either directly joining the coalition or through a confidence-and-supply agreement. While the former would give Opportunity seats at the Cabinet table, the latter arrangement would let the party retain a distinct identity, trading reliable support on confidence and budgets for a defined policy programme. It may also provide more scope for the party to "learn the ropes" with less public scrutiny, given that none of its prospective MPs have ever been in Parliament, let alone held Cabinet positions.

Regardless of what form the arrangement takes, Opportunity's landmark policies are neither a simple extension of Labour nor of the Greens. Opportunity proposes a "tax reset", including a land value tax, with a lower rate for rural land, alongside personal income tax rates of 28%, 34% and 39%. The revenue raised would be used to fund a "Citizen's Income" payment to almost all people, which would also replace several current social welfare benefits. That said, Opportunity has conceded that the land tax and Citizen's Income are unlikely to be implemented in the next Parliament given that it will probably be the smallest of the coalition partners.

In negotiations, Opportunity would press for the inclusion of its five bottom lines. These are (1) giving the Commerce Commission more teeth and greater independence to tackle excessive market power in supermarkets and other uncompetitive sectors, (2) regulating lobbying and capping political donations, (3) developing a 10-year plan to "fix the health system" alongside health professionals, with clear commitments on funding, workforce and infrastructure, (4) phasing out bottom trawling, working with industry, iwi and coastal communities to fairly manage the transition, (5) recommitting to Paris Agreement emissions reduction obligations and protecting the Climate Change Commission's independence. Opportunity's other policies include allowing net debt to exceed 50% of GDP if the additional borrowing finances productive infrastructure. It also proposes compulsory KiwiSaver contributions rising to 6% for employees and employers (a policy it shares with National), free public transport, stronger competition enforcement, higher R&D spending and a ten-year cross-party education plan. In a confidence and supply arrangement Opportunity could reserve the right to oppose other legislation it disagrees with, but the arrangement would need sufficiently clear fiscal guardrails to avoid repeated uncertainty over Budgets and concerns about the stability of the Government.

The economic stakes.

The two scenarios imply meaningfully different policy mixes, but neither government would operate without constraints. The current fiscal forecasts already assume a return to surplus and a declining debt ratio later in the forecast period. Delivery depends on tight expenditure control, revenue growth and an economic outlook exposed to oil prices, global interest rates and domestic productivity. Coalition agreements that materially add to operating spending or reduce revenue would need offsetting measures if the party heading the coalition wished to preserve its stated fiscal track.

For monetary policy, the direct institutional contrast is Labour's proposal to restore the Reserve Bank's dual mandate. In practice, the larger near-term influence may come through fiscal demand, labour market regulation, migration and energy policy. A faster fiscal consolidation on the right would tend to reduce demand pressure, while a larger operating spending programme on the left would increase demand pressure. Infrastructure investment is somewhat different: if well selected and delivered, it can lift productive capacity over the medium term, but it can also add to near-term capacity pressure before supply benefits arrive. And given the current interest rate environment, the hurdle that must be crossed to justify raising debt is higher than it has been for years.

Appendix: Selected 2026 election policies.

Policy area	National	Labour
Government spending	Core Crown expenses towards 30% of GDP. Election commitments average $470m a year net outside health cost pressures; $7.5bn of operating funding remains unallocated over four years.	$13.517bn net new operating spending over 2026/27–2030/31; Budget 2027 and subsequent operating allowances held at $2.4bn; almost $10.5bn of future operating allowances unallocated.
Taxation	No new taxes or additional tax cuts during the next term. Retain Investment Boost. Tax relief would be considered only after the books return to surplus and surpluses are growing.	28% CGT on gains accruing after 1 July 2027 from investment residential and commercial property, with stated exemptions; repeal Investment Boost; reverse tobacco-tax reduction; lift GST-registration threshold and introduce a $10,000 instant asset write-off.
Fiscal objectives	OBEGALx surplus of $4bn in 2028/29; net core Crown debt peaks at 43.9% of GDP in 2027/28 and falls to 39.5% by 2030/31; expenses towards 30% of GDP.	Return OBEGAL to surplus in 2028/29; reduce net debt below 20% of GDP over time; keep government spending and revenue sustainable.
Superannuation/ KiwiSaver	Compulsory KiwiSaver; employee and employer contributions rising to 6%+6% by 2032; $1,500 Baby Boost; paid-parental-leave top-up and employer contributions for workers over 65.	No change to NZ Super. Employer KiwiSaver contributions rise to 6% by 2032; 4% default rate; ban total-remuneration contracts and continue employer contributions during employee pauses.
Labour market	47-point small-business plan to reduce compliance costs around hiring, employment disputes and regulation; random drug testing for Jobseeker recipients.	Restore pay-equity legislation; $4/hour care-and-support-worker increase; extend Apprenticeship Boost; $21m a year for Māori-led trades training; reverse part of planned public-service cuts.
Social policy	Extend paid parental leave to 30 weeks; widen First Home Loan access; reduce domestic student-loan repayment rate to 10%; health screening and Pharmac initiatives.	Three free GP visits; free prescriptions, cervical screening and maternity scans; graduate nurse job guarantee; $4/hour care-and-support-worker pay rise; public-transport fare cap and school lunches.
Monetary policy	Retain the Reserve Bank's sole statutory price-stability objective.	Restore the dual mandate: price stability and supporting maximum sustainable employment; retain the operational inflation target.
Education	Require students to remain at school through Year 11; ban screens in early-childhood centres and limit use in Years 1–3; reduce student-loan repayment rate to 10% from April 2027.	Freeze the curriculum and NCEA overhaul; reinstate the former school-lunch model; reduce uniform costs; extend Apprenticeship Boost and Māori trades training; eligible student-loan write-off.
Housing	Widen First Home Loan access to 5% deposits; planning and RMA reform intended to unlock land, infrastructure and housing supply.	6,000 additional state houses; $2.9bn of Kāinga Ora capital funding over four years; investment-property CGT; oppose Kāinga Ora asset sales.
Climate/ environment	Greater emphasis on affordability, energy security and development; targeted conservation funding from the visitor levy; selected fisheries and marine protections.	Solar subsidies and low-interest loan schemes and more public investment in the climate transition; tighter environmental settings than the current government.
Regional development	City and Regional Deals, infrastructure and water-storage investment; regional growth through planning reform and tourism/conservation funding.	Future Fund and capital allowances for housing, hospitals, schools and infrastructure; Māori employment and procurement initiatives.
Minerals	Support mining and quarrying through fast-track consenting and resource-development policy, subject to current environmental settings.	More cautious approach than the current government, with tighter environmental safeguards; no detailed standalone mining package identified.
Agriculture	Up to $300m in low-cost loans for on-farm water storage; easier consenting and support for irrigation, fertiliser production and rural investment.	Support farm exports while tightening selected environmental settings; Māori trades and procurement support; no detailed standalone agriculture package identified.
Regulation	Replace the RMA with Planning and Natural Environment legislation; fewer consent categories, 17 regional plans, national standards and faster dispute resolution; reduce small-business compliance.	Stronger consumer, labour and environmental rules; restore pay equity; ban price gouging and hidden fees; partial reversal of planned public-service cuts.
Infrastructure	$14.2bn remains unallocated from future capital allowances; planning reform, private capital, Regional Deals, water-storage loans and the Home Energy Fund.	$4.1bn of announced capital commitments within $12bn of future capital allowances, leaving almost $8bn unallocated; includes housing, hospitals, schools and the Future Fund.
Immigration	Continue skills-focused settings and new skilled-residence pathways; tougher enforcement for serious offending and migrant exploitation.	Double the qualifying period for permanent residence from two to four years; civic/orientation programme; three-month NZeTA access for Pacific Islands Forum countries.

Policy area	ACT	NZ First
Government spending	Cut $9.5bn from spending outside welfare and protected frontline services once fully implemented; reduce future operating allowances by $400m a year; return non-welfare spending towards 2017 real per-capita levels.	More interventionist and regionally targeted spending, including family grants and strategic state ownership.
Taxation	No new taxes; remove tax on qualifying KiwiSaver investment earnings; discontinue the government contribution; return net ETS auction revenue through a carbon refund; broad lower/flatter taxes deferred until the books are balanced.	20% SME company tax rate for firms with turnover under $30m; lowest personal tax bracket tax-free from April 2027; possible tax and levy concessions in the Marsden Point special economic zone.
Fiscal objectives	Balance the books sooner and lower debt by $12.4bn by 2031 versus current forecasts; fund tax relief through lasting spending control rather than borrowing.	No fully costed surplus, debt or spending anchor identified; policy mix combines tax relief, regional development and selective state ownership.
Superannuation/ KiwiSaver	Raise NZ Super age by three months a year to 67 by 2035, with compassionate early access for long careers in physically demanding work; pause NZ Super Fund contributions; remove tax on qualifying KiwiSaver earnings.	NZ Super eligibility restricted to citizens from 2029; no change to entitlement age. KiwiSaver enrolment from birth with a $1,000 Crown contribution; compulsory workforce enrolment and higher contributions.
Labour market	Freeze the adult minimum wage for three years; lower training wage for workers under 20; make termination easier; retain broad 90-day trials; tighter health-related benefit certification.	Replace the Accredited Employer Work Visa with a shortage-led Skilled Work Visa; lower immigration emphasis; policies to strengthen regional employment and domestic ownership.
Social policy	Tighter welfare tests and reassessment of disability-related benefits, targeting $653m of savings over four years; five-year migrant welfare stand-down; expand pharmacist care.	Universal $5,000 annual Kiwi Kids Grant for each of the first three children during their first three years; Working for Families changes; citizens-only NZ Super.
Monetary policy	n/a	n/a
Education	Give teachers legal power to remove seriously or persistently disruptive students; limit compulsory branded uniform items to three and allow generic alternatives.	n/a
Housing	Property-rights planning reform; remove development barriers and rely more on market supply and council-funded infrastructure.	Prioritise citizens for social housing; lower immigration pressure; support a Housing Commission and seniors' housing.
Climate/ environment	Repeal the Zero Carbon Act; remove Te Mana o te Wai from consenting; lighter environmental regulation and stronger property rights.	Expand oil and gas exploration and domestic energy development; split the power gentailers; return resource royalties to regions.
Regional development	Decentralisation and lower regulation; allow local growth through property rights and infrastructure, with limited targeted subsidies.	Marsden Point special economic zone; 50% of mining royalties retained in producing regions; regional investment and lower immigration pressure.
Minerals	Strongly pro-development; streamline consenting and property-rights rules for mining and other resource projects.	Expand mineral and petroleum development; return 50% of mining royalties to producing regions; offshore basin surveying for oil and gas.
Agriculture	Remove Te Mana o te Wai from consenting, repeal the Zero Carbon Act and reduce compliance costs for farmers.	Water storage, resource development, lower immigration emphasis and regional royalties; protect domestic ownership and primary production.
Regulation	Major deregulation: property-rights planning law, smaller public service, easier dismissal, less employment regulation and fast-track market entry.	Strategic intervention against market concentration while creating special-economic-zone relief at Marsden Point; tighter immigration and ownership rules.
Infrastructure	PPPs, partial privatisation and property-rights reform; about $2bn contingency for a National Cancer Centre; less Crown ownership and greater private delivery.	Marsden Point special economic zone, regional resource development, proposed BNZ buy-back and targeted regional projects; no consolidated national pipeline identified.
Immigration	Annual review and expiry of work-visa skill categories; Rural Workforce Visa; five-year welfare stand-down; permanent-residence presence requirements; stronger overstayer and deportation enforcement.	Replace AEWV with a shortage-led Skilled Work Visa; referendum on a 20,000 annual resident-visa cap; tighten citizenship, residence and deportation rules.

Policy area	Opportunity	Greens
Government spending	Citizen's Income and free public transport would substantially redesign programmes; more willingness to borrow for productive infrastructure; no consolidated expenditure total identified.	Large expansion in public services and public ownership, including free dental care and public transport, expanded welfare, housing and supermarket acquisition. Annual operating allowances to be doubled to between $4.5-4.7bn a year.
Taxation	Land-value tax at 1.75% on urban land and 0.5% on rural land, with specified exemptions and deferrals; personal income-tax rates of 28%, 34% and 39%.	2.5% annual wealth tax on net assets above $10m excluding the family home; capital-acquisitions tax above $1m with exemptions; 45% top income rate; higher company tax for the largest firms; large-bank levy.
Fiscal objectives	Separate operating and investment disciplines; willing to allow debt above 50% of GDP where borrowing funds productive infrastructure.	Raise about $5.1bn net revenue and shift taxation from wages towards wealth and large corporations. Achieve a small operating surplus of $0.4bn in 2029/30, one year later than the PREFU track.
Superannuation/ KiwiSaver	KiwiSaver 2.0 with compulsory employee and employer contributions rising to 6% each; tax-exempt contributions once compulsory and investment-income exemption after 20 years; Citizen's Income plus superannuitant top-ups.	n/a
Labour market	Citizen's Income replaces several main benefits and reduces abatement complexity; R&D and technology-investment incentives; student-loan interest relief to attract returning New Zealanders.	Restore the pay-equity framework, costed at $4.5bn over four years; default union membership with opt-out; stronger worker rights and support for unpaid care work.
Social policy	Citizen's Income for adult citizens/residents replaces several benefits; Child Support Income replaces Working for Families, paid parental leave and Best Start; free public transport.	Free dental care and public transport; expanded school lunches, food grants and food-security funding; stronger welfare protections and major Māori-led investment programmes.
Monetary policy	n/a	n/a
Education	Establish a ten-year cross-party education plan focused on stability, teacher support and modernising learning.	Restore and expand Ka Ora, Ka Ako school lunches to 400 more schools; stronger inclusive public-education and student support.
Housing	Land-value tax and infrastructure borrowing intended to improve land use and housing supply; detailed standalone housing package not identified.	Renters' Rights Bill including a 2% annual rent-rise cap, end no-cause evictions and introduce a rental WOF; more public housing and Home for Life rent-to-buy.
Climate/ environment	Healthy Oceans: move towards ecosystem-based fisheries management, phase out bottom trawling and expand marine protection areas.	Stronger emissions, freshwater and biodiversity rules; publicly owned renewable-energy entity; phase out bottom trawling and protect conservation land from commercial exploitation.
Regional development	Borrow for infrastructure and lift R&D spending to at least 2% of GDP; technology-investment tax credits.	Te Rangatiratanga Trust and community/public investment in housing, energy and ecological restoration; stronger locally led development.
Minerals	n/a	Oppose mining concessions on conservation land and prioritise nature protection, with tighter extraction safeguards.
Agriculture	Lower rural land-value-tax rate; R&D and innovation incentives.	Lower nitrate limits, stronger freshwater and biodiversity protections; family farms exempt from the acquisitions tax; support regenerative and community models.
Regulation	Strengthen competition enforcement, establish lobbying rules and an anti-corruption body, and reform tax and benefit administration.	Stronger labour, rental, environmental and competition regulation; public ownership where markets are judged inadequate.
Infrastructure	Borrow more for productive infrastructure; separate operating and investment rules; free public transport and R&D investment.	Public and community energy, KiwiMart, public housing and major Māori/community funds; stronger public ownership and climate alignment.
Immigration	Pro-immigration settings including a lower skilled-visa salary threshold and regional visas; detailed current package not fully identified.	Residence routes for long-settled migrants; easier employer switching; progressively lift the refugee quota to 5,000 by 2029; stronger family and humanitarian pathways.

Policy area	Te Pāti Māori
Government spending	Substantial expansion of Māori-led health, housing, education and social supports; no consolidated costed spending path identified.
Taxation	Wealth tax and more progressive personal income tax, including a high-income rate in prior policy.
Fiscal objectives	Use the Crown balance sheet and progressive taxation to advance tino rangatiratanga and reduce inequities.
Superannuation/ KiwiSaver	n/a
Labour market	Support Māori-led employment and training, stronger worker protections and equity-focused procurement.
Social policy	Binding Waitangi Tribunal recommendations and an independent Te Tiriti Commission; Māori-led services, food sovereignty and expanded whānau support; Takatāpui Commission backed by $200m over three years.
Monetary policy	n/a
Education	Create a Māori Education Authority and Kōhanga Reo Act; $250m annual kōhanga-refurbishment fund and 20 new kōhanga over three years; expand lunches, student transport and counselling; make te reo Māori core through Year 10.
Housing	Whānau Build: increase Māori share of social housing, make papakāinga development easier and tax persistently vacant homes.
Climate/ environment	$1bn Energy Sovereignty Fund for Māori and community renewable ownership; Māori-led environmental governance and food sovereignty.
Regional development	Devolve funding and decision-making to iwi and hapū; Māori-led housing, energy, agriculture and community infrastructure.
Minerals	Emphasise rangatiratanga, environmental protection and Māori benefit and decision rights over natural resources.
Agriculture	Māori food sovereignty, reject gene editing, and support Māori-led agriculture, land development and procurement.
Regulation	Te Tiriti-based regulation, binding Tribunal recommendations, Māori authorities and equity procurement; stronger worker and environmental protections.
Infrastructure	Māori-led housing, renewable energy, agriculture and community infrastructure; greater iwi and hapū control over funding and delivery.
Immigration	Prioritise local training and Te Tiriti-based immigration settings.

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Westpac Banking Corporation.

WESTPAC WAVE

FIJI ECONOMIC UPDATE AND OUTLOOK

October 2026

HERE FOR GENERATIONS

Fiji's resilience is being tested...

Shamal Chand
Senior Economist, Westpac Pacific Economics

Fiji's economy entered 2026 with growth already normalising from the post-pandemic recovery. Real GDP growth slowed from 3.6% in 2024 to 2.5% in 2025. Foreign reserves started the year around $3.7bn, banking-system liquidity remained high and the RBF maintained its Overnight Policy Rate at 0.25%.

Activity so far into 2026 has been somewhat stronger than what we feared. Visitor arrivals reached 762,352 during January–September, up 3.7%yr, while construction, investment lending, cement sales, remittances and private-sector credit remained firm. Nevertheless, Westpac Fiji has kept its 2026 growth forecast unchanged at 2.0%. Stronger headline indicators are not translating one-for-one into real economic growth because higher prices and intermediate costs are absorbing a growing share of nominal activity.

The outlook changed materially in March as the Middle East conflict disrupted global energy markets. Fiji remains heavily dependent on imported petroleum products, so higher refined-fuel, freight and insurance costs flowed through transport, electricity, food distribution and wider business expenses. By June, motor spirit price reached $3.93/litre and diesel at a record $4.58/litre, while automotive-fuel sales value rose 24.4%yr in the June quarter.

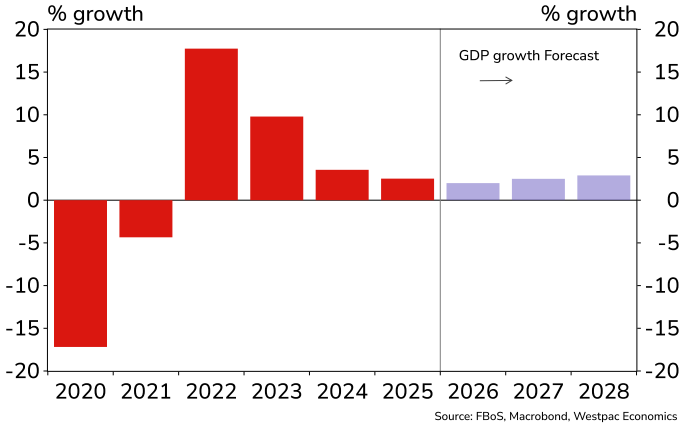
As this report goes out, the Middle East conflict remains a key external downside risk. At least 12 vessels were attacked in the week ending 16 October and yet it is reported that oil flows through Hormuz averaged 11.6mn barrels per day to 13 October, about 68% of pre-war levels through alternative and costly routes. Iran says a seven-day reopening proposal remains available, but US-Iran negotiations remain unresolved.

Westpac Economics' most recent scenario analysis "Persistent energy pressures have further to run" indicates that relief will be gradual. Brent crude is forecast to average US$101/bbl in Q4 2026 before easing through 2027. Refined products are expected to normalise more slowly because refinery capacity, inventories, freight and insurance remain constrained. Under Westpac's escalation scenario, in a return to open conflict Brent could reach around US$150/bbl in H1 2027.

Domestic tourism sector demonstrates the nominal-versus-real growth tension. June-quarter visitor arrivals increased to 287,588, yet earnings fell 4.9%yr to $708.1mn. First-half tourism earnings declined 1.7%yr despite higher arrivals, even though hotel takings increased 9.5%yr.

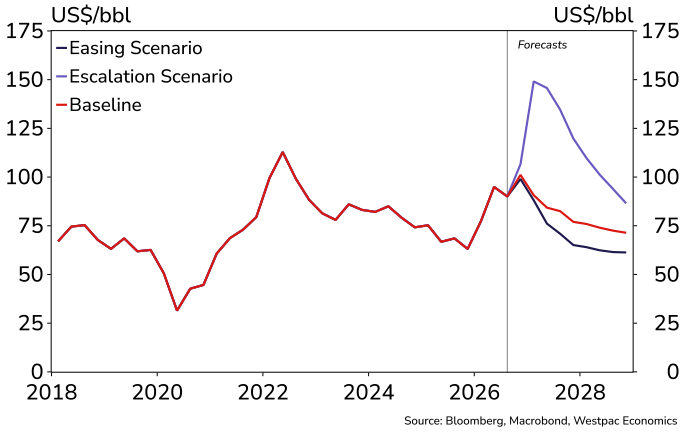
Australia and New Zealand remain critical, together contributing around 71% of September arrivals. Westpac expects Australian growth to slow from 2.1% in 2026 to 1.5% in 2027, while New Zealand strengthens from 1.9% to 2.6%. Tourism therefore increasingly needs to focus on yield rather than visitor numbers alone.

Fiji stays resilient



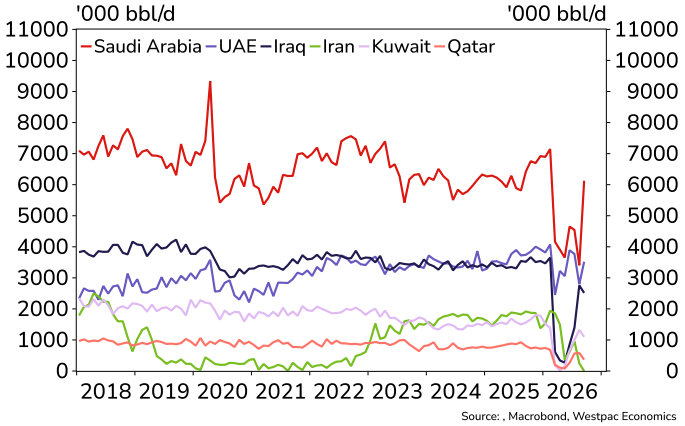
Source: FBoS, Macrobond, Westpac Economics

Oil Price Scenarios



Source: Bloomberg, Macrobond, Westpac Economics

Monthly Oil Exports



Source: , Macrobond, Westpac Economics

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...but the buffers are still doing the heavy lifting...

There are good reasons why growth held up despite these shocks. Construction work put in place reached $155.9mn in the June quarter, up 8.6%yr, while investment lending, cement sales and construction-related imports subsequently remained strong. Industrial production increased 1.5%yr, although performance remained uneven across industries.

Inward personal remittances have been particularly impressive, reaching $1.2bn during January–August, up 32.7%yr. We expect remittances to reach $1.55bn this year. These inflows, with strong diaspora support, are helping households absorb higher living costs while simultaneously supporting Fiji's external position.

However, the external accounts show the cost of this resilience. Fiji's merchandise trade deficit widened to $2.9bn in the first half, with imports reaching $4.3bn against exports of $1.4bn. Mineral-fuel imports alone reached around $1.2bn, up 57%yr. Foreign reserves nevertheless recovered to approximately $4.09bn **by end-September, equivalent to 5.7 months of retained imports**, also supported by Government's external loan draw-down.

Our in-house import-demand indicator is signalling softer domestic momentum. Import activity over the three months to September was down 21.3%yr and fell 39.8% compared with the preceding three months. The broader six-month measure declined at a more moderate 16.1% annualised pace. While volatile, the trend adds to our view that higher prices are weighing on real activity, despite continued strength across tourism, remittances, credit and construction.

Headline inflation reached 7.6%yr in August before easing to 6.8% in September, with transport prices up 12.2%yr and food prices up 7.6%. Our latest forecast has November inflation around 8.0%yr, average inflation around 4.3% for 2026 and December (year-end) inflation at 7.4%.

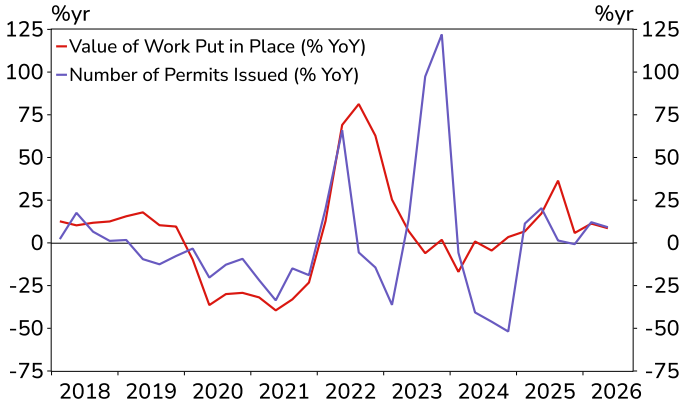
Higher fuel prices are no longer affecting only households. The shock is moving through freight, electricity, agriculture, construction materials and wider supply chains. For instance, we note recent increases in taxi and bus fares. These higher intermediate costs compress business margins and reduce household purchasing power.

This also informs our 2027 view. Westpac Fiji has downgraded its 2027 growth forecast to 2.5%, reflecting the prevailing effects of the energy crisis, elevated refined-fuel prices and the broader transmission of higher intermediate costs into next year. Westpac's global outlook supports this caution: crude prices are expected to ease gradually, but refined products could remain comparatively expensive for longer.

Renewable energy is increasingly important because the fuel crisis has put a clear economic price on Fiji's imported-energy dependence. The faster Fiji prioritises a shift to renewable energy, the sooner it can establish a more stable energy foundation.

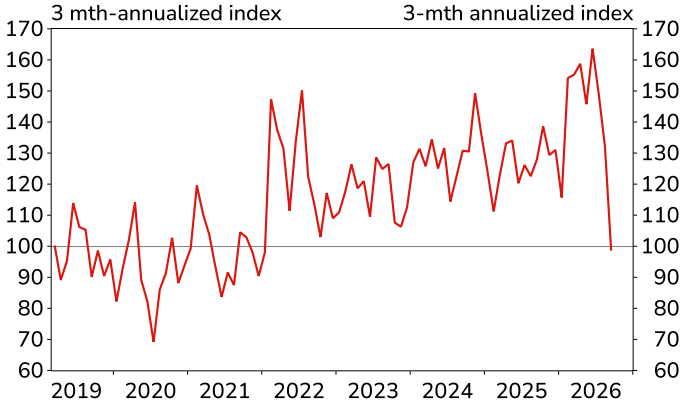
El Niño creates an additional risk through agriculture, hydro generation and food prices. The buffers remain meaningful, but they are being asked to work significantly harder.

Fiji's construction sector stays positive



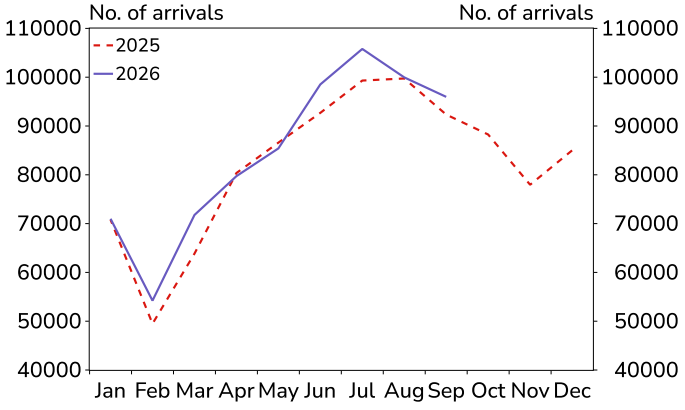
Source: FBoS, Macrobond, Westpac Economics

Fiji's import demand activity



Source: , Macrobond, Westpac Economics

Visitor arrivals up 3.7%



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...as risks converge

Government finances add another dimension to the outlook. The FY2025/26 deficit came in at $597.9mn, or 4.3% of GDP, substantially better than originally budgeted.

Nevertheless, financing requirements are substantial. Government plans to raise $1.48bn in FY2026/27, comprising $1.046bn in deficit financing and $436.3mn refinancing. Around $853.9mn to be domestically sourced and $627.95mn externally, including a $444mn ADB policy-based loan in November.

Domestic yields therefore deserve closer attention. Fiji's government yield curve has steepened considerably, with the adjustment concentrated beyond 10 years. While the 10-year yield remained at 3.90%, the 20-year yield rose by 80 basis points between July 2025 and September 2026 to 5.80%. The 25-year yield increased even more sharply, climbing from 5.94% to 7.19% after peaking at 7.25% in mid-2026.

Pressure is also emerging at the short end. The Government's 20 October Treasury Bill tender offered $50mn across three-, six- and 12-month maturities. Investors bid for the full amount, but sought yields of 0.35%, 0.60% and 1.30%, respectively, above the listed yields of 0.30%, 0.55% and 1.25%. Government did not accept the higher yields, leaving the entire $50mn offer unallocated. This suggests investors are increasingly seeking better returns even on shorter-dated Government securities.

The financial system still provides considerable protection. Banking-system liquidity stood around $2.28bn at end-September and the RBF maintained its OPR at 0.25%. In August, the weighted-average lending rate was 4.51%, the savings-deposit rate 0.31% and the time-deposit rate 2.01%.

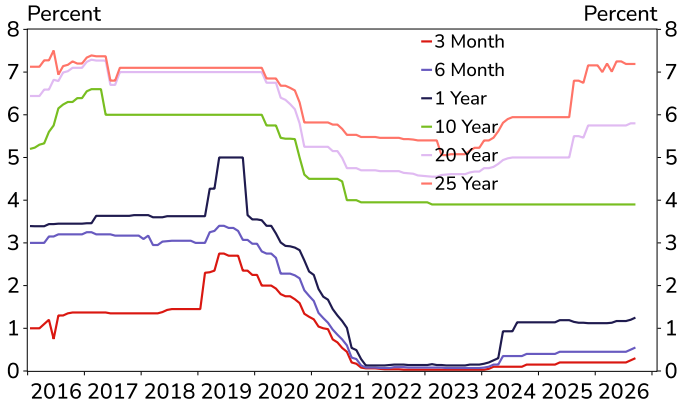
For now, high liquidity limits immediate crowding-out risks. Higher government yields may encourage banks and institutional investors to allocate more funds towards government securities. If liquidity subsequently tightens, deposit rates may need to rise to retain savings, adding pressure to bank funding costs and eventually lending rates.

S&P's decision to maintain Fiji's B+/B ratings but revise the outlook from stable to negative reinforces the importance of debt sustainability, investor confidence and credible medium-term fiscal consolidation.

Political uncertainty adds another layer, with ongoing public debate on constitutional amendments and the general election due by 6 February 2027.

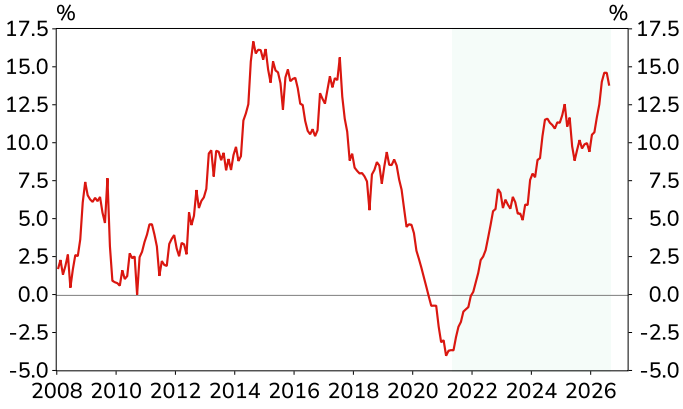
This brings us back to the growth story. We have maintained 2026 growth at 2.0% because resilient tourism, remittances, construction and investment are being offset by unexpectedly high inflation and intermediate costs. Our downgrade of 2027 growth to 2.5% recognises that this adjustment will take longer than previously expected, while fiscal, financial, energy, climate and political risks increasingly overlap.

Fiji Government yields



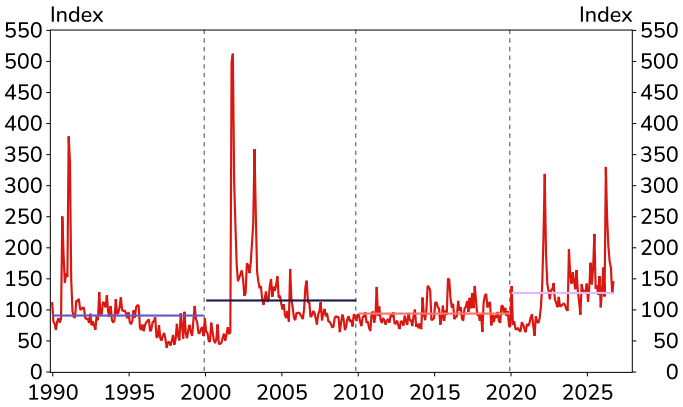
Source: RBF, Macrobond, Westpac Economics

Private sector credit growth



Source: RBF, Macrobond, Westpac Economics

Geopolitical Risk Index



Source: Matteo Iacoviello, Macrobond, Westpac Economics

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Fiji medium-term outlook

Sector growth (%)	2021	2022	2023	2024	2025	2026f	2027f	2028f
Primary	9.1	3.0	3.8	4.7	0.7	2.5	2.3	2.7
Industry	-8.8	10.2	2.9	3.5	1.5	0.8	1.2	2.3
Services	-6.9	25.1	13.3	3.3	3.2	2.1	2.9	3.0
Net taxes	-4.3	17.7	9.8	3.6	2.5	2.0	2.5	2.9
Real GDP	**-4.3**	**17.7**	**9.8**	**3.6**	**2.5**	**2.0**	**2.5**	**2.9**
Other key indicators								
Inflation (average)	1.5	6.1	3.0	3.9	-1.4	4.3	5.5	3.0
Inflation (year-end)	5.6	4.3	4.8	-0.2	0.0	7.4	3.0	3.0
Visitor Arrivals	31,618	636,312	929,740	982,938	986,367	1,023,291	1,043,757	1,064,632
Inward Remittances ($ million)	846	1,041	1,253	1,329	1,323	1,550	1,716	1,900

Source: Westpac Pacific Economics

Exchange rate forecasts (FJD majors)

FJD vs	Latest	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
DXY index	102.55	100.4	98.9	97.5	96	95.2	94.3	94.1	94.6	94.5
USD	0.4426	0.45	0.45	0.46	0.46	0.46	0.46	0.46	0.46	0.46
AUD	0.6356	0.62	0.62	0.63	0.63	0.63	0.63	0.64	0.64	0.64
EUR	0.3952	0.39	0.39	0.39	0.38	0.38	0.38	0.38	0.38	0.38
JPY	69.94	70	69	70	70	70	69	69	68	68
NZD	0.7818	0.80	0.78	0.75	0.73	0.72	0.72	0.72	0.71	0.71
PGK	1.9777	2.01	2.09	2.11	2.07	2.04	1.99	1.94	1.91	1.87
GBP	0.3320	0.33	0.33	0.33	0.33	0.33	0.33	0.33	0.33	0.33
TOP	1.0637	1.06	1.05	1.06	1.06	1.06	1.06	1.05	1.05	1.05
VUV	51.70	51	51	52	52	52	52	52	52	52
WST	1.2129	1.21	1.21	1.21	1.22	1.22	1.22	1.22	1.22	1.22

Source: Westpac Economics Market Outlook

Commodity forecasts (quarter average)

Commodities	Latest	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
crude oil (US$bbl) Brent	103	101	91	84	83	77	76	74	73	71
LNG in Japan US$mmbtu	25.9	24.5	23.5	19.0	16.0	14.0	12.8	12.4	12.0	11.7
gold (US$/oz)	4,149	4,350	4,250	4,100	4,050	4,000	4,010	4,040	4,070	4,090
Softs										
NZ dairy price index	319	324	329	331	334	339	342	344	345	347
NZ forestry price index	168	159	160	160	160	161	161	162	163	164
Sugar#11 c/lb	20.45	19.50	18.50	18.88	18.23	18.00	17.75	17.50	17.25	17.00

Source: Westpac Economics October Market Outlook

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Cost pressures move beyond the pump

Inflation has emerged as a key pressure point for Fiji, threatening to erode gains from otherwise resilient domestic activity. Headline inflation accelerated to 6.8%yr in September, driven by essentials: food prices rose 7.6%yr, transport increased 12.2%yr and housing and utilities were 4.9% higher. The underlying picture remains less severe, with prices declining 0.4%mth in September and annual-average inflation at 1.9%. Nevertheless, the acceleration suggests the global fuel shock is increasingly working its way through the domestic economy.

The import-price pipeline reinforces this view. Import prices increased 4.9%qtr and 4.4%yr in the June quarter, including a 15.4%yr rise in mineral-product prices as petrol, diesel and aviation-fuel costs increased. Export prices rose 6.2%yr, although the terms of trade eased 0.6%qtr. Elevated energy costs are also spreading beyond the pump. Transport-services producer prices increased 2.7%qtr in June, while building-material prices rose 1.5%qtr in September, signalling broader pressure across distribution, construction and services.

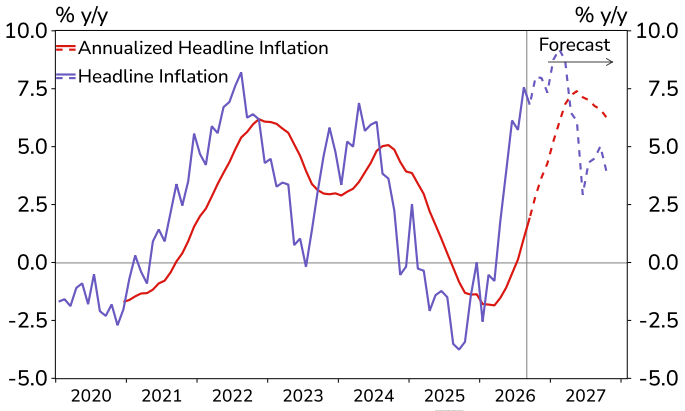
Fuel-price pressures intensified again in October, when regulated unleaded prices in Viti Levu increased to $3.15/litre and diesel rose by 21 cents to $3.41/litre. Prices nevertheless remain below their June peaks. Our indicative estimates point to further increases in fuel prices over the coming months.

The global outlook offers little immediate relief. Westpac Economics expects Brent to average US$101/bbl in Q4 2026 before easing to US$77/bbl by Q4 2027, but refined fuels are expected to ease more slowly as refinery supply remains more constrained, while shipping, insurance and inventory pressures gradually normalise. Westpac's Australian forecasts provide some regional context, with diesel and petrol expected to average 274c/l and 230c/l, respectively, in Q4 before declining through 2027.

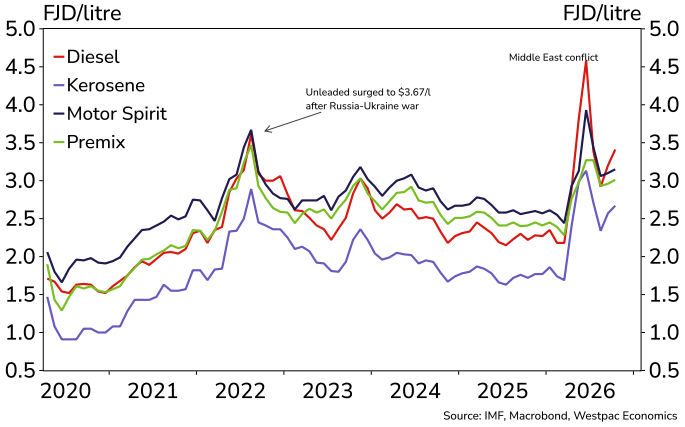
For Fiji, the distinction between crude and refined-product prices is important. Singapore gasoil prices, freight and insurance costs are expected to remain elevated and ease only gradually through 2027, meaning lower Brent prices may not translate immediately into cheaper imported fuel. Higher diesel costs feed into freight, construction, agriculture and distribution, while aviation-fuel pressures add to airline operating costs and tourism-sector margins. Repeated shocks increase the likelihood that businesses eventually pass more of these costs on to consumers, particularly through food and other essentials.

We consequently expect inflation to remain elevated through year-end, rising towards 8.0% in November before easing to 7.4% in December, taking annual-average inflation to around 4.3%. The concern is increasingly that an imported fuel shock develops into broader cost-push inflation into next year. The squeeze on real purchasing power makes inflation an increasingly important downside risk to Fiji's growth outlook heading into 2027.

Headline inflation surges to 6.8% in Sept

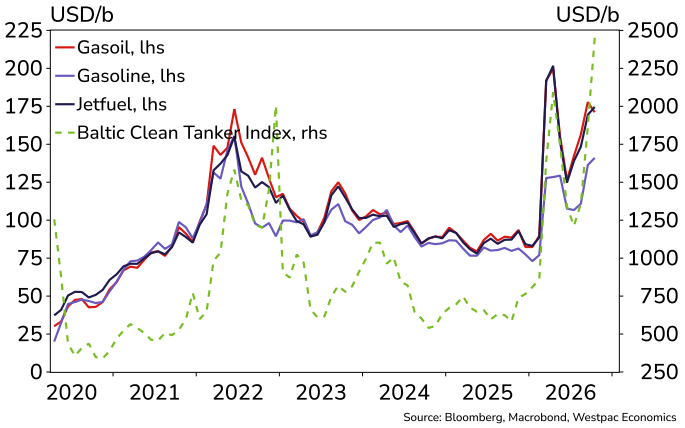


Fiji domestic fuel price



Source: IMF, Macrobond, Westpac Economics

Global Refined Fuel Price



Source: Bloomberg, Macrobond, Westpac Economics

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S&P negative outlook is concerning

Fiji's sovereign credit profile has come under renewed pressure recently, adding another layer of caution to an economy already navigating softer real growth and elevated external risks.

S&P maintained Fiji's long-term rating at B+ and short-term rating at B but revised the outlook from Stable to Negative. While not a downgrade, it signals increased risk if fiscal and debt metrics deteriorate. Historically, four of Fiji's six negative outlooks since 2006 have resulted in downgrades, typically during periods of major economic or fiscal stress. Similar vulnerabilities are resurfacing, with rising government expenditure and guarantees, alongside Middle East tensions and inflationary pressures.

The key concern is fiscal. S&P viewed the 2026/27 Budget as more expansionary than previously expected, effectively slowing the fiscal consolidation achieved in previous years. It projects the fiscal deficit to average 4.6% of GDP over 2027–29, including 4.9% in FY2027, with net government debt moving above 70% of GDP. Once contingent liabilities are incorporated, the broader public-sector exposure approaches 80% of GDP. This leaves considerably less fiscal space to absorb another major domestic or external shock.

In S&P's latest assessment, contingent liabilities are becoming increasingly important to the sovereign risk story. Government exposure through guarantees and other contingent liabilities adds to the broader fiscal risk, while a widening current account deficit, elevated imports and rising external debt reinforce the risks surrounding the outlook. For Fiji, this matters because the next phase of growth will require substantial investment in infrastructure, climate resilience and productive capacity.

The negative outlook therefore strengthens the case for a more credible medium-term fiscal consolidation path by the Fiji Government. S&P indicated that the outlook could return to Stable if economic growth and tourism outperform its forecasts, resulting in narrower fiscal deficits and lower debt ratios, or if improvements in institutional and policy settings sustainably strengthen fiscal outcomes and debt levels.

Importantly, the assessment across rating agencies is not uniformly negative. Moody's maintained Fiji's B1 long-term issuer rating with a Stable outlook, suggesting that despite significant structural and fiscal challenges, the overall credit profile remains broadly unchanged and risks remain balanced.

A future downgrade would likely reinforce perceptions of higher sovereign risk just as Fiji requires greater private and foreign investment. Maintaining fiscal credibility, containing contingent liabilities and ensuring that new borrowing supports productivity-enhancing investment will be increasingly important. With elevated uncertainty, climate vulnerability and external shocks remaining additional downside risks, the room for further fiscal slippage is becoming increasingly limited for the Fijian Government.

S&P negative outlooks have often preceded downgrades

Four of six historical negative-outlook observations were followed by a lower rating at the next recorded S&P action

4 of 6
ended in downgrade

NEGATIVE OUTLOOK / WATCH	NEXT RECORDED S&P ACTION	OUTCOME
2 Nov 2006 BB– • Negative watch	7 Nov 2006 Rating: B+	DOWNGRADE
7 Nov 2006 B+ • Negative watch	15 Mar 2007 Rating: B	DOWNGRADE
15 Mar 2007 B • Negative	12 Nov 2007 Rating: B	NO DOWNGRADE
26 Feb 2009 B • Negative	15 Apr 2009 Rating: B–	DOWNGRADE
15 Apr 2009 B– • Negative	15 Dec 2009 Rating: B–	NO DOWNGRADE
18 Jun 2020 BB– • Negative	22 Sep 2021 Rating: B+	DOWNGRADE
14 Sep 2026 B+ rating affirmed • Outlook changed Stable → Negative		?

The message
S&P could affirm the current rating if the economy performs better than expected, supported by clearer fiscal and public debt evidence.

Source: S&P Global Ratings and Westpac Pacific Economics

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The threat of a "very strong" El Niño

It is the year of the 'very strong' El Niño, and for Fiji the risk is no longer just on the horizon. Dry conditions are already affecting parts of the country, while the Government has stepped up preparations for a potentially more difficult period ahead.

History suggests this matters for the broader economy because prolonged drought can simultaneously affect agriculture, water supply and electricity generation before flowing through food prices, imports, rural incomes and ultimately growth.

Our rainfall analysis covering 1981–2025 shows that rainfall during El Niño periods was 24.7% lower than under neutral conditions nationally, with all four regions recording historical deficits above 20%.

During the 1982–83 El Niño, severe drought coincided with Cyclone Oscar and a weak global economy. Historical estimates highlight that Fiji's economy contracted by 4.0%, against a pre-disaster forecast of 2.7% growth during the super El Niño period then. The 1997–98 episode was more severe. By 1998 the cane crop was forecast at just 1.88mn tonnes, producing around 150,000 tonnes of sugar. Historical estimates used here indicate cane production fell around 26%, contributing to an aggregate GDP contraction of at least 1.3%. Fiji also devalued the dollar by 20% in January 1998 amid the overlapping Asian Financial Crisis.

The social cost was significant. In 1998, around 27,562 households needed food relief and 47,592 were already receiving emergency water supplies according to some surveys. The 2015–16 episode again brought crop losses and drying water supplies.

The effects are beginning to show

The current event is already leaving a footprint. September rainfall was drier than usual across the Western, Central and Eastern divisions and most of the Northern Division, while several Western Division stations recorded less than 100mm.

More recent monitoring points to serious or very dry conditions across parts of Vanua Levu, Taveuni, Lomaiviti, Yasawa, Lau and other areas. Local effects are becoming tangible. Taveuni had already required assistance with water carting in September, while NDRMO reported that Fiji was experiencing meteorological drought and warned it could progress towards hydrological and agricultural drought if conditions continued.

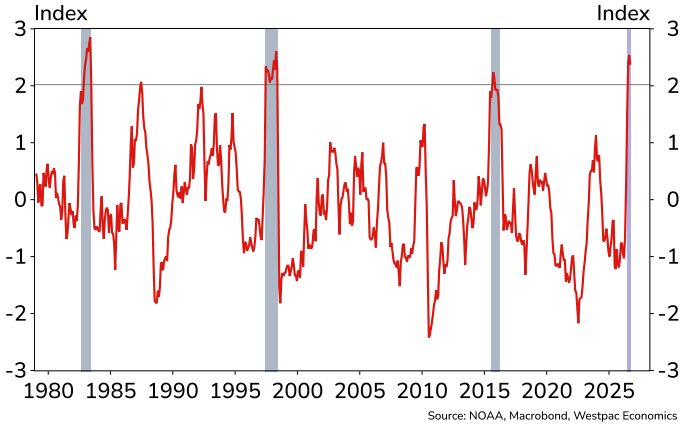
The Government's response has consequently shifted towards preparedness. The National Disaster Risk Management Council is reviewing the National El Niño Preparedness and Response Plan. Humanitarian clusters were also instructed to prepare contingency plans for consolidation and presentation to Cabinet, while NDRMO has been working with Energy Fiji Limited and the Water Authority of Fiji to assess emerging risks.

This marks a progression from earlier in the year. In August, our assessment was that the FY2026–27 Budget contained no explicit El Niño preparedness measure, implying much of the initial response would need to occur through existing institutional arrangements.

The economic transmission remains important. Agriculture feels reduced rainfall first through weaker soil moisture and water availability. Lower domestic food production can then lift prices and import requirements. Electricity provides another channel as weaker hydro generation could require increased thermal generation and imported fuel, adding to higher production costs and foreign-exchange outflows. And Fiji has less room for another supply-side shock.

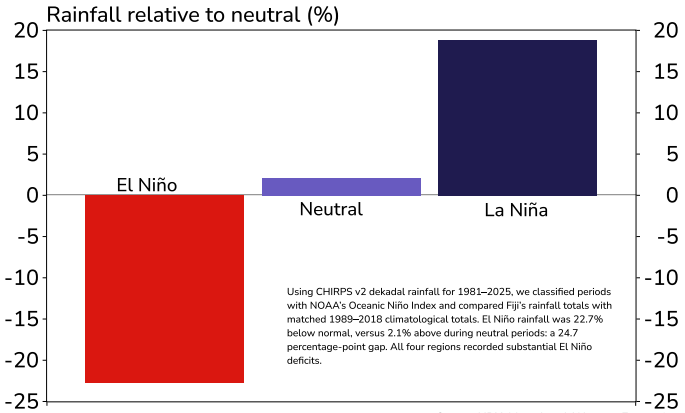
Fiji is more diversified than during the droughts of the 1980s and 1990s, while its reserve position provides an important buffer. But financial buffers cannot replace rainfall, agricultural production or water supplies.

Super El Niño



Source: NOAA, Macrobond, Westpac Economics

El Niño leads to severe loss of rainfall



Source: HDX, Macrobond, Westpac Economics

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Why is 'foreign reserves' so important for Fiji?

Foreign reserves remain one of the most closely watched indicators of Fiji's economic health. At the end of September, reserves stood at around $4.1 billion, equivalent to 5.7 months of retained imports. The figure features prominently in Reserve Bank reporting, and for good reason.

For a small, import-dependent economy operating a managed exchange-rate regime, reserves provide an important buffer against external shocks.

In simple terms, foreign reserves can be thought of as Fiji's foreign-currency savings account. Fiji earns foreign exchange through tourism, remittances, exports, foreign investment and external borrowing. At the same time, foreign currency is required to pay for imports, service external debt and meet other overseas obligations. When foreign-currency inflows exceed outflows, reserves generally rise. When the reverse occurs, reserves come under pressure.

The analogy is not perfect, but it highlights why reserves matter. Unlike some larger economies, Fiji cannot simply rely on its exchange rate to absorb external shocks. The Fiji dollar is managed against a basket comprising the Australian, US and New Zealand dollars, the euro and the Japanese yen. This provides a degree of exchange-rate stability and predictability for households and businesses, but it also means that foreign reserves are needed to effectively provide a shock absorber for the economy.

There is also an important connection with domestic financial conditions. Our analysis suggests that before July 2020, every $1 million increase in reserves was associated with around $0.31 million in additional banking-system liquidity. Since then, the relationship has strengthened substantially to around $0.83 million. Following the pandemic, external borrowing, grants, remittances and the recovery in tourism helped lift foreign-exchange inflows and thus banking liquidity, while government expenditure and limited sterilisation further contributed to abundant domestic liquidity.

This highlights an important policy trade-off. Economists refer to the "impossible trinity", where an economy cannot simultaneously maintain a fixed or tightly managed exchange rate, completely free capital movement and fully independent monetary policy. Fiji's framework therefore relies on a combination of foreign reserves, monetary-policy settings, exchange controls and broader market management to maintain stability.

Those controls, however, are not without cost. Restrictions on moving capital offshore limit the flexibility available to households, foreign investors and Fiji-based businesses.

A deeper question is therefore whether Fiji could eventually move towards a more flexible exchange-rate framework.

Probably, but not yet. Greater exchange-rate flexibility could theoretically allow the currency itself to absorb more of an external shock. But that requires considerably deeper financial markets than what Fiji presently has. Foreign-exchange trading remains relatively shallow, secondary-market activity in government securities is limited, while instruments that allow businesses to hedge currency risk are significantly underdeveloped.

There is also an important transmission issue. A weaker Fiji dollar could theoretically improve export competitiveness, but the benefits would take time. Merchandise exports remain constrained by domestic production capacity, while tourism is also influenced by available capacity and advance bookings. Higher import prices, by contrast, would flow through much faster. Given Fiji's heavy reliance on imported fuel, food, machinery and other goods, currency depreciation would quickly add to inflation and business costs.

The experiences of Australia and Singapore offer two useful perspectives.

Australia floated its dollar in 1983 alongside broader financial-sector liberalisation and market development. Singapore followed a different path. Despite possessing a highly developed financial system, it continues to manage its currency against a basket, with the exchange rate occupying a central role in monetary policy.

For Fiji, the lesson is not that one exchange-rate regime is necessarily superior to another. Rather, greater flexibility requires deeper markets and stronger transmission mechanisms. Developing the foreign-exchange market, domestic capital markets and currency-risk management instruments therefore needs to precede any significant shift in the present regime.

Until then, foreign reserves will remain much more than another number in the RBF's monthly statistics. It acts as a buffer against external shocks, help underpin confidence in the Fiji dollar and provide the economy with room to continue paying for essential imports when foreign-currency inflows weaken. At $4.1 billion, the reserve position remains comfortable, but maintaining that buffer remains fundamental to Fiji's macroeconomic stability.

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Interest rate forecast

Economies	Latest	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
Australia										
Cash	4.60	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
10-year Bond	5.16	5.20	5.15	5.10	5.05	5.05	5.00	5.00	5.00	5.00
United States										
Fed Funds	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
10-year Bond	4.97	5.05	5.00	4.95	4.90	4.95	5.00	5.05	5.10	5.15
New Zealand										
Cash	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
10-year Bond	4.90	5.00	5.00	5.00	5.05	5.05	5.05	5.05	5.05	5.05

Source: Westpac Economics Market Outlook

Exchange rate forecasts (majors)

Majors	Latest	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
DXY index	102.55	100.4	98.9	97.5	96	95.2	94.3	94.1	94.6	94.5
AUD/USD	0.6946	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5653	0.56	0.58	0.61	0.63	0.64	0.64	0.64	0.65	0.65
USD/JPY	157.83	156	154	153	152	151	150	149	148	146
EUR/USD	1.1230	1.14	1.16	1.18	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3303	1.34	1.35	1.36	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.6891	6.65	6.60	6.50	6.45	6.4	6.35	6.35	6.30	6.30
AUD/NZD	1.2288	1.27	1.24	1.20	1.16	1.15	1.13	1.12	1.12	1.11

Source: Westpac Economics Market Outlook

Economic growth forecasts (year average)

Country	2021	2022	2023	2024	2025f	2026f	2027f	2028f
World	6.7	3.8	3.3	3.4	3.4	3.4	3.3	3.3
United States	6.2	2.5	2.9	2.8	2.1	2.3	1.9	1.9
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Japan	3.6	1.3	0.7	-0.2	1.1	0.7	0.8	0.9
India	9.7	7.6	7.2	7.1	7.6	7.1	7.0	6.6
Europe	6.4	3.7	0.5	0.9	1.3	0.9	1.2	1.5
Australia	5.4	4.2	2.1	1.0	2.0	2.1	1.5	2.1
New Zealand	5.5	2.6	2.2	-0.3	0.3	1.9	2.6	3.2

Source: Westpac Economics Market Outlook

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Economic Calendar

November 2026

MON	TUE	WED	THU	FRI
2	**3**	**4**	**5**	**6**
AUSTRALIA Cotality Home Value Index Oct exp –1.3% prev –1.1% (12:01am) MI Inflation Gauge Oct y/y prev 4.8% (11:00am) Dwelling Approvals Sep exp –7.0% prev –6.1% (11:30am) **CHINA** RatingDog Manufacturing PMI Oct prev 52.1 (12:45pm) **UNITED STATES** ISM Manufacturing Oct exp 54.7 prev 54.5 (2:00am) Construction Spending Sep exp 0.5% prev 0.9% (2:00am) Fedspeak – Goolsbee (3:15am) **GLOBAL** S&P Global Manufacturing PMI Oct (F)	**AUSTRALIA** RBA Policy Decision exp 4.85% prev 4.60% (2:30pm) **NEW ZEALAND** Building Permits Sep prev 5.6% (8:45am) **UNITED STATES** JOLTS Job Openings Sep exp 7129k prev 7079k (2:00am) Factory Orders Sep exp 1.1% prev 0.1% (2:00am) Durable Goods Orders Sep (F) prev 1.8% (2:00am)	**AUSTRALIA** Household Spending Indicator Sep exp –0.5% prev 0.0% (11:30am) **CHINA** RatingDog Services PMI Oct prev 51.6 (12:45pm) **EURO ZONE** CPI Oct y/y (P) exp 3.9% prev 3.8% (9:00pm) **NEW ZEALAND** Labour Force Survey Q3 (8:45am) Employment prev 0.5% Unemployment Rate prev 5.6% Private Wages Ex. Overtime prev 0.7% **UNITED STATES** ADP Employment Change Oct exp 68k prev 90k (12:15am) Trade Balance Sep exp –US$107.9bn prev –US$105.6bn (12:30am) ISM Services Oct exp 54.6 prev 54.9 (2:00am) **GLOBAL** S&P Global Services PMI Oct (F)	**AUSTRALIA** Goods Trade Balance Sep exp $2.0bn prev $0.5bn (11:30am) RBA's Hauser – Speech (5:45pm) **EURO ZONE** Ger. Factory Orders Sep prev –10.6% (6:00pm) PPI Sep y/y prev 8.2% (9:00pm) **UNITED KINGDOM** BoE Policy Decision exp 4.00% prev 3.75% (11:00pm) **UNITED STATES** Fedspeak – Hammack (12:50am) Fedspeak – Barkin (1:10am)	**EURO ZONE** Ger. Industrial Production Sep prev 2.0% (6:00pm) Retail Sales Sep prev 0.1% (9:00pm) **JAPAN** BoJ's Ueda – Speech (Sat 7 Nov) **UNITED STATES** Fedspeak – Logan (11:00am) Fedspeak – Williams (8:30pm) Employment Report Oct (12:30am) Nonfarm Payrolls Chg exp 55k prev 29k Unemployment Rate exp 4.2% prev 4.2% Avg Hourly Earnings exp 0.3% prev 0.1% UoM Consumer Sentiment Nov (P) exp 47.5 prev 48.0 (2:00am) Consumer Credit Sep exp US$12.0bn prev US$8.3bn (7:00am)
9	**10**	**11**	**12**	**13**
AUSTRALIA RBA's Hunter – Speech (9:30am) **CHINA** CPI Oct y/y prev 0.9% (12:30pm) PPI Oct y/y prev 5.0% (12:30pm) **EURO ZONE** Sentix Investor Confidence Nov prev 2.7 (8:30pm) **UNITED STATES** Fedspeak – Goolsbee (2:00am) Wholesale Inventories Sep (F) prev 0.6% (2:00am) NY Fed 1-Yr Inflation Expectations Oct y/y prev 3.9% (3:00am)	**AUSTRALIA** Westpac–MI Consumer Sentiment Nov prev 80.4 (10:30am) NAB Business Survey Oct (11:30am) Conditions prev –1 Confidence prev –13 **CHINA** Exports Oct y/y prev 36.3% Imports Oct y/y prev 31.0% Trade Balance Oct prev US$133.5bn **JAPAN** Household Spending Sep y/y prev –3.1% (10:30am) Current Account Sep prev ¥4062.0bn (10:50am) **UNITED STATES** NFIB Small Business Optimism Oct prev 97.9 (10:00pm) CPI Oct prev 0.6% (12:30am)	**AUSTRALIA** Dwelling Finance Approvals Q3 (11:30am) Total exp –10.0% prev –5.2% Owner-Occupier exp –6.0% prev –1.9% Investor exp –16.0% prev –10.2%	**AUSTRALIA** MI Inflation Expectations Nov y/y prev 5.3% (11:00am) RBA's Baker (MPB Member) – Speech (10:30am) **NEW ZEALAND** Retail Card Spending Oct prev –0.4% (8:45am) Net Migration Sep prev 1530.0 (8:45am) **UNITED KINGDOM** GDP Q3 (P) prev 0.5% (6:00pm) **UNITED STATES** Fedspeak – Hammack (1:30am) Existing Home Sales Oct prev 1.5% (2:00am) Fedspeak – Daly (5:10am)	**CHINA** Current Account Q3 (P) prev US$193.7bn **EURO ZONE** GDP Q3 (S) (9:00pm) Trade Balance Sep prev –€6.8bn (9:00pm) **NEW ZEALAND** BusinessNZ Mfg PMI Oct prev 56.5 (8:30am) **UNITED STATES** PPI Oct y/y prev 1.3% (12:30am) Fedspeak – Daly (4:00am) Fedspeak – Jefferson (11:00am)

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Economic Calendar

November 2026

MON	TUE	WED	THU	FRI
16	**17**	**18**	**19**	**20**
CHINA Activity Data Oct ytd y/y (1:00pm) Retail Sales prev 1.1% Industrial Production prev 5.3% Fixed Asset Investment prev –7.2% **EURO ZONE** Industrial Production Sep prev –0.5% (9:00pm) **JAPAN** GDP Q3 (P) prev 0.4% (10:50am) Industrial Production Sep (F) prev 2.2% (3:30pm) **UNITED KINGDOM** Rightmove House Prices Nov prev 1.0% (11:01am) **UNITED STATES** NY Fed Empire Manufacturing Nov prev 25.5 (12:30am)	**AUSTRALIA** RBA's Bullock – Panel (10:00am) RBA Minutes (11:30am) **EURO ZONE** EU ZEW Expectations Nov prev 18.5 (9:00pm) **UNITED KINGDOM** ILO Unemployment Rate Sep prev 4.7% (6:00pm) **UNITED STATES** Retail Sales Oct prev 0.8% (12:30am) Import Price Index Oct prev 1.1% (12:30am) Industrial Production Oct prev 0.7% (1:15am) Fedspeak – Hammack (1:30am) Business Inventories Sep prev 0.4% (2:00am) NAHB Housing Market Index Nov prev 29.0 (2:00am)	**AUSTRALIA** Westpac–MI Leading Index Oct ann'd prev –0.03% (10:30am) Wage Price Index Q3 (11:30am) q/q exp 1.0% prev 0.8% y/y exp 3.4% prev 3.2% **EURO ZONE** CPI Oct (F) (9:00pm) **NEW ZEALAND** PPI Q3 prev 1.6% (8:45am) **UNITED KINGDOM** CPI Oct y/y prev 3.5% (6:00pm) **UNITED STATES** Housing Starts Oct prev –5.2% (12:30am) Building Permits Oct (P) prev –0.4% (12:30am) Pending Home Sales Oct prev –7.3% (2:00am) FOMC Minutes (6:00am)	**AUSTRALIA** Labour Force Survey Oct (11:30am) Employment Change exp 40k prev –39.3k Unemployment Rate exp 4.7% prev 4.7% Participation Rate exp 66.8% prev 66.8% **JAPAN** Core Machinery Orders Sep prev 5.2% (10:50am) **NEW ZEALAND** RBNZ's Breman – Speech (5:00am) RBNZ's Conway – Speech (7:00am) Trade Balance Oct prev –NZ$2.0bn (8:45am) RBNZ's Conway – Speech (1:00pm) **UNITED STATES** Phily Fed Manufacturing Index Nov prev 20.9 (12:30am) Fedspeak – Hammack (12:50am) Leading Index Oct prev 0.0% (2:00am) Kansas City Fed Manufacturing Index Nov prev 11.0 (3:00am) Fedspeak – Goolsbee (4:30am)	**EURO ZONE** EC Consumer Confidence Nov (P) prev –17.9 (2:00am) **JAPAN** CPI Oct y/y prev 2.1% (10:30am) **UNITED KINGDOM** GfK Consumer Sentiment Nov prev –24 (11:01am) Retail Sales Oct prev –0.4% (6:00pm) **UNITED STATES** UoM Consumer Sentiment Nov (F) (2:00am)
23	**24**	**25**	**26**	**27**
EURO ZONE S&P Global PMIs Nov (P) (8:00pm) **NEW ZEALAND** Retail Sales Volumes Q3 prev –0.5% (8:45am) **UNITED KINGDOM** S&P Global PMIs Nov (P) (8:30pm) **UNITED STATES** Chicago Fed Nat Act Index Oct prev 0.07 (12:30am) S&P Global PMIs Nov (P) (1:45am)	**EURO ZONE** IFO Business Climate Survey Nov prev 90.2 (8:00pm) **JAPAN** S&P Global Manufacturing PMI Nov (P) (11:30am) S&P Global Services PMI Nov (P) (11:30am) **UNITED STATES** FHFA House Prices Sep prev 0.3% (1:00am) S&P CoreLogic CS House Prices Sep prev 0.27% (1:00am) Conf. Board Consumer Confidence Index Nov prev 91.7 (2:00am) Richmond Fed Manufacturing Index Nov prev –2 (2:00am)	**AUSTRALIA** CPI Oct (11:30am) Headline m/m prev 0.8% Headline y/y prev 4.3% Trimmed Mean m/m prev 0.3% Trimmed Mean y/y prev 3.6% Construction Work Done Q3 exp 1.0% prev –2.1% (11:30am) RBA's Jacobs – Speech (10:50am) **UNITED STATES** GDP Q3 (S) prev 3.4% (12:30am) Personal Income Oct prev 0.2% (12:30am) Personal Spending Oct prev 0.5% (12:30am) PCE Deflator Oct prev 0.5% (12:30am) Durable Goods Orders Oct (P) (12:30am) New Home Sales Oct prev –0.6% (2:00am) Federal Reserve's Beige Book (6:00am)	**AUSTRALIA** Private Capital Expenditure Q3 exp 2.0% prev –3.6% (11:30am) **EURO ZONE** M3 Money Supply Oct y/y prev 3.5% (8:00pm) **UNITED STATES** Building Permits Oct (F)	**CHINA** Industrial Profits Oct y/y prev 14.4% (12:30pm) **EURO ZONE** EC Economic Confidence Nov prev 96.9 (9:00pm) EC Consumer Confidence Nov (F) (9:00pm) **JAPAN** Tokyo CPI Nov y/y prev 2.8% (10:30am) **NEW ZEALAND** ANZ Consumer Confidence Nov prev 96.2 (8:00am) **UNITED STATES** Wholesale Inventories Oct (P) (12:30am)

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Economic Calendar

November 2026

MON	TUE	WED	THU	FRI
30				
AUSTRALIA MI Inflation Gauge Nov y/y (11:00am) Company Profits Q3 prev 1.8% (11:30am) Inventories Q3 prev –0.2% (11:30am) Private Sector Credit Oct prev 0.6% (11:30am) **CHINA** NBS PMIs Nov (12:30pm) Manufacturing Non–Manufacturing **JAPAN** Industrial Production Oct (P) (10:50am) **NEW ZEALAND** Filled Jobs Oct prev 0.3% (8:45am) ANZ Business Confidence Nov prev 52.5 (11:00am) **UNITED STATES** Chicago PMI Nov (1:45am) Dallas Fed Manufacturing Index Nov prev 13.4 (2:30am)				

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28 OCTOBER 2026

WESTPAC–DATAX CARD TRACKER

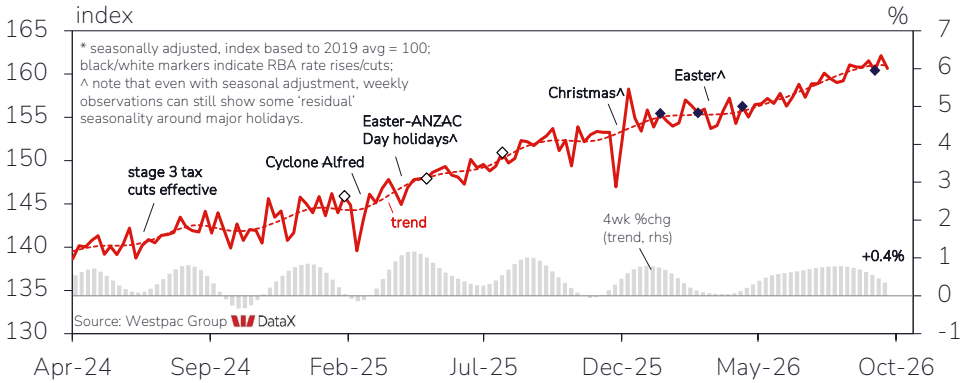
Powered by DataX

Card activity showing robust growth but with a mixed start to October

- The **Westpac–DataX Card Tracker Index*** has edged down slightly since late September, slipping 0.9pts to 160.6 in the week ended October 17. Despite this, growth in activity continues to track a robust pace with quarterly momentum running at close to 2%qtr and annual growth at 6%yr.
- Some of this reflects revisions. Initial figures on card activity can see changes in subsequent weeks due to information lags. While these are usually small, the cumulative impact can sometimes be material. In this case, revisions have lifted the index in late September by 2.5pts and the 4wk trend growth rate at the time from 0.2% to 0.6%. We will be back-testing regular revisions to assess whether there is a systematic bias that can be adjusted for in future.
- The revised profile shows quarterly growth accelerating steadily since June, posting a 1.9%qtr gain for the September quarter and tracking a 2.1%qtr pace in the latest week. This is back near the robust pace seen in late 2024 and early 2025.
- The monthly and weekly reads show a softer 0.2%mth rise in August was followed by a solid 0.8%mth gain in September that has largely carried into the first two weeks of October (the latest observation tracking a 0.4%mth pace).
- The detail shows gains are not just due to higher fuel prices with strong growth in discretionary services and international transactions over the last quarter and steady growth in essential services as well. To the extent that the weekly and monthly data is showing some renewed squeeze from higher fuel prices, this is showing through most clearly in discretionary goods, which have seen activity decline over the last six weeks, with discretionary services still posting positive, albeit slower growth. Quarterly growth in non-fuel card activity is tracking around 1.4%qtr.
- Official September quarter figures on inflation and household spending due in the coming weeks should confirm the spending momentum and shed more light on the extent to which it is due to prices or volumes.

"... quarterly momentum running at close to 2%qtr ..."

1. Westpac–DataX Card Tracker Index*



The **Westpac–DataX Card Tracker** presents indicators based on the millions of credit and debit card transactions processed by Westpac every day. The measures are a timely guide to shifts in spending. See p10 for a detailed explanation.

This report is produced by Westpac Economics.
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Email: economics@westpac.com.au
This issue was finalised on 28 October 2026.

If you would like more insights on your sector or business from this and other Westpac data please visit Westpac DataX or contact datax@westpac.com.au.

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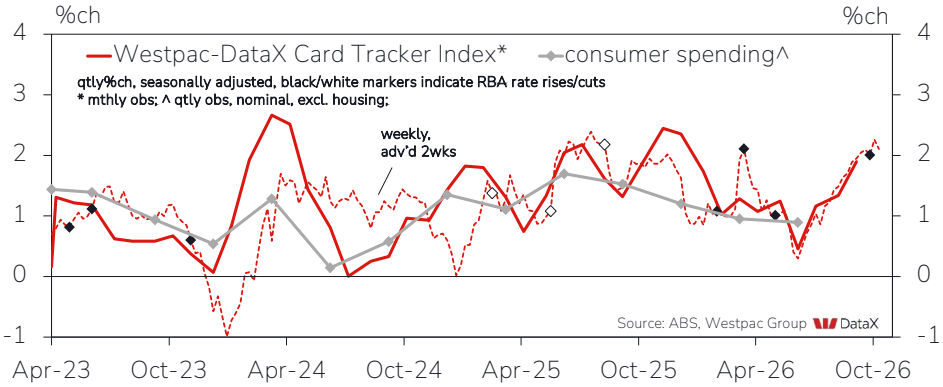
Quarterly momentum softening ex fuel, about flat since July

- Chart 2 shows how quarterly growth in the **Westpac–DataX Card Tracker Index** compares to growth in nominal consumption as reported in the national accounts. Growth has shown a clear acceleration since late June, lifting to 1.9%qtr in the September quarter and running at 2.1%qtr in the latest week. Weekly reads in early October have been the strongest since July 2025.
- Only some of this reflects a price-driven rise in fuel spend. The unwind of temporary fuel excise tax cuts in August and more recent surge in global energy prices has seen local pump prices push back above $2.40/litre locally, up from $1.56/litre in late June.
- Excluding fuel, quarterly growth in card activity has moderated, but only slightly, from 1.9%qtr in August to 1.8% in September with the latest week tracking a 1.4% quarterly pace. The impact is more pronounced in monthly terms with a –0.4%mth decline in August, muted +0.2% gain in September and subdued +0.1% monthly pace in the latest week (c.f. total: –0.4%; +0.2% and +0.1%).
- The 1.9%qtr rise in nominal terms and an expected price rise of 1.1%qtr point to a real, inflation-adjusted gain of 0.8%qtr, in line with Westpac's forecasts. ABS Q3 CPI figures are due shortly after we go to press with the Q3 household spending indicator due Nov 4 and GDP due Dec 2.

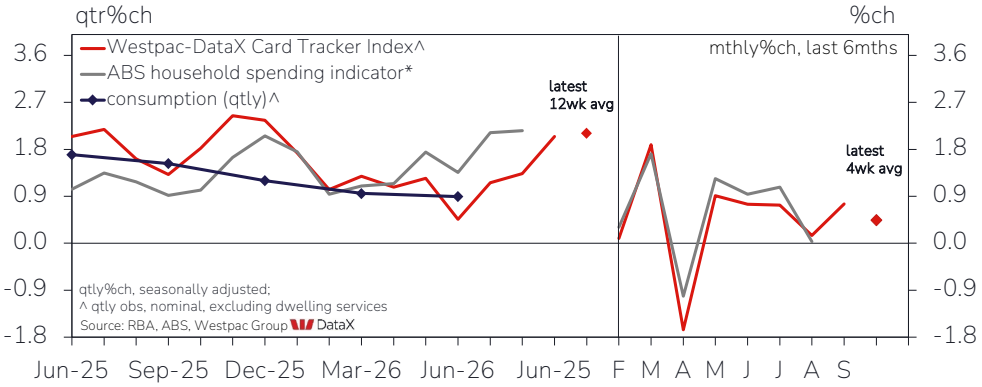
qtly%ch	Q1	Q2	Q3	latest^
Westpac–DataX Card Tracker	**1.3**	**0.5**	**1.9**	**2.1**
ABS monthly household spending indicator*				
Nominal	1.1	1.4	n.a.	2.2
Real*	0.8	0.7	n.a.	n.a.
ABS consumer spending (qtly)#				
Nominal	1.0	0.9	n.a.	n.a.
Real	0.4	0.4	n.a.	n.a.

All series seasonally adjusted. Latest is either the latest weekly obs (12wks %ch on previous 12wks) or latest monthly obs (3mths %ch on previous 3mths). See p10 for more details.
* ABS monthly household spending indicator based on domestic card transaction and new vehicle sales data. Real estimates are quarterly.
# Consumer spending excludes housing costs.
Sources: ABS, Westpac Group

2. Card activity and spending: growth momentum



3. Consumer spending: selected indicators



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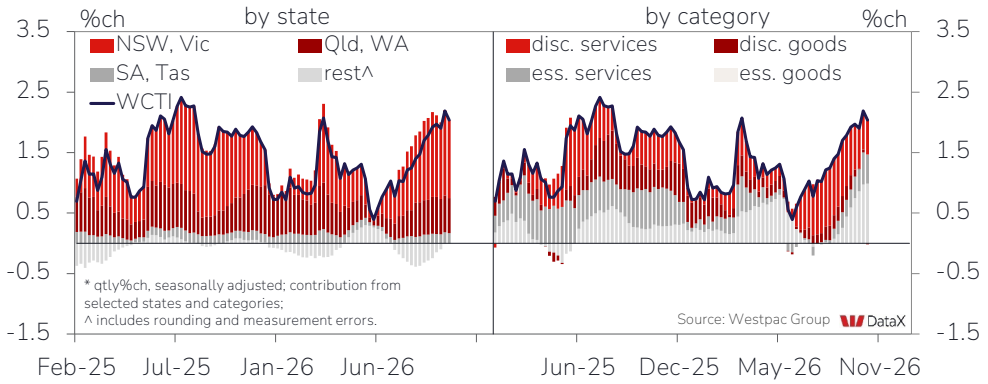
Services still relatively strong; discretionary goods flat-lining

- Chart 4 shows quarterly growth in card activity broken down by contributions from major state and category groups.
- The contribution from essential goods captures the effect of fuel price swings. Outside of this, discretionary services have been the main driver of growth with solid support coming from essential services. Discretionary goods activity has essentially stalled flat. In quarterly growth terms, essential goods is now leading, running at 3.6%qtr (+0.9%qtr ex fuel), with essential services tracking at 2.5%qtr, discretionary services running at 2.0%qtr and discretionary goods much weaker at –0.1%qtr (down materially in per capita terms).
- By state, the large south eastern states of NSW and Vic account for nearly two thirds of the growth.
- As noted, the latest update includes significant revisions. Data lags and cleaning often result in shifts to historical estimates. These are typically small but can be have a material cumulative effect. Chart 5 shows the impact of the latest revision: for the last week of September, it lifts the WCTI 2.5pts and the 4wk trend growth rate from 0.2% to 0.6%, removing what looked to be a slowing in momentum at the time. We will be investigating this issue more closely in coming weeks to see whether there is a systematic bias that can be adjusted for in the future.

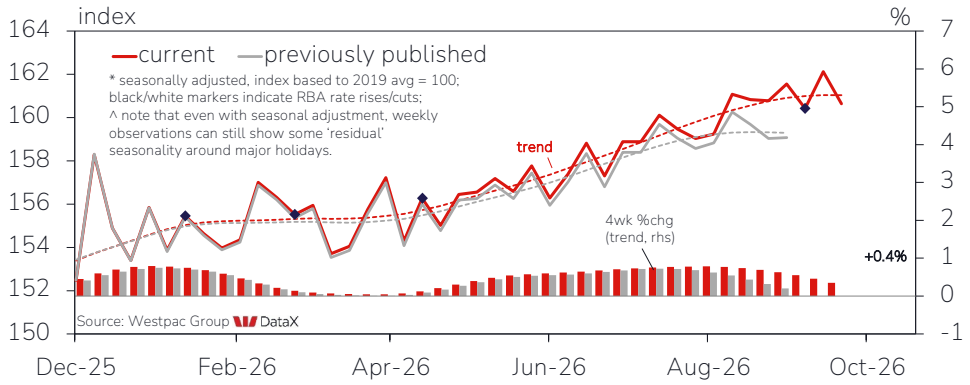
	Jul	Aug	Sep	17/10
Westpac–DataX Card Tracker	**158.3**	**158.6**	**159.8**	**160.6**
By category				
– discretionary*	160.6	159.9	160.6	160.7
– essential*	153.0	153.9	155.7	158.0
By state				
– NSW	151.4	151.4	153.8	154.6
– Vic	149.1	150.0	150.7	154.9
– Qld	173.5	173.8	174.8	178.7
– WA	175.8	177.1	179.5	181.7
– SA	165.3	166.7	168.5	168.6

All indexes based on the value of spending–related transactions, seasonally adjusted, 2019 avg=100, see p10 for more details including classifications.
* indexes revised due to re-classification.
Sources: ABS, Westpac Group

4. Card activity: contributions by state and category



5. Westpac–DataX Card Tracker Index: revision



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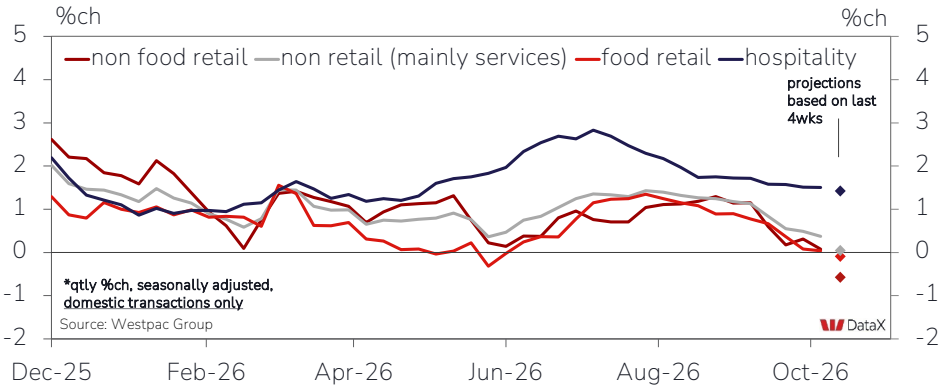
Retail more exposed to softer consumer segments

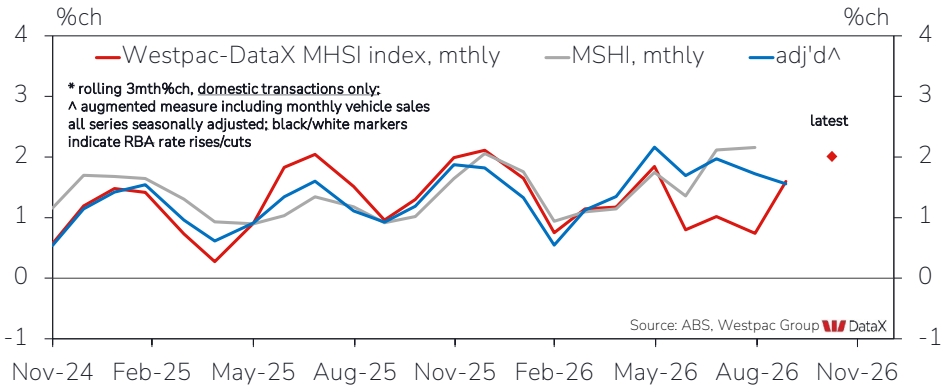
- Our MHSI and retail card indexes are composite measures based on transactions in categories that are in scope for the ABS monthly household spending indicator (MHSI) and retail sales estimates (which have been based on the MHSI detail since the ABS retail survey was discontinued in June 2025).
- After under-performing the broader WCTI in Q2, the MHSI index has moved more in line in Q3, posting growth of 1.6%qtr with the latest week running at 2%qtr. The retail card index has been more subdued, up 1.1%qtr in Q3, growth running at just 0.4%qtr in the latest week.
- The ABS MHSI has been firmer than our index since June, mainly reflecting strong gains in vehicle sales which are not incorporated into our index. Vehicle sales appear to have been relatively flat in recent months, our estimates suggesting the official measure, due Nov 4, should show quarterly growth more in line with our indicator (Chart 7).
- The more granular detail on the retail card index shows non-food retail contracting materially over the last four weeks, consistent with the weakness being observed across discretionary goods categories.

	Jul	Aug	Sep	17/10
MHSI card index	**155.3**	**155.3**	**157.0**	**158.6**
– qtly%ch	1.0	0.7	1.6	2.0
– qtly, ann%ch	5.2	5.4	5.8	5.7
ABS MHSI				
– %ch	1.1	0.0	n.a.	n.a.
– qtly%ch	2.1	2.2	n.a.	n.a.
– qtly ann%ch	6.2	7.0	n.a.	n.a.
Retail card index	**155.7**	**155.1**	**155.4**	**155.1**
– qtly%ch	1.8	1.3	1.1	0.4
– qtly, ann%ch	5.6	5.3	5.0	4.2
ABS retail sales				
– %ch	1.0	-0.2	n.a.	n.a.
– qtly%ch	1.8	1.5	n.a.	n.a.
– qtly ann%ch	5.5	5.6	n.a.	n.a.

6. Card activity: retail segments and non-retail



7. Card activity: ABS MHSI index vs WCTI measures



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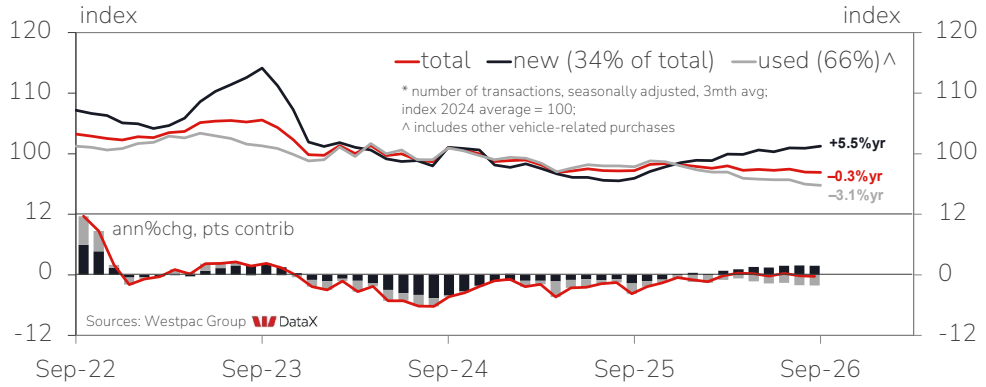
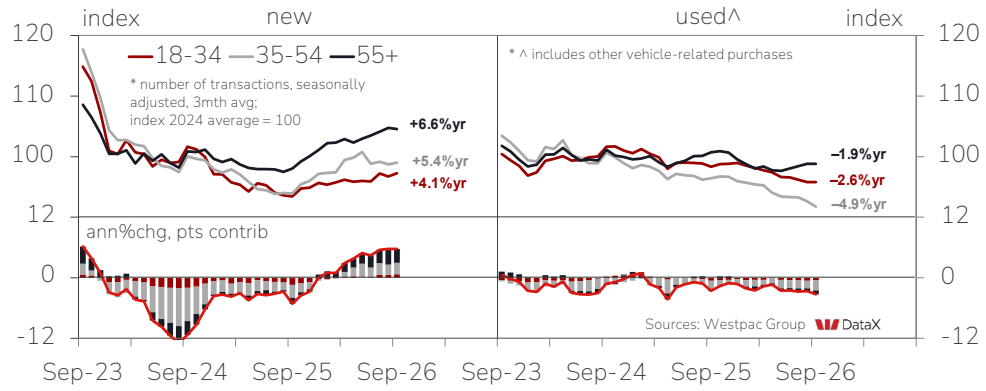
Vehicle-related card activity highlights diverging trends

- The **Westpac Card Tracker** draws on a rich dataset that sheds light on many aspects of consumer demand. In some cases, it can also reveal some nuances about the way spend is captured – in official statistics, industry measures and the card data itself. Vehicles provide a particularly good example of this.
- Vehicle spend has long been a bellwether for the wider consumer cycle. As a large discretionary expenditure, it is more sensitive to interest rate changes, 'wealth effects' and sentiment shifts, particularly around job security. Given this, ABS measures and industry figures on vehicle sales have delivered material upside surprises over the last year. Vehicle purchases recorded a remarkable 10.3%qtr surge in the June quarter to be up 7.3%yr with industry figures showing vehicle sales holding around these levels in the September quarter. Even allowing 'extenuating circumstances' driving strong demand for EVs, the results seem to fly in the face of wider interest rate, cost-of-living and sentiment narratives.
- The card tracker data allows for a deeper dive. Note that credit and debit cards are not often used to purchase vehicles with account transfers or financing typically used for the main purchase instead.
- However, cards are used for up-front payments. This shows through in payment sizes, which are in the hundreds of dollars (average $750) not the tens of thousands. As such, card activity should still give some guide, particularly around sales volumes.
- Chart 8 shows how transactions have tracked and highlight another important point. Most of the data in this space focuses on new vehicles (for the ABS this is because used sales are a transfer between households that 'cancels out' for the sector as a whole). However, industry estimates show used sales are both more common and have been tracking a weaker profile – the card data suggests used sales are down at least 3%yr (finer estimates putting the figure closer to 8%yr).
- Age-groups offer another insightful lens. Activity has been much firmer across older age groups, particularly in the 'new vehicle' segment where they are more prominent (accounting for 42% of all activity) and activity is up on a year ago. This group has notably stronger balance sheets and is low exposure to interest rate rises. In contrast, vehicle spend has been contracting materially across other age-groups, particularly used car spend by the 'mortgage belt' 35-54 year olds.

8. Card activity: vehicles



9. Card activity: new, used vehicles by age group



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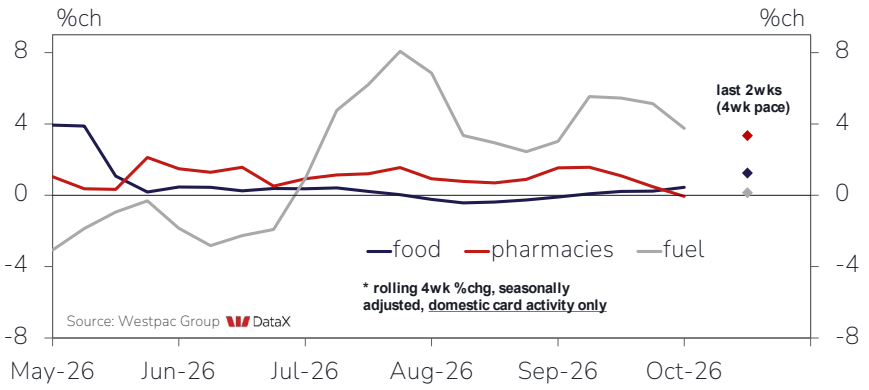
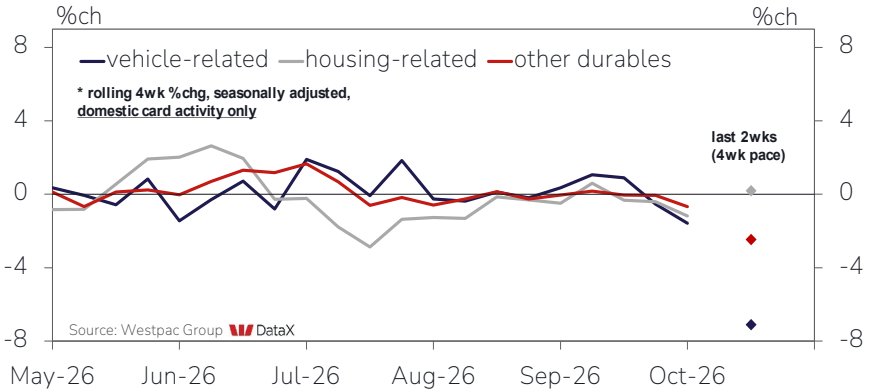
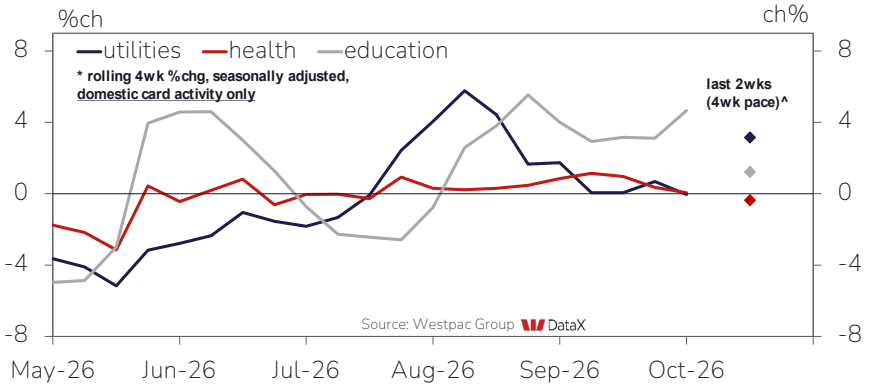
10. Card activity: essential goods



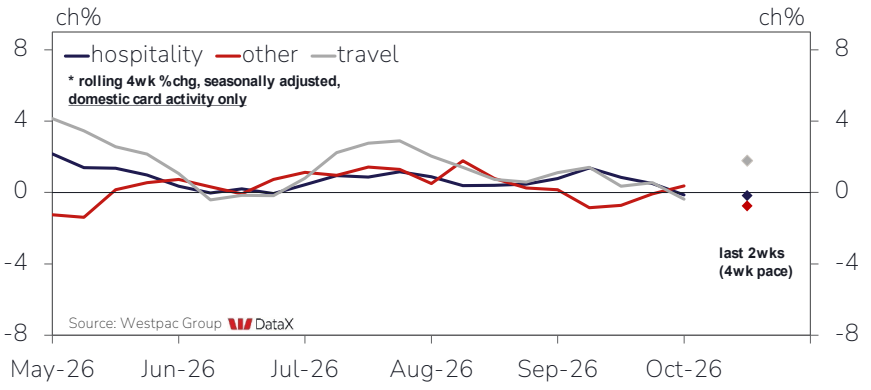
11. Card activity: discretionary goods



12. Card activity: essential services



13. Card activity: discretionary services



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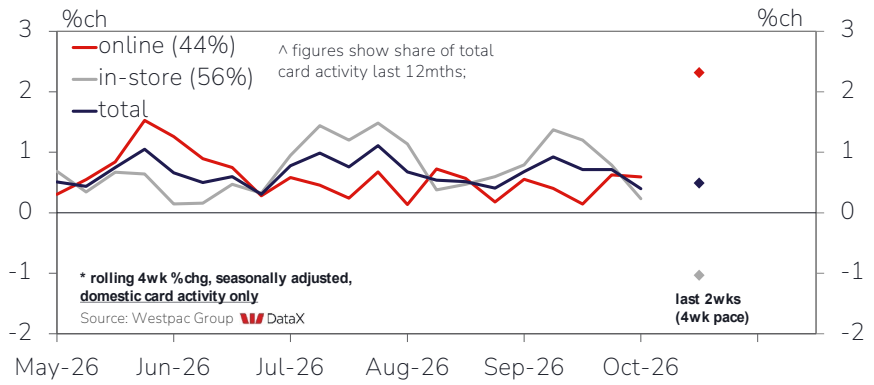
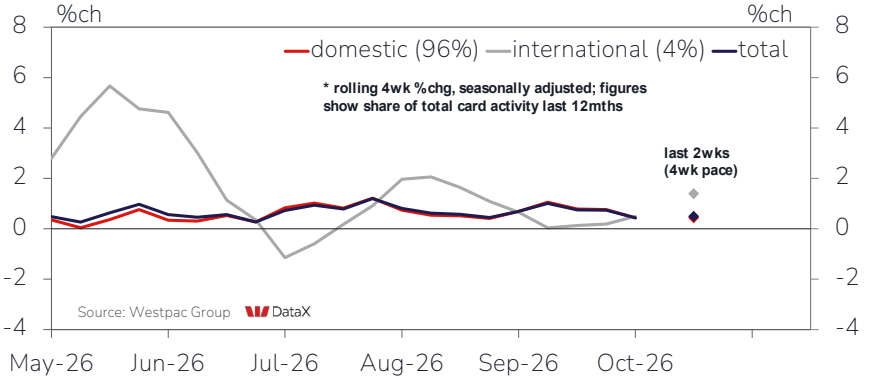
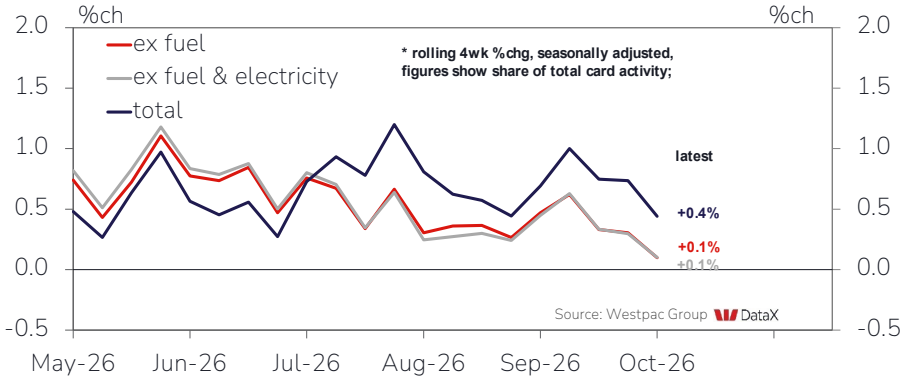
14. Card activity: online and in-store



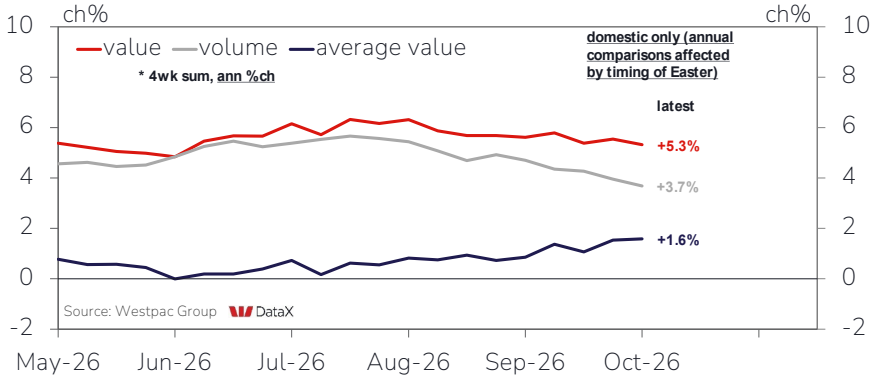
15. Card activity: food and non-food



16. Card activity: total, ex fuel and electricity



17. Card activity: value and volume



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WESTPAC CARD INDICATORS*

	2024		2025			2026					week ending:				
	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Jul	Aug	Sep	26/9	3/10	10/10	17/10
Westpac–DataX Card Tracker Index	**143.0**	**144.8**	**147.8**	**149.7**	**153.3**	**155.2**	**155.9**	**158.9**	**158.3**	**158.6**	**159.8**	**161.6**	**160.4**	**162.1**	**160.6**
qtly%ch	1.4	1.3	2.0	1.3	2.4	1.3	0.5	1.9	1.2	1.3	1.9	2.1	2.0	2.3	2.1
qtly, ann%ch	5.3	3.9	5.2	6.2	7.2	7.2	5.5	6.1	5.9	6.2	6.1	6.1	6.0	6.0	6.0
By category															
– discretionary	145.7	146.1	149.3	151.3	155.2	155.9	157.2	160.4	160.6	159.9	160.6	162.3	161.7	163.4	160.7
– essential	138.4	141.4	144.0	145.9	148.2	151.4	151.9	154.2	153.0	153.9	155.7	158.6	156.7	158.4	158.0
services	150.5	152.8	156.6	159.6	163.3	164.9	165.5	169.5	169.4	169.4	169.8	172.9	170.9	173.3	172.2
– discretionary services	154.5	155.1	158.8	160.3	164.8	165.6	167.1	171.8	171.9	171.2	172.3	174.7	173.4	175.9	174.3
– essential services	144.8	149.4	153.5	158.5	161.0	164.0	163.2	166.2	165.8	166.7	166.2	170.3	167.2	169.5	169.1
goods	135.3	136.5	138.5	139.7	142.4	144.4	145.6	147.4	146.6	146.8	148.7	150.3	149.8	151.0	149.0
– discretionary goods	136.3	136.5	139.1	141.8	144.9	145.5	146.6	148.2	148.7	147.9	148.1	148.9	149.0	149.9	146.0
– essential goods	134.4	136.4	138.1	137.9	140.2	143.5	144.8	146.7	144.9	145.9	149.2	151.5	150.5	152.0	151.6
MHSI card index*	142.3	143.3	145.9	147.3	150.5	152.2	153.4	155.8	155.3	155.3	157.0	159.5	158.7	160.1	158.6
qtly%ch	1.2	0.7	1.8	1.0	2.1	1.1	0.8	1.6	1.0	0.7	1.6	1.9	1.8	2.1	2.0
qtly, ann%ch	4.6	2.6	4.1	4.8	5.7	6.2	5.1	5.8	5.2	5.4	5.8	5.7	5.7	5.7	5.7
retail card index*	142.8	143.3	146.0	148.0	151.2	152.0	153.8	155.4	155.7	155.1	155.4	156.4	156.6	157.4	155.1
qtly%ch	1.2	0.4	1.9	1.4	2.2	0.5	1.2	1.1	1.8	1.3	1.1	0.8	0.6	0.5	0.4
qtly, ann%ch	4.2	1.8	4.3	4.9	5.9	6.0	5.3	5.0	5.6	5.3	5.0	4.9	4.7	4.5	4.2
By state															
– NSW	138.3	139.8	142.5	144.2	148.0	148.7	149.2	152.2	151.4	151.4	153.8	156.6	155.8	157.9	154.6
– Vic	136.7	138.6	140.4	142.4	144.9	146.1	147.1	149.9	149.1	150.0	150.7	154.1	153.7	154.9	154.9
– Qld	152.5	155.5	159.2	161.8	167.1	169.8	169.6	174.1	173.5	173.8	174.8	178.1	176.9	178.2	178.7
– WA	153.6	156.7	159.5	163.0	167.7	170.8	171.7	177.5	175.8	177.1	179.5	182.1	181.6	182.7	181.7
– SA	150.1	152.2	154.6	157.0	160.4	162.2	163.0	166.8	165.3	166.7	168.5	168.9	168.6	169.1	168.6

All indexes based on the value of spending–related transactions, seasonally adjusted by Westpac, 2019 avg=100. See p10 for more details.
* composite based on transactions in categories in scope for ABS monthly spending indicator and ABS retail sales surveys respectively.

Sources: ABS, Westpac Group

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About the Westpac card data indicators

The indicators presented in this report are based on the millions of credit and debit card transactions processed every day. Transactions covering over ten million merchants are classified into over 700 categories. These are in turn grouped into higher level aggregates that provide a timely guide to wider economic trends.

The main focus of these indicators is consumer spending. Where possible, we have sought to exclude 'non spending' transactions such as: money transfers; tax payments; loan repayments; charitable donations; and superannuation contributions.

It should also be noted that these indicators will also be affected by shifts between card and non-card transactions. This was a significant factor during the COVID–19 pandemic – health concerns about the use of physical cash leading to significantly higher use of cards vs cash, particularly where contact–less transactions are available. Transaction flows also include reversals/refunds which were also a significant phenomenon during the onset of COVID, especially in areas such as travel.

All transaction data is compiled at a highly aggregated level so that individual customer or merchant data is never revealed.

Index construction

The key metrics used in this report are indexes of spending–related card activity where the base of 100 is average activity in 2019. As an example, if transaction flows are 5% above their average level in 2019, the index read for the period is 105. If flows in a subsequent period are 8% above the average level in 2019, the index read for this period is 108. Growth between the two periods can be calculated simply as the change between the two index reads, i.e. 2.9%.

All measures are adjusted for regular seasonality. Weekly estimates are generated using the US Bureau of Labor's MoveReg weekly seasonal adjustment program. Note that in some cases, high levels of volatility during the COVID period mean it is not possible to produce seasonally adjusted estimates for some historical periods.

Also, note that previous versions of this report used different approaches to seasonal adjustment and measurement more generally. This means Index reads are sometimes not directly comparable. See the 'About the Westpac card data indicators' sections from earlier reports to more detail.

Classifications

Note that the measures used for card data and in this report do not align completely with the those used in official ABS statistics, including the ABS household spending indicator, ABS retail trade survey and ABS estimate of consumer spending published in the national accounts. There are a range of differences including around both coverage and classification. As such, the card data should be treated as broadly indicative.

The transaction data is grouped into 26 categories that are then combined into four main as follows:

Discretionary goods: alcoholic beverages, tobacco, clothing & footwear, furnishings & household equipment, household appliances, vehicle–related, recreational & cultural goods, newspaper, books & stationery, and other personal effects.

Discretionary services: transport services (part), recreational & cultural services, gambling, catering services, accommodation services, other personal care, insurance & financial services, other services.

Essential goods: food & non alcoholic beverages, medical products, appliances & equipment, and operation of personal transport equipment.

Essential services: electricity, gas & other fuels, health services, transport services (part), communications and education.

The report also uses two additional classifications:

MHSI/Retail: based on the extent to which categories cover activity that is in scope for the ABS monthly household spending indicator and ABS retail trade survey.

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Week beginning 26 October 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Open mouth operations.

The Week That Was: Managing Expectations.

Focus on New Zealand: RBNZ now expected to hike in October.

For the week ahead:

Australia: CPI, RBA senate appearance, private sector credit, PPI, export and import price index.

New Zealand: RBNZ policy decision, employment indicators, business confidence, consumer confidence.

China: NBS manufacturing and Non-manufacturing PMIs, industrial profits.

Japan: BoJ policy decision, Tokyo CPI, jobless rate, industrial production.

Euro Area: ECB policy decision, Q3 GDP, unemployment rate, economic confidence.

Canada: BoC policy decision.

United States: FOMC policy decision, Q3 GDP, PCE deflator, personal income and spending.

Information contained in this report current as at 23 October 2026.

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Open mouth operations

Luci Ellis
Chief Economist, Westpac Group

- **Central banks' communication is carefully scrutinised for every nuance. Lately, there seems to have been more RBA communication to pore over. The method of delivery has also evolved. This has sometimes caused confusion when tone seems to vary. Different audiences call for different tone and varying complexity.**
- **The content has evolved, too. RBA officials are increasingly using speeches directed to professional audiences to discuss more technical estimates of inferred variables such as neutral rates and financial conditions. They are also highlighting that monetary policy combats inflation in more ways than just squeezing mortgage holders.**
- **One thing has not changed: the RBA is not in the business of providing 'forward guidance' promises about the future path of interest rates. It does, however, give more running commentary about how it is interpreting recent data. These interpretations are themselves useful signals about what the RBA thinks it might do.**

Market participants pore over every utterance by central banks for clues to future rate moves. They will have plenty to pore over in the run-up to the November RBA decision. After the flurry of fireside chats this week, '60 Minutes' will run a pre-recorded interview with chief economist Sarah Hunter on Sunday. Next Wednesday, the whole senior policy team will appear before Senate Estimates, just as the quarterly CPI is released. (This timing will have been the Senate's choice, not the RBA's.) After the decision will come the *Statement on Monetary Policy*, a media release and press conference. More speeches will follow, including one by the Deputy Governor on the Thursday.

RBA communication does seem to have changed, not just following the RBA Review but also more recently. There may be fewer policy meetings each year, but the communication outside that certainly feels more frequent than a couple of years ago. Back in 2024, speaking engagements felt a little sparse outside the post-meeting media conference and parliamentary appearances. We have counted 58 public engagements so far this year on the Speeches page on the RBA's website. This compares with 58 for the whole of last year and 52 in 2024. Excluding the 'compulsory' press conferences and parliamentary appearances, fewer than half of the 2024 events were related to economics, markets and monetary policy.

The 'how' has changed

The way the RBA communicates with markets has changed as well. There are fewer set-piece speeches on policy and a lot more semi-scripted 'fireside chats'. Compared with a few years ago, there are more interviews across a wide range of media. This is a big change from the pre-Review world. It was a huge deal when the previous Governor appeared on the *7:30 Report*; it is hard to imagine him agreeing to an Assistant Governor appearing on *60 Minutes*.

Part of the change reflects increased efforts to reach a general audience. Central banks want to explain why they do what they do. This matters especially when interest rates are rising but the household sector is not the source of the inflation.

Speaking differently to different audiences can sometimes confuse markets. As the RBA's Chief Communication Officer highlighted in a recent panel discussion, the post-meeting media conference is designed to speak to the public. Market participants and economists certainly tune in, but we are not the primary audience. So, if you think that what the Governor said in the media conference sounded more 'dovish' than what another official says in a more market-oriented forum, it is partly because she is trying to convey that the RBA understands that its recent policy actions are making things harder for many Australians. But this is in much the same way that a doctor might say, "This might hurt a bit." It does, but that will not stop the treatment.

A related issue is that it is easier to control tone in pre-drafted material such as the minutes and set-piece speeches than in unstructured Q&A. Senior central bankers are trained to be careful with their words in unscripted settings. If the tone differs, the minutes are still more likely to say what the Board really means than an off-the-cuff answer.

> **"The RBA does not want to promise what it will do, but it is increasingly trying to tell us what it thinks. "**

Greater communication with the broader public might have reduced the pressure to make the set-piece speeches more accessible. Research on central bank communication often uses measures such as the Flesch–Kincaid Grade Level and Flesch Reading Ease score. A comprehensive analysis was beyond the scope of this note. However, a spot comparison suggests four speeches from 2026 (1, 2, 3, 4) were harder to read than four from 2021 (1, 2, 3, 4). The 2021 speeches scored in the 11 to 12 range, which is high-school-level

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complexity. The 2026 speeches scored between 12 and 15, which is academic or technically dense text requiring university-level education. (Including two of my own 2021 speeches is an obvious caveat, but the two speeches by then-Governor Phil Lowe also scored better on these metrics than the sample from this year. It should be noted, though, that readability metrics do not necessarily imply better clarity if the concepts discussed are more abstract.)

The 'what' has changed

As noted above, the content of RBA communication has evolved, too. As its intellectual framework has begun to put more weight on the balance of supply and demand, and those invisible 'star' variables (NAIRUs, neutral real rates, 'financial conditions', etc.), the communication to professional audiences has increasingly focused on those topics.

More recently, the RBA has also placed more emphasis on the full range of transmission channels from interest rates to inflation (though not, as we have noted previously, the labour supply channel). This is understandable in a world of supply shocks. People need to understand that monetary policy is not simply an exercise in hitting mortgage borrowers. We doubt they would be comforted, though, by the Deputy Governor's explanation this week that the 'cashflow channel' was the smallest of the transmission channels from interest rates to inflation, with the exchange rate much more prominent. That implies a lot of pain for a small group, for little effect on inflation. It raises the question of whether other policy tools or institutional arrangements might get the same effect on inflation through the other channels without hitting a minority of households disproportionately.

We have also seen a move away from using catchphrases to summarise the position. From 'narrow path' to 'not ruling anything in or out' to 'cautious and predictable', once entrenched, a phrase can outlast its usefulness.

One thing that has not changed is the way the minutes record the presentations to the Board and the members' discussion. The minutes rarely convey much new information beyond the post-meeting statements. Sometimes, though, the minutes reveal the Board's reaction to the staff's analysis. The August 2024 minutes were a good example: the discussion highlighted just how sensitive the forecasts were to key judgements by the staff.

The 'why' has not changed

Despite these changes, the underlying objectives of the RBA's communication have not changed. It wants to explain – and perhaps justify – its decisions. And it wants to describe how it interprets incoming data, especially inflation, the labour market and the balance of supply and demand.

The RBA, like any central bank, is not really in the business of providing 'forward guidance' about future moves. Circumstances change, so it can never guarantee a particular future path for interest rates. Some academic literature argues that promising to keep rates low for a long time (or high, for that matter) independently amplifies the transmission of monetary policy beyond the effect of current-period interest rates alone, by shifting the short end of the yield curve. Central banks including the RBA have certainly tried jawboning in this way from time to time. The prevailing view, though, is that the potential cost of reputational loss if things do not turn out as predicted outweighs the benefits of a slightly stronger transmission mechanism.

In this context, it is the interpretation of data that provides the signal about future policy directions. This is why it was noteworthy that the Governor still characterised the labour market as 'a little tight' after the September meeting, even though the Board's post-meeting communication did not. We have been noting for some time that the RBA staff have a downbeat view of supply capacity. Together with the RBA's oft-stated concerns about inflation, this is why the Deputy Governor's 'hawkishness' did not surprise us.

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Cliff Notes: managing expectations

Elliot Clarke, Head of International Economics
Ryan Wells, Economist
Illiana Jain, Economist

With little domestic data of significance, participants' attention focused on RBA Deputy Governor Hauser's fireside chat, which saw an abrupt shift in market expectations of a follow-up rate hike at the November meeting.

Hauser warned in his remarks that the current inflation outlook was "materially worse" than the RBA's August forecasts. Three upside inflation risks were characterised as having "crystallised" ahead of the September meeting – the Middle East, the AI boom, and domestic supply constraints. Hauser noted the Middle East picture "looks worse" given oil prices are "about a third higher than [the RBA] assumed in August". He then positioned AI and data centre developments among an "extraordinary sequence of positive demand shocks around the world", with "higher AI prices, tech prices feeding through into CPI". Finally, on domestic capacity pressures, the Deputy Governor noted that "inflation's been coming in at or a little bit above expectations, despite an apparent easing in the labour market". He went on to state that the staff are currently assessing "whether [the RBA] need to change [its] judgement on capacity pressures in the labour market again" – in other words, revise up their assumption for the NAIRU.

Hauser's comments prompted a material reassessment of market pricing for a follow-up November hike, from just a 20% chance at the end of last week to a 50/50 proposition today ahead of next week's Q3 CPI. For that release, we are forecasting a 1.3% (4.1%yr) lift in headline inflation and a 0.9 (3.5%yr) increase in trimmed mean inflation. Our preview provides more detail behind the component mix for Q3 as well as our upward revisions to the preliminary Q4 forecast. Provided inflation prints broadly in line with our expectations, the RBA is likely to hike by 25bp at the November meeting.

Across in New Zealand, consumer prices rose 0.7% in Q3 and annual inflation eased from 4.1%yr to 3.7%yr. Under the surface of this 'as expected' read though, several closely watched measures of core inflation took a step higher to now be at or slightly above the top of the RBNZ's target band. Our NZ economics team consequently expect the RBNZ will raise the OCR 25bps to 3.00% at its October policy review, while retaining a 4.00% terminal OCR forecast for September 2027.

Earlier in the week, China's economy surprised to the upside in Q3, GDP growth accelerating from 0.9%qtr to 1.2%qtr, lifting annual growth from 4.3%yr to 4.5%yr – keeping authorities on track to achieve their 4.5–5.0% full-year growth objective.

While annual retail sales growth improved in September, rising from 0.4%yr to 1.1%yr, the current pace of growth is only a quarter of the gain seen just a year ago and very weak versus history. Consumer spending continues to be constrained by weak confidence, particularly with respect to employment prospects and wealth. On housing wealth, five years into the property downturn, house prices continue to decline month-on-month and investment remains in a deep downturn, –20.6%ytd.

"With little domestic data of significance, participants' attention focused on RBA Deputy Governor Hauser's fireside chat. Offshore, China GDP was the key release. "

Total fixed asset investment has been detracting from annual GDP growth since April owing to a lull in high-tech investment, a lack of confidence in future demand amongst domestically oriented businesses as well as property's malaise. For aggregate growth to hold up through 2027 and 2028 as the contribution from net exports moderates, broad-based stimulus in scale will prove necessary. Expect recent targeted support measures to be broadened and given much greater scale in coming months.

Finally, in the UK, inflation accelerated from 3.1%yr to 3.5%yr in September, exceeding both market expectations and the Bank of England's July forecast. The surprise was largely driven by energy, fuel prices rising 5.4%mth. However, core inflation also edged up from 2.6%yr to 2.8%yr as services inflation increased from 3.4%yr to 3.7%yr. While not an immediate concern inflation, the labour market showing resilience, the ILO unemployment rate falling from 4.9% to 4.7% in August, suggests demand risks for inflation will need close monitoring as well as supply-side concerns.

Next week will see the focus once again return to the US as the FOMC meet and US Q3 GDP is released. For both events, the implications for risks to the outlook will be the focus. The week after, the US mid-term elections are due.

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RBNZ now expected to hike in October

Satish Ranchhod
Senior Economist

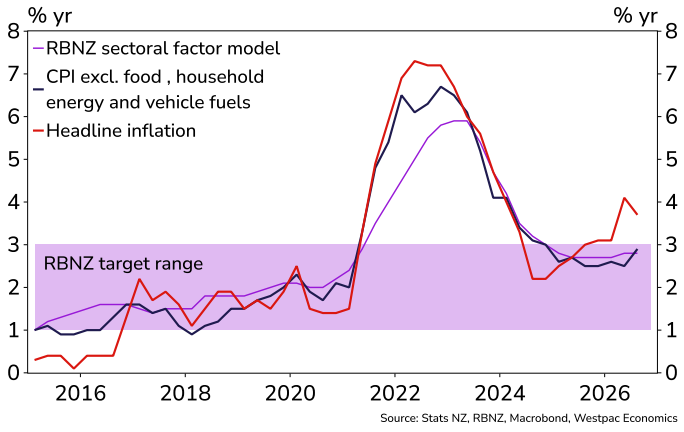
We now expect the RBNZ will deliver a 25bp hike at its policy review on 28 October. While September quarter inflation was slightly below the RBNZ's forecast, the underlying detail was firm. More recently, increases in fuel prices point to a material lift in inflation by year-end. We expect further interest rate increases over the coming months, with the OCR reaching a peak of 4% next year.

Softer headline inflation but firm core pressures leave RBNZ on course to hike in October

We now expect the RBNZ to raise the Official Cash Rate by 25bp at its October policy review (previously, we had expected a pause at this meeting). This change in view reflects significant upside risks to near-term inflation relative to the RBNZ's previous forecast.

While in line with our forecast, the September quarter inflation figures were slightly softer than the RBNZ expected, with prices rising 3.7% over the past year (compared with the RBNZ's forecast of 3.9%). However, the details were less reassuring. Excluding volatile items such as food and fuel, underlying inflation pressures remained firm. Closely watched measures of core inflation moved higher and now sit close to, or a little above, the top of the RBNZ's target band. We also saw an increase in the number of goods recording price rises, taking that measure back to levels seen in the wake of the pandemic.

New Zealand headline and core inflation



Source: Stats NZ, RBNZ, Macrobond, Westpac Economics

Alongside the existing firmness in underlying inflation, the risks for inflation over the coming quarters are firmly tilted to the upside. That near-term upside risk has also been noted by the Governor. Following a sharp rise in global fuel costs, we expect inflation to reach 4.3% by the end of this year (above the RBNZ's September MPS forecast for +3.9%). While that is mainly due to higher prices at the pump, businesses in sectors such as construction are also reporting related increases in transport and materials costs. Consistent with those trends, we expect core inflation to remain in the upper part of the RBNZ's target band through 2027.

Reinforcing the case for an OCR hike at the October meeting, the New Zealand dollar is notably weaker than the RBNZ assumed: on a trade-weighted basis, the NZD is currently 3.6% below the RBNZ's September projections. If sustained, that would add to inflation pressures over the next few quarters. We suspect this will not have shifted the RBNZ's medium-term outlook for inflation.

Several other developments need to be weighed against that firmer inflation outlook. First, wholesale long-term interest rates have risen markedly, and there has also been a more moderate rise in some mortgage rates. The RBNZ is likely to note the role of those increases in managing medium-term inflation risks.

In addition, the RBNZ is likely to continue to emphasise that there is little evidence of a lift in businesses' longer-term plans for price setting at this stage in response to the rise in energy prices (sometimes referred to as "second-round inflation effects"). We expect the RBNZ to highlight the risk that more persistent inflation pressures could emerge, depending on the duration of the oil price shock.

We also expect the RBNZ to note that the labour market remains cyclically weak and is not a significant driver of inflation. Employment growth that remains weak relative to labour force growth, subdued growth in job vacancies and low labour market turnover are consistent with this view and could be emphasised.

Finally, the RBNZ is likely to acknowledge that while the global growth outlook remains solid, there are significant downside risks from the Iran war and concerns about the sustainability of the AI investment cycle.

Balancing those concerns, we think the MPC will lift the cash rate next week. However, a vote seems very possible as differences in view will likely remain among the MPC about how much the medium-term inflation outlook has really shifted in recent weeks.

In September, the bulk of the MPC saw upside risks to the inflation outlook while two members (Conway and Hansen) thought the risks were balanced. Recent developments will not have made those seeing upside risks to inflation more

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comfortable, while the more dovish MPC members will likely focus on the ongoing downside risks for growth given continued softness in house prices and the mounting pressure on real incomes. Indeed, all MPC members saw some degree of downside risks to growth which likely remain relevant. All these messages should remain in the RBNZ's updated views.

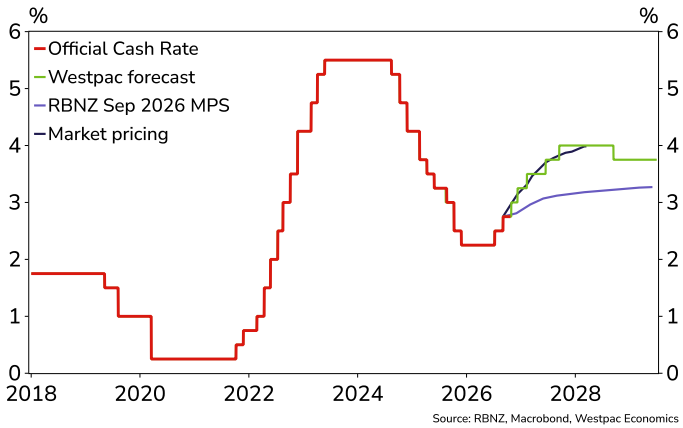
The MPC is likely to continue to present its decision as a gradual evolution of the approach taken since July: a higher OCR now provides insurance against the need for a much higher OCR later if upside risks to medium-term inflation materialise. We doubt the aim will be to push market interest rates materially higher.

RBNZ to leave door open for further hikes, OCR still expected to peak at 4% in 2027

In its forward guidance, the RBNZ is likely to leave open the option of raising the OCR further at the December Monetary Policy Statement, without presenting an increase as certain. While the RBNZ will not publish an updated OCR projection at this review, the press statement is likely to note that further increases may be needed, depending on economic conditions. The September projection showed the OCR eventually rising to 3.25%.

We expect the RBNZ will end up delivering another 25bp hike in December, followed by a further hike in February. That would take the OCR to 3.5%, roughly where the RBNZ estimates the neutral rate to be. At that point, we expect the RBNZ to slow the pace of rate increases (previously, we had expected that point to be reached a little later).

RBNZ Official Cash Rate



Source: RBNZ, Macrobond, Westpac Economics

We continue to expect further 25bp hikes at the June and September 2027 meetings, taking the OCR to a peak of 4.0%. While oil prices are generating significant swings in inflation, underlying pressures remain firm. More restrictive conditions are likely to be needed to bring core inflation sustainably back to 2%.

Scenarios

Our central scenario, with a probability of around 60%, is that the RBNZ increases the OCR by 25bp and signals that a further increase in December remains an option, without committing to a markedly tighter future stance than it outlined in September.

Alternative scenarios include:

- A hawkish scenario (around a 20% probability) would see the OCR increase to 3%, with the RBNZ placing greater emphasis on upside risks to core and medium-term inflation. That would suggest an upward revision to the RBNZ's projected OCR path in December. Downside risks to the exchange rate could also be emphasised.
- A dovish scenario (around a 20% probability) would see the RBNZ leave the OCR unchanged and signal that the medium-term inflation outlook has not changed meaningfully from its September forecast, despite higher near-term inflation. In this scenario, the RBNZ would reiterate its previous forecast: a 25bp increase in December and one further hike during 2027.

How might the election play into the decision?

While next week's meeting is close to the General Election on 7 November, the decision taken by the MPC will not be politically motivated. However, the election outcome is close. And should it result in a Labour Party-led coalition, it seems likely the new government would adopt the Labour Party's promise to restore the RBNZ's dual mandate. That would require the MPC to weigh the degree of labour market slack more highly in its deliberations. As the degree of labour market slack currently seems high, a new mandate might justify the MPC taking more time to return inflation to the middle of the target range (our earlier note discusses this issue). This could figure into the deliberations of some MPC members if the decision between leaving the OCR unchanged and raising it now is viewed as finely balanced.

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AUS: Q3/Sep CPI (%qtr/%mth)

Oct 28, Quarter, Last: 0.6%, Westpac f/c: 1.3%, Market f/c: 1.3%, Range: 0.6 to 1.4.

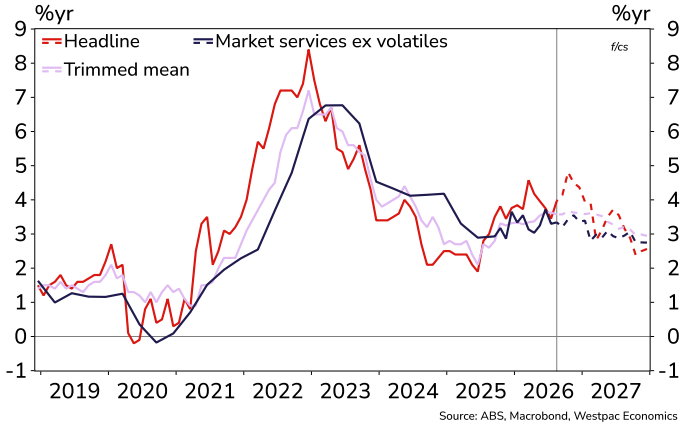
Oct 28, Month, Last: 0.4%, Westpac f/c: 0.6%, Market f/c: 0.6 Range: 0.3 to 0.8

As noted in the review of the August CPI, our September quarter CPI estimate is unchanged at 1.3%qtr holding the annual pace flat at 3.9%yr. At the margin there was a 0.04ppt increase due to a lift in auto fuel but it still rounds to 1.3%. The seasonally adjusted CPI gains 1.1% highlighting that part of the increase is due to usual seasonality.

In the month, the September CPI is expected to rise 0.6% with the annual pace lifting to 4.1%yr. Recreation & culture make the largest contribution but transport is not far behind. Our seasonally adjusted estimate increases 0.5%.

For more details please see "September CPI Preview".

Monthly inflation indicators



Source: ABS, Macrobond, Westpac Economics

AUS: Q3/Sep Trimmed Mean (%qtr/mth)

Oct 28, Quarter, Last: 0.8%, Westpac f/c: 0.9%, Market f/c: 1.0%, Range: 0.9 to 1.0.

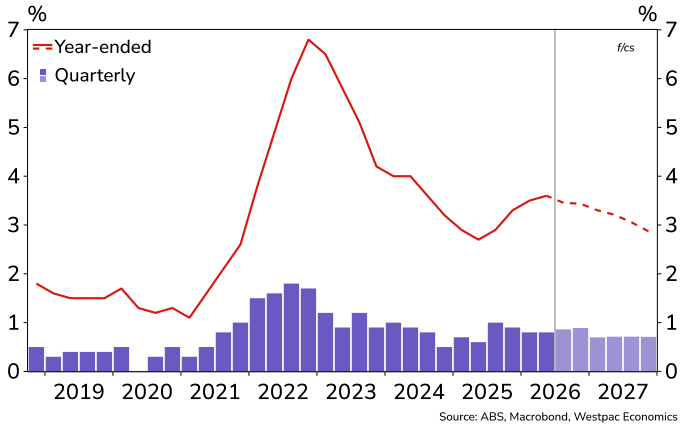
Oct 28, Month, Last: 0.2%, Westpac f/c: 0.3%, Market f/c: 0.3%, Range: 0.2 to 0.4

Our September quarter Trimmed Mean estimate is unchanged at 0.9%qtr with the annual pace dipping a touch from 3.6%yr to 3.5%yr. There was a small downward revision of 0.03ppt to 0.88% compared to our original published estimate but it still rounds to 0.9%qtr.

In the month of September we are looking for a 0.3% in the Trimmed Mean holding the annual pace steady at 3.6% which will be the fourth consecutive month at this pace. The distribution of the September Trimmed Mean ranges from –0.3% to 0.7%.

For more details please see "September CPI Preview".

Trimmed Mean Inflation



Source: ABS, Macrobond, Westpac Economics

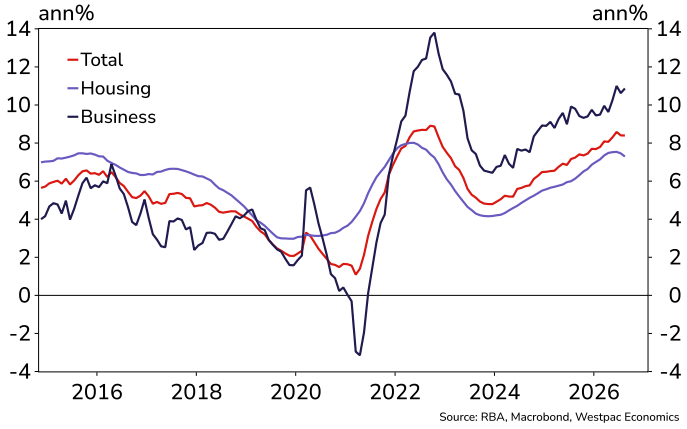
AUS: Sep Private Sector Credit (%mth)

Oct 30, Last: 0.6, Westpac f/c: 0.5
Market f/c: 0.5, Range: 0.4 to 0.6

Private sector credit growth came in slightly firmer than expected at 0.6%mth in August, above Westpac's and the market's forecast for a 0.5%mth gain, leaving credit growth running at 8.4%yr. Growth in housing credit continued to ease, as we expected, though the mix highlights that the waning in momentum is uneven, centred on investors rather than owner-occupiers. Business credit meanwhile remains a source of strength, notwithstanding some slowing recently.

For September, we expect credit growth to nudge to 0.5%mth, with the divergence between housing credit and business credit persisting.

Private sector credit growth



Source: RBA, Macrobond, Westpac Economics

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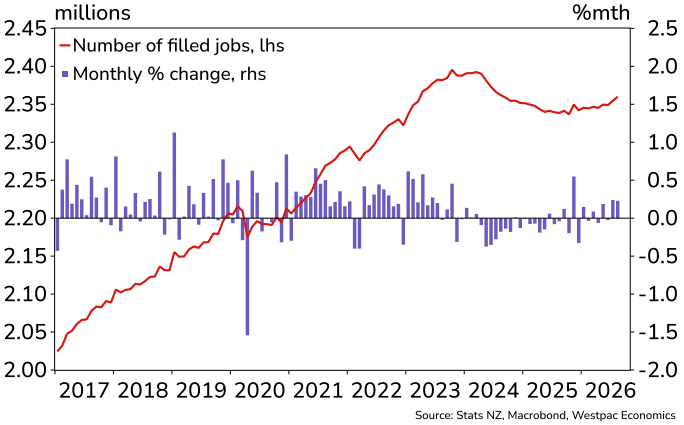
NZ: Sep Monthly Employment Indicator (%mth)

Oct 28, Last: 0.2, Westpac f/c: 0.3

The MEI has been gradually ticking higher in recent months, showing that the jobs market has held its ground through the Iran conflict and the consequent surge in fuel prices. The weekly snapshots provided by Stats NZ have been running ahead of year-ago levels and suggest another solid result for September – we've pencilled in a 0.3% increase. Given the history of this measure, however, both this month and the previous month are likely to be revised down a little from their initial release.

Monthly Employment Indicator



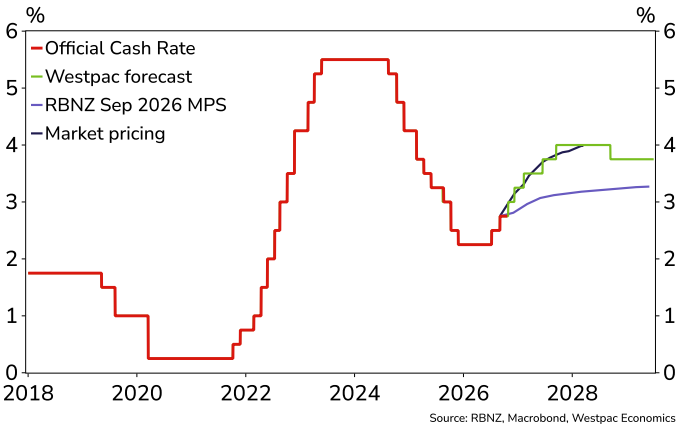
Source: Stats NZ, Macrobond, Westpac Economics

NZ: RBNZ Official Cash Rate Review (%)

Oct 28, Last: 2.75, Westpac f/c: 3.00, Mkt f/c: 3.00

We expect the RBNZ to raise the OCR by 25bps to 3% at the 28 October Review. Data since September show a higher outlook for year-end inflation and a stronger GDP starting point, but increased risks to domestic consumption and residential investment. On balance, the medium-term inflation picture will probably be judged to have worsened slightly given recent movements in energy prices and the exchange rate. A vote seems very possible as differences in view will likely remain among the MPC about how much the medium-term inflation outlook has really shifted in recent weeks. Forward guidance will likely leave open the option to raise the OCR further at the December Monetary Policy Statement without presenting it as a sure thing.

RBNZ Official Cash Rate



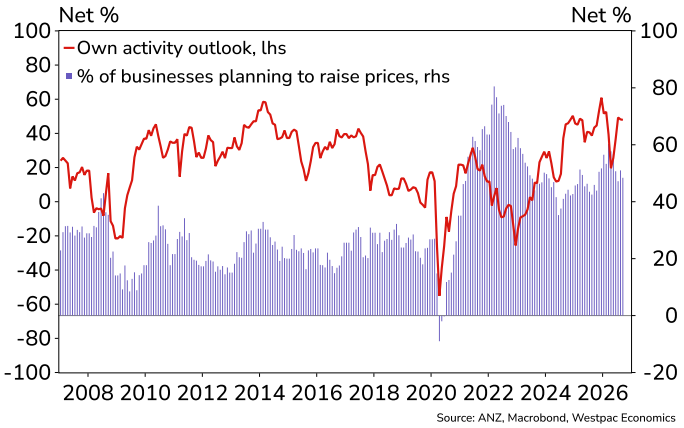
Source: RBNZ, Macrobond, Westpac Economics

NZ: Oct ANZ Business Confidence (index)

Oct 29, Last: 51.9

Firms remained optimistic in the September survey of business confidence, with both the activity and inflation measures broadly holding steady. However, it's likely that most responses were submitted in the early part of the month, while fuel prices took a sharp step higher from the second half of September. The survey comes too late for the RBNZ's October policy review, but evidence about the breadth of cost and price pressures could have a bearing on the RBNZ's thinking about the total amount of policy tightening needed in the months ahead.

ANZ Business Outlook survey



Source: ANZ, Macrobond, Westpac Economics

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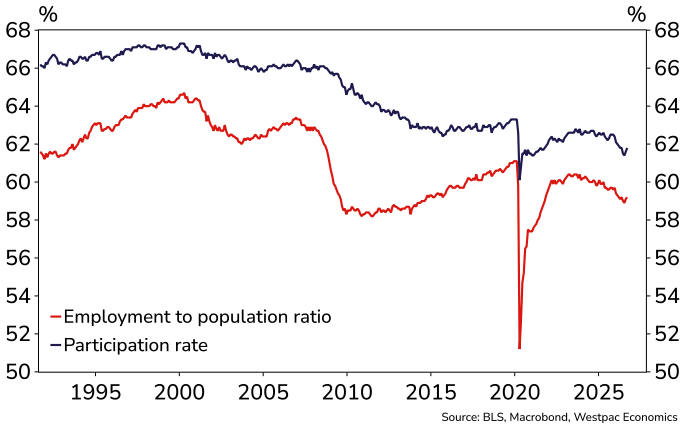
Oct FOMC meeting

Oct 27-28, Last: 3.875%, Mkt f/c: 3.875%, WBC f/c: 3.875%

Core CPI inflation and producer price inflation both surprised to the upside in September, and the price of Brent oil has risen back to around USD110. Underlying momentum in the economy also remains robust, although employment disappointed in the latest update. Given the concerns shown by Committee members over price risks and their collective resolve to return annual inflation to target, the above data could easily justify a follow-up hike at the October meeting.

That said, Committee members who have spoken recently have shown patience with respect to assessing the economy and positioing policy. The market has responded, effectively pricing out the chance of an October hike in favour of a December move, which is also our expectation.

Labour market is not a concern for inflation



Source: BLS, Macrobond, Westpac Economics

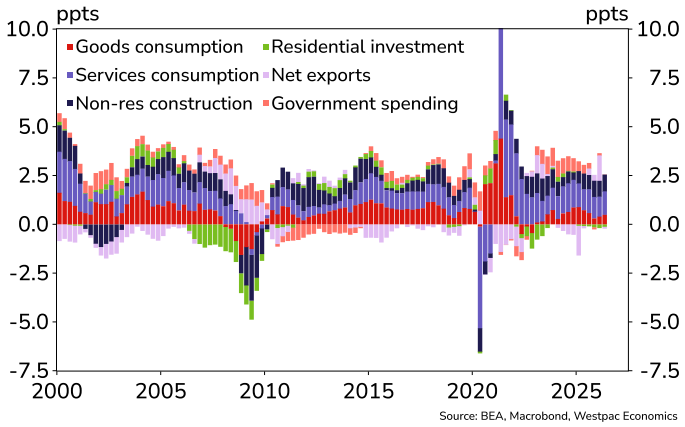
US Q3 GDP

Oct 29, %ann'd, Last: 2.2%, Mkt f/c: 3.0%, WBC f/c: 3.1%

The US economy continues to grow at a pace well above trend. This outperformance is almost entirely due to the strength of investment in data centres and other AI related assets. The pipeline for this activity remains strong, limiting near-term risks to the downside.

Abstracting from AI investment's contribution, other business investment and residential investment is weak, weighed down by high term interest rates and uncertainty related to trade policy. Household consumption growth is volatile month-to-month, but the trend is solid. Absent a marked deterioration in the labour market, which is not our expectation, this momentum is likely to persist, as wealth continues to grow and household income gains neutralises inflation. Come 2027 and 2028, growth is expected to slow to trend, but not below.

Growth supported by AI and consumer



Source: BEA, Macrobond, Westpac Economics

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What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Sun 25							
Aus		RBA Assist' Governor (Economic)	–	–	–	–	Hunter interviewed on 60 Minutes, 8:30pm AEDT.
Mon 26							
Aus		RBA Assist' Governor (Fin System)	–	–	–	–	Jones panel participation at AFR Summit, 8:40am AEDT.
Ger	Oct	IFO Business Climate Survey	index	89.9	90.0	–	Recovered from initial Iran war shock, but delicately poised.
US	Sep	Chicago Fed Activity	index	–0.04	–0.10	–	Suggests growth is around trend, but likely underestimating.
	Oct	Dallas Fed Manufacturing	index	9.8	–	–	Solid recovery, even in the face of higher fuel costs.
Tue 27							
Chn	Sep	Industrial Profits	%ann	4.2	–	–	Profit growth narrowly based; consumer-facing sluggish.
US	Sep	Durable Goods Orders	%mth	–0.1	1.4	–	Points to a solid underlying investment pulse.
	Aug	S&P/CS Home Price Index	%mth	0.32	0.30	–	Prices continue to edge higher despite record long-term rates.
	Oct	Richmond Fed Manufacturing	index	–2	–	–	Momentum fading over recent months.
	Sep	New Home Sales	%mth	6.4	–6.4	–	Affordability limits number of buyers and available homes ...
	Oct	Conf. Board Consumer Confidence	index	81.9	80.4	–	... which among other factors, is weighing heavily on confidence.
Wed 28							
Aus		RBA Senate Appearnce	–	–	–	–	RBA's top brass appear before Senate, 11:15am AEDT.
	Sep	Headline CPI	%mth	0.4	0.6	0.6	Uptick in headline inflation anticipated in September month ...
	Sep	Trimmed Mean CPI	%mth	0.2	0.3	0.3	... broad-based enough to see trimmed mean lift also.
	Q3	Headline CPI	%qtr	0.6	1.3	1.3	Chunky increase in Q3 headline inflation given fuel prices ...
	Q3	Trimmed Mean CPI	%qtr	0.8	1.0	0.9	... RBA will closely watch the quarterly trimmed mean.
NZ	Sep	Employment Indicator	%mth	0.2	–	0.3	August likely to be revised down from previous print.
		RBNZ Policy Decision	%	2.75	3.00	3.00	Near term inflation pressures have been mounting.
US	Sep	Wholesale Inventories	%mth	0.5	–	–	Business working hard to build inventory buffers.
	Oct	FOMC Policy Decision	%	3.875	3.875	3.875	Committee members have advocated for patience near-term.
Can	Oct	BoC Policy Decision	%	2.25	2.25	–	Markets split on whether to BoC will hold or hike.
Thur 29							
Aus	Q3	Export Price Index	%qtr	1.1	–	–	Mixed price action among Australia's key resource exports ...
	Q3	Import Price Index	%qtr	5.7	–	–	... while fuel prices remain a clear driver on the import side.
NZ	Oct	ANZ Business Confidence	index	51.9	–	–	Resilient in recent months, price pressures will be a key focus.
Eur	Oct	EC Economic Confidence	index	97.9	–	–	Sensitive to consumer sentiment, which remains sluggish.
	Oct	ECB Policy Decision (Deposit Rate)	%	2.50	2.50	2.50	Will remain on hold, but one final rate hike due by year-end.
US	Sep	Personal Income	%mth	0.2	0.3	–	Nominal incomes rising at a slower pace than inflation ...
	Sep	Personal Spending	%mth	0.9	0.6	–	... but consumer spending continues to charge ahead.
	Sep	PCE Deflator	%mth	0.3	0.5	–	Fed's preferred inflation gauge to remain elevated.
		Initial Jobless Claims	000s	194	–	–	Still at a low level versus history.
	Q3	GDP	%ann'd	2.2	3.0	3.1	Growth well above trend, thanks to data centres and AI.
Fri 30							
Aus	Q3	PPI	%qtr	1.3	–	–	Elevated fuel costs at the core of upstream price pressures.
	Sep	Private Sector Credit	%mth	0.6	0.5	0.5	Investor credit growth continues to slow.
NZ	Oct	ANZ Consumer Confidence	index	97.6	–	–	Continued increases in fuel costs likely to weigh on sentiment.
Jpn	Oct	Tokyo CPI	%ann	2.7	2.7	–	Elevated core inflation gives green light for another rate hike.
	Sep	Jobless Rate	%	2.5	2.5	–	Low, stable unemployment reflects a fairly tight labour market.
	Sep	Industrial Production	%mth	–2.4	1.3	–	Factory output starting lift, albeit off a weak base.
	Oct	BoJ Policy Decision	%	1.25	1.25	1.25	Expected to hold steady for now, hike in Dec looks likely.
Eur	Q3	GDP	%qtr	0.6	0.2	–	Should still eke out some growth amid significant headwinds ...
	Sep	Unemployment Rate	%	6.4	6.4	–	... low unemployment a positive sign of the region's health.
US	Q3	Employment Cost Index	%qtr	0.9	0.8	–	Wages growth expected to tick slightly lower in Q3.
Sat 31							
Chn	Oct	NBS Manufacturing PMI	index	50.1	50.1	–	Bumping around broadly neutral so far this year ...
	Oct	NBS Non–Manufacturing PMI	index	50.2	–	–	... policy stimulus should support services activity, in time.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (23 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.60	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.82	4.95	4.95	4.80	4.55	4.30	4.10	3.95	3.95	3.95
3 Year Swap	4.85	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
3 Year Bond	4.83	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
10 Year Bond	5.16	5.20	5.15	5.10	5.05	5.05	5.00	5.00	5.00	5.00
10 Year Spread to US (bps)	20	15	15	15	15	10	0	–5	–10	–15
United States										
Fed Funds	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
US 10 Year Bond	4.97	5.05	5.00	4.95	4.90	4.95	5.00	5.05	5.10	5.15
New Zealand										
Cash	2.75	3.25	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	3.31	3.60	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	4.04	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.90	5.00	5.00	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	–6	–5	0	5	15	10	5	0	–5	–10

Exchange rate forecasts

	Latest (23 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
AUD/USD	0.7014	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5693	0.56	0.58	0.61	0.63	0.64	0.64	0.64	0.65	0.65
USD/JPY	156.94	156	154	153	152	151	150	149	148	146
EUR/USD	1.1213	1.14	1.16	1.18	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3394	1.34	1.35	1.36	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.6729	6.65	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2312	1.27	1.24	1.20	1.16	1.15	1.13	1.12	1.12	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.4	0.5	0.2	0.4	0.3	0.4	0.5	–	–	–	–
%yr end	2.5	2.1	2.2	1.5	1.6	1.5	1.4	1.6	2.6	1.5	1.6	2.4
Unemployment rate %	4.2	4.4	4.6	4.7	4.7	4.8	4.8	4.7	4.3	4.7	4.7	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.2	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.3	1.3	0.4	0.5	1.0	0.5	–	–	–	–
%yr end	4.1	3.9	3.9	4.6	3.6	3.4	3.2	2.4	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	0.8	0.8	0.9	0.9	0.7	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.6	3.5	3.5	3.3	3.3	3.1	2.9	3.3	3.5	2.9	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2	Q3f	Q4f	Q1f	Q2f	Q3f	Q4f	2025	2026f	2027f	2028f
GDP %qtr	0.9	0.2	0.6	0.7	0.9	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.9	1.7	2.1	2.4	2.4	2.5	2.6	2.6	0.3	2.4	2.6	3.0
Unemployment rate %	5.4	5.6	5.5	5.5	5.4	5.3	5.2	5.0	5.4	5.5	5.0	4.4
CPI %qtr	0.9	1.5	0.7	1.2	0.3	0.4	0.5	0.2	–	–	–	–
Annual change	3.1	4.1	3.7	4.3	3.7	2.5	2.3	1.4	3.1	4.3	1.4	1.9

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Week beginning 19 October 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: 'Cost-Plus' costs.

The Week That Was: Getting the balance right.

Focus on New Zealand: Downward revisions to 2027 outlook.

For the week ahead:

Australia: 2025-26 national accounts, RBA's Hauser and Kent speaking.

New Zealand: Q3 CPI, performance services index, trade balance.

China: Q3 GDP, retail sales, industrial production, fixed asset investment.

Japan: CPI, PMIs.

Euro Area: ZEW survey, consumer confidence, PMIs.

United Kingdom: CPI, unemployment rate, consumer sentiment, retail sales, PMIs.

United States: Housing market data, leading index, Kansas City Fed manufacturing, PMIs.

Information contained in this report current as at 16 October 2026.

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'Cost-Plus' costs

Luci Ellis
Chief Economist, Westpac Group

Forecast changes

- **A full update to our forecasts was published in our October Market Outlook on Thursday 15 October.**

- **The recent tendency of some firms to bundle into prices card-acceptance costs that had previously been surcharged – and then some, in some cases – demonstrates a 'cost-plus' approach to pricing. To the extent they can pass on these costs through to prices, it suggests that demand was strong enough to bear it. The RBA will take this as a signal that demand is still outstripping supply.**
- **This is mostly a story about non-labour costs. Base wages growth has been moderate for some years, though the above-average increase in award wages this year will add a little. Not all firms will seek to pass these cost increases on, but some will, including because they have limited scope to absorb the cost increase into margins.**
- **A cost-plus mentality has drawbacks, including that it limits the imagination away from finding alternative, efficiency-improving responses. It also accords with recent academic research suggesting that firms form expectations and set prices according to what is happening in their own industry and experience, while putting little weight on economy-wide inflation or central bank credibility. This is an unpleasant message for many consumers or anyone in an interest-sensitive sector when supply shocks abound.**

The recent banning of card surcharges has caused considerable upset this month, even though it is a reversion to historical and international practice. The card schemes used to impose "no-surcharge" rules, until the RBA banned these in 2003, and many other countries still have them. The turnaround represents the RBA throwing in the towel on its longstanding effort to use price incentives to get people to choose low-cost payment methods. Surcharges no longer made sense in a largely cashless economy. In any case, least-cost routing puts the power to choose lower-cost methods in the hands of the merchants who actually bear the cost.

In most cases, firms will simply roll the surcharge into the sticker price, leaving the total cost to the consumer unchanged, just more transparent. We also understand that some large retailers have absorbed the cost – if they were surcharging in the first place, which many did not. (The RBA estimated that around 16% of businesses imposed surcharges.) Inevitably, though, some firms have lifted their prices by more than any reasonable estimate of the merchant service fee that the surcharge was meant to cover. And because this is Australia, of course takeaway coffee has been the centre of consumer discontent.

Higher prices for one's caffeine fix was unlikely to be the main instigator of this month's slump in consumer sentiment. Petrol prices are typically more salient for cost-of-living concerns, and the before-and-after picture on the RBA announcement that week shows that higher interest rates also contributed to the decline.

In some senses, though, the post-surcharge prices and the RBA's decisions are linked: businesses passing on increased costs into their own prices – and expecting to be able to make that increase stick – is exactly the kind of inflationary environment the RBA is leaning against. Firms have been subjected to an array of non-labour cost escalations, from pandemic-era supply chain issues to electricity to fuel to water to building supplies. And IT equipment prices, which for decades were a reliable source of cost reductions, are nowadays flat to up. Passing these costs on, leaving margins intact, demonstrates that demand is not weak enough to prevent this, and signals that firms' inflationary expectations might be higher than the RBA desires. The RBA will take this as a sign that demand is still outstripping supply.

> **"Entrenched expectations that cost increases can and should be passed on are precisely what tight monetary policy is leaning against, but only indirectly."**

This is mostly a story about non-labour costs. While the Fair Work Commission did hand down an above-average increase in award wages this year and this was probably passed through to prices in hospitality and other labour-intensive sectors, base wages growth has been moderate for some years. Business surveys point to non-labour cost escalation being the real issue lately. This is why we were puzzled by the passage in the RBA minutes this week suggesting that cost pressures reported in business surveys might imply that the unemployment rate consistent with inflation at target (the NAIRU) has risen. It is a convenient belief, though, if unemployment is starting to overshoot your forecasts, as the latest labour market data have done compared with the RBA's August forecasts.

Not all firms can pass on cost increases. Most small firms do not have the market power, though coffee may be an exception because convenience induces a kind of local market power. And as noted above, large firms with everyday-low-price strategies will instead try to find savings elsewhere in the supply chain.

Still, some firms will seek to pass these cost increases on. Some observers might see this as corporate greed, but another way to frame this strategy is simply as a 'cost-plus' mentality.

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It turns out that cost-plus pricing is especially common in areas where regulators determine the price – water and other utilities being examples where costs and prices have escalated a lot in recent years.

There are limits to firms' ability to absorb costs, too. The failures of so many building firms a few years ago, squeezed between post-pandemic cost escalation, delivery delays and fixed-price contracts, were a case in point. Normally, there is a contractual response, and it need not end in insolvency. The episode does illustrate, however, that it is unrealistic to expect firms never to pass cost increases through to prices.

The cost-plus mentality does have its drawbacks. It limits the imagination away from finding responses that might save costs elsewhere to absorb the cost hike, and in so doing, boost efficiency. It was equally limiting in times of soft demand: in the years before the pandemic, many firms professed a belief that, because they couldn't get price increases to stick, they could not possibly accept cost increases, including in wages. Thus, Australia ended up with wages growth too low to be consistent with inflation at target, and the peculiar spectacle of a central bank governor complaining that wages growth was too low. And if labour remains cheap, why invest to economise on it and thereby boost productivity?

A cost-plus mentality also amplifies the pass-through of supply shocks. This is not quite the same thing as the 'inflation expectations' seen in standard economic models of inflation, but it is related. The stronger the tendency towards cost-plus pricing, the worse the inflation response to a supply shock. This is also true when inflation expectations are high, but the distinction matters. The recent academic literature includes some fascinating empirical evidence from New Zealand that suggests that beliefs about current and future overall inflation have little bearing on many firms' pricing decisions. As related work using French data shows, firms' pricing choices are shaped less by economy-wide inflation developments than by what is happening to their costs and in their industry.

That adds up to economy-wide behaviour that looks a lot like firms (in aggregate) setting prices according to expected inflation (in aggregate), but under the hood something quite different is going on. If firms' beliefs about future economy-wide inflation do not matter much in their pricing decisions, then neither does the credibility of a central bank's commitment to return inflation to target. The mechanism to get inflation down then must be simply to weaken demand enough to convince firms that cost-plus will not fly in the market. This is an unpleasant message for many consumers or anyone in an interest-sensitive sector when supply shocks abound. It does, however, imply that if supply shocks fade or even self-correct, so will high inflation. If and when that happens, tight monetary policy can be unwound.

The deeper question is whether cost-plus price dynamics can be reduced. That is more likely to be a question for regulators than for central banks.

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Cliff Notes: getting the balance right

Elliot Clarke, Head of International Economics
Ryan Wells, Economist
Illiana Jain, Economist

Australia's key data release this week was the September Labour Force Survey. Employment surprised to the downside, –39.3k. However, a 0.2ppt decline in labour force participation from August's near-historic high largely offset. The unemployment rate therefore held at 4.7% after August was revised up.

Residual seasonality may be in the mix. Regardless, the take home point from the update is that the labour market is continuing to ease as employment growth runs below working-age population growth. We expect the unemployment rate to grind higher into 2027 as tighter financial conditions and cost-of-living pressures restrict activity growth to a below-trend pace. Although, our forecast peak is near at 4.8%, due by Q2 2027.

This update on the labour market complicates the communication challenge for the RBA. The September minutes were firmly on the hawkish side, with the discussion focussing on materialising upside risks to inflation. But, with the unemployment rate now through the RBA's NAIRU assumption of 4.6%, Governor Bullock's "a little tight" descriptor for the labour market is becoming harder to defend. Still, with a clear focus on inflation risks – which also led us to revise up our near-term CPI forecasts in the October Market Outlook – we still expect a 25bp rate hike at the November meeting.

Over in the US, the headline CPI rose 0.6% as expected in September, taking the annual rate up to 3.7%yr. Energy prices were a key contributor (5.2%, 20.4%yr), while core inflation was a touch above consensus in the month at 0.3% (2.6%yr). Within the core components, core goods prices gained 0.3% after being broadly unchanged over the past 6 months (0.7%yr). Core services meanwhile rose 0.4% (3.1%yr) on a 0.4% increase in shelter (3.2%yr), a 0.6% gain for transport services and a 0.3% increase in medical care services (2.7%yr and 2.5%yr respectively). Further, the subsequent release of the PPI pointed to continued upstream price pressures, with the headline and core measures up 6.3%yr and 5.0%yr respectively. The latest Beige Book provided colour on these developments, firms across multiple districts citing tariffs, insurance and commodity prices as ongoing sources of cost pressure. Guiding on the risks, many respondents expect further price increases as contracts/hedges roll off.

Given their telegraphed concerns over inflation, there is enough signal in these reports to warrant a follow-up hike at the October FOMC meeting. Though it seems Committee members believe they are near the end of the tightening cycle and so have time on their side. This week, Daly and Bowman both showed patience in assessing the trend, with no clear bias towards an October or December decision. Williams stated he believes one more hike would prove sufficient in this cycle given known information. And Waller also showed confidence, highlighting that elevated long-term yields are doing some of the FOMC's work, restricting demand in interest rate sensitive sectors. We hold a similar view, anticipating that one more hike by year end and a little time will bring inflation near the 2.0%yr medium-term target. However, as discussed in this month's Market Outlook, capacity pressures are likely to see inflation consistently above target, rather than below, in coming years – particularly if, as we suspect, capacity in the housing sector remains tight. This will mean the FOMC have to remain modestly restrictive over the forecast horizon and will also bias up long-term yields.

In Asia, there was one release that stood out, China's trade account. At USD133.5bn, the September result was a whisker inside January 2025's record high of USD137.9bn. More impressively, throughout 2025 and 2026 year-to-date the surplus has now averaged USD100.9bn, almost 3 times the average of 2019, prior to the pandemic. The geographic breadth of export growth is as impressive as the headline annual gain of 36.3%yr, even more so given the ongoing strength in Chinese investment in neighbouring nations' production chains. In time, both trade and income receipts from offshore investment should buoy the renminbi, although for now continued outbound foreign investment should moderate the pace of gains against other nations in the region, and likely versus the US dollar.

Another key trend assessed in October's Market Outlook is the evolution of producer prices across Asia, and the likelihood of the disinflationary benefit the west has received in recent decades continuing. Historically, labour cost arbitrage was one of the key drivers of declining goods prices. While still possible, we expect the next phase of manufacturing development to instead be driven by capital, technology and energy. Many end users and the manufacturers undertaking production are also increasingly prioritising resilience, security and specialisation over cost minimisation. It is therefore more probably future supply-chain developments will help contain rising costs through productivity than drive sustained price declines for the goods bought by consumers and businesses.

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Downward revisions to 2027 outlook

Darren Gibbs
Senior Economist

This week we have updated our New Zealand economic outlook for the next year, in particular reflecting the latest developments in the energy market and key financial variables (long-term interest rates and the exchange rate).

After last week's marking down of our forecast for through-year GDP growth in 2026 to 2.5%yr, this week we have reduced our forecast of growth in 2027 by 0.3ppts to 2.7%yr. This downward revision reflects a less positive assessment of the outlooks for consumption and investment (including residential investment) considering the more elevated path assumed for energy prices and a higher near-term track for long-term interest rates (as discussed in our updated Market Outlook, published earlier this week).

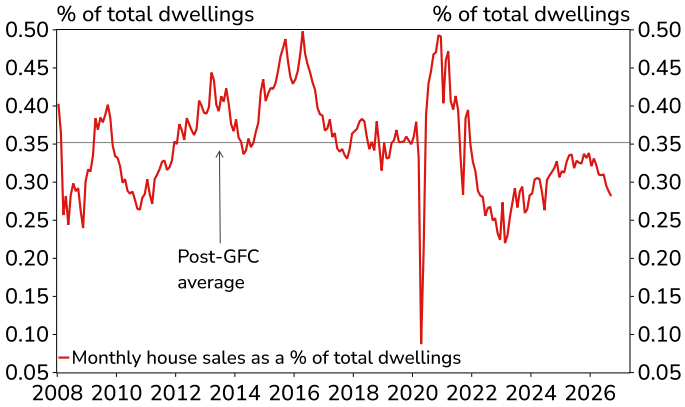
A partial offset to weaker growth in domestic demand is provided by a slightly more positive outlook for exports (particularly exports of manufactured goods and tourism inflows) because of a downward revision to our expectations for the NZ dollar. We now expect NZD/USD to end this year around current levels at 0.56 – 3c lower than expected previously – before appreciating to around 0.64 over the course of 2027 as interest rate differentials with the US gradually close and as the USD appreciates. We think that the low value of the NZ dollar – in trade-weighted terms now at a 17-year low – helps to explain the recent strong performance in the previously moribund manufacturing sector, as well as tourist inflows from key markets such as Australia.

Last week we raised our forecast for CPI inflation at year end to 4.3%yr, largely on account of recent developments in global energy prices (although the weak NZ dollar has compounded the effect). This week we have slightly revised up our forecast for inflation for the first half of 2027. But because energy prices are assumed to decline in 2027 from what is now a higher starting level, our 2027 year-end forecast for inflation has nudged down 0.1ppts to 1.6%yr. Needless to say, forecasts of headline inflation, in particular, are subject to significant revision given the uncertain outlook for the Middle East conflict and uncertainty about how that will be reflected in global energy prices.

Ahead of next week's very important Q3 CPI report – which could prove decisive – we have made no changes to our forecast for the RBNZ's policy settings. So, for now we continue to think that despite the higher near-term inflation outlook the RBNZ will stick with the strategy communicated in the September Monetary Policy Statement, i.e. that at the vv28 October meeting it will pause to assess the impact of this year's 50bps of policy tightening, before considering a further upward adjustment in December.

Turning to this week's data, the news from the housing market remained decidedly downbeat. House sales fell a further 4% in September – the seventh consecutive month of decline – to be 12% lower than a year earlier. With the stock of listings at an 11-year high, the median selling time remains elevated. And so unsurprisingly, house prices fell for a fourth consecutive month and are now down 1.6%yr. Prices remain especially soft in the North Island, with prices down more than 3%yr in Auckland and more than 4%yr in Wellington. Given upward pressures on mortgage rates, broader strength in the economy – including a stronger labour market – will likely be required to reverse this trend. On that score, MBIE's measure of online job advertisements was little changed in September, continuing the flat trend since the beginning of this year.

Monthly house sales



Source: REINZ, Stats NZ, Macrobond, Westpac Economics

In other news, retail spending, as measured by electronic card payments, decreased 0.4%m/m in September following an unrevised 0.9% decline in August. This was a weaker result than we had expected based on the recent sawtooth pattern and our own internal data. We should treat these data with some suspicion given that for quite a while now the Stats NZ series seems not to have reflected the spending seen through banks' own card spending networks, perhaps suggesting changes in the payments arena may be leaving the official sector data behind.

Even so, unsurprisingly, with petrol prices rebounding late in the month, spending on fuel increased 2.9%mth. However, core spending, which excludes spending on fuel and vehicles, fell 0.7%m/m. While spending on consumables (groceries) increased modestly in September, this was at the expense of spending on 'nice to haves'. Spending on hospitality suffered a

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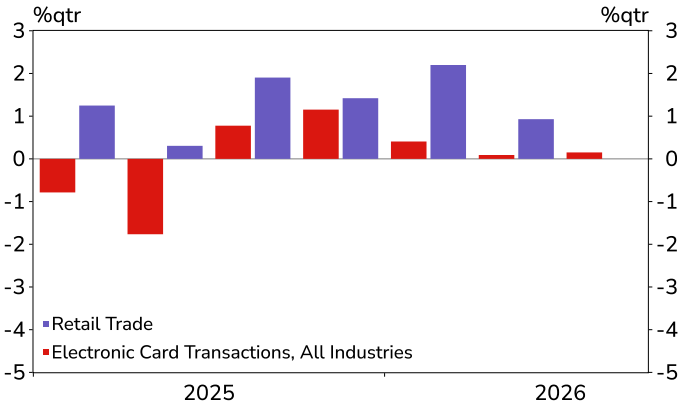
further 2.3%mth fall following a 1.9%mth decline in August, and spending on apparel replicated the 2.0%mth decline reported in August. Spending on durable goods also fell slightly in September (-0.4%mth).

Despite the weak outcome for the August and September months, retail spending over the September quarter still eked out a minor 0.1% gain, while core spending increased 0.4%. Given higher prices, at face value this points to a weak quarter for volumes (next week's CPI report will cast more light on pricing behaviour during the quarter). It is worth noting that total retail spending, as will be depicted in the official quarterly retail sales survey released next month, could point to somewhat stronger growth. Purchases of big-ticket items that often are bought on credit – such as cars, furniture and appliances – are underrepresented in the electronic card spending survey.

Electronic card transactions vs retail trade survey

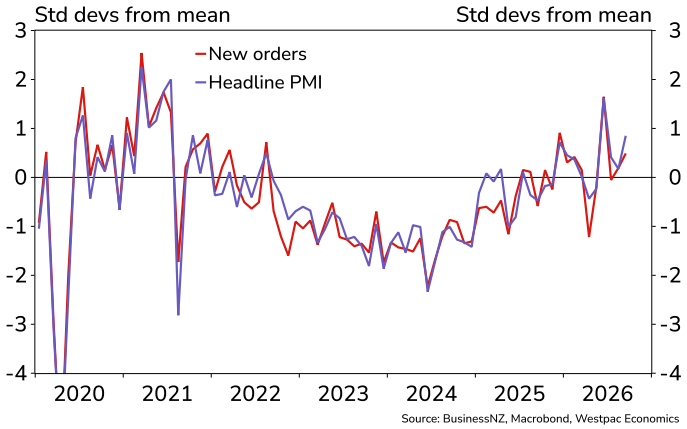


Source: Stats NZ, Macrobond, Westpac Economics

Given subdued domestic demand, local hospitality businesses have relied on foreign visitors to drive growth in spending. And the good news is that visitor arrivals increased to a new post-Covid high in August to be up 8%yr. Arrivals of Chinese citizens have grown by almost a third to sit near pre-Covid levels in recent months, while arrivals of US citizens grew 17%yr. However, the Middle East conflict has impacted long-haul arrivals from Europe (UK arrivals are down 8%yr). Meanwhile, inflows of migrants remain at modest levels, totalling around 20,000 in the year to August – about half what might be expected on average over the cycle.

News from the manufacturing sector remained positive in September, with the BusinessNZ Manufacturing PMI rising to a 3-month high of 56.5 in September. Improvement was seen across all subcomponents of the index, with the new orders index rising 1.8pts to 57.0. We think that the recovery in manufacturing this year owes much to the weakness of the NZ dollar – especially against the Australian dollar – and activity associated with a strong domestic primary sector and an emerging recovery in domestic residential construction activity.

BusinessNZ manufacturing index



Source: BusinessNZ, Macrobond, Westpac Economics

Last but certainly not least, ahead of next week's all-important Q3 CPI, the Selected Prices report for September was firmer than expected. That was mainly due to larger than expected increases in airfares and holiday accommodation costs, which offset softer than expected food prices.

Accounting for the September prices data, we've left our forecast for Q3 inflation at 0.7%. That would see the annual inflation rate dropping back to 3.7%, down from 4.1% in the year to June. Underlying that move has been a moderation in fuel prices after they rocketed higher in the wake of the Middle East war. That's balanced against increases in council rates, building costs and food prices.

Our forecast is lower than the RBNZ's September MPS forecast for a 0.8% rise (+3.9%yr). However, with some large swings in volatile items like fuel, the RBNZ will likely focus on measures of core inflation. Core inflation was already at firm levels in the June quarter, with key measures sitting in the upper part of the RBNZ's target band. We expect that they will take another step higher in September, to sit around 3%. Upside surprises in core inflation would be an important development for the RBNZ ahead of the October OCR review, as this could suggest that the lower NZD and higher oil prices are boosting underlying price pressures by more and sooner than they may have expected.

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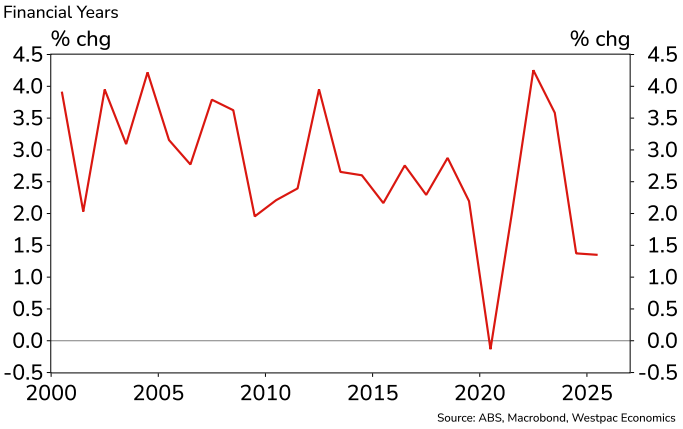
AUS: 2025-26 National Accounts

Oct 23, Current Estimate: 2.3%

The Q2 national accounts showed GDP growth slowing in the first half of 2026 but still coming in at a respectable 2.3%yr in annual average terms (i.e. year to June 2026 vs the year to June 2025), up from 1.4% in 2024-25.

The annual national accounts will provide new 'benchmark' estimates of income, expenditure, production and balance sheets and additional detail on sectors, industries, net additions to the capital stock and productivity growth. The incorporation of new information sources can also result in significant revisions to previously-published estimates with these changing flowing through to quarterly GDP estimates when the Q3 figures are released on Dec 2.

Gross Domestic Product



NZ: Q3 Consumer Prices Index (%)

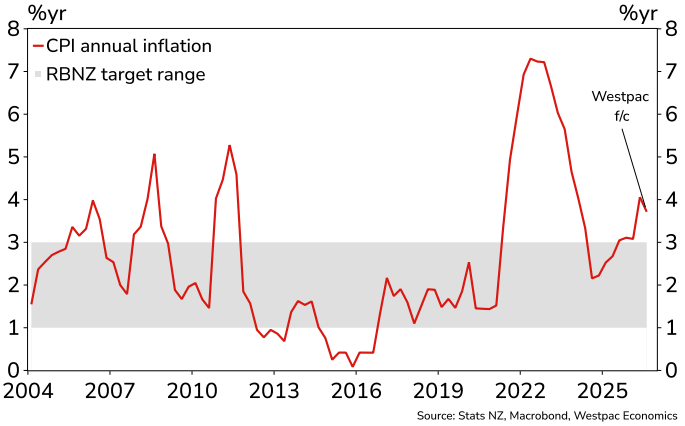
Oct 22, Quarterly, Last: 1.5, Westpac f/c: 0.7
Oct 22, Annual, Last: 4.1, Westpac f/c: 3.7, RBNZ f/c: 3.9

We estimate that New Zealand consumer prices rose by 0.7% in the September quarter, with a moderation in fuel costs balanced against increases in council rates, building costs and food prices.

The annual inflation rate is expected to drop back to 3.7% (down from 4.1% in the year to June). Measures of core inflation are expected to remain firm, with some closely watched measures expected to rise to the top of the RBNZ's target band.

Our forecast is a little below the RBNZ's last published forecast for 3.9% annual inflation. Read our full CPI preview.

NZ consumer prices



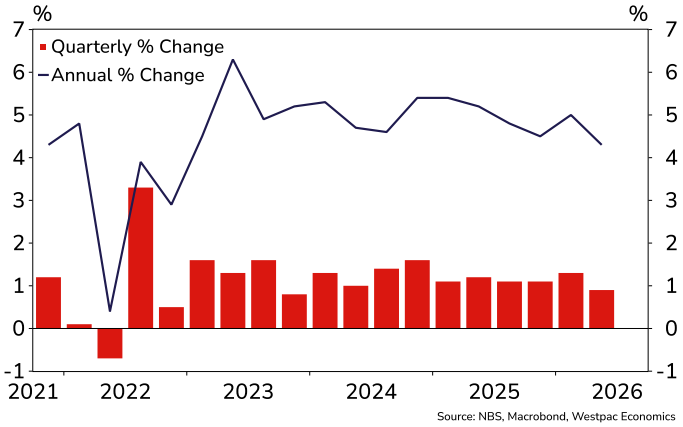
China Q3 GDP (%yr)

Oct 19, Last: 4.3, Westpac f/c: 4.3
Market f/c: 4.4, Range: 4.0 to 4.5

Q3 is likely to produce a very similar outcome to Q2, with quarterly growth of around 1.0% holding the annual rate at 4.3%yr. Year-to-date, growth will remain around 4.7%ytd thanks to the Q1 result.

The detail and partial data for September will again highlight the weak state of the consumer and domestic-oriented businesses, but also the incredible strength of exports. With the trade surplus back at record highs, there are limits to the contribution possible from net exports hence, necessitating a strengthening of domestic demand if aggregate growth is to continue at the rate authorities intend into 2027. Expect additional stimulus through the turn of the year.

Growth needs support



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What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Sun 18							
US		Fedspeak	–	–	–	–	Fed's External Communications Blackout
Aus		RBA Speak	–	–	–	–	Interview with RBA's Kent (pre–recorded), 11:00am AEDT.
Mon 19							
Aus		RBA Speak	–	–	–	–	Fireside chat with RBA's Kent, 10:05am AEDT.
NZ	Sep	Performance Services Index	index	51.2	–	–	Improving, but has underperformed the manufacturing sector.
	Sep	Trade Balance	$m	–1349	–	–1955	Off–season export lull; import volumes and prices rising.
Chn	Q3	GDP	%ann	4.3	4.4	4.3	Growth remains below authorities' ambitions ...
	Sep	Retail Sales	ytd %yr	1.1	–	–	... as household demand remains the missing ingredient ...
	Sep	Industrial Production	ytd %yr	5.3	–	–	... though export demand is supporting output ...
	Sep	Fixed Asset Investment	ytd %yr	–7.2	–7.3	–	... while confidence weighs on investment.
UK	Oct	Rightmove House Prices	%mth	0.7	–	–	Housing demand remains rate sensitive.
US	Oct	NAHB Housing Market	index	32.0	31.0	–	Builders remain cautious on affordability pressures.
Tue 20							
Eur	Oct	ZEW Survey Of Expectations	index	25.8	–	–	Confidence will test Europe's resilience narrative.
UK	Aug	ILO Unemployment Rate	%	4.9	5.0	–	Labour market conditions have eased gradually.
US	Sep	Housing Starts	%mth	–2.6	2.3	–	Housing affordability continues to constrain demand..
	Sep	Building Permits	%mth	–2.1	–1.7	–	... with new supply yet to keep pace...
	Sep	Pending Home Sales	%mth	0.3	0.0	–	... leaving turnover under pressure.
Wed 21							
Aus		RBA Speak	–	–	–	–	Appearance by RBA's Hauser, 9:30am AEDT.
UK	Sep	CPI	%ann	3.1	3.3	–	Inflation pressures are stoking expectations for a BoE hike.
	Sep	Public Sector Borrowing	£bn	18.3	–	–	Fiscal pressures remain in focus.
Thur 22							
NZ	Q3	CPI	%qtr	1.5	0.8	0.7	Fuel prices eased from earlier highs, dampening overall inflation.
	Q3	CPI	%ann	4.1	3.9	3.7	Headline inflation to ease in Q3, core measures firm around 3%.
Kor		Bank Of Korea Policy Decision	%	3.0	3.0	–	Tech is creating excess capacity in the economy.
Eur	Oct	Consumer Confidence	index	–16.5	–	–	Household demand has yet to show clear downside risks.
US		Initial Jobless Claims	000s	199	200	–	Labour market resilience remains a key support ...
	Sep	Leading Index	pts	–0.1	–0.2	–	... though growth momentum is moderating.
	Oct	Kansas City Fed Manufacturing	index	14	–	–	Manufacturing conditions remain uneven
Fri 23							
Aus	FY26	2025–26 National Accounts	%ann avg	1.4	–	–	Will provide new 'benchmark' estimates.
Jpn	Sep	CPI	%ann	1.9	2.1	–	Inflation has re–accelerated in recent months.
	Oct	S&P Global Manufacturing PMI	index	54.1	–	–	Factory activity continues to lack conviction ...
	Oct	S&P Global Services PMI	index	51.3	–	–	... while services provide the main support.
Eur	Oct	S&P Global Manufacturing PMI	index	52.9	–	–	Activity continues to show surprising resilience ...
	Oct	S&P Global Services PMI	index	53.0	–	–	... despite ongoing energy market uncertainty.
UK	Oct	GfK Consumer Sentiment	index	–13	–	–	Confidence has struggled to sustain improvement.
	Sep	Retail Sales	%mth	0.5	–	–	Spending has yet to materially weaken.
	Oct	S&P Global Manufacturing PMI	index	51.9	–	–	Activity remains constrained by higher energy costs ...
	Oct	S&P Global Services PMI	index	52.1	–	–	... though consumers have proven more resilient.
US	Oct	S&P Global Manufacturing PMI	index	55.9	55.5	–	Tech infrastructure investment continues to offset weakness.
	Oct	S&P Global Services PMI	index	58.8	57.9	–	Consumption growth is slowing into 2027
	Oct	Uni. Of Michigan Sentiment	index	46.3	46.3	–	Final estimate.

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Economic & financial forecasts

Interest rate forecasts

Australia	Latest (16 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.60	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.76	4.95	4.95	4.80	4.55	4.30	4.10	3.95	3.95	3.95
3 Year Swap	4.86	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
3 Year Bond	4.85	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
10 Year Bond	5.23	5.20	5.15	5.10	5.05	5.05	5.00	5.00	5.00	5.00
10 Year Spread to US (bps)	14	15	15	15	15	10	0	–5	–10	–15
United States										
Fed Funds	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
US 10 Year Bond	5.09	5.05	5.00	4.95	4.90	4.95	5.00	5.05	5.10	5.15
New Zealand										
Cash	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	3.26	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	4.07	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.99	5.00	5.00	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	–9	–5	0	5	15	10	5	0	–5	–10

Exchange rate forecasts

	Latest (16 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
AUD/USD	0.6946	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5653	0.56	0.58	0.61	0.63	0.64	0.64	0.64	0.65	0.65
USD/JPY	157.83	156	154	153	152	151	150	149	148	146
EUR/USD	1.1230	1.14	1.16	1.18	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3303	1.34	1.35	1.36	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.6891	6.65	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2288	1.27	1.24	1.20	1.16	1.15	1.13	1.12	1.12	1.11

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.4	0.5	0.2	0.4	0.3	0.4	0.5	–	–	–	–
%yr end	2.5	2.1	2.2	1.5	1.6	1.5	1.4	1.6	2.6	1.5	1.6	2.4
Unemployment rate %	4.2	4.4	4.6	4.7	4.7	4.8	4.8	4.7	4.3	4.7	4.7	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.2	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.3	1.3	0.4	0.5	1.0	0.5	–	–	–	–
%yr end	4.1	3.9	3.9	4.6	3.6	3.4	3.2	2.4	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	0.8	0.8	0.9	0.9	0.7	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.6	3.5	3.5	3.3	3.3	3.1	2.9	3.3	3.5	2.9	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.9	0.2	0.6	0.7	0.9	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.9	1.7	2.1	2.4	2.4	2.5	2.6	2.6	0.3	2.4	2.6	3.0
Unemployment rate %	5.4	5.6	5.5	5.5	5.4	5.3	5.2	5.0	5.4	5.5	5.0	4.4
CPI %qtr	0.9	1.5	0.7	1.2	0.5	0.4	0.5	0.2	–	–	–	–
Annual change	3.1	4.1	3.7	4.3	3.9	2.7	2.6	1.6	3.1	4.3	1.6	1.9

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October 2026

WESTPAC MARKET OUTLOOK

Your monthly report on Australia and the global economy.

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October 2026

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Westpac Market Outlook is a monthly publication produced by Westpac Economics.

Internet: www.westpac.com.au
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This issue was finalised on 15 October 2026.

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Wearing thin

Markets have had little respite over the past month. Hopes of a lasting US–Iran agreement have faded and intermittent attacks on shipping have kept Brent oil prices in triple digits. Workarounds have allowed a meaningful share of crude to continue flowing but these arrangements are slower and costlier, while depleted inventories leave little room to absorb another shock and a range of disruptions to refining and shipping are also impacting downstream energy costs. Bond markets have been just as restless, with continued lifts in government bond yields across much of the globe and more sharply in the US.

Notably, oil is no longer doing the heavy lifting for yields. The rise has been concentrated in real yields, with the Fed's September hike – and its signal of more to come – acting as something of a trigger. In the US, fiscal concerns have been more of a sub-plot, though the Treasury's efforts to hold down long yields have arguably only drawn more attention to them.

In our view, markets are getting ahead of themselves on monetary policy offshore. We expect just one more hike from the Fed rather than the three the market currently has priced, with stretched housing affordability posing risks to both consumption and inflation. Central banks in Europe, the UK and Canada are also likely to bide their time after a final move. Europe is weathering the energy shock better than feared and has far more fiscal room to respond than the US – one reason we still see the US dollar trending lower over the next two years.

The RBA hiked again in September and looks set to follow up in November, taking the cash rate to a new cycle high. Some of the risks the Board flagged have crystallised, but the minutes also reveal a tendency to reach for the more hawkish read of the data, in addition to the familiar downbeat take on supply capacity. Our base case assumes no return to full-scale conflict, but with energy buffers depleted, bond markets less forgiving and the RBA already leaning hawkish, the margin for error – for markets and policymakers alike – is starting to 'wear thin'.

Australia: After a soft but better than expected first half, the Australian economy is facing into more challenges as another round of disruptions from global energy markets combine with further interest rate rises and a deepening housing downturn. The demand mix should see capacity pressures continue to ease but with significant risks on either side.

Middle East: Low inventories and higher shipping costs will keep oil and fuel prices elevated, with Brent futures forecast to average US$101/bbl in Q4 before easing to US$77/bbl by Q4 2027 as supply recovers. Risks are two-sided: escalation could push Brent towards US$150/bbl, while an early US-Iran agreement could see a faster normalisation in supply.

Commodities: Most commodities rose in September, with many of the themes that drove moves across August remaining in place. Japanese LNG and Brent oil recorded strong gains amid Middle East tensions. Copper and aluminium extended recent gains while iron ore was supported by higher freight and production costs. Gold fell after the Fed's September rate hike.

Global FX Markets: In late September and early-October the DXY index popped higher to near 103, a high back to early-2025. Underlying the move are expectations that inflation will prove persistent globally as well as a belief that the US' tech sector leaves it best positioned to weather the storm.

New Zealand: Higher fuel costs and a weaker exchange rate have lifted the short-term inflation outlook while the economy has continued to grow through the Iran war. Growth looks set to continue to be buoyed by strong commodity prices and a supportive exchange rate. However, downside risks are growing from higher energy costs and long-term interest rates.

United States: The US housing market remains under considerable pressure. Prices continue to edge up, supporting wealth. But up-and-coming main street consumers are struggling with affordability and availability, posing enduring risks for both consumption growth and inflation.

China: With each month that passes, the risk of disappointing authorities' 4.5-5.0% ambition grows. While the Government is right to take a targeted approach to support, it must quickly multiply its scale if downside risks are to be kept at bay.

Asia: For much of the past twenty years, Asia has been a source of disinflation for the world. But a combination of ageing populations, rising labour costs, increasing electricity demand and technology sector developments imply Asia may provide less support to global disinflation over the decade ahead.

Europe & UK: The euro has come under considerable pressure during the past month. That said, the European economy continues to tick along nicely while inflation risks remain manageable, allowing the ECB to be measured in their response.

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Many factors lifting global bond yields ...

Luci Ellis
Chief Economist, Westpac Group

The main development affecting global markets this month has been the sharp lift in selected bond yields, especially in the US and France. Since the previous *Market Outlook* was published, 10-year benchmarks have risen 27bps for US Treasuries, to be well above the 5% threshold, and 40bps for French bonds. The latter move contrasts with German bunds, which have seen little change in yields at that tenor over the month, though they are up more than 60bps year to date.

Several factors are behind the latest rise, with no single cause dominating. For some of these factors, the underlying conditions had been in evidence for some time, but recent events focused attention on them. The rise has been primarily a story of real yields: longer-run inflation expectations implied by both breakevens and swaps have not increased that much.

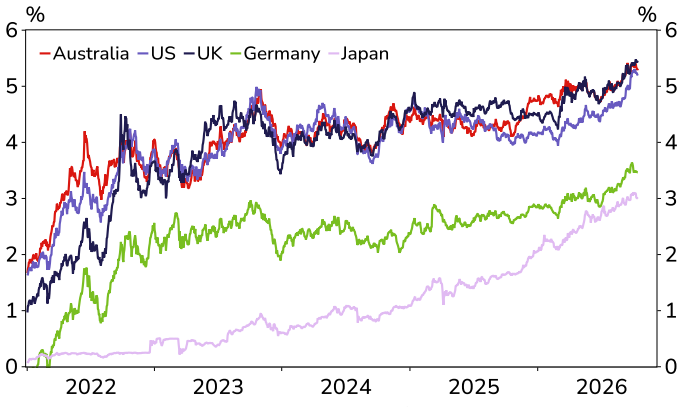
For much of the year, fluctuations in oil prices – and thus the near-term inflation outlook – fed into market views of central bank policy, and longer yields as well. More recently, though, this correlation has broken down. Shifts in expectations about central bank policy have remained important for bond pricing, as evident in the concentration of the increase in real yields.

The FOMC's decision to increase the Fed funds rate, and flag in the 'dot plots' that at least one more hike was likely, seems to have been something of a trigger event for repricing, not only for US yields. Also salient were the various actions taken by the US Treasury to suppress long yields and improve the US government's debt-servicing position. These efforts had little lasting effect and yields are now higher, and higher relative to peers, than before. But they may have served to draw attention to the growing issues around US fiscal sustainability. High supply of debt from hyperscaler firms to fund the AI / data centre boom has also likely pressured yields at the margin.

That said, fiscal concerns are unlikely to have been the main issue driving the lift in US yields. The slope of the US yield curve is noticeably flatter than at the beginning of the year; in other words, short yields have risen even more than the 10-year yield, signifying tighter expected monetary policy lifting yields across the curve. Another lens on this shift is that 2-year and other short-dated yields have increased more than estimates of risk-neutral rate, such as that from the NY Fed.

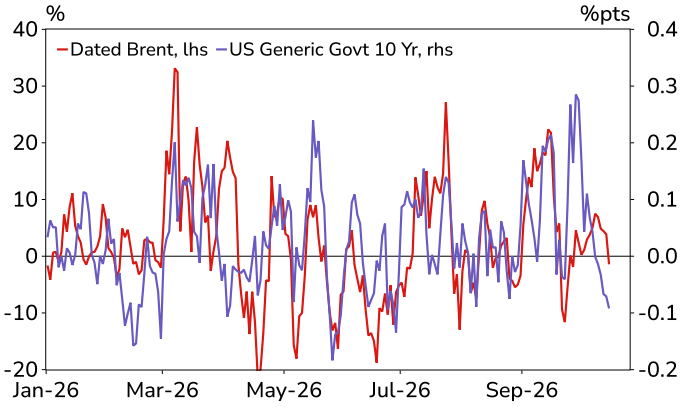
Fiscal concerns have been more salient in the case of France, where spreads to bunds have widened from around 70bps at the beginning of the year to nearly 140bps currently, wider than Greece or Italy, with about 40bps of the widening occurring in the past month. Contagion to other euro area sovereigns has been limited, with spreads widening around 22bps over the month for Greece, Italy and Belgium, and 13bps for Spain.

Global 10-Year Bond Yields



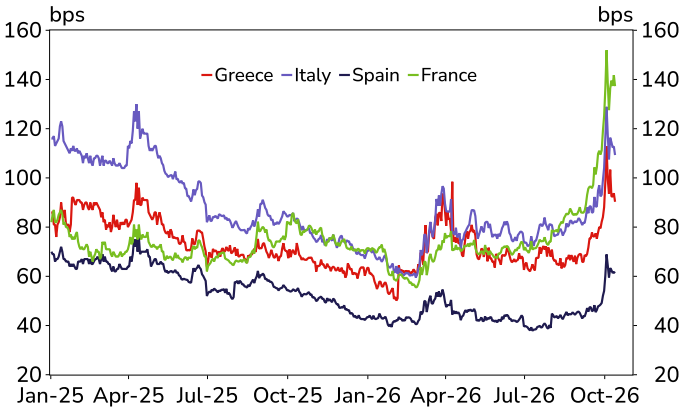
Source: Bloomberg, Macrobond, Westpac Economics

Dated Brent and US 10-year Yields: Weekly changes



Source: Bloomberg, Macrobond, Westpac Economics

Government Bond Yields 10 Year Spread to Bunds



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... and RBA policy rates outlook

In Australia, the RBA hiked the cash rate again at its late September meeting, and a further hike at the November meeting looks likely. This would take the cash rate to 4.85%, a new cycle high.

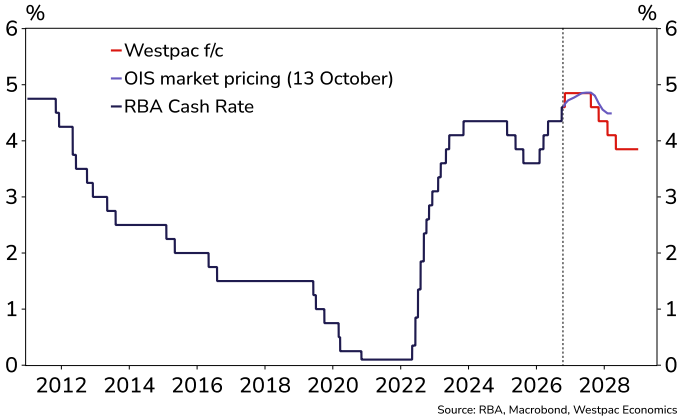
While the forecasts the RBA published in August did not support further rate hikes, in September these forecasts were characterised as resting on several things going right and certain risks not emerging. Some of these risks, including a re-escalation of the war in the Middle East and thus energy prices, have since crystallised. The post-meeting communication and minutes also pointed to the July CPI result being above expectations, as was June quarter GDP growth "at the margin".

The RBA is also wary about pressure on both construction costs and retail prices of IT goods arising from the AI/data centre boom. No weight is put on the possibility that this new investment and technology might add to productivity or the capital stock, and so supply capacity, even with a lag. Indeed, the post-meeting minutes highlighted the financial stability risks if valuations in this area should disappoint "even if the technology were ultimately successful", as if the latter was not yet clear. This language points to a generally downbeat view of Australian supply capacity that also emerges in its discussion of productivity trends. Although its position piece in the August 2025 *Statement on Monetary Policy* indicated that lower trend growth in productivity had no implications for inflation or monetary policy, more recent statements imply that it does.

More broadly, the minutes for the September meeting revealed a tendency to contemplate more hawkish interpretations of data and outcomes. For example, the minutes dismissed evidence of the labour market easing a bit more than was forecast by pointing to the changes to the survey arrangements. At the same time, the minutes contemplated that the rate of unemployment consistent with inflation being at target might have risen, even though wages growth has marginally undershot the RBA's forecasts and the cost pressures cited by its business liaison contacts are mostly non-labour costs. The minutes also included an extended discussion of the possibility that the global neutral interest rate might have increased recently. If true, this would imply that financial conditions were less restrictive. This conclusion would be hard to square with yield curves that have flattened since the beginning of the year and other central bank estimates of the term premium having increased, both of which suggest tighter financial conditions.

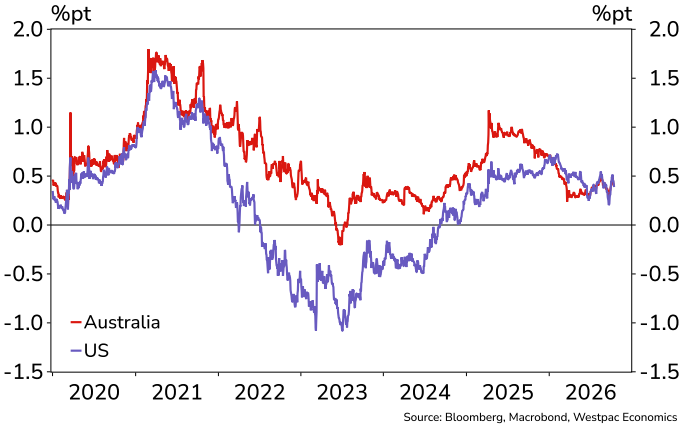
That said, the RBA will find it hard to look past inflation outcomes in the second half of year that is likely to remain sticky. We anticipate trimmed mean inflation to record quarterly outcomes of around 0.9%qtr in Q3 and Q4, remaining around the current 3½%yr pulse. The Monetary Policy Board will want to see clear evidence of inflation coming down before withdrawing policy restrictiveness, so we continue to pencil in August as the likely date for start of the rate-cutting phase.

RBA Cash Rate



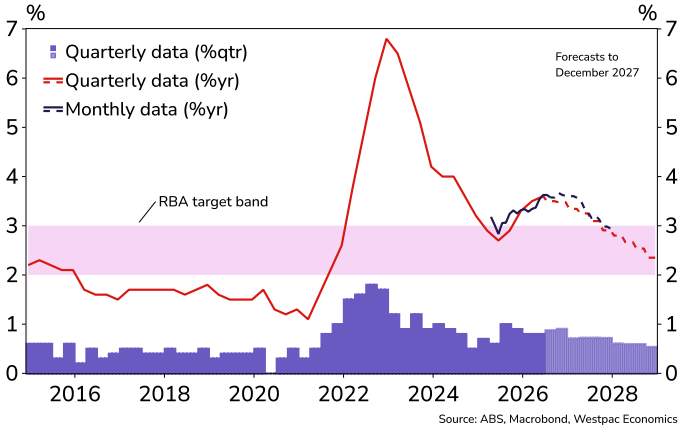
Source: RBA, Macrobond, Westpac Economics

Yield Curve Slope (10yr – 2yr)



Source: Bloomberg, Macrobond, Westpac Economics

Trimmed Mean Inflation



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More challenges near term ...

Matthew Hassan, Head of Australian Macro-Forecasting

After posting a soft but better than expected first half, the Australian economy is facing into more challenges near term as another round of disruptions from global energy markets combine with a further rise in interest rates and a deepening housing downturn. Against this, business investment is in the midst of a sustained ramp-up led by a large and growing pipeline of data centre and energy investment projects. Elsewhere, public demand is growing at a slower pace and new dwelling investment is likely to moderate but both are expected to still see positive growth. Overall, the demand mix should see capacity pressures continue to ease but with significant risks on either side.

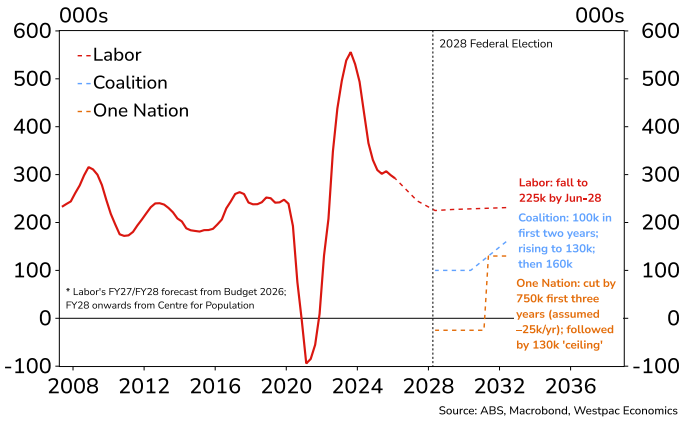
Shifting political winds

Some of these risks are now in the wider policy space. The political landscape has changed materially since the 2025 Federal Election with opinion polls showing a sustained swing against the Labor government and a marked rise in support for One Nation that raises the prospect of a three-horse race in the next election, the outcome of which could be very hard to predict (we may get a preview of this with next month's Victorian state election). While the next Federal election is still a long way off – not due until well into 2028 – the shift does appear to be having some bearing on policy. For example, the government's choice not to reinstate the temporary halving in fuel excise tax that was deployed when fuel prices first spiked back in March suggests it is less inclined towards providing broad based cost-of-living support that might make it harder to bring inflation back down.

Migration policy is shaping more clearly as a battleground. A suite of changes announced by the government in mid-September and which came into effect in October, are already expected to slow working holidaymaker and foreign student arrivals, moderating total net overseas migration from around 300k current to 225k by 2028, trimming population growth from around 1.4%yr to 1.2%yr. For its part, the main Liberal-National opposition party has proposed to reduce net migration to 100k in the first two years of government, before increasing to 130k and 160k in the two years following – which would likely see total population growth slow to around 0.7-0.8%yr initially. One Nation has proposed a period of 'net negative' migration, lowering net migration by 250k a year over the first three years of government before considering a 'ceiling' of 130k per year thereafter. This would see population growth slow to around 0.2-0.3%yr initially.

While none of these policies are on the table for this year or next, the direction of travel is clear with a risk that the current government moves further towards curbing migrant

Net overseas migration: policy proposals



Source: ABS, Macrobond, Westpac Economics

inflows. Slower population growth basically maps one-to-one to GDP growth although the specific flow-on impacts to areas like housing and labour markets are more complex and will depend on the population mix and how the demand and supply effects balance out. For the record, we have trimmed our own population growth forecasts in the 2028 out-year, from 1.4%yr to 1.2%yr with a related tweak to our GDP growth forecast for that year.

Consumer sentiment-spending gap

Near term challenges continue to centre on the consumer. Here, the latest updates show sentiment again plumbing historical lows but more mixed messages around spending which is still holding up better than might be expected based on a simple read on the consumer mood.

Certainly that mood remains deeply negative. The **Westpac–Melbourne Institute Consumer Sentiment Index** dropped 4.7% to 80.4 in October, putting the month amongst the forty worst reads since the began in the early 1970s, following two others reads in this group back in April and June and another eight recorded in 2022–23. Altogether this marks the worst period of recurring extremely weak sentiment since the disastrous recession in the early 1990s.

This has been difficult to square with the soft rather than outright weak picture on consumer spending through most of this year. Even when real spending was recording more material per capita declines back in 2023-24, these were somewhat milder than what might have been expected given the weakness in sentiment at the time.

We explored this more fully in our August Red Book. Some of the disconnect may be a by-product of high inflation which 'hits different' sentiment-wise. Cost of living pressures,

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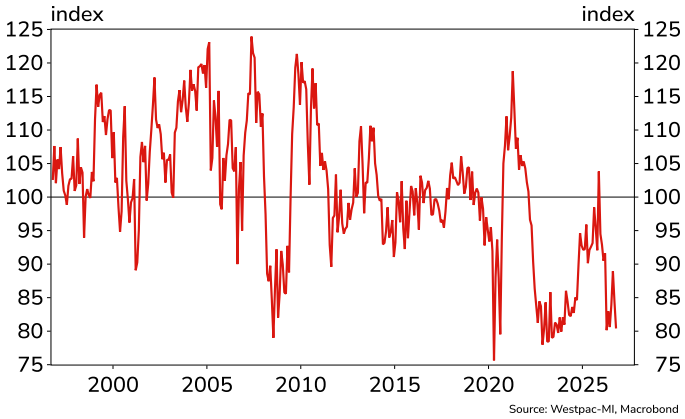
… centred on uneven consumer, housing downturn …

Consumer Sentiment Index



which are the central issue for consumers at the moment, represent a broad-based but shallower squeeze rather than the deeper shocks that typically come when big economic downturns hit. Labour markets appear to be an important point of distinction – despite the weakness in sentiment, consumers have been relatively unperturbed about the jobs outlook in recent years. Adding consumers' unemployment expectations to sentiment measures significantly improves its 'fit' as a predictor of per capita spending.

There other aspect that helps to reconcile the sentiment-spending gap is the detailed picture across segments. There may be one economy but there is not a single consumer. Instead both sentiment and spending outcomes reflect the average across a range of often quite varied conditions in different consumer segments.

This shows through in the dispersion of sentiment across sub-groups. The chart right shows the current distribution of index reads across the 100-odd sub-groups we regularly track with some selected groups called out. If the range seems wide its because it is – measures of spread over the last two years have been 50-60% wider than the average over the previous three decades. Exactly why is not completely clear but the observations point to a more fractured consumer with multiple fault lines – including across states, metro/regional areas, voter groups, labour force status, income levels and housing tenures.

Spending-wise, one of the clearest emerging fault lines is across age groups. Here, there look to be three main 'blocs' – 18-34 year olds (mainly millennials'); 35-54 year olds (mainly 'gen X'); and those aged over 55 (dominated by the 'baby boomers').

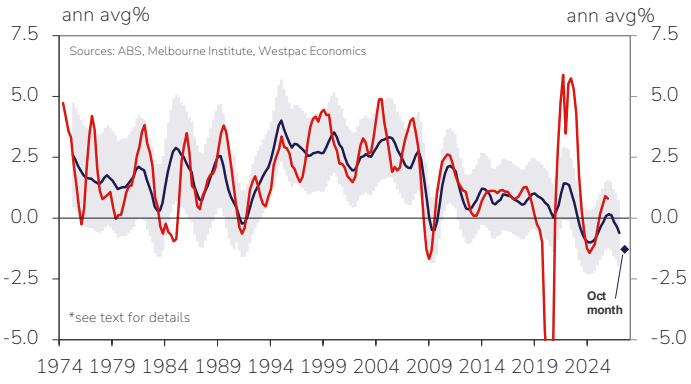
Demographically, the 55+ age group is both the largest and the fastest-growing – our estimates suggest it now makes up about 45% of all households, up 8.5pts compared to 2020. It is also seeing significant financial shifts with the cohort coming through carrying materially larger superannuation holdings (reflecting a variety of factors including a longer period of compulsory contributions that have earned compounding returns) and more housing wealth. Again, our rough estimates suggest average household wealth in this group is around $2.5m up over $800k since 2020 (reflecting both the aforementioned demographic shifts and valuation changes).

At the same time, the group has low debt levels – it is largely untouched by interest rate increases and probably benefits slightly insofar as this lifts interest income both directly and indirectly via super holdings.

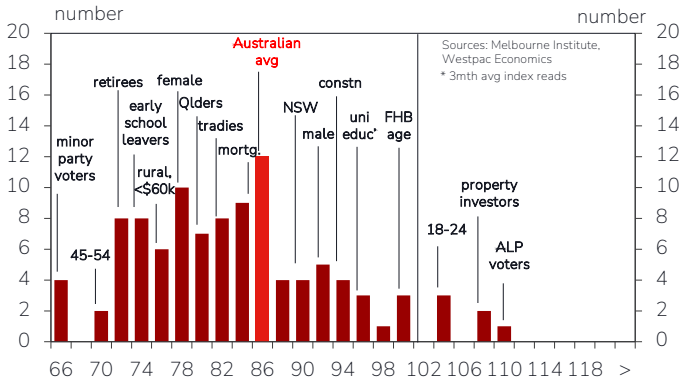
For 18-34 year olds, incomes are more important than balance sheets, meaning inflation poses more of a constraint. For 35-54 year olds, income is less of a constraint but high debt levels poses a big challenge as rate rises increase servicing costs.

All of which is to say that it should come as little surprise that spending by the 55+ age group has been running stronger than the other age groups. Breakdowns from our **Westpac Consumer Panel** show average non fuel spend has been rising at a 5% annual pace over the last six months amongst those

Modified consumer sentiment vs spending



Consumer sentiment: sub-groups



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... wealth effects an uncertain swing factor

aged 55+. That compares to a more sedate 2.7-2.9% pace across the other age groups, which given the current pace of inflation, implies small declines in real, inflation-adjusted terms.

These demographic contrasts also account for the observed strength in key bellwether spending categories like new vehicle purchases. The total number of new car purchases by consumers is up close to 4%yr, led by strong growth in EVs. Notably, industry figures suggest the purchase of used cars is down sharply, by close to 9%yr (used car sales are not well covered in the statistics and largely bypass official ABS measures because the are mainly transfers between households rather than a new addition).

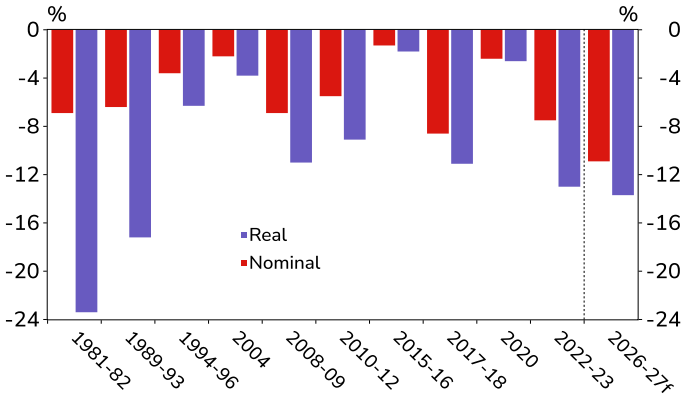
Pulling these clues together, at least some of the resilience in spending looks to be a form of 'wealth effect' where balance sheet considerations are more important than the real purchasing power of incomes. While the impact of employment, wages, inflation and interest rate changes will still likely be the dominant driver of shifts in spending growth, the nature of this wealth effect and how it evolves from here could be a key swing factor.

Housing downturn deepens

And where that swing factor may start to turn is in response to a deepening downturn in Australia's housing market. The combined impact of interest rate rises and major changes to housing-related tax policy announced in the Federal budget is continuing to weigh heavily. We have been flagging for some time that uncertainty could see a more significant 'air pocket' emerge with very thin trading conditions and a sharper move lower in prices. That risk is crystallising with turnover already down 20% and prices off 8%.

With the September interest rate rise and an expected hike in November still to come, more weakness is likely near term. We revised our house price forecasts lower with a decline of around 8% now expected for calendar 2026, with a peak-to-trough decline of just over 10%.

House price corrections



Source: Cotality, ABS, Macrobond, Westpac Economics

Dwelling price forecasts

	avg^	2023	2024	2025	2026f	2027f
Sydney	3.7	11.3	2.8	6.5	–12	1
Melbourne	2.4	4.2	–2.0	5.3	–8	4
Brisbane	7.7	13.5	11.4	14.9	–4	2
Perth	7.2	16.2	18.4	17.6	–2	3
Adelaide	7.6	8.8	13.6	8.6	–2	3
Australia	4.6	10.1	5.1	8.9	–8	2

^ avg last 10yrs

Source: Cotality, Westpac Economics

This constitutes a more material housing downturn. The peak to trough fall is set to be biggest since the beginning of the national price measures in 1980, although prices in real, inflation-adjusted terms recorded larger falls during the early-1990s and early-1980s recessions with capital city measures also suggesting there were larger real price falls during the recessions in the mid-1970s and early 1960s.

It also points to a bigger housing-related drag on growth. As discussed previously, the main channels are through new dwelling investment, turnover and wealth effects. New dwelling investment is still carrying solid momentum (the number of dwelling under construction up 10% over the year to June) but is expected to see a slightly more pronounced slowing. Turnover is also expected to be slightly weaker. However, it is the wealth effects from price declines that is the area to watch. Our rough estimates suggest this will account for most of the –0.8ppts on annual GDP growth over the year to June 2027. The emphasis here though is on 'rough'. Wealth effects have seeming disappeared for long periods and their precise timing is very unclear, e.g. how should the drag from the current downturn be viewed against what were presumably strong positives coming off the much larger preceding gains? Some of this could be due to 'assymmetric' behaviour, with effects playing out very differently when there wealth is rising or falling.

On balance, we expect the impact to see consumer spending 'muddle through' rather than fall back to the weaker growth seen during the more intense cost of living and interest rate shocks in 2023-24. This partly reflects the indirect support coming from growth more generally – the AI-related investment boom, which we have covered at length in previous reports, a key factor helping to hold GDP growth up around 1.5%yr and prevent a more material weakening in labour market conditions. For the consumer though this will continue to feel like a struggle with growth flat in per capita terms and a shakier picture around housing that will play out very differently for some segments.

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Oil and fuel prices push higher ...

Sian Fenner, Head of Business & Industry Economics
Justin Smirk, Senior Economist
Luka Belobajdic, Economist

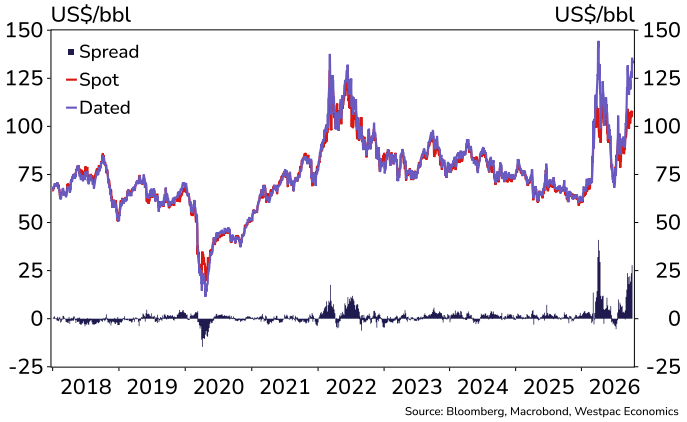
Low inventories and higher shipping costs will keep oil and fuel prices elevated, with Brent futures forecast to average US$101/bbl in Q4 before easing to US$77/bbl by Q4 2027 as supply recovers. Refined fuels and LNG prices should ease more slowly. Risks are two-sided: escalation could push Brent towards US$150/bbl, while an early US-Iran agreement could see a faster normalisation in supply with prices returning close to pre-conflict levels by end-2027.

Brent crude is back above US$100/bbl on fading confidence in a lasting US-Iran agreement and intermittent attacks on shipping. Buffers remain depleted, with the IEA estimating global observed inventories were 507mb lower at the end of August than at the start of the conflict.

This comes despite crude exports through the Strait of Hormuz recovering to around 70% to 90% of pre-conflict levels in late September. Saudi and UAE exports through the Yanbu and Fujairah pipelines continue, with the East-West pipeline back to normal after the early September attacks. Tanker crossings have risen, although transponders remain switched off, leaving visible transit at 1% to 4% of pre-conflict levels, while cargo transfers in the Gulf of Oman have increased.

However, these workarounds are slower and more costly. Ship-to-ship transfers can take 5 to 10 days, US escorts cause delays and some tankers are taking longer routes. Fewer ships are also available, with many redeployed to other markets. Higher insurance premiums are adding to costs, with Gulf-to-China tanker rates above US$0.9mn a day, around 15x higher than a year ago. With prompt barrels scarce, the gap between physical and futures prices widened again, with Dated Brent around US$136/bbl in early October against US$101/bbl for front-month futures.

Spot and Dated Brent



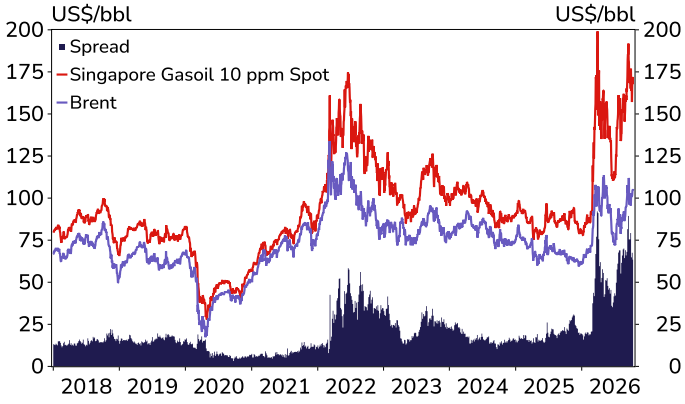
Source: Bloomberg, Macrobond, Westpac Economics

Refined prices have risen more than crude

Refined product markets were already tight going into the conflict. Reduced Gulf supply, exacerbated by Ukrainian strikes on Russian refineries, has added to that tightness. Together with higher shipping costs and rising Dated Brent prices, Singapore Gasoil 10ppm (diesel) has roughly doubled since the Strait closed, compared with around 40% for crude futures.

Consequently, Singapore gasoil crack spread widened to an average of around US$36.1/bbl in early October, from US$17.5/bbl across 2025. Alongside the government's excise tax cut returning to normal, this has lifted national diesel and petrol prices to around A$2.83/L and A$2.41/L.

Singapore gasoil crack remains elevated



Source: Bloomberg, Macrobond, Westpac Economics

Outlook

We do not see a lasting US-Iran agreement until at least mid-2027. In the meantime, we assume there will not be a return to full-scale military intervention. However, periodic Iranian attacks on ships and facilities are expected to continue, as will the US blockade of Iranian exports, keeping a supply risk premium in place. We look for Brent futures to average around US$101/bbl in Q4, then ease gradually as demand from refiners and governments to rebuild stocks partly offsets recovering supply. As the premium fades and the market moves into surplus in late 2027, we forecast Brent at around US$77/bbl in Q4 2027, easing towards US$70/bbl in 2028 as Middle East production fully recovers.

Oil balance to gradually improve over 2027

Global oil supply is expected to rise by 4.0mb/d (4.0%) to 103.7mb/d in 2027, following a 6.1% fall in 2026. Most of this reflects a gradual recovery in Gulf output, with Houthi attacks on Red Sea shipping keeping Saudi production below its

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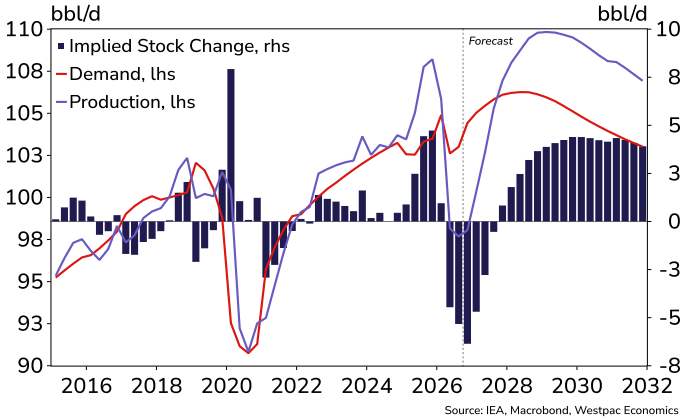
... as supply still tight ...

pre-conflict level until H2 2027. Meanwhile, we look for UAE production to continue to improve over 2027 and lift above pre-conflict levels from 2028, as it is no longer constrained by OPEC quotas. We do not expect a meaningful return of Iranian oil until an agreement is reached, and damage sustained during the conflict means production will take time to recover.

We expect global oil demand to be 103.7mb/d in 2026, 0.8mb/d (0.7%) higher than in 2025, and to rise a further 1.9mb/d (1.8%) to 105.6mb/d in 2027. Chinese crude imports will continue to recover over the coming months as refiners restock ahead of Lunar New Year, but we expect only a gradual return to pre-conflict levels, as the electrification of transport limits the recovery in Chinese demand. Globally, demand for diesel and jet fuel recovers as transport and aviation activity picks up, although some demand destruction and efficiency gains are expected to be permanent. The conflict has also highlighted strategic vulnerabilities, particularly across Asia, so we expect a push to rebuild reserves adding around 0.5% to demand over 2027.

Oil Production and Demand



Source: IEA, Macrobond, Westpac Economics

Fuel prices to ease more slowly than crude

Refined product supply is expected to recover more slowly than crude, with Gulf refinery runs not returning to pre-war levels until at least late 2027. Outside the Gulf, there has been some constructive news. The US has lifted sanctions on Russian diesel until April 2027, with Russia saying it will supply more than 4Mt over the coming months, while China has lifted its ban on refined product exports. However, we are cautious about how much this will add to the market in the short term. Much of the Russian supply is headed to the US and will depend on Russia's ability to restore refining and export capacity, while doubts remain over the Russia-Ukraine energy ceasefire announced by President Trump. China still manages exports through quotas, which are likely to increase only gradually as domestic stocks are rebuilt. Refinery runs should lift ahead of Lunar New Year, but any increase in exports will take time to reach regional markets.

With product supply recovering slowly and depleted inventories being rebuilt, Singapore gasoil crack is likely to stay above its long-run average even as Brent eases, narrowing from US$71/bbl in Q4 to US$27/bbl by Q4 2027. With Singapore Gas 10ppm prices, shipping and insurance costs to remain elevated and easing only gradually in 2027, we forecast Australian diesel to retail at an average of 274¢/L in Q4, easing to 200¢/L in Q4 2027, and petrol at 230¢/L and 187¢/L respectively.

LNG prices supported through 2027

Japanese LNG prices surged 15.2% in September, averaging US$25.4/mmbtu as supply disruptions in Qatar and the Strait of Hormuz tightened markets and intensified competition. Our Q4 forecast for Japanese LNG is now US$24.5/mmbtu and we expect the market to remain structurally tight, with supply recovery likely to be gradual and prices not returning to pre-conflict levels until 2028. Still, Australia's domestic gas market should remain insulated due to the current gas reservation arrangements.

Risks around our oil price outlook are two-sided

Talks are still ongoing in the background, with the US and Iran exchanging proposals to reopen the Strait, but the gap between them remains wide. The conflict has also expanded to the Red Sea and, with inventories sharply drawn down, there is a smaller buffer to absorb a further shock.

Using the Oxford Economics model, we assess an escalation scenario, where energy markets face a deeper and more persistent disruption as the conflict in the Middle East intensifies. In this case, Brent futures rise to around US$150/bbl in H1 2027, only dipping to below US$100/bbl in Q2 2028. We also consider an early resolution scenario, where shipping and Gulf supply normalise faster, returning Brent to near pre-conflict levels by end-2027.

Escalation scenario

In the escalation scenario we assume:

Talks stall and the conflict escalates: the gap between the US and Iran proves too wide and the US resumes strikes after the midterms. Iran responds with attacks on shipping and Gulf energy infrastructure, damaging export, storage and refining facilities. A lasting agreement is not reached until 2028.

Export routes are disrupted: more frequent attacks curtail dark crossings of the Strait and ship-to-ship transfers in the Gulf of Oman. Houthi attacks also cut off Saudi alternative routes, forcing Gulf producers to cut output and Middle East crude exports sharply lower. New routes and shipping arrangements eventually support a recovery in Gulf flows, but trade patterns take time to adjust.

Product supply fails to recover: The Russia–Ukraine energy ceasefire does not hold and strikes on Russian refineries

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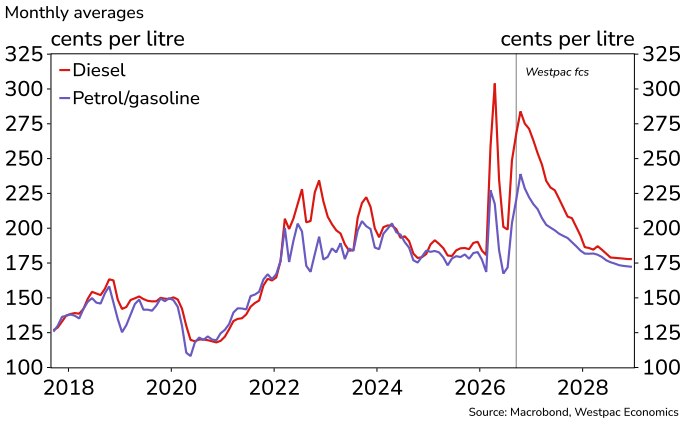
... and risks remain

continue, limiting how much diesel Russia can export, even with the US sanctions waiver extended. China also reintroduces its export ban to protect domestic supply.

Oil prices lift to around US$150/bbl in H1 2027: With little buffer to absorb the supply loss, competition for physical delivery intensifies, with physical prices well above futures as prompt barrels remain scarce. Higher prices support supply growth outside OPEC and drive demand destruction, alongside further emergency stock releases, but a deeper and more prolonged global deficit remains. Brent stays above US$100/bbl until mid-2028 as governments rebuild reserves.

The Singapore gasoil crack widens and, with freight and insurance costs also higher, Australian diesel and petrol prices average around 247 cpl and 231 cpl at end 2027. Japanese LNG also remains elevated around US$23.2/MMBtu in Q4 2027, $9.1 above our baseline.

Australian pump prices for auto fuel



Early resolution scenario

In the early resolution scenario we assume:

A durable agreement: The US and Iran agree terms to reopen the Strait by the end of year, and, unlike the June interim deal, the agreement holds, with progress towards a permanent settlement in early 2027. Attacks on shipping cease and the US blockade is lifted, allowing Iranian oil back into the market, initially from storage. Vessels are quickly repositioned to the Gulf, with freight and war-risk insurance easing from early 2027 rather than mid-year.

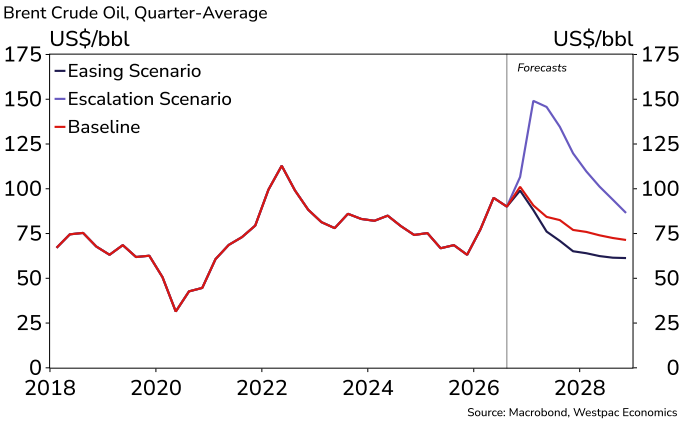
A faster recovery in supply: With export routes secure, Gulf production and damaged refinery and export capacity recover sooner than in the baseline. Outside the Gulf, the US extends its waiver on Russian diesel beyond April 2027 and China raises export quotas as domestic stocks are rebuilt.

Demand settles below pre-conflict trend: Some demand destruction and efficiency gains persist, particularly in China. With inventories rebuilding faster, government restocking is smaller and more gradual than in the baseline.

Prices fall quickly, but restocking provides a floor: Brent Brent futures ease to around US$88/bbl in Q1 2027 as the premium for prompt physical barrels unwinds. As the market moves into balance, Brent eases to around US$65/bbl by Q4 2027, close to pre-conflict levels.

Refined product prices ease faster on lower freight costs with the Singapore gasoil crack narrowing. Australian diesel and petrol prices fall to around 182 cpl and 170 cpl by Q4 2027. Gas markets also ease, although damage to Qatar's gas facility means export capacity recovers gradually. Japanese LNG falls to around US$11.9/MMBtu by end-2027, $2.1 below our baseline.

Oil Price Scenarios



Economic impact

In the escalation scenario, higher fuel costs flow through to transport, food and other energy-intensive goods such as plastics and fertilisers. Australian headline CPI remains above 4.5% for much of 2027, with underlying inflation remaining sticky at above 3% until late 2028. The RBA faces a difficult trade off between much higher inflation and a significant hit to activity, as households cut discretionary spending and businesses defer investment. Higher LNG export earnings provide only a moderate offset. In the early resolution scenario, headline inflation is around 0.1ppt below the baseline in 2027.

New Zealand is more exposed in both scenarios, with food and energy a larger share of its CPI and no offsetting energy exports. Headline inflation is around 1ppt higher in the escalation scenario in Q1 2027.

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Recent trends remain firmly in place ...

Justin Smirk, Senior Economist
Luka Belobrajdic, Economist

Most commodities rose in September, with many of the themes that drove moves across August remaining in place. Our broadest commodities index increased 5.6%mth, led by coking coal, which rose 22.3% on ongoing supply tightness following the Shanxi mine explosion. Japanese LNG (+15.2%mth) and Brent oil (+14.9%mth) also recorded strong gains amid persistent Middle East tensions, while thermal coal rose 11.7%mth. Copper (+1.3%mth) and aluminium (+1.0%mth) extended their recent gains, while iron ore managed a meagre advance (+0.7%mth), supported by higher freight and production costs. Gold fell 2.1%mth following the Fed's September rate hike, while lithium was the weakest performer, with spodumene prices down 4.8%mth amid renewed oversupply concerns.

India increasingly the swing factor for coal

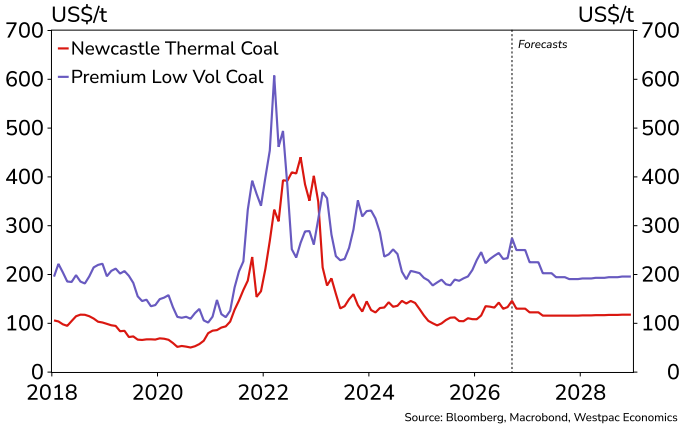
Newcastle thermal coal prices rose 11.7%mth in September, averaging US$146/t over the month. LNG markets continue to support the relative cost competitiveness of thermal coal, while China has also re-emerged as a stronger seaborne buyer, reflecting tighter domestic supply following the Shanxi mining disaster. El Niño has contributed to hotter conditions and a weaker monsoon season, boosting electricity demand while weighing heavily on hydro generation. Against this backdrop, we now expect Newcastle thermal coal to average US$130/t in the December quarter before easing towards US$116/t through 2027 as global energy prices recede.

Queensland premium low-vol coking coal prices led gains across the commodities complex in September, rising 22.3%mth to average US$275.8/t. The increase reflects strong Chinese demand, with buying accelerating ahead of the peak steelmaking season, compounded by domestic supply shortages following the Shanxi mining disaster. The resulting supply loss was initially expected to be offset by increased Mongolian imports. However, diesel shortages have constrained local coal production. Looking ahead, the normalisation of Mongolian exports and weaker Chinese steelmaker margins are expected to limit demand for seaborne cargoes, although India should provide some offset as the country emerges from its monsoon season and steel production lifts. As a result, we forecast premium low-vol coking coal prices to remain elevated in the December quarter, averaging US$250/t before moderating through 2027.

Cost pressures place a floor under iron ore prices

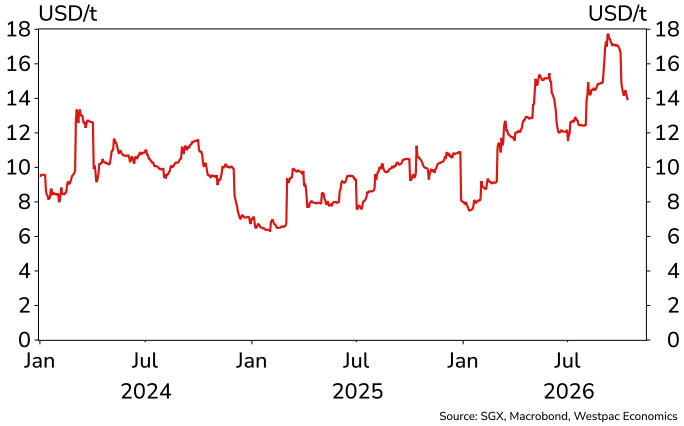
Iron ore prices (62% Fe index) rose 0.7%mth in September to average US$98.3/t, largely reflecting ongoing pressure from elevated freight and energy costs. Shipping futures from Western Australia to Qingdao continued to rise with the September average sitting 91% above the 2025 average.

Australian coal prices



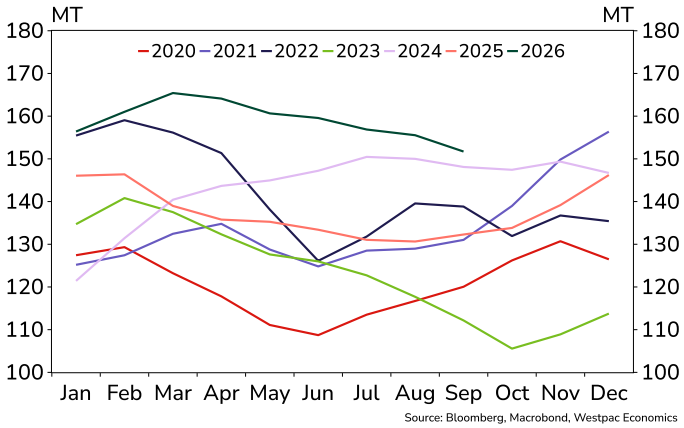
Source: Bloomberg, Macrobond, Westpac Economics

Shipping Futures, C5, West Australia - Qingdao



Source: SGX, Macrobond, Westpac Economics

China Iron Ore Total Ports Inventory



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... with energy markets leading the gains

Evidence of cost pressures is becoming increasingly apparent with Wood Mackenzie estimating the 90th percentile cost of production now sits at US$79.8/t -- 5.7% above 2025 levels. That said, major headwinds facing iron ore remain firmly in place. Seaborne supply continues to expand while at the same time, the Shanxi mining disaster has kept coking coal markets particularly tight, further compressing steelmaker margins. China's domestic economy also presents limited upside, with urban fixed asset investment down 7.2%ytd in August and iron ore inventories at Chinese ports remaining historically elevated. We expect the 62% Fe index to average US$95/t in the December quarter.

The medium-term outlook is becoming increasingly challenging. Supply-side pressures are building as new low-cost output from Simandou enters the market. Persistently high inventories in China and softer global steel demand, as major economies contend with elevated energy costs, are expected to place further downward pressure on prices. The ongoing structural decline in Chinese steel production is also eroding underlying demand. We therefore expect iron ore prices to soften further, averaging around US$83/t in the December quarter of 2027 as surplus conditions become more evident.

Gulf disruptions continue to support aluminium

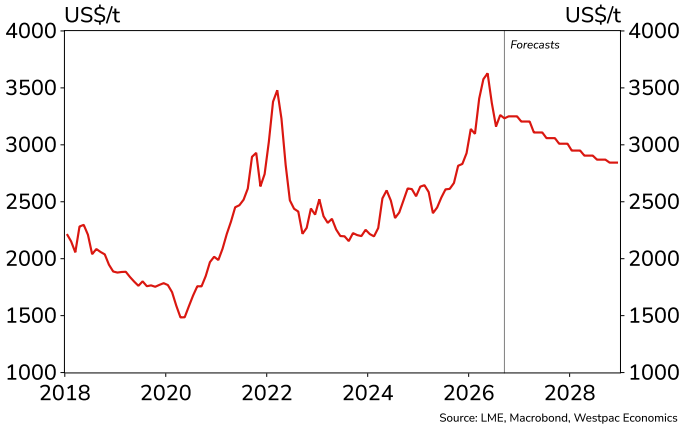
Aluminium prices rose 1.0%mth in September, averaging US$3,284.2/t. Continued disruption to Gulf smelting capacity has maintained upward pressure on the market, with the Gulf region accounting for around 9% of global smelting capacity and a larger share of global trade. While limited volumes of metal are beginning to emerge from the Middle East, difficulties securing sufficient alumina feedstock continue to constrain production. As a result, IAI statistics indicate GCC production in August remained 42.6%yr below August 2025 levels. Given the time- and capital-intensive nature of restarting Gulf smelting capacity, we expect market tightness to persist through the remainder of 2026. Additional near-term support is likely to come from China where aluminium output increased by just 3.1%yr in August, offsetting only around half of lost GCC production, with growth constrained by China's capacity replacement policy.

Against this backdrop, we expect aluminium prices to maintain strength across the remainder of the year. However, we do not anticipate a full return of the war premium, with higher prices incentivising capacity restarts across Western economies and South-East Asia, while Chinese demand remains subdued. As a result, we forecast prices to average US$3,250/t in the December quarter. Thereafter, prices are expected to ease as supply stabilises, Gulf producers restore production, and new Indonesian smelting capacity backed by Chinese investment comes online.

Chinese policy fuels lithium oversupply fears

Markets were spooked by renewed concerns around lithium oversupply in September after China froze approvals for

Aluminium will be supported in the near-term

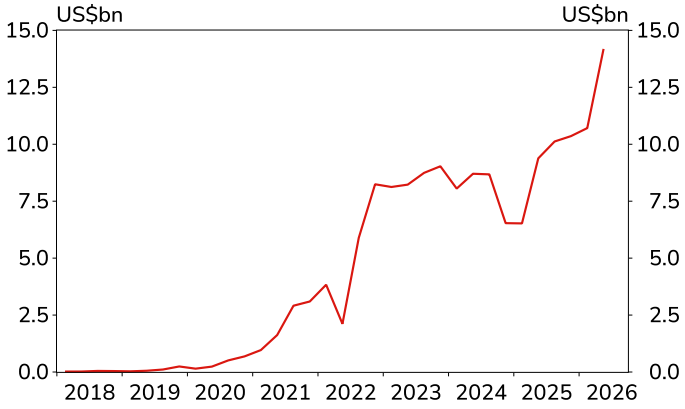


Source: LME, Macrobond, Westpac Economics

greenfield power and battery energy storage system factories that had yet to break ground. The move reflects growing concerns around excess capacity in the sector and forms part of Beijing's broader anti-involution agenda. Sentiment was further subdued by increased focus on the potential restart of the Jianxiawo mine, which accounts for around 3-4% of global lithium supply at full capacity and remains suspended pending environmental approvals. Subsequently, Spodumene (6% FOB Australia) prices fell 4.8%mth in September to average US$2,007/t.

Despite this, the near-term outlook remains constructive. Demand should remain supported by lean downstream inventories and continued investment in energy storage solutions following the recent energy shock. Additional growth is likely to come from accelerating EV adoption, with lower-cost Chinese EVs continuing to gain market share. Over the medium to longer term, additional supply, particularly from Australia, is expected to weigh on prices. Further, recent tax changes in China, which impose a consumption tax on lithium-ion batteries while exempting sodium-ion and solid-state batteries until end-2028, may encourage some substitution away from lithium at the margin. Nevertheless, lithium is expected to remain the dominant battery chemistry.

Chinese Electric Vehicle Exports



Source: NBS, GAC, Macrobond, Westpac Economics

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US dollar strength ...

Elliot Clarke
Head of International Economics

After struggling to break up through 100 over the past four months, in late September and early-October the DXY index popped higher to near 103, a high back to early-2025. Underlying the move are expectations that inflation will prove persistent globally, requiring an extended period of higher rates as well as a belief that the US tech sector leaves it best positioned to weather the storm.

It is important to note at the top that available data does not support a view that the US/Rest-of-World divide has grown. US GDP growth certainly remains above average and the Europe/UK below, but this has been the case throughout 2026.

Moreover, Europe and UK have shown greater-than-anticipated resilience of late, and growth in both jurisdictions is expected to strengthen as the US slows into 2027. Also relevant for DXY, Canada looks to be on a similar path to Europe, despite the ill effects of US trade policy.

Participants also expect a run of rate hikes in each jurisdiction through the remainder of 2026 and in 2027. We believe these expectations are unlikely to come to pass, though our cross-market view is proportion to the market's – i.e. we see each central bank biding their time after a final hike in coming months, allowing the currently restrictive stance of policy to take effect over time.

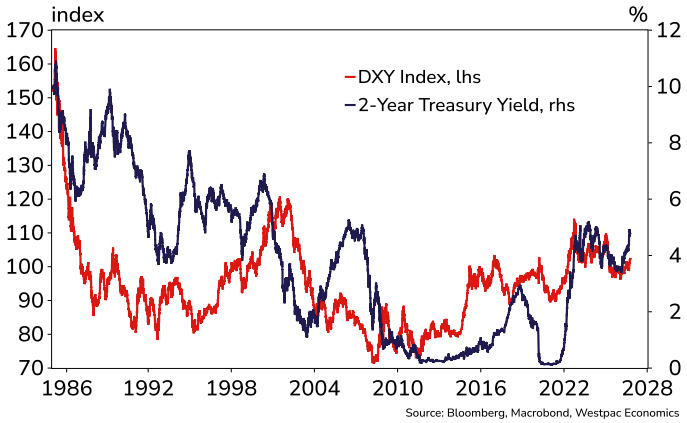
At the long end of the curve meanwhile, yields are certainly in the US dollar's favour. While this is in part due to the strong expectations for US growth, it also has to do with growing anxiety over the US' fiscal position, unpredictable policy and key global investors reconsidering the scale of their exposure to US government debt.

None of these latter factors are a positive for the US dollar today, and the risk is the US becomes more of an outlier on each front as greater co-ordination delivers a windfall for sentiment and growth across Europe and Canada.

As such, we continue to believe the US dollar will broadly move lower over the coming 24 months, though it could take until early-2027 for the turn to become definitively evident. From EUR/USD1.12 today, we forecast the euro to rise to USD1.14 at year end, then USD1.21 in December 2027 and USD1.22 in June 2028.

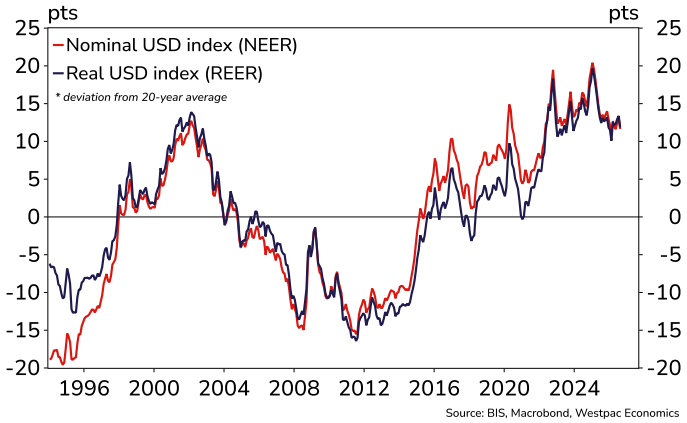
Sterling is expected to follow, from USD1.32 today to USD1.34 at end-2026, then USD1.39 by end-2027 and USD1.41 come June 2028.

USD demand to prove short lived



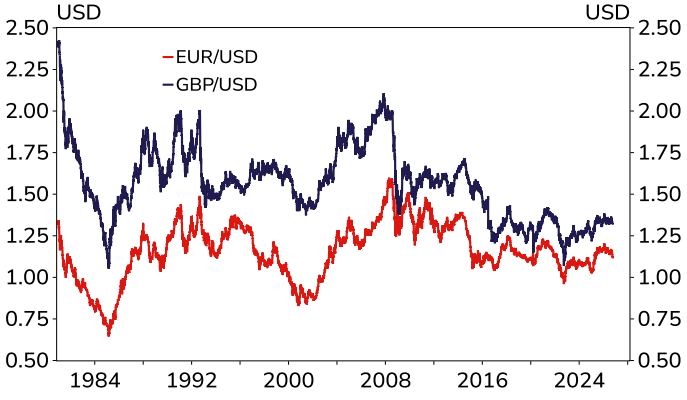
Source: Bloomberg, Macrobond, Westpac Economics

Valuation remains stretched



Source: BIS, Macrobond, Westpac Economics

Euro and UK risks to recede



Source: Bloomberg, Macrobond, Westpac Economics

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... likely to prove short lived

The Canadian dollar is also anticipated to appreciate over the forecast period, USD/CAD falling from CAD1.42 today to CAD1.34 by end-2027 and CAD1.32 mid-2028.

Along with sustained modest gains for yen (see below), this should see the DXY index at 95.1 by end-2027, then 94.5 around the middle of 2028.

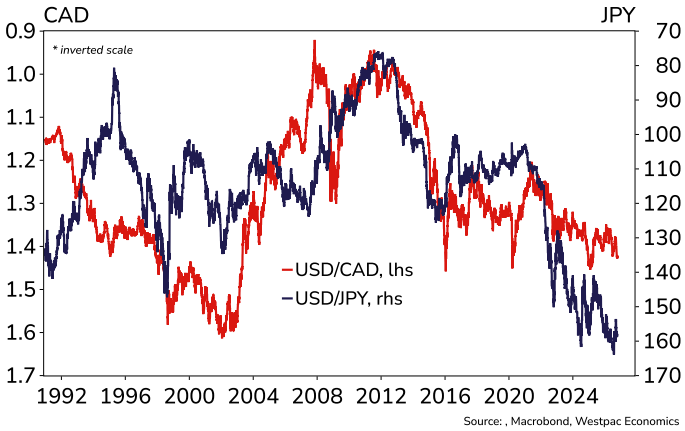
Turning to Asia, the yen remains in focus. Growth in Japan is solid and inflation around target, warranting a continued gradual normalisation of the policy rate. It is clear though that the Bank of Japan is not progressing at the pace market participants desire, and so pressure remains on the currency. As we have often highlighted, returns from trade and investment also continue to hold the yen back, despite improving profitability for Japanese listed companies and a broadly stable rate differential.

We expect these negative factors to abate and risks against yen to dissipate, but only slowly. Consequently, we only forecast USD/JPY to fall from JPY158 currently to around JPY146 come end-2028. Into the medium-term, we expect to see further gains, at some stage at a much more rapid pace. Note, our end-2028 forecast of JPY146 is 32% above the average of the decade prior to the pandemic, providing significant scope for rapid yen gains if sentiment improves.

On to China, where investors are increasingly anticipating additional stimulus and also recognising the global opportunity before Chinese industry. As detailed on page 18, recent efforts to support the economy have been highly targeted, though they point to a broader push by authorities coming in late-2026 and early next year. The current initiatives also give support to the idea that the Central Government intends to increasingly allow the private sector and effective state-linked entities to deploy capital and scale on their own terms, albeit still within the country's long-term master plan centred on technology and other high value-add industry.

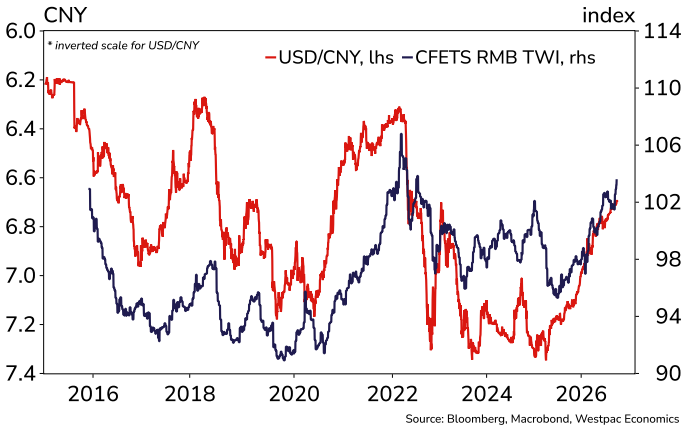
For China, the returns from trade have already been extensive, but there is scope for decades more to come. Still, the coming years are more likely to see development in sync with local neighbours such as Vietnam, Korea and Indonesia, mitigating large-scale bilateral appreciation within the region. Instead, it is currency trading against the US dollar that will highlight performance and expectations for the future. While we expect most of the region's currencies to appreciate materially against the US dollar through end-2028, the timing is likely to differ. Singapore's dollar has already run up, limiting further gains. China's renminbi is likely next in line to appreciate materially against the US dollar, followed by the won and Taiwan's dollar. India's rupee and Indonesia' rupiah are examples of currencies within the region likely to gain with a delay, particularly while energy prices remain elevated.

JPY may finally get a bid



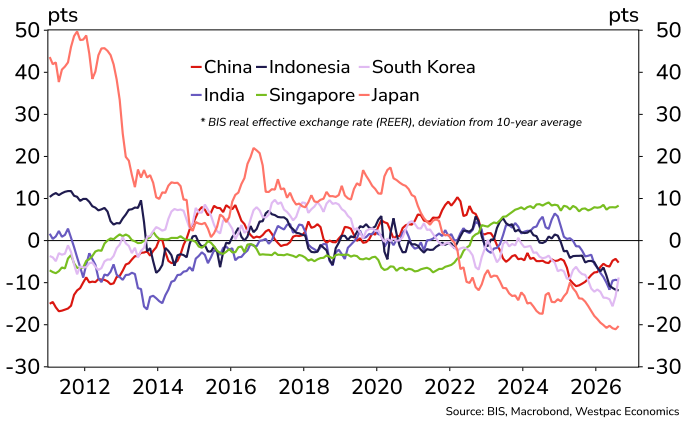
Source: , Macrobond, Westpac Economics

Renminbi next to break out



Source: Bloomberg, Macrobond, Westpac Economics

Asia's outlook promising



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Growth continued through the Middle East conflict ...

Kelly Eckhold
Chief Economist NZ

Since the September Market Outlook, we have seen significant increases in global energy prices, a further fall in the New Zealand dollar and increases in long term interest rates. These developments have prompted us revise our macroeconomic outlook for 2026 and 2027 which now incorporate a less favourable mix of higher inflation and weaker growth. We continue to expect the economy to grow above trend, although with higher-for-longer inflation that justifies higher policy rates from the RBNZ. The New Zealand dollar seems weak and downside risks are growing should the economy falter or if the USD continues to shift higher. The General Election is on 7 November, and polls suggest that this remains a tight race. Whichever bloc wins, we expect complex coalition negotiations that may take some time to resolve.

Data on economic activity confirmed that the economy continued to grow through the Iran-war-impacted June quarter, registering the expected 0.2% growth rate. This was a pleasing result considering our earlier concerns that the economy might have gone backwards as energy prices and economic uncertainty spiked. In addition, historical revisions to GDP showed stronger growth in the pre-war quarters so that annual growth was notably stronger than thought at 2.6%yr. This means that the NZ economy has been running ahead of its potential growth rate – estimated at around 1.6%yr by the RBNZ for the year to June 2026. Concerns of a widening output gap through 2026 appear to have been unfounded.

That is not to say that the economy is in rude health. The general perception of economic conditions by consumers and businesses is that times are tough. The dissonance between the data and the perception reflects the still narrow nature of drivers propelling the economy forward. Unusually, it is not the housing market and related sectors such as household consumption that is generating much of the growth. Rather, it is the agricultural sector, exporters and tourism that are experiencing strong conditions. This explains the wide dispersion of economic indicators around the economy as evidenced by much stronger conditions in the North vs the South Islands. We continue to see strong export prices and have revised up our forecast milk price for the 2026/27 season to $9.75/kg/ms and made an opening estimate of the 2027/28 milk price of $9.50/kg/ms. These are strong returns that will underpin demand and investment in the agricultural sector in the years ahead.

We are seeing signs that lower interest rates are supporting growth in interest sensitive sectors. For example, in the June quarter the construction sector delivered its strongest contribution to growth since 2023. We are also seeing signs of strengthening employment growth including in the North Island where urban areas predominate. However, the overall mix of growth remains relatively narrow which means many sectors – especially the services sector – are missing out on growth at this stage of the economic recovery.

The narrow nature of the recovery means that the economy remains vulnerable to shocks and setbacks. The last month or so has seen several negative shocks that are challenging the recovery. A couple seem especially relevant: renewed hostilities in the Middle East and a rise in petrol prices to new highs; and a rise in global long term interest rates that are adding to the tightening in financial conditions caused by the RBNZ's OCR increases since July 2026.

Thus far, businesses and households are showing much better resilience to higher energy costs than shown early in the conflict when petrol prices were close to current levels. We have seen some decline in business and consumer confidence, but the declines appear modest and remain consistent with ongoing economic growth in the second half of 2026. The question is how long that resilience will last?

We have reviewed our economic forecasts to account for changes seen since late August when we last reviewed our forecasts. The biggest changes concern the short-term inflation outlook where higher fuel prices should flow through to the CPI in the December quarter, adding more than 0.5% to our prior estimate of inflation for the 2026 calendar year. That means headline CPI inflation will end 2026 over 4% which is an uncomfortable – but unavoidable – prospect for the RBNZ. The weaker exchange rate will also add to inflation through mid-2027 with the TWI down 4-5% since late August.

A key question is what impact will stronger near-term price pressures have on the medium-term inflation outlook, which the RBNZ will be most focused on? Business and consumer surveys released in the last month showed no sign of rising inflation expectations or increased business pricing pressures. This suggests that most players in the economy see the energy shock as a short-term disruption that will not persistently lift inflation. At this juncture it certainly seems likely that headline inflation will remain either above or in the top part of the RBNZ's 1-3% target range through most of 2027. But we have little evidence to date that core inflation pressures will be similarly lifted. We will review the Q3 CPI data next week for signs of broader passthrough. In the June quarter we were pleasantly surprised that core inflation measures remained contained.

It may well be that the still significant level of excess capacity in the economy and the narrowness of growth can conspire to keep broader inflation pressures under control. We have trimmed our growth forecasts over the Q4 2026-Q2 2027

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… although downside risks are rising

period to reflect these economic headwinds. We continue to see solid growth that remains above the still poor potential growth rate of the economy. But it is certainly the case that absent other positive drivers, growth will be weaker than previously thought. This should help constrain inflation pressures all else equal.

Another area of the economy that has continued to surprise to the downside is the housing market which has not met even our modest expectations for a stabilisation in prices through the second half of 2026. Unusually, despite low interest rates house prices are if anything falling more quickly as the year goes on. House sales are weakening and the time to sell a house is lengthening. We have revised down our house price expectations for 2026 and 2027 to a fall of 1.4%yr in 2026 and a rise of just 1.75% in 2027. Weaker housing market conditions likely mean consumption and residential investment will be constrained leaving more of the burden for growth on the external sector.

All this leaves us wondering if the RBNZ has enough to go on to shift its strategy communicated in September. Given perceived downside risks to activity, despite the uncomfortable near-term inflation outlook, it indicated a preference to slow the pace of OCR increases by pausing at its October meeting before raising the OCR to 3% in December. Our sense is that the strategy will remain in place unless the CPI data next week shows signs of building core inflation pressures.

Markets have priced in a relatively high chance of hikes in both October and December (around 33bps of hikes across the two meetings). At times, pricing appears to have been highly correlated with similar shifts in foreign markets as global oil prices increased over September (although pricing has been relatively stable of late). There will no doubt be a vigorous debate within the MPC over how to balance the opposing risks to inflation and growth. We suspect they will hold the September course in the end.

The exchange rate has been particularly weak in the last six weeks. The US dollar has been stronger than expected and the repricing of global interest rates higher increasingly singles countries with relatively low interest rates, such as New Zealand. Should NZ growth falter to the extent that interest rate differentials can't narrow then the NZ dollar could easily weaken further as investors vote with their feet.

Another issue is the forthcoming 7 November election and the associated uncertainty given that polling is tight and policy divergences significant, especially between smaller parties who will need to be coaxed into a coalition with one of the larger parties. Fiscal risks already seem prominent in the fiscal plans of both the National and Labour party. Deals done to create a coalition likely increase those risks with the potential to undermine the NZ dollar further post-election. It certainly seems the case that markets have a strong focus on fiscal sustainability right now.

	2025			2026								
Monthly data	**Oct**	**Nov**	**Dec**	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**
REINZ house sales %mth	6.3	0.1	0.6	–5.1	4.0	–2.3	–1.0	–3.7	–0.4	–3.0	–1.7	–
Residential building consents %mth	–0.9	2.5	–4.3	2.5	2.2	–0.8	12.6	–5.1	–3.6	–4.5	5.6	–
Electronic card transactions %mth	0.2	1.3	–0.1	–1.1	1.4	0.7	–1.3	1.6	–1.4	1.2	–0.9	–
Private sector credit %yr	4.6	4.4	4.6	4.6	4.7	4.9	4.7	4.8	4.9	4.9	4.8	–
Commodity prices %mth	–0.3	–1.6	–2.2	2.0	4.2	4.2	–0.8	0.8	–1.1	–4.0	–0.4	0.6
Trade balance $mn	–271	–374	–210	–349	–923	–380	162	–1123	–767	–1331	–101	–

Quarterly data	**Q2:24**	**Q3:24**	**Q4:24**	**Q1:25**	**Q2:25**	**Q3:25**	**Q4:25**	**Q1:26**	**Q2:26**	**Q3:26**
Westpac McDermott Miller Consumer Confidence	82.2	90.8	97.5	89.2	91.2	90.9	96.5	94.7	80.4	89.5
Quarterly Survey of Business Opinion	–26	–29	–27	–22	–21	–15	–3	0	1	–1
Unemployment rate %	4.7	4.9	5.1	5.2	5.2	5.3	5.4	5.4	5.6	–
CPI %yr	3.3	2.2	2.2	2.5	2.7	3.0	3.1	3.1	4.1	–
Real GDP %yr	1.1	0.4	–0.3	–0.9	–1.1	–0.5	0.3	0.9	1.7	–
Current account balance % of GDP	–5.5	–5.3	–4.9	–4.4	–3.6	–3.1	–3.0	–3.0	–3.2	–

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

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The timing of an upturn ...

Elliot Clarke
Head of International Economics

There has been little change in China's key narratives year-to-date. The trade surplus remains near record highs, buoyed by demand for green technology. Offsetting external strength, however, has been a moribund consumer, deteriorating business investment and continued month-on-month declines for housing activity.

With each month that passes, the risk of disappointing authorities' 4.5-5.0% ambition grows. In our view, while the Government is right to take a targeted approach to support for the economy, it must quickly multiply the scale and breadth of support if downside risks for 2027 and 2028 are to be kept at bay.

September's endeavour with housing is a case in point. Late in the month, authorities announced mortgage subsidies. Under the policy, first-home buyers are to receive an annualised 1 percentage point reduction in the loan principal for up to 5 years. However, the policy only applies to homes of up to 120 square metres with a maximum value of 1.5mn yuan.

Industry data from Proptech Innovations reported by Bloomberg suggest new home sales were up 15% from a year ago during October's National Day celebrations, but sales were still 9% below the same period in 2024.

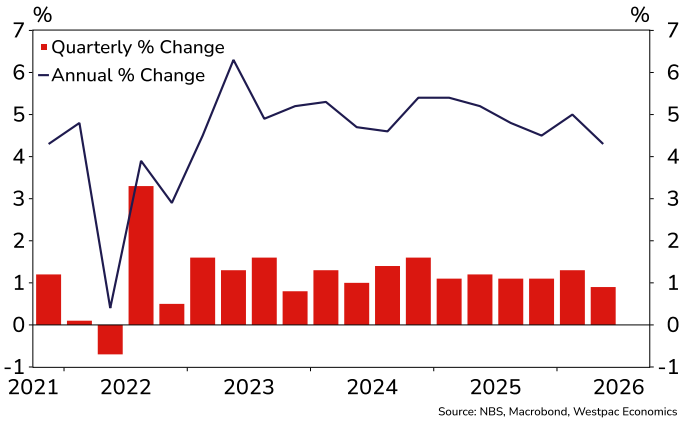
After more than 4 years of declining prices, sales and new construction, targeting this small sub-set of buyers is best interpreted as a first step towards broader support, allowing young buyers to get in ahead of the pack.

A similar scenario has been playing out in China's equity market, with several rounds of buying by state-linked institutional investors building a floor for Chinese shares this year while changes to these investors' long-term investment mandates lock in sustained buying over the years ahead. Hot IPOs have also been allowed to run, arguably in part to highlight the opportunity China's tech industry has before it to scale and, in time, deliver significant wealth gains.

Suggesting further support is coming, also included in the late-September stimulus initiative was support for targeted lending by the banks for technology innovation and equipment upgrades, along with infrastructure finance. While open to all businesses, these initiatives seek to protect supply for small companies to avoid past issues with credit rationing. Increasingly then, Chinese businesses of all sizes are positioned to take advantage of growth opportunities.

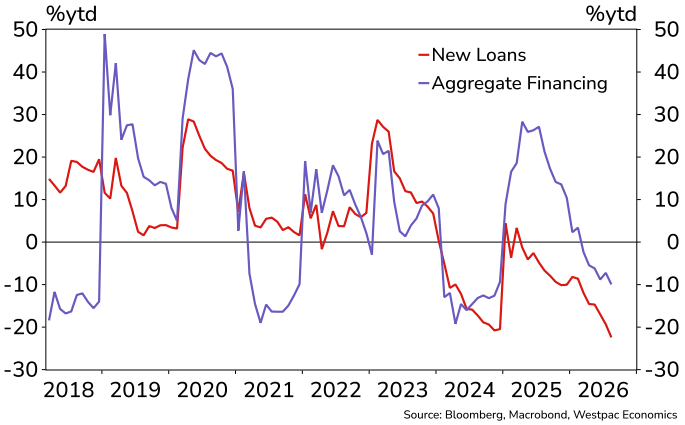
In the very near term, the scaling of these private enterprises is likely to prove a support for sentiment and market valuations more so than employment. To quickly boost household

Growth target at risk into year end



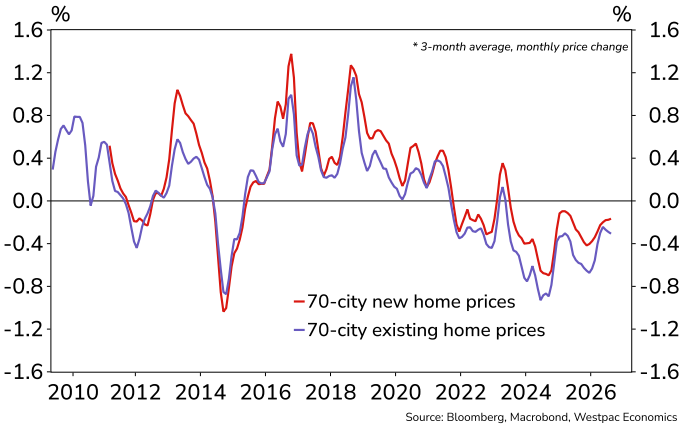
Source: NBS, Macrobond, Westpac Economics

Credit impulse negative



Source: Bloomberg, Macrobond, Westpac Economics

Wealth needs additional support



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... remains in authorities' hands

incomes, local government enterprises (who are major employers directly and indirectly) need to be incentivised to spend. The reason this is the case is that these entities are typically tasked with the lion share of infrastructure and non-residential construction in their jurisdictions. They also have strong ties to the residential construction sector, so an upturn in their spending benefits each regional economy broadly.

Central authorities have not been ignoring the need for support amongst local governments and related entities. But the support offered to date has focused on terming out existing debt and lowering the rates at which they borrow, principally through guarantees from higher levels of Government.

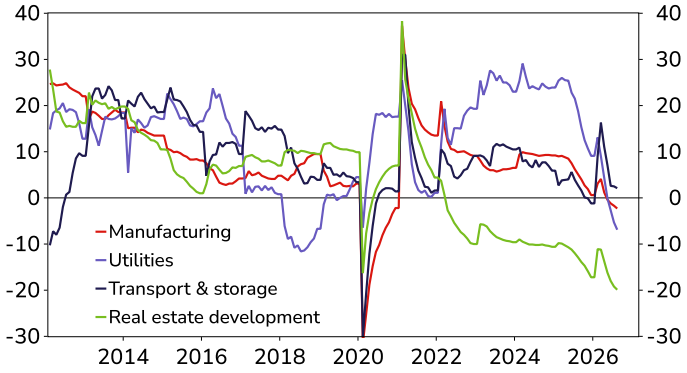
There are indications this first wave of support has been successful in materially improving regional government and related entities cash flow. Additional low-rate special purpose issuance, when it arrives, therefore has scope to offer significant support to investment across the nation. The pipeline of projects built up during 5 years of weak public investment means an uptick in capital expenditure should be productive for the national economy and secured by strong financial foundations.

The benefit of living through an entrenched period of disinflation is that the yield curve flattens at a low level. This development offers Chinese public and private issuers an opportunity to lock in long-term capital at highly attractive rates. At the current juncture, this is a significant advantage to the West who are facing heightened inflations risks and fiscal uncertainty. While many harbour concerns on the latter point for China too, the control Chinese authorities have over outbound foreign investment means a greater share of domestic capital is captive to local opportunities than is the case across open developed markets.

All told, the hold-up for a broadening of growth across China's economy is therefore confidence. When this occurs, however, is up to the Central Government.

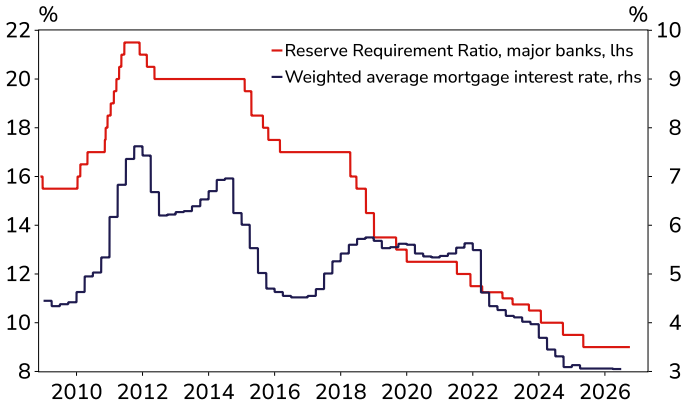
As does investment

Fixed Asset Investment by Industry (%ytd)



Source: NBS, Macrobond, Westpac Economics

Monetary policy already accommodative



Source: Bloomberg, Macrobond, Westpac Economics

	2025			2026								
Monthly data %yr	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep
Headline CPI %yr	0.2	0.7	0.8	0.2	1.3	1	1.2	1.2	1	0.5	0.8	0.9
M2 money supply %yr	8.2	8	8.5	9	9	8.5	8.6	8.6	8	7.7	7.5	7.2
Manufacturing PMI (official)	49.0	49.2	50.1	49.3	49.0	50.4	50.3	50.0	50.3	49.2	49.8	50.1
Fixed asset investment ytd %yr	–1.7	–2.6	–3.8	–3.8	1.8	1.7	–1.6	–4.1	–5.7	–6.7	–7.2	–
Industrial production %yr	4.9	4.8	5.2	5.2	6.3	5.7	4.1	4.5	5.3	4.5	5.2	–
Exports %yr	–1.3	5.8	6.4	10.0	39.6	2.5	14.0	19.2	26.9	23.9	25.0	36.3
Imports %yr	1.8	2.6	6.4	26.9	14.7	28.4	25.3	27.4	35.8	27.5	28.2	31.0
Trade balance USDbn	88.0	109.9	111.9	120.0	89.2	49.8	84.4	105.0	125.5	112.5	119.1	133.5

Quarterly data	Mar–25	Jun–25	Sep–25	Dec–25	Mar–26	Jun–26
Real GDP %yr	5.4	5.2	4.8	4.5	5.0	4.3
Nominal GDP %yr	4.6	3.9	3.7	3.9	4.9	5.9

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

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US housing poses risks ...

Elliot Clarke
Head of International Economics

The US housing market remains under considerable pressure. Prices continue to edge up, supporting aggregate wealth. But up-and-coming main street consumers are struggling with affordability and availability, posing enduring risks for both consumption growth and inflation.

Traditionally, when considering the implications of housing for consumption, the focus in on aggregate wealth. In the US currently, despite record levels for long-term interest rates including the 30-year mortgage rate, house prices have continued to edge higher, the S&P Case-Shiller 20-city index up 2.5%yr as of July. Together with strong gains for equity markets, this puts asset rich US consumers in an extremely strong position to maintain discretionary consumption.

Real personal consumption growth has been choppy, however, ranging between -0.1% and 0.6% year-to-date, leaving annual growth near average levels at September – a poor result given wealth's uptrend. Clearly this is a consequence of developments in the Middle East and Russia which have pushed oil and diesel prices back near the top of the historic range. A more pressing and persistent risk to the US consumer story hence is the challenge the marginal home buyer faces.

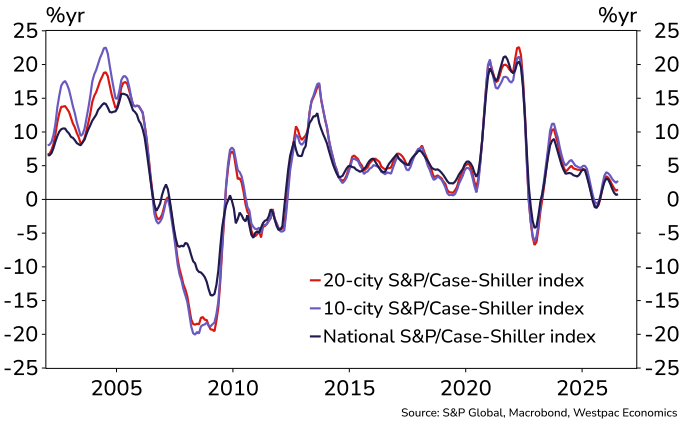
Since the beginning of 2022, the effective mortgage rate paid by all levered US households has risen from a low of around 3.3% to 4.3%. For the current marginal first-time buyer or upgrader, however, the current 30-year mortgage rate is almost twice as high at 7.50%. Housing affordability is therefore aggressively limiting both the number of buyers and the quantum of housing able to be purchased. Moreover, those who are successful purchasing face a highly-restrictive financial position for the coming 5-10 years, with interest expense making up the vast majority of initial mortgage payments toward a 30-year loan.

If, as has been the case over the past few years, nominal wage gains struggle to match inflation for essential household items, the discretionary consumption capacity of new entrants to the housing market and upgraders will remain limited.

The status quo and anticipated outlook for housing leads us to believe that consumption growth will slow into 2027 and remain below trend in 2028. Though continued gains for tech infrastructure are likely to offset, holding GDP growth around trend – supporting the labour market and consequently precluding a broadening of weakness in consumer spending.

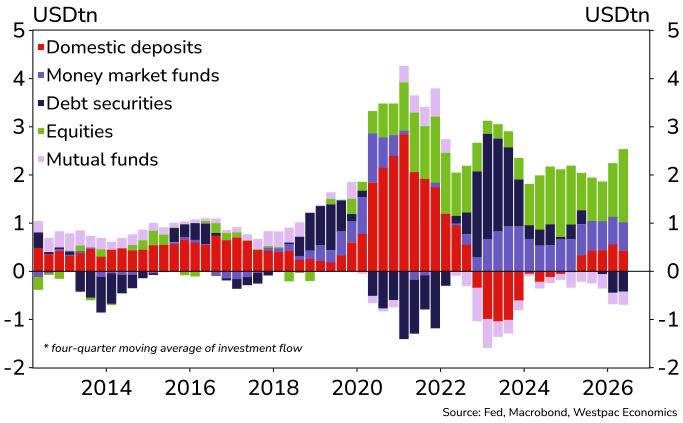
Also worthy of note are the implications for housing costs from the current trend in sales and construction. Through the first half of 2026, housing starts were at their lowest level

House prices still aiding wealth



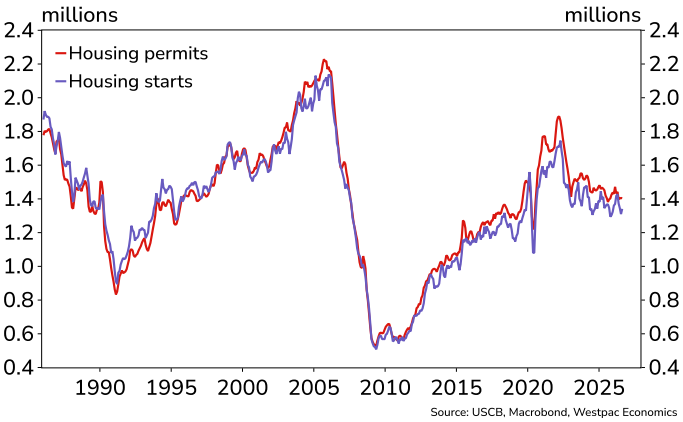
Source: S&P Global, Macrobond, Westpac Economics

Consumer financial assets also growing



Source: Fed, Macrobond, Westpac Economics

New supply insufficient for population



Source: USCB, Macrobond, Westpac Economics

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... to growth and inflation

in five years. Indeed, new supply over the period was broadly consistent with that achieved in the 1990's when the population was approximately 25% smaller than today. Building permit data also implies this imbalance is set to persist.

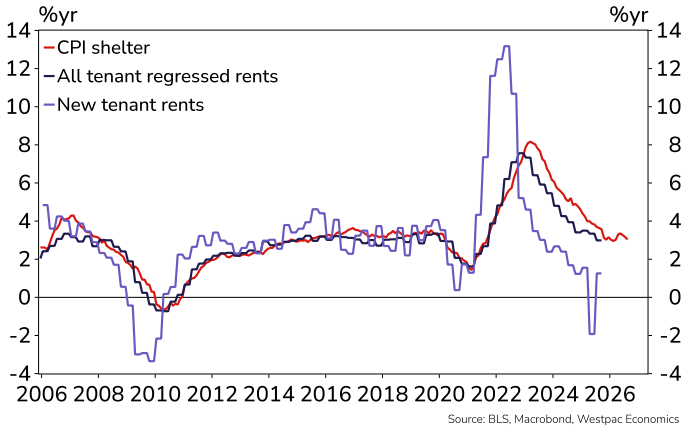
While rent inflation has slowed back towards average levels over the past two years, it is therefore unlikely to underperform hence. More probable is that, if the labour market remains in robust health, the shelter component will strengthen again. This is particularly likely in major cities where the demand and supply imbalance is most acute.

For the FOMC, this is a worrying predicament given shelter inflation makes up roughly 15%/35% of the PCE/CPI basket respectively. With the effect of tariffs and a likely modest decline in the US dollar to mitigate any disinflation from offshore, any strengthening in domestic US inflation will make sustainably achieving 2.0%yr inflation extremely challenging.

Hence, while we expect the FOMC will be able to reverse September's hike and the follow-up decision we forecast by end-2026 come early-2028, the Committee will then have to remain on hold at a modestly restrictive rate of 3.875%. This should limit US dollar depreciation over the forecast period, if downside risks for activity growth do not materialise; but it also means long-term yields are likely to remain elevated.

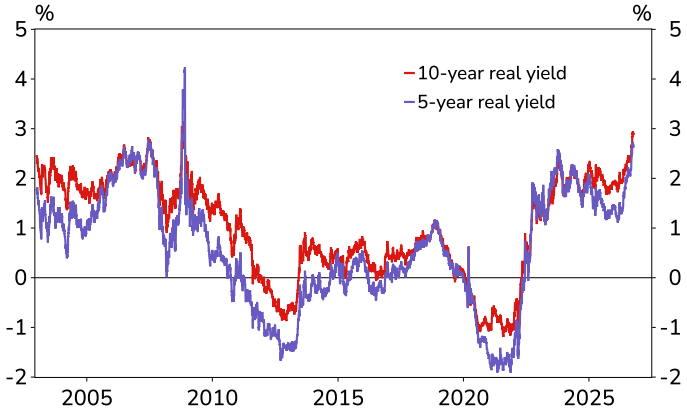
We see current market pricing for the FOMC as overextended, with three hikes priced by end-2027 compared to our forecast of a single additional move. If we are correct, the 10-year yield can retreat back below 5.00% for a time, though likely only marginally. Come 2028, a combination of persist upside inflation risks relative to target and mounting fiscal uncertainty heading into the 2028 US Presidential election is likely to see the 10-year consistently above the 5.00% level. Such an occurrence would limit new investment in real assets and further entrench domestic inflationary momentum.

Shelter inflation bottoming out



Source: BLS, Macrobond, Westpac Economics

Real yields up on growth and fiscal risk



Source: Bloomberg, Macrobond, Westpac Economics

	2025		2026									
Monthly data	**Nov**	**Dec**	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**
PCE deflator %yr	2.7	2.8	2.7	2.8	3.4	3.6	3.8	3.5	3.4	3.4	–	–
Unemployment rate %	4.5	4.4	4.3	4.4	4.3	4.3	4.3	4.2	4.1	4.1	4.2	–
Nonfarm payrolls chg '000	41	–17	160	–156	214	148	63	31	–10	133	29	–
House prices* %yr	1.5	1.5	1.3	1.0	1.0	1.2	1.7	2.1	2.5	–	–	–
Durables orders core 3mth %saar	9.8	8.9	5.5	8.5	22.0	20.6	22.2	12.4	18.1	16.5	–	–
ISM manufacturing composite	48.0	47.9	52.6	52.4	52.7	52.7	54.0	53.3	55.6	54.6	54.5	–
ISM non–manufacturing composite	52.4	53.8	53.8	56.1	54.0	53.6	54.5	54.0	54.1	55.4	54.9	–
Personal spending 3mth %saar	4.7	4.0	3.6	4.4	6.9	9.2	10.1	7.6	4.9	5.2	–	–
UoM Consumer Sentiment	51.0	52.9	56.4	56.6	53.3	49.8	44.8	49.5	55.2	51.7	48.1	46.3
Trade balance USDbn	–63.9	–76.1	–52.7	–52.5	–53.7	–52.9	–75.8	–71.2	–92.8	–105.6	–	–

Quarterly data	**Jun–25**	**Sep–25**	**Dec–25**	**Mar–26**	**Jun–26**	**Sep–26(f)**
Real GDP % saar	3.8	4.4	0.5	2.1	1.5	3.1
Current account USDbn	–254.9	–262.9	–221.1	–212.6	–246.0	–

Sources: Government agencies, Bloomberg, *S&P Case–Shiller 20–city measure.

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Is Asia's goods price disinflation ...

Illiana Jain
Economist

For much of the past twenty years, Asia has been a source of disinflation for the world. The integration of China into global manufacturing, the offshoring of production to other low-cost economies and relentless improvements in technology have all helped. As a result, periods of elevated domestic inflation were often offset by falling or flat imported goods prices, allowing central banks to tolerate stronger services inflation.

Today though, a combination of ageing populations, rising labour costs, increasing electricity demand and developments within the technology sector imply Asia may provide less support to global disinflation over the decade ahead.

Historically, labour cost arbitrage was one of the key drivers of lower goods prices. Production was repeatedly shifted towards lower-cost labour markets, with much of the world's manufacturing increasingly concentrated in North Asia. However, working-age populations in economies such as Japan, South Korea, Taiwan and China are now either stagnant or declining, and economic development has pushed labour costs higher. These trends are consistent with the broader argument advanced by Goodhart and Pradhan – that the enormous labour supply shock stemming from China, which helped suppress global inflation over recent decades, is fading.

The next phase of manufacturing development looks likely to instead be driven by capital, technology and energy rather than low-cost labour, and is likely to be more fragmented. Future supply-chain development is therefore more likely to help contain rising costs than drive sustained price declines for goods.

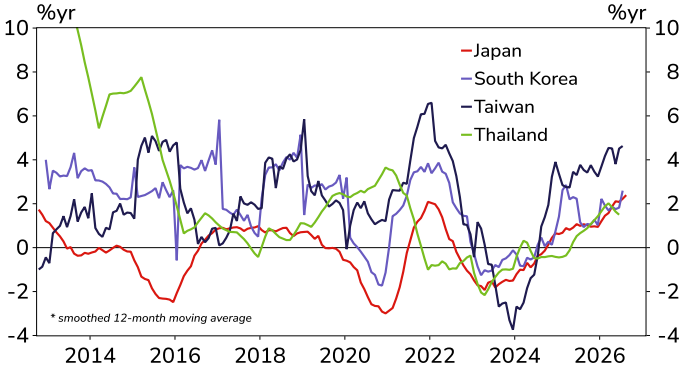
Digging deeper into these factors, technology is becoming a less reliable source of disinflation. Asia sits at the centre of the global AI supply chain through firms such as TSMC, Samsung and SK Hynix, which produce advanced semiconductors and memory chips critical to AI infrastructure. Unlike previous technology cycles, these firms are operating in an environment characterised by strong demand and limited supply, allowing greater discretion over pricing. SK Hynix's net profit, for example, increased from ₩19.8tn to ₩42.9tn, a rise of 117% year-on-year.

At the same time, increasing critical mineral and other input costs together with large investment requirements are lifting production costs and the required return on investment.

These factors increasingly look to be structural, with producers competing on performance and capability rather than price and growth in end demand extremely strong. This means technology may no longer be a source of disinflation/ deflation globally, but instead a contributor to end user inflation.

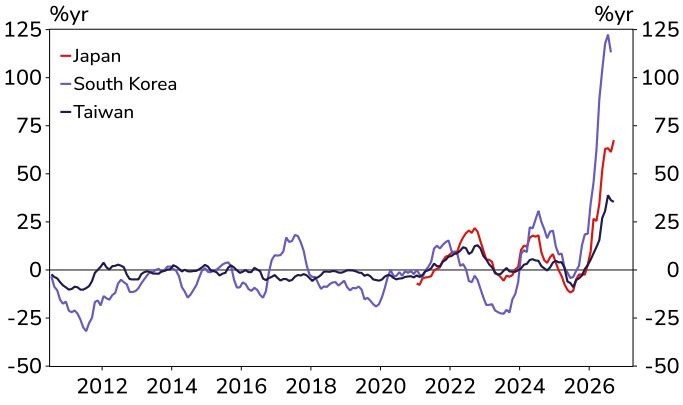
Asia's labour-cost advantage is fading

Real manufacturing wages, seasonally adjusted



Source: DGBAS, MOEL, MHLW, NSO, MODS, SBJ, BTEI, Macrobond, Westpac Economics

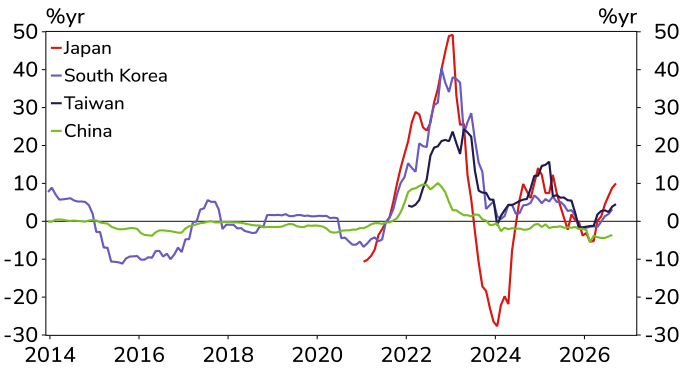
Electronics export prices skyrocket



Source: DGBAS, BOK, BOJ, Macrobond, Westpac Economics

The AI boom is lifting energy demand

PPI Energy



Source: BOJ, NBS, BOK, DGBAS, Macrobond, Westpac Economics

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... over?

The AI build-out is also fostering energy demand, adding to economy-wide inflationary pressures. Semiconductor fabrication plants, data centres and AI infrastructure are extremely electricity intensive. This is also the case for the large-scale data-centre investment evident across the Asian region and world.

Developments in China, however, highlight that disinflation remains a possibility for some manufactured goods. Simply, where capacity has been expanded ahead of demand, such as for automobiles, the trend for output prices is still flat to down. If capacity is expanded ahead of demand in more sub-sectors, world prices can grow more modestly, or potentially decline, depending on end user appetite and competition.

For aggregate global inflation though, we need to recognise the growing complexity and breadth of the global production chain and technology's use in everyday life.

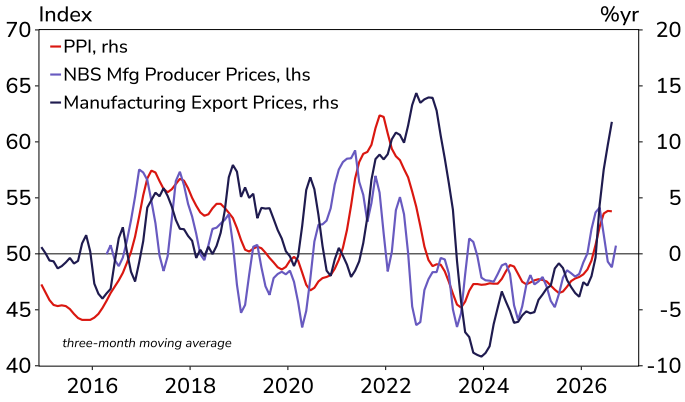
Today, China is not the dominant supplier across all of technology. South Korea's leadership in memory chips and Taiwan's dominance in advanced semiconductors are examples. The consequence for the developed world is that it is not just production costs in one location that matter, but rather across the full logistic chain.

It is also important to highlight that many end users and the manufacturers undertaking production are increasingly prioritising resilience, security and specialisation alongside cost minimisation. This limits their ability to move production in pursuit of lower wages and construction costs, reducing the potential for future disinflation/deflation, all else equal.

For developed-market central banks, the implications may prove significant. If Asia provides less support to global disinflation, imported goods will contribute less to returning inflation to target. Achieving inflation mandates in those circumstances will require tighter control of domestic inflationary pressures, particularly services.

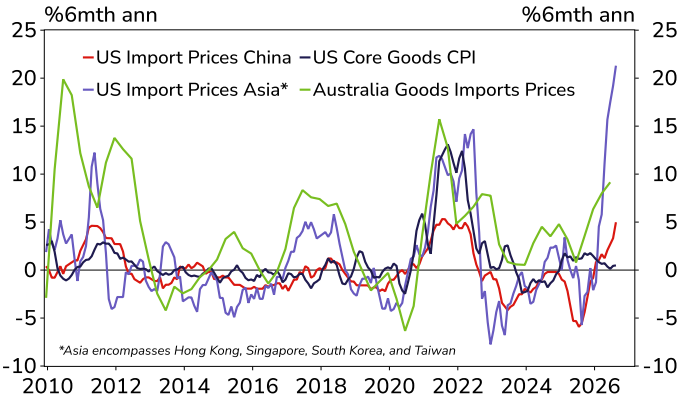
An interesting end note to ponder over the coming year(s) is the potential benefit of AI driven productivity. In time, this may help to not only foster disinflation across production, but also international logistics and local service sectors. Each nation is likely to experience a different outcome on this front, with early adopters best place to efficiently plan and implement adoption and receive a windfall.

China's deflation is losing influence



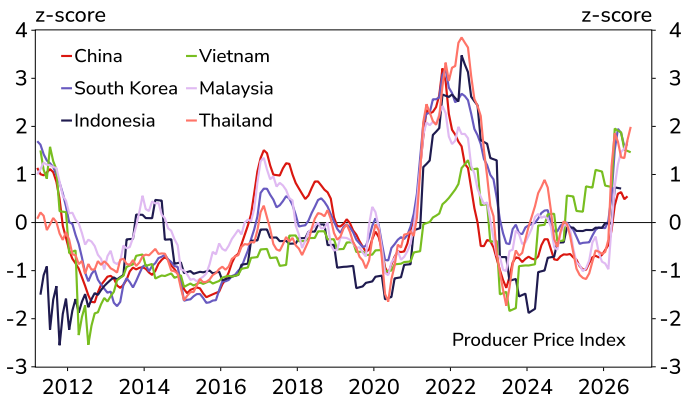
Source: NBS, CFLP, GAC, Macrobond, Westpac Economics

Asian prices add risk to developed markets



Source: BLS, ABS, Macrobond, Westpac Economics

The cheapest supply chain no longer wins



Source: BOK, NBS, BPS, Vietnamese National Statistics Office, DOSM, BTEI, Macrobond, Westpac Economics

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Concerns over Europe's outlook ...

Elliot Clarke
Head of International Economics

The euro has come under considerable pressure during the past month owing to fears over the potential implications of high prices and threats to global supply for oil, gas and diesel. That said, the European economy continues to tick along nicely while inflation risks remain manageable, allowing the ECB to be measured in their response.

At the time of September's meeting, the ECB staff projections pointed to a quick turn in growth, from 0.9% in 2026 back to 1.4% in 2027 and 1.5% in 2028 (both near-trend outcomes) as inflation returns to target. This was an upward revision compared to the forecasts presented 3 months earlier, built on greater-than-expected resilience in the economy despite mounting global energy risks.

Since the meeting, the data has broadly continued to point to underlying strength, with the unemployment rate stable near record lows, real incomes and sentiment holding up, and construction activity outperforming. Retail sales growth remains choppy and sub-par, but we are yet to see clear evidence of downside risks crystallising for household spending.

Against this sanguine baseline view, the ECB's revised alternative forecasts point to a large shock being necessary to jolt GDP growth materially lower in 2027. An oil price circa USD100 and gas price of EUR75 per MWh through Q4 2026 and a slow abating of risks through 2027 would still result in GDP growth of 1.1% in 2027 and then 1.4% in 2028 on the ECB's modelling.

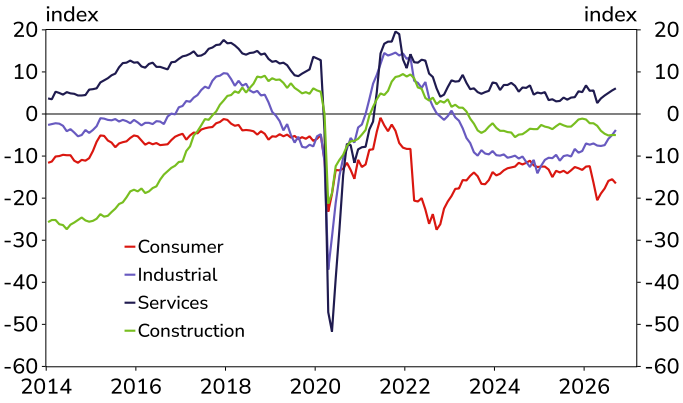
An oil price of USD130 and gas price of EUR130 per MWh in Q4 2026 with persistent strength through 2027 is instead necessary to see GDP growth slow from 0.8% in 2026 to 0.4% in 2027 before a recovery to 1.4% in 2028, as the energy shock recedes.

The point to take from these scenarios is that historic data and the relationships they represent suggest the Euro Area is likely to perform well through this period of heightened uncertainty.

Moreover, once risks recede, upside opportunities are probable, particularly if the trade relationship with Asia and the associated inflow of financial capital to the continent strengthens further.

An influx of investment into manufacturing by global players could also spark secondary waves of investment across manufacturing as well as related infrastructure and services provision. Come 2028 and beyond, upside risks related to the region's defence and resource independence should also present.

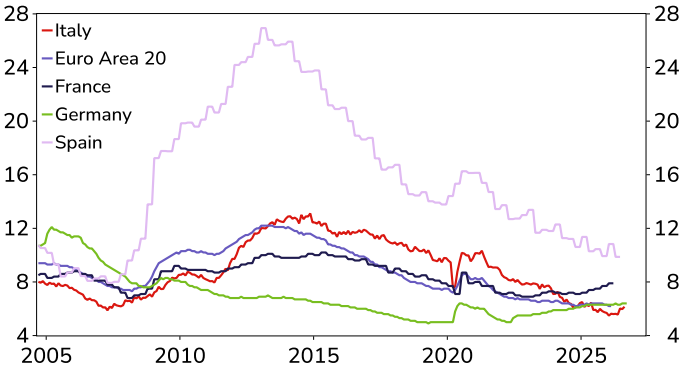
Confidence showing resilience



Source: DG ECFIN, Macrobond, Westpac Economics

Labour markets fully employed

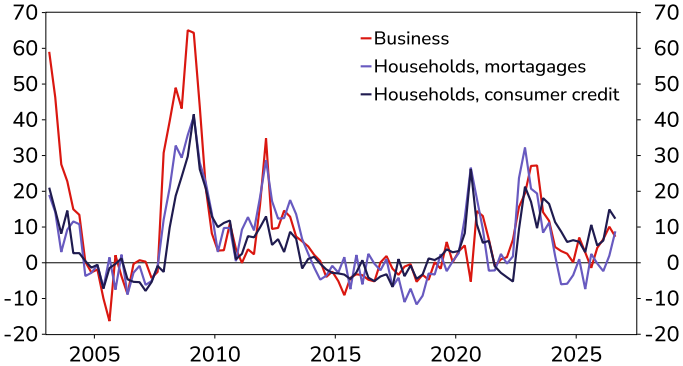
Unemployment rate (%)



Source: Istat, Eurostat, INSEE, German Federal Employment Agency (Bundesagentur fuer Arbeit), INE, Macrobond, Westpac

Credit standards have been tightened

Net % of banks reporting a tightening of credit standards



Source: ECB, Macrobond, Westpac Economics

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... are overdone

Thinking more broadly about the risks ahead, while the Euro Area may not have the upside potential of the US vis à vis data centre development for the training of models and pursuit of generative AI, their major corporations are ready and able to adopt US and/or Asian models to improve efficiency and speed up research and development.

For Europe, the opportunity set is arguably concentrated in pharmaceuticals, other medical goods and high-tech componentry related to telecommunications and transit – all sectors with strong growth opportunities.

To the downside, risks are focused on the functioning of the financial sector and the provision of credit. The latest release for the ECB's Bank Lending Survey is due late this month. But, as discussed in September's Market Outlook, the prior release from July points to a measured but sustained tightening of financial conditions over and above the impact of policy decisions.

For households in particular, Q2 saw a second consecutive quarter of credit standard tightening for mortgages across the Continent, principally due to heightened risk perceptions and reduced risk tolerance amongst the banks. Demand for mortgages unsurprisingly fell for a second quarter in a row, and respondents foresaw a further reduction in Q3. A more broad-based tightening of standards was meanwhile evident for consumer credit.

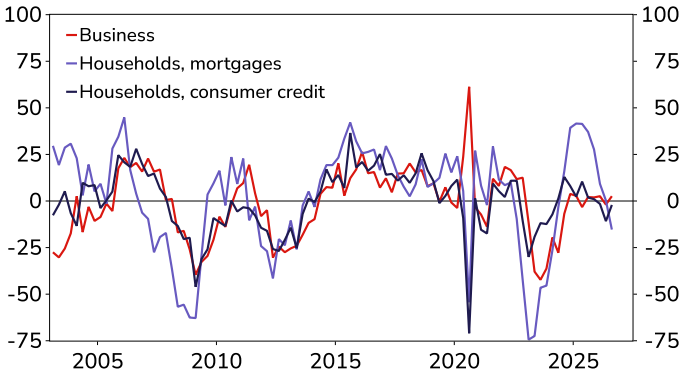
A moderate tightening of credit standards was also apparent for businesses. Though, new business investment grew through 2024–26 as credit standards were tightened quarter-on-quarter, suggesting the impact on business investment of current decision making will prove modest.

Importantly though, if this key downside risk (or others) manifest, the Euro Area public sector has capacity to react, far more so than US authorities. This is because Euro Area yields are materially lower than in the US, and their fiscal calculus is much more manageable.

Highlighting the scale of difference, the 10-year German yield is currently at 3.5% while the US 10-year trades near 5.2% – the German yield up around 30bps versus 80bps in the US. As of 2025, the Euro Area's general government fiscal balance was also a deficit of 3.0 per cent of GDP, less than half the US' 6.8 per cent of GDP deficit on the IMF's April Fiscal Monitor's figures. Into the long run, this difference will provide a meaningful boost to both growth across the continent and the euro's prospects.

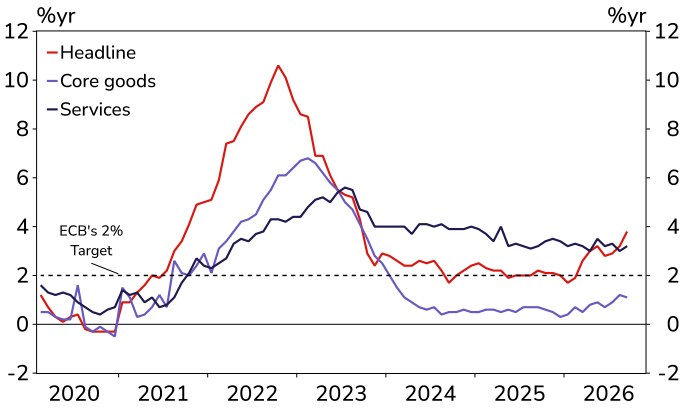
Loan demand mixed

Net % of banks reporting an increase in demand



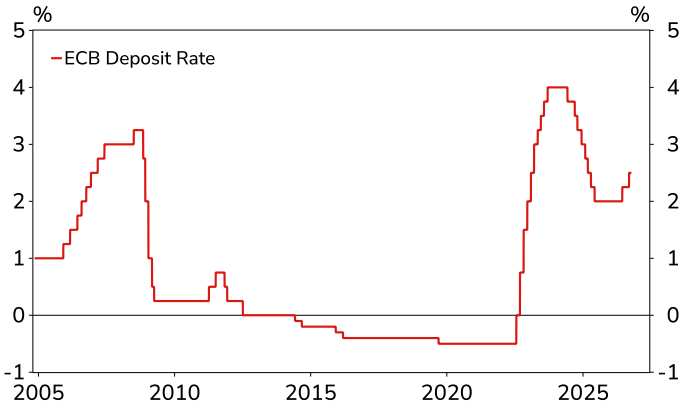
Source: ECB, Macrobond, Westpac Economics

Inflation to tend to target ...



Source: Eurostat, Macrobond, Westpac Economics

... with mildly restrictive policy



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Australia

Interest rate forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.60	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.77	4.95	4.95	4.80	4.55	4.30	4.10	3.95	3.95	3.95
3 Year Swap	4.93	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
3 Year Bond	4.91	4.90	4.85	4.75	4.65	4.55	4.45	4.35	4.30	4.25
10 Year Bond	5.32	5.20	5.15	5.10	5.05	5.05	5.00	5.00	5.00	5.00
10 Year Spread to US (bps)	13	15	15	15	15	10	0	–5	–10	–15

Currency forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
AUD vs										
USD	0.6969	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
JPY	110.25	112	111	112	111	110	109	108	107	106
EUR	0.6248	0.63	0.62	0.62	0.61	0.60	0.60	0.59	0.60	0.60
NZD	1.2466	1.27	1.24	1.20	1.16	1.15	1.13	1.12	1.12	1.11
CAD	0.9926	0.99	0.99	0.99	0.99	0.98	0.97	0.96	0.96	0.96
GBP	0.5284	0.53	0.53	0.54	0.53	0.53	0.52	0.51	0.51	0.52
CHF	0.5815	0.58	0.57	0.56	0.55	0.55	0.54	0.54	0.54	0.54
DKK	4.6700	4.70	4.64	4.63	4.55	4.51	4.45	4.44	4.47	4.47
SEK	6.9901	7.10	7.08	7.12	7.06	7.03	6.96	6.95	7.03	7.03
NOK	6.6376	6.75	6.72	6.76	6.70	6.68	6.61	6.59	6.68	6.68
ZAR	11.57	11.7	11.8	11.8	11.8	11.8	11.9	11.9	11.9	11.9
SGD	0.8955	0.91	0.91	0.92	0.92	0.92	0.91	0.91	0.91	0.91
HKD	5.4699	5.61	5.63	5.70	5.69	5.69	5.65	5.63	5.62	5.61
PHP	44.07	44.4	44.3	44.5	44.2	43.8	43.2	42.7	42.4	42.4
THB	23.42	23.6	23.4	23.4	23.0	22.6	22.1	21.9	21.7	21.7
MYR	2.8618	2.90	2.88	2.88	2.85	2.81	2.80	2.75	2.75	2.75
CNY	4.6664	4.76	4.75	4.75	4.71	4.67	4.61	4.60	4.56	4.56
IDR	12476	12602	12528	12556	12410	12264	12052	11874	11729	11729
TWD	22.42	22.6	22.3	22.3	21.9	21.5	21.1	20.6	20.4	20.4
KRW	935	959	961	971	967	964	955	948	945	945
INR	66.71	68.0	67.7	67.9	67.2	66.4	65.3	64.4	63.7	63.0

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Australia

Activity forecasts

	2026				2027				Calendar years			
%qtr / %yr end	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
Household consumption	0.4	0.4	0.8	0.2	0.3	0.5	0.5	0.6	2.5	1.8	1.8	2.7
Dwelling investment	1.5	1.6	1.2	0.2	–0.1	0.5	0.6	0.7	5.2	4.5	1.8	5.1
Business investment *	6.2	–0.5	5.9	2.1	4.1	1.4	1.6	1.3	4.5	14.3	8.7	4.9
Private demand *	1.4	0.3	1.4	0.6	1.0	0.6	0.7	0.7	3.2	3.7	3.1	3.3
Public demand *	–0.5	0.2	0.7	0.7	0.6	0.6	0.6	0.6	2.4	1.1	2.5	2.6
Domestic demand	0.9	0.3	1.2	0.6	0.9	0.6	0.7	0.7	3.0	3.0	2.9	3.1
Stock contribution	–0.1	–0.1	–0.0	–0.1	0.0	0.0	–0.1	0.0	0.1	–0.2	–0.1	0.1
GNE	0.8	0.2	1.2	0.5	0.9	0.6	0.6	0.7	3.1	2.7	2.8	3.2
Exports	–1.1	0.8	0.5	0.8	0.4	0.7	0.7	0.6	5.2	1.1	2.4	2.4
Imports	2.0	0.5	3.2	2.0	2.5	1.8	1.3	1.5	6.8	7.8	7.3	5.5
Net exports contribution	–0.7	0.1	–0.7	–0.3	–0.5	–0.3	–0.2	–0.2	–0.3	–1.6	–1.2	–0.8
Real GDP %qtr / %yr avg	**0.3**	**0.4**	**0.5**	**0.2**	**0.4**	**0.3**	**0.4**	**0.5**	**2.0**	**2.1**	**1.5**	**2.1**
%yr end	**2.5**	**2.1**	**2.2**	**1.5**	**1.6**	**1.5**	**1.4**	**1.6**	**2.6**	**1.5**	**1.6**	**2.4**
Nominal GDP %qtr / %yr avg	0.6	0.8	2.1	1.0	0.4	0.6	0.8	0.8	4.8	5.2	3.5	4.1
%yr end	5.4	5.3	5.5	4.5	4.4	4.2	2.8	2.6	6.2	4.5	2.6	4.9
Real household disp. income	–0.3	0.6	1.5	–1.3	0.5	1.0	1.2	0.0	4.0	0.5	2.8	3.5

Other macroeconomic variables

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
Employment %qtr **	0.5	0.2	0.6	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end **	1.5	1.1	1.5	1.7	1.5	1.7	1.6	1.7	1.1	1.7	1.7	2.2
Unemployment rate % **	4.2	4.4	4.6	4.7	4.7	4.8	4.8	4.7	4.3	4.7	4.7	4.5
Wages (WPI) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.2	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.3	1.3	0.4	0.5	1.0	0.5	–	–	–	–
%yr end	4.1	3.9	3.9	4.6	3.6	3.4	3.2	2.4	3.6	4.6	2.4	2.3
Trimmed Mean CPI %qtr	0.8	0.8	0.9	0.9	0.7	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.6	3.5	3.5	3.3	3.3	3.1	2.9	3.3	3.5	2.9	2.4
Current account $bn, qtr	–25.4	–27.2	–29.1	–33.8	–39.5	–42.0	–43.6	–43.7	–	–	–	–
% of GDP	–3.5	–3.7	–3.8	–4.4	–5.1	–5.4	–5.6	–5.6	–3.1	–4.4	–5.6	–5.2
Terms of trade %yr avg	–1.2	–0.6	–0.4	–0.3	–1.4	–1.9	–3.1	–3.7	–2.5	–0.3	–3.7	–1.2
Population growth %yr end	1.4	1.4	1.4	1.4	1.4	1.3	1.3	1.3	1.5	1.4	1.3	1.2

Calendar year changes are annual through–the–year percentage changes unless otherwise specified.
* Business investment, private and public demand are adjusted to exclude the effect of private sector purchases of public sector assets. ** Quarter–averages.

Macroeconomic variables – recent history

	2025		2026									
Monthly data	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct
CPI %yr	3.4	3.8	3.8	3.7	4.6	4.2	4.0	3.8	3.5	4.0	–	–
Employment '000 chg	–41.3	57.8	34.1	21.6	20.9	–37.6	35.7	78.3	–15.9	39.5	–	–
Unemployment rate %	4.3	4.1	4.1	4.3	4.3	4.5	4.4	4.4	4.5	4.6	–	–
Westpac–MI Consumer Sentiment	103.8	94.5	92.9	90.5	91.6	80.2	83.0	80.6	83.9	89.0	84.4	80.4
Household spending %mth	1.0	–0.4	0.3	0.3	1.7	–1.0	1.2	0.9	1.1	0.0	–	–
Dwelling approvals %mth	15.4	–15.5	–13.5	44.3	–13.4	1.3	–1.4	6.9	–1.9	–6.1	–	–
Private sector credit %mth	0.7	0.8	0.5	0.7	0.7	0.7	0.8	0.8	0.6	0.6	–	–
Trade in goods balance AUDbn	2.3	3.2	2.5	5.2	–2.1	1.3	–2.8	2.0	1.4	0.5	–	–

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New Zealand

Interest rate forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	3.23	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	4.00	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.99	5.00	5.00	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US	–20	–5	0	5	15	10	5	0	–5	–10
10 Year Spread to Aust	–33	–20	–15	–10	0	0	5	5	5	5

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
NZD vs										
USD	0.5590	0.56	0.58	0.61	0.63	0.64	0.64	0.64	0.65	0.65
JPY	88.41	88	89	93	96	96	96	96	96	95
EUR	0.5012	0.49	0.50	0.52	0.53	0.53	0.52	0.53	0.53	0.54
AUD	0.8022	0.79	0.81	0.84	0.86	0.87	0.88	0.89	0.89	0.90
CAD	0.7961	0.78	0.79	0.83	0.85	0.85	0.85	0.85	0.85	0.86
GBP	0.4238	0.42	0.43	0.45	0.46	0.46	0.46	0.46	0.46	0.46
CNY	3.7444	3.75	3.83	3.97	4.06	4.07	4.06	4.09	4.08	4.10

Sources: Bloomberg, Westpac Economics.

Activity forecasts

	2026				2027				Calendar years			
% change	**Q1**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**2025**	**2026f**	**2027f**	**2028f**
Private consumption	0.6	0.0	0.5	0.6	0.7	0.9	1.0	1.0	1.0	1.3	2.9	3.9
Government consumption	0.9	–1.7	0.3	0.3	0.3	0.3	0.6	0.5	2.4	2.3	0.9	2.2
Residential investment	–1.6	4.4	3.0	3.5	3.5	2.5	2.0	1.8	–5.3	5.4	12.5	5.5
Business investment	4.2	0.3	0.8	1.5	1.6	1.4	1.1	0.9	0.5	4.6	5.1	4.1
Stocks (ppt contribution)	0.0	–0.4	0.3	0.0	0.2	0.0	0.1	–0.1	–0.1	0.4	0.3	–0.1
GNE	1.1	–0.4	0.9	0.9	1.1	0.9	1.0	0.9	0.7	2.8	3.6	3.6
Exports	2.2	3.3	–0.4	0.0	0.8	0.8	0.8	0.7	4.3	5.7	2.8	2.7
Imports	3.3	–0.8	0.3	0.5	1.3	2.3	2.1	1.4	3.7	5.3	4.3	4.8
GDP (production)	0.9	0.2	0.6	0.7	0.9	0.5	0.6	0.7	0.3	2.4	2.6	3.0
Employment annual %	0.5	1.2	1.7	1.8	2.2	2.3	2.4	2.5	0.2	1.8	2.5	2.4
Unemployment rate % s.a.	5.4	5.6	5.5	5.5	5.4	5.3	5.2	5.0	5.4	5.5	5.0	4.4
LCI, all sect incl o/t, ann %	2.0	2.0	2.2	2.3	2.4	2.3	2.3	2.3	2.0	2.3	2.3	2.4
CPI annual %	3.1	4.1	3.7	4.3	3.9	2.7	2.6	1.6	3.1	4.3	1.6	1.9
Current account % of GDP	–3.0	–3.2	–3.8	–4.3	–4.5	–4.7	–4.9	–4.6	–3.0	–4.3	–4.6	–4.1
Terms of trade annual %	1.9	–6.1	–5.9	–9.3	–4.5	1.5	2.8	8.1	3.3	–9.3	8.1	2.9

Sources: Statistics NZ, Westpac Economics.

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Commodity prices

Quarter average	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Australian commodities index#	423	423	403	373	359	350	346	345	345	345
Bulk commodities index#	**401**	**386**	**357**	**333**	**328**	**328**	**330**	**332**	**334**	**336**
iron ore finesTSI @ 62% US$/t	92	95	88	84	83	83	84	85	85	86
Premium low vol met coal (US$/t)	266	250	225	203	195	191	192	193	194	196
Newcastle spot thermal coal (US$/t)	150	130	122	116	116	116	116	117	117	118
crude oil (US$/bbl) Brent	103	101	91	84	83	77	76	74	73	71
LNG in Japan US$mmbtu	25.9	24.5	23.5	19.0	16.0	14.0	12.8	12.4	12.0	11.7
gold (US$/oz)	4,149	4,350	4,250	4,100	4,050	4,000	4,010	4,040	4,070	4,090
Base metals index#	**271**	**275**	**264**	**254**	**250**	**248**	**245**	**243**	**241**	**240**
copper (US$/t)	14,535	14,750	13,800	13,100	12,970	12,900	12,850	12,820	12,790	12,770
aluminium (US$/t)	3,090	3,250	3,200	3,110	3,060	3,010	2,950	2,910	2,870	2,840
nickel (US$/t)	15,494	16,250	16,590	16,860	16,980	17,060	17,150	17,230	17,320	17,410
zinc (US$/t)	3,813	3,910	3,830	3,640	3,450	3,320	3,190	3,110	3,050	3,010
lead (US$/t)	1,845	1,870	1,880	1,890	1,910	1,920	1,890	1,870	1,860	1,850
Rural commodities index#	**152**	**153**	**151**	**147**	**142**	**138**	**137**	**135**	**133**	**132**
NZ commodities index ##	**390**	**392**	**397**	**398**	**400**	**402**	**403**	**403**	**404**	**405**
dairy price index ##	319	324	329	331	334	339	342	344	345	347
whole milk powder USD/t	3,605	3,650	3,730	3,780	3,830	3,880	3,920	3,960	4,000	4,040
skim milk powder USD/t	3,847	3,770	3,640	3,540	3,530	3,580	3,620	3,660	3,690	3,730
lamb price index ##	686	681	678	674	670	666	660	652	644	636
beef price index ##	397	402	416	417	417	417	415	413	410	408
forestry price index ##	168	159	160	160	160	161	161	162	163	164

	levels				% change			
Annual averages	**2025**	**2026(f)**	**2027(f)**	**2028(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
Australian commodities index#	**324**	**411**	**372**	**345**	**4.1**	**27.0**	**–9.6**	**–7.1**
Bulk commodities index#	**378**	**396**	**337**	**333**	**–12.7**	**4.9**	**–15.1**	**–1.1**
iron ore finesTSI @ 62% US$/t	102	101	85	85	–6.8	–0.4	–16.6	0.3
Premium low vol met coal (US$/t)	189	241	203	194	–22.5	28.0	–15.8	–4.6
Newcastle spot thermal coal (US$/t)	106	131	117	117	–21.6	22.8	–10.0	–0.4
crude oil (US$/bbl) Brent	68	91	84	73	–14.6	32.8	–7.9	–12.2
LNG in Japan US$mmbtu	12.3	19.4	18.1	12.2	3.1	57.9	–6.5	–32.4
gold (US$/oz)	3,440	4,500	4,100	4,050	43.9	30.8	–8.9	–1.2
Base metals index#	**208**	**265**	**254**	**242**	**3.0**	**27.4**	**–4.2**	**–4.7**
copper (US$/t)	9,960	13,770	13,190	12,810	8.6	38.3	–4.2	–2.9
aluminium (US$/t)	2,630	3,310	3,100	2,890	8.2	25.9	–6.3	–6.8
nickel (US$/t)	15,200	17,100	16,870	17,280	–9.9	12.5	–1.3	2.4
zinc (US$/t)	2,860	3,610	3,560	3,090	2.5	26.2	–1.4	–13.2
lead (US$/t)	1,970	1,910	1,900	1,870	–5.3	–3.0	–0.5	–1.6
Rural commodities index#	**138**	**147**	**144**	**134**	**8.3**	**6.4**	**–1.9**	**–6.9**
NZ commodities index ##	**390**	**396**	**399**	**404**	**9.2**	**1.5**	**0.8**	**1.1**
dairy price index ##	348	327	333	344	9.7	–6.2	2.1	3.3
whole milk powder USD/t	3902	3623	3804	3982	13.5	–7.1	5.0	4.7
skim milk powder USD/t	2702	3399	3572	3676	0.7	25.8	5.1	2.9
lamb price index ##	587	671	672	648	27.0	14.4	0.1	–3.6
beef price index ##	337	424	416	411	19.1	25.6	–1.7	–1.2
forestry price index ##	152	160	160	162	–4.9	5.5	0.1	1.4

Chain weighted index: weights are Australian export shares. * Australian export prices fob – ABS 5432.0 Merchandise Trade Exports. ** WCFI – Westpac commodities futures index. *** Latest figures are weekly averages. ^ AWEX market prices. Sources for all tables: Westpac Economics, Bloomberg ##ANZ NZ commodity price index ^^ GlobalDairyTrade

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United States

Interest rate forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Fed Funds*	3.875	4.125	4.125	4.125	4.125	4.125	3.875	3.625	3.625	3.625
10 Year Bond	5.19	5.05	5.00	4.95	4.90	4.95	5.00	5.05	5.10	5.15

Sources: Bloomberg, Westpac Economics. * +12.5bps from the Fed Funds lower bound (overnight reverse repo rate).

Currency forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
USD vs										
DXY index	102.55	100.4	98.9	97.5	96.0	95.2	94.3	94.1	94.6	94.5
JPY	158.20	156	154	153	152	151	150	149	148	146
EUR	1.1155	1.14	1.16	1.18	1.20	1.21	1.22	1.22	1.21	1.21
AUD	0.6969	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD	0.5590	0.56	0.58	0.61	0.63	0.64	0.64	0.64	0.65	0.65
CAD	1.4245	1.38	1.37	1.36	1.35	1.34	1.33	1.32	1.32	1.32
GBP	1.3190	1.34	1.35	1.36	1.38	1.39	1.40	1.41	1.41	1.40
CHF	0.8344	0.81	0.79	0.77	0.76	0.75	0.75	0.75	0.75	0.75
ZAR	16.60	16.4	16.3	16.2	16.2	16.2	16.4	16.4	16.4	16.4
SGD	1.2850	1.27	1.27	1.26	1.26	1.25	1.25	1.25	1.25	1.25
HKD	7.8487	7.83	7.82	7.81	7.80	7.79	7.78	7.77	7.76	7.75
PHP	62.87	62.0	61.5	61.0	60.5	60.0	59.5	59.0	58.5	58.5
THB	33.61	33.0	32.5	32.0	31.5	31.0	30.5	30.2	30.0	30.0
MYR	4.0833	4.05	4.00	3.95	3.90	3.85	3.85	3.80	3.80	3.80
CNY	6.6961	6.65	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
IDR	17903	17600	17400	17200	17000	16800	16600	16400	16200	16200
TWD	32.17	31.5	31.0	30.5	30.0	29.5	29.0	28.5	28.2	28.2
KRW	1342	1340	1335	1330	1325	1320	1315	1310	1305	1305
INR	95.16	95.0	94.0	93.0	92.0	91.0	90.0	89.0	88.0	87.0

Activity forecasts

	2026				2027				Calendar years			
% annualised, s/adj	**Q1**	**Q2**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
Private consumption	0.7	3.8	2.1	1.6	1.7	1.7	2.1	2.1	2.6	2.2	1.9	2.0
Dwelling investment	–7.6	2.8	0.0	0.8	0.8	1.2	1.6	2.0	–2.2	–3.3	1.0	2.0
Business investment	9.9	9.0	7.0	6.5	5.0	4.6	4.7	4.7	5.4	6.8	5.6	4.7
Public demand	4.7	–0.1	0.4	0.4	0.4	0.4	0.4	0.4	1.6	0.5	0.4	0.4
Domestic final demand	2.4	3.9	2.5	2.1	2.0	2.0	2.2	2.2	2.7	2.4	2.2	2.2
Inventories contribution ppt	–0.8	–0.1	0.2	0.2	0.2	0.3	0.0	0.0	–0.2	0.2	0.0	0.1
Net exports contribution ppt	1.4	–0.2	–0.6	–0.6	–0.7	–0.5	–0.5	–0.5	0.3	–0.6	–0.5	–0.5
GDP	2.5	2.2	3.1	1.9	1.6	1.7	1.8	1.8	2.3	2.3	1.9	1.9
%yr annual chg	2.6	2.2	2.0	2.4	2.2	2.1	1.7	1.7	–	–	–	–

Other macroeconomic variables

Non–farm payrolls mth avg	43	97	43	90	80	90	100	105	26	68	94	115
Unemployment rate %	4.3	4.3	4.1	4.3	4.3	4.4	4.5	4.5	4.3	4.2	4.4	4.5
CPI headline %yr	2.7	3.9	3.5	3.2	2.9	2.3	2.3	2.2	2.7	3.4	2.4	2.2
PCE deflator, core %yr	3.1	3.3	3.1	3.0	2.7	2.4	2.3	2.2	2.8	3.1	2.4	2.2

Sources: Official agencies, Factset, Westpac Economics.

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Europe & the United Kingdom

Interest rate forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Euro Area										
ECB Deposit Rate	2.50	2.75	2.75	2.75	2.75	2.75	2.50	2.25	2.25	2.25
10 Year Bund	3.47	3.45	3.40	3.35	3.30	3.25	3.25	3.25	3.25	3.25
10 Year Spread to US	–172	–160	–160	–160	–160	–170	–175	–180	–185	–190
United Kingdom										
BoE Bank Rate	3.75	4.00	4.00	4.00	4.00	3.75	3.50	3.25	3.25	3.25
10 Year Gilt	5.42	5.35	5.25	5.15	5.05	5.00	5.00	5.00	5.00	5.00
10 Year Spread to US	24	30	25	20	15	5	0	–5	–10	–15

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
euro vs										
USD	1.1155	1.14	1.16	1.18	1.20	1.21	1.22	1.22	1.21	1.21
JPY	176.47	178	179	181	182	183	183	182	179	177
GBP	0.8457	0.85	0.86	0.87	0.87	0.87	0.87	0.87	0.86	0.86
CHF	0.9308	0.92	0.92	0.91	0.91	0.91	0.91	0.91	0.90	0.90
DKK	7.4753	7.48	7.48	7.48	7.48	7.48	7.48	7.48	7.48	7.48
SEK	11.19	11.3	11.4	11.5	11.6	11.7	11.7	11.7	11.8	11.8
NOK	10.62	10.7	10.8	10.9	11.0	11.1	11.1	11.1	11.2	11.2
sterling vs										
USD	1.3190	1.34	1.35	1.36	1.38	1.39	1.40	1.41	1.41	1.40
JPY	208.65	209	208	208	210	210	210	210	209	204
CHF	1.1006	1.09	1.07	1.05	1.05	1.04	1.04	1.05	1.05	1.05
AUD	0.5283	0.53	0.53	0.54	0.53	0.53	0.52	0.51	0.51	0.52

Sources: Bloomberg, Westpac Economics.

Activity forecasts

Annual average % chg	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
Euro area GDP	3.7	0.5	1.1	1.3	0.9	1.2	1.5
private consumption	5.3	0.7	1.5	1.4	1.0	1.1	1.4
fixed investment	2.4	2.8	–2.0	2.9	0.7	1.7	2.3
government consumption	1.2	1.2	2.7	1.5	2.0	2.0	2.0
net exports contribution ppt	–0.1	0.3	0.3	–0.6	0.1	0.1	–0.3
Germany GDP	2.0	–0.8	0.0	0.3	1.0	1.2	1.7
France GDP	2.8	1.8	1.4	0.9	0.4	0.8	1.2
Italy GDP	5.0	1.0	0.6	0.7	0.9	0.7	1.0
Spain GDP	6.4	2.5	3.5	2.8	2.5	2.0	2.1
Netherlands GDP	5.0	–0.6	1.1	1.6	1.3	1.2	1.6
United Kingdom GDP	5.1	0.3	1.0	1.4	1.2	1.0	1.5

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Asia

China activity forecasts

Calendar years	2021	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
Real GDP	8.6	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Consumer prices %yr	1.5	1.8	–0.3	0.1	0.1	1.2	1.3	1.4
Producer prices %yr	10.3	–0.7	–2.7	–2.3	–2.6	2.2	1.2	1.5
Industrial production (IVA)	9.6	3.6	4.6	5.8	5.9	5.3	5.0	4.8
Retail sales	12.5	–0.2	7.2	3.5	3.7	1.6	3.4	4.0
Money supply M2 %yr	9.0	11.8	9.7	7.3	8.0	7.8	7.6	7.4
Fixed asset investment	4.9	5.1	3.0	3.2	–1.4	–4.0	4.0	4.5
Exports %yr	20.9	–9.9	–2.3	10.7	5.4	17.0	7.0	5.0
Imports %yr	19.5	–7.5	0.2	0.9	0.3	21.0	6.0	4.0

Source: Macrobond, Bloomberg. Year–to–date growth unless otherwise noted.

Chinese interest rates & monetary policy

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Required reserve ratio %*	9.00	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50
Loan Prime Rate, 1–year	3.00	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80

* For major banks.

Japanese interest rates & monetary policy

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Policy Rate	1.25	1.50	1.50	1.50	1.50	1.50	1.50	1.50	1.50	1.50
10 Year Bond Yield	3.00	2.90	2.85	2.80	2.75	2.70	2.65	2.60	2.55	2.50

Currency forecasts

	Latest (15 Oct)	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
JPY	158.20	156	154	153	152	151	150	149	148	146
SGD	1.2850	1.27	1.27	1.26	1.26	1.25	1.25	1.25	1.25	1.25
HKD	7.8487	7.83	7.82	7.81	7.80	7.79	7.78	7.77	7.76	7.75
PHP	62.87	62.0	61.5	61.0	60.5	60.0	59.50	59.00	58.50	58.50
THB	33.61	33.0	32.5	32.0	31.5	31.0	30.5	30.2	30.0	30.0
MYR	4.0833	4.05	4.00	3.95	3.90	3.85	3.85	3.80	3.80	3.80
CNY	6.6961	6.65	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
IDR	17903	17600	17400	17200	17000	16800	16600	16400	16200	16200
TWD	32.17	31.5	31.0	30.5	30.0	29.5	29.0	28.5	28.2	28.2
KRW	1342	1340	1335	1330	1325	1320	1315	1310	1305	1305
INR	95.16	95.0	94.0	93.0	92.0	91.0	90.0	89.0	88.0	87.0

Source: Bloomberg, Westpac Economics.

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Worldwide

Economic growth forecasts (year average)

Real GDP %ann	2021	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
World	**6.7**	**3.8**	**3.3**	**3.4**	**3.4**	**3.4**	**3.3**	**3.3**
United States	6.2	2.5	2.9	2.8	2.1	2.3	1.9	1.9
Japan	3.6	1.3	0.7	–0.2	1.1	0.7	0.8	0.9
Euro zone	6.4	3.7	0.5	0.9	1.3	0.9	1.2	1.5
Group of 3	**5.9**	**2.8**	**1.8**	**1.7**	**1.7**	**1.6**	**1.5**	**1.6**
United Kingdom	8.5	5.1	0.3	1.0	1.3	1.2	1.0	1.5
Canada	6.0	4.7	2.0	2.0	1.9	0.9	1.6	1.8
Australia	5.4	4.2	2.1	1.0	2.0	2.1	1.5	2.1
New Zealand	5.5	2.6	2.2	–0.3	0.3	1.9	2.6	3.2
OECD total	**6.2**	**3.2**	**1.9**	**1.8**	**1.7**	**1.7**	**1.5**	**1.7**
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Korea	4.6	2.7	1.6	2.0	1.0	3.5	2.5	2.2
Taiwan	6.7	2.7	1.1	5.3	8.8	11.0	5.0	4.0
Hong Kong	6.5	–3.7	3.2	2.6	3.6	4.0	3.0	2.6
Singapore	10.1	4.0	1.5	5.3	5.0	5.0	3.0	2.5
Indonesia	3.7	5.3	5.0	5.0	5.1	5.2	5.2	5.2
Thailand	1.6	2.7	2.2	2.9	2.4	2.1	2.1	2.2
Malaysia	3.3	9.0	3.5	5.1	5.2	5.0	4.8	4.6
Philippines	5.7	7.6	5.5	5.7	4.4	3.1	4.5	5.0
Vietnam	2.6	8.5	5.1	7.0	8.0	8.1	7.8	7.5
East Asia	**7.1**	**3.6**	**4.7**	**4.8**	**4.9**	**4.9**	**4.5**	**4.4**
East Asia ex China	4.4	4.6	3.4	4.5	4.7	5.4	4.4	4.2
NIEs*	**6.1**	**2.3**	**1.6**	**3.4**	**4.1**	**6.1**	**3.4**	**2.9**
India	9.7	7.6	7.2	7.1	7.6	7.1	7.0	6.6
Russia	5.9	–1.4	4.1	4.9	1.0	0.6	0.9	1.1
Brazil	4.8	3.0	3.2	3.4	2.3	1.9	1.9	2.1
South Africa	4.9	2.1	0.8	0.5	1.1	1.0	1.3	1.5
Mexico	6.0	3.7	3.1	1.4	0.6	1.6	2.2	2.1
Argentina	10.4	6.0	–1.9	–1.3	4.4	3.5	4.0	3.8
Chile	11.3	2.2	0.5	2.6	2.3	2.4	2.6	2.3
Middle East	2.8	2.8	2.8	2.9	2.9	2.9	2.9	2.9
C & E Europe	9.1	4.3	3.0	3.2	3.0	3.1	3.5	3.7
Africa	3.9	4.4	3.8	4.2	4.5	4.3	4.4	4.5
Emerging ex–East Asia	**6.8**	3.7	**3.7**	**4.7**	**4.4**	**4.2**	**4.3**	**4.3**
Other countries	**6.7**	**5.2**	**4.9**	**2.0**	**2.3**	**2.8**	**3.0**	**3.1**
World	**6.7**	**3.8**	**3.3**	**3.4**	**3.4**	**3.4**	**3.3**	**3.3**

#Regional and global groupings are weighted using PPP exchange rates updated to reflect ICP 2011 benchmark revisions.* "NIEs" signifies "Newly Industrialised Economies" as defined by the IMF, viz; Republic of Korea, Hong Kong SAR, Taiwan Province of China, and Singapore.

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First Impressions: RBNZ Monetary Policy Review October 2026

#rbnz #newzealand

By Kelly Eckhold & Westpac New Zealand Economics

12:30 October 28 2026

Share

The RBNZ left the OCR unchanged at 2.75% (in contrast to market expectation for a hike, including ourselves).

The MPC has stuck to its strategy of pausing to assess the impact of tightening already done. There is a clear split among the MPC members on where the risks lie although it seems clear enough that higher interest rates are in the future the data evolves as the Committee expects. Key factors to focus on are data on inflation expectations, the global economy (and potential downside risks there) and the

path of fuel prices. We expect a 25 bp increase in the OCR in December to 3% and are reverting to the OCR profile we had up until mid last week. We don't think the December hike is a done deal as the data will inform the next move. We will revert with more detail after the press conference.

Key takeouts from the minutes below.

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Key takeouts

Category	2 September 2026 meeting	28 October 2026 meeting
The next policy decision	Future policy decisions will depend on the Committee's judgement of the balance of risks to medium-term inflation.	Members discussed that information arriving over the next six weeks could meaningfully change the appropriate policy stance in either direction.
	Conditional on the central economic outlook, members judged that the OCR may need to increase further.	All members agreed that tighter monetary policy is likely to be required, but remains conditional on the economic outlook.
	However, the future OCR path is not pre-determined.	
The medium term direction for the OCR	The Committee judges that gradually removing monetary stimulus is appropriate to return inflation to the 2 percent target mid-point while supporting growth and employment.	Further OCR increases likely, but are conditional on the outlook

Category	2 September 2026 meeting	28 October 2026 meeting
	All members agreed that gradually removing monetary stimulus is consistent with achieving the medium-term inflation target, conditional on the outlook.	If domestic pricing pressures fail to moderate sufficiently or broaden beyond what costs and normal pass-through can explain, this could warrant further tightening.
	Conditional on the central economic outlook, members judged that the OCR may need to increase further.	On the other hand, subdued pricing pressures could require holding at future meetings.
		And if the global economy turns sharply down, materially weakening demand and the inflation outlook, this could alter the desired stance, including leading to monetary easing.
The neutral OCR		The Committee acknowledged that the neutral interest rate has a wide range of plausible estimates.
		Members noted that the increase in global long-term yields may partly signal a higher global neutral interest rate, due to higher inflation expectations, war destruction and demand for capital to support AI investment.
		Higher global interest rates could bring forward a potential global downturn, and the neutral interest rate could decline rapidly in the event of an abrupt global adjustment.

Category	2 September 2026 meeting	28 October 2026 meeting
The strength of economic activity	After lacklustre growth in the June quarter, New Zealand's economic recovery has most likely resumed but remains uneven.	The New Zealand economy continues to recover, although conditions remain uneven.
	The recovery is expected to strengthen and broaden.	The Committee noted that GDP growth was more than expected through the first half of 2026.
	The Committee assessed that growth was lacklustre in the second quarter of 2026.	Business survey measures point to continued expansion in economic activity.
	The economic recovery is expected to have resumed in the third quarter, while remaining uneven across sectors and regions.	Household consumption has been weak and the aggregate saving rate is estimated to be 3.7 percent, above the 10-year average of 1 percent.
The global economic outlook	The global economy is facing significant risks that could affect commodity prices and demand for exports.	Global growth has been resilient but is increasingly fragile given geopolitical tensions, high energy prices, financial stresses, and surging AI-related investment.
	Despite recent geopolitical events, economic growth in New Zealand’s trading partners has remained resilient and the outlook has improved.	The Committee assessed that there are significant risks to the global economic outlook.

Category	2 September 2026 meeting	28 October 2026 meeting
	Although risks to the global economy remain heightened, the Committee expects global economic conditions to remain favourable for New Zealand’s export facing businesses over the medium term.	The Committee noted that a global downturn could occur abruptly.
The labour market	Conditions in the labour market should improve as the recovery gathers pace.	Employment growth remains subdued and higher prices will further reduce real incomes and purchasing power.
	Employment growth has not been sufficient to fully absorb new entrants into the labour market and unemployment is elevated, particularly in Auckland and Wellington and for youth and the long-term unemployed.	Employment intentions remain weak, pointing to continued slow recovery in the labour market.
	The labour market is expected to slowly improve, with employment growing and unemployment falling as the economy recovers.	To date, wage growth has been subdued, and medium-term inflation expectations have remained stable.
	On balance, the Committee assesses that spare capacity remains in the economy, particularly in the labour market.	

Category	2 September 2026 meeting	28 October 2026 meeting
The short term inflation outlook	Inflation increased to 4.1 percent in the June quarter because of higher fuel prices arising from the conflict in the Middle East.	Annual inflation is expected to increase to 4.4 percent in the December quarter, largely reflecting current futures prices for fuel.
	The Committee expects inflation to remain elevated this year before returning to the target band by mid-2027 and reaching the 2 percent mid-point later next year.	Near-term inflation forecasts are uncertain given volatility in prices for oil and refined fuels.
		Direct effects of higher fuel prices will drop out of the annual inflation calculation in late 2027 if prices for refined petroleum products stabilise or fall.
The medium term inflation outlook	Core inflation, expected wage growth, and inflation expectations remain consistent with inflation returning to the 1 to 3 percent target band by mid-2027 and the 2 percent target midpoint later next year.	The Committee is focused on returning inflation to the 2 percent target mid-point over the medium term, discounting temporary disturbances to inflation and avoiding unnecessary economic instability.
	Longer-term inflation expectations remain near 2 percent, while most measures of one and two-year-ahead inflation expectations have fallen since May.	Impacts on shortterm pricing behaviour appear to have been contained and medium-term inflation expectations remain well anchored.
	Currently, indicators of medium-term inflation are consistent with inflation returning to target.	But the longer inflation remains high, the greater the risk of higher costs feeding into inflation expectations and price- and wage-setting behaviour, making inflation more persistent.

Category	2 September 2026 meeting	28 October 2026 meeting
The balance of risks for economic growth and inflation	New Zealand’s economic recovery could be stronger or weaker than expected and price pressures could generate more persistent inflation.	New Zealand’s recovery could be stronger than expected but could also lose momentum if the global environment deteriorates or export strength does not flow through to jobs, incomes and household spending.
	Consumption growth could be subdued if employment and house price growth remain weak, or if precautionary behaviour persists.	There is a risk that inflation becomes entrenched before conventional expectations measures respond, despite the previous two OCR increases.
	Alternatively, consumption growth could be stronger and absorb spare capacity faster than currently anticipated.	In addition, the world economy could tip abruptly into a downturn causing weaker inflation over the medium term.
	All members agreed that downside risks to activity were significant and that the recovery could remain uneven.	It is also possible that geopolitical escalation could drive fuel prices higher while weakening global economic activity at the same time.
Key arguments advanced by more hawkish MPC members	Hayley Gourley, Karen Silk, Prasanna Gai and Anna Breman saw upside risks to inflation relative to the central projection.	Hayley Gourley, Paul Conway and Karen Silk favoured increasing the OCR by 25 basis points at this meeting.

Category	2 September 2026 meeting	28 October 2026 meeting
	These members observed that more persistence in energy and petrochemical prices could raise near-term inflation risks, impact price-setting behaviour, and lead to more sticky inflation over the medium term.	These members emphasised that core inflation has been above levels consistent with headline inflation at the target mid-point for some time.
	Price-setting can be a front-loaded process, meaning businesses could raise domestic prices more than import costs warrant.	This increases the risk of inflation becoming entrenched in price-setting behaviour as the conflict and its consequences endure, including through higher freight and shipping costs.
	These factors increase the risk that monetary policy needs to lean against broader inflation pressures.	Acting now would guard against sustained inflation pressures and potentially reduce the risk of needing to do more with interest rates later.
Key arguments advanced by more dovish MPC members in each meeting	Paul Conway and Carl Hansen saw risks to inflation as balanced.	Anna Breman, Carl Hansen, Rebecca Williams and Prasanna Gai favoured holding the OCR at this meeting as two recent OCR increases allow the Committee to take further time to assess their effects and economic developments.
	These members shared concerns that high inflation could become embedded through price-setting behaviour.	Actual inflation was lower than expected, reflecting smaller indirect effects of higher fuels prices, and medium-term inflation expectations and wage growth remain consistent with returning inflation to the target mid-point.

Category	2 September 2026 meeting	28 October 2026 meeting
	But weighed against this, they saw activity risks as skewed to the downside and noted that these could weigh on inflation.	These members emphasised the risk of a weak recovery, particularly in household consumption and investment.
	They highlighted the potential effects of weak house prices and precautionary behaviour, weakening growth in household spending.	They favoured pausing at this meeting to observe and assess demand and financial conditions.

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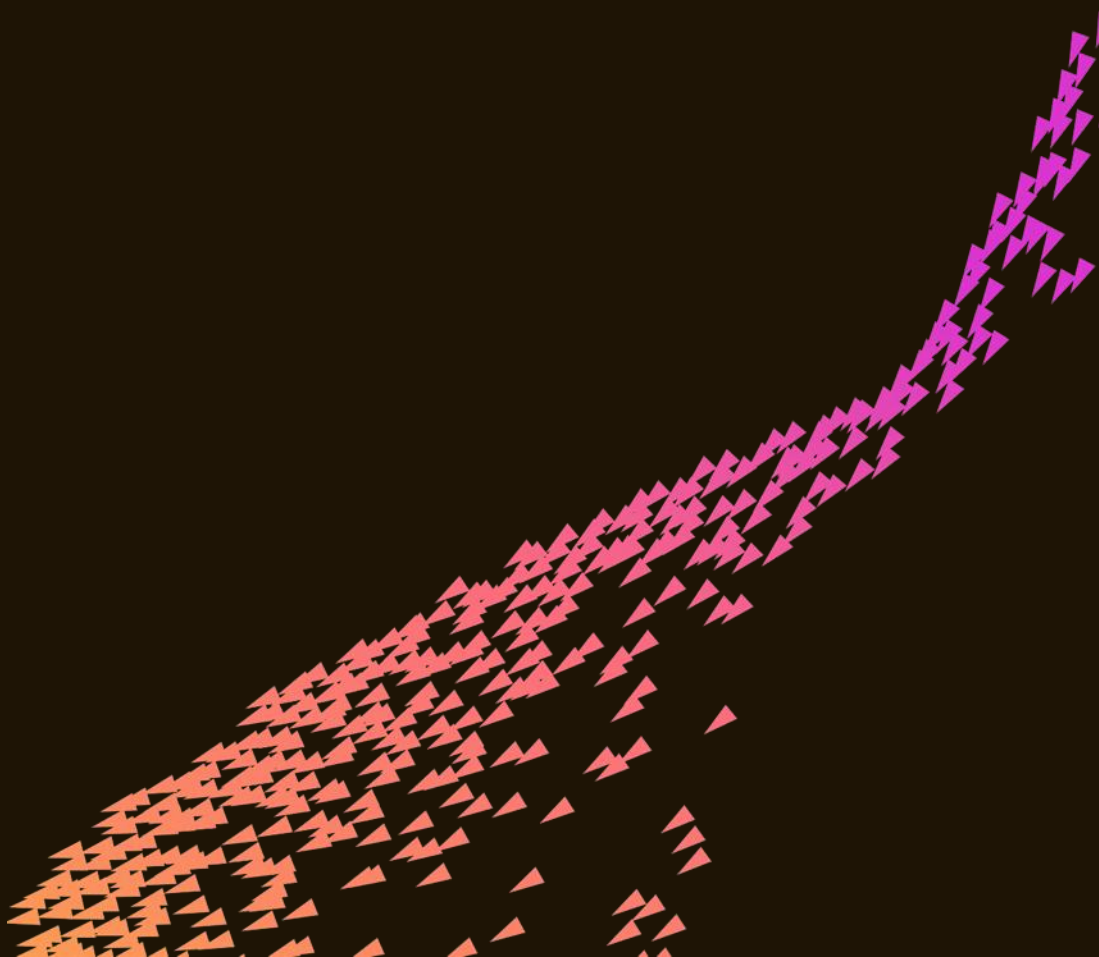
First Home Buyer Report

October 2026



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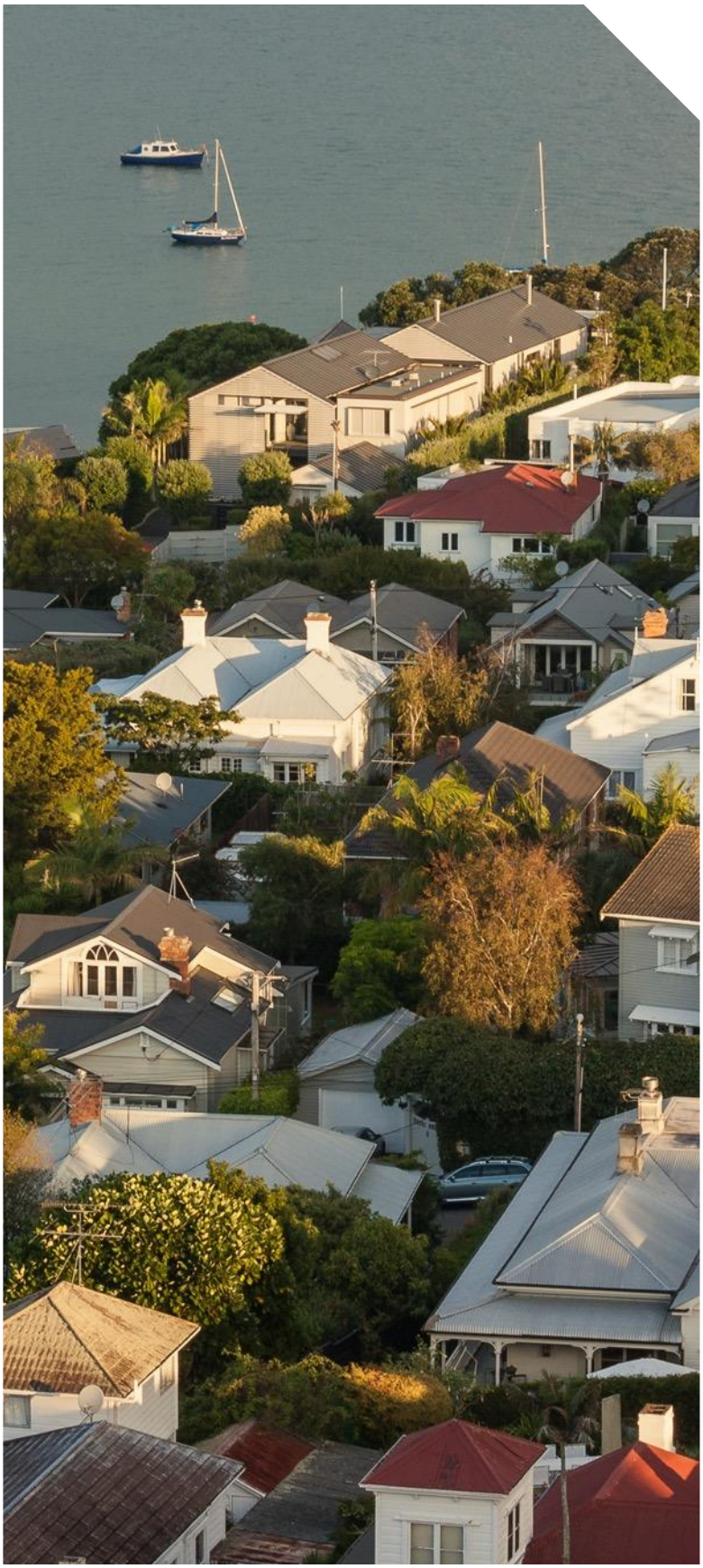
First Home Buyer Report

Cotality's First Home Buyer (FHB) Report has tracked purchasing activity for several years, analysing the types of properties bought, the prices paid, and broader shifts in entry-level demand. The latest edition updates these measures and extends the analysis to examine FHB activity across different price brackets.

Now in its fourth edition in partnership with Westpac, the report also draws on the bank's mortgage lending data to provide additional insight into borrower characteristics. That includes the average age of FHB borrowers, a measure not widely available elsewhere, as well as loan-to-value ratios across new mortgages.

For clarity, we define a first home buyer purchase to be where no party involved has owned property in New Zealand before and are using a mortgage to make the deal.

Note:
The Westpac FHB age and LVR data are sourced from their lending records and is not matched to the Cotality database for this report.



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First Home Buyer Report

Key findings

- **FHBs' market share remains at record high levels.** In Q3 2026, they accounted for 29.5% of property purchases across NZ, surpassing the previous mark of 28.3% only set three months earlier. The number of deals remains at historically high levels too, bucking the wider trend of slowing sales volumes for groups such as investors and relocating owner-occupiers.

- **This strength for FHBs is being seen right across the country,** with market shares generally running above their own long-term averages (since 2005). The wider Wellington area remains a hotspot for FHBs, accounting for 37% of activity so far in 2026. But FHBs have also been at least 30% of the market in Hamilton and Auckland, as well as Gisborne, Rotorua, Hastings, Palmerston North, and Invercargill – South Waikato and Waikato District too.

- **This high level of activity hasn't meant too many compromises either;** standalone houses have comprised 76% of all FHB purchases so far in 2026, up from 75% last year, and the highest figure since 2020 (78%). To be fair, FHBs have had to pay a little more, with a median price so far this year of $715,000, but still less than nearly $719,000 in 2022.

- **FHBs are more active across the value spectrum too.** For example, in the middle 40% of the market by value, their share rose from 21% in 2015 to 28% in 2025, and now about 30% so far this year.

- **Access to low deposit finance under the LVR rules remains a key support for first home buyers.** Recent Reserve Bank data shows that more than half of FHB loans are done at less than 20% deposit (or above 80% LVR), and Westpac's own lending records show a recent average LVR for FHBs of a touch more than 80%.

- **The average age for FHBs on Westpac's books has ticked higher lately, from around 35 late last year to about 35.5 now.** But rather than necessity due to affordability pressures, this is more likely to reflect a choice from many buyers to just wait for the right property without fear the market will run away again in the meantime.

- **Looking ahead, although it's never easy to get that first home, conditions should remain favourable for FHBs.** Mortgage rates remain lower than at many points in the past, KiwiSaver access for at least part of the deposit remains a strong support, and the banks remain willing and able to lend at low deposit/high LVR too.

- **This is clearly a 'good news story' which we should never get blasé or complacent about,** after so many previous years (even decades) of intense housing affordability pressures and a declining home ownership rate.

- As we head into November's election, the bottom line is that first home buyers are starting from a strong base.

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First Home Buyer Report

Commentary from Satish Ranchhod, Westpac NZ Senior Economist

It's been another solid few months for first home buyers with their share of house sales remaining around record highs across the country. That's a stark contrast to the softness in the broader housing market over the past year.

Helping to support those high levels of first home buyers have been a couple of big trends. The first is the large number of properties available for sale. That's meant those looking to get their foot on the property ladder have had plenty of options. As a result, first home buyers have often been able to get into newer and larger standalone homes without having to pay significantly more.

The other factor that has boosted first home buyer numbers has been the relatively low level of mortgage rates in recent years. Combined with broadly flat house prices, that's meant servicing a mortgage has been much more affordable, with the share of disposable income being spent on debt-servicing costs back around pre-pandemic averages. For the average first home buyer, lower mortgage interest rates in recent years shaved around $560 off their monthly mortgage payments compared to 2023 when interest rates were at their peak. And in Auckland, where first homes tend to be more expensive, the saving is around $685 a month.

While those are encouraging trends for first home buyers, there are some big changes in economic conditions occurring which are likely to have important implications for the housing market over the year ahead.

Most notable has been the sharp rise in inflation in the wake of the Middle East war, with oil prices rocketing higher since the start of this year. That contributed to consumer prices rising by 3.7% in the year to September. Relatively high core inflation levels mean we expect inflation will push above 4% before the end of this year and remain high for much of 2027.

In response to those mounting inflation pressures, and concerns that they will persist for some time, the RBNZ began lifting the Official Cash Rate (OCR) back in July. We expect further hikes in coming months. The resulting pressure on borrowing costs has seen mortgage rates push higher in recent months, with one- and two-year fixed rates up around 0.75 percentage points over the past year.

Even with the recent rise in mortgage rates, the housing market is still a lot more accessible for first home buyers than a few years ago. But with growing upward pressure on interest rates, it's a good time for prospective first home buyers (or anyone with a re-fix coming up) to think about the best way to structure their borrowing. That could help insulate them from the likely trend higher in the OCR over the next couple of years and could save them a lot of money over the life of their mortgage. There's a relatively modest difference between short- and longer-term fixed mortgage rates right now, which means the cost of taking this 'insurance' is not prohibitive.

Minimum monthly mortgage payments*

		Two year fixed mortgage rate		Fall in minimum monthly payment
		2023	Current	
	Median price Q3 2026	6.99%	5.29%	
Nationwide	$707,000	$4,382	$3,824	-$558
Auckland	$868,000	$5,380	$4,695	-$685
Wellington	$720,000	$4,463	$3,895	-$568
Christchurch	$650,000	$4,029	$3,516	-$513

(*Calculations based on a median price first home with an 80% mortgage fixed for two years and a term of 20 years.)

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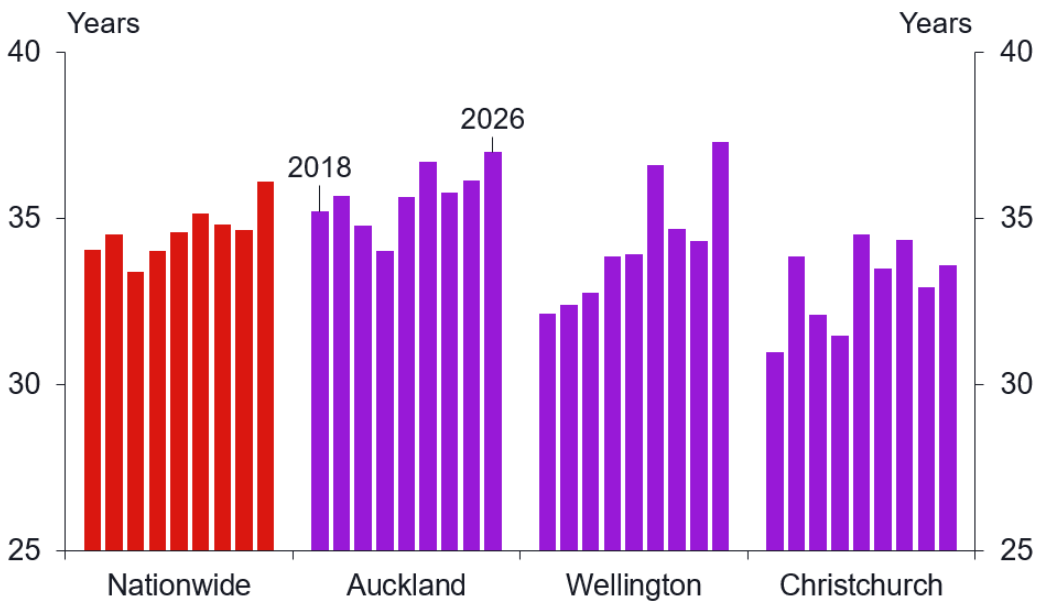
Providing some offset to the lift in borrowing costs, house price inflation is low, with effectively no growth in average house prices for three years now. And with mortgage rates pushing higher, prices are expected to remain soft for some time. We expect that average house prices will fall by 1.4% over 2026, with a rise of just 1.8% in 2027.

At the same time, the supply of housing is continuing to lift, with more than 40,000 new dwellings consented over the past year. We expect population growth to increase, but from low levels, which means the demand for housing might not be shifting sharply higher any time soon.

That combination of conditions means that there is still likely to be a lot of options for those looking to get into their first home over the coming year.

Average age of first home buyers from Westpac loans (2018 to 2026)



Source: Cotality, Westpac

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First Home Buyer Report

The national picture

Since our previous FHB Report back in May 2026, the wider housing market has remained subdued and patchy – generally sales volumes have been flat to falling, while property values have been showing a similarly soft picture, albeit not everywhere. Amongst the main centres, Auckland and Wellington, as examples, have been more sluggish than say Christchurch or Dunedin. It's also noteworthy that the stock of listings available for sale remains elevated across the country.

It's not difficult to find the reasons why the market remains in the doldrums. The economic backdrop is still uncertain, the unemployment rate is above average, and mortgage rates have been drifting higher in recent months as inflation fears remain strong. A better balance of physical housing supply versus our population is also dampening prices, while the election has been a recent reason for caution too. It's harder to measure, but 'animal spirits' aren't a key factor at the moment either.

FHBs have gone from strength to strength

In this purchaser-friendly environment, first home buyers have continued to take full advantage. The Cotality Buyer Classification data shows that their market share hit a new quarterly record high of 28.3% in Q2 2026, only to push higher still in Q3 – reaching 29.5%. They're also faring well in terms of the number of deals too, recently hovering at around 25,000 on a 12-month rolling basis, back to levels last seen (for a brief period) at the height of the post-COVID boom.

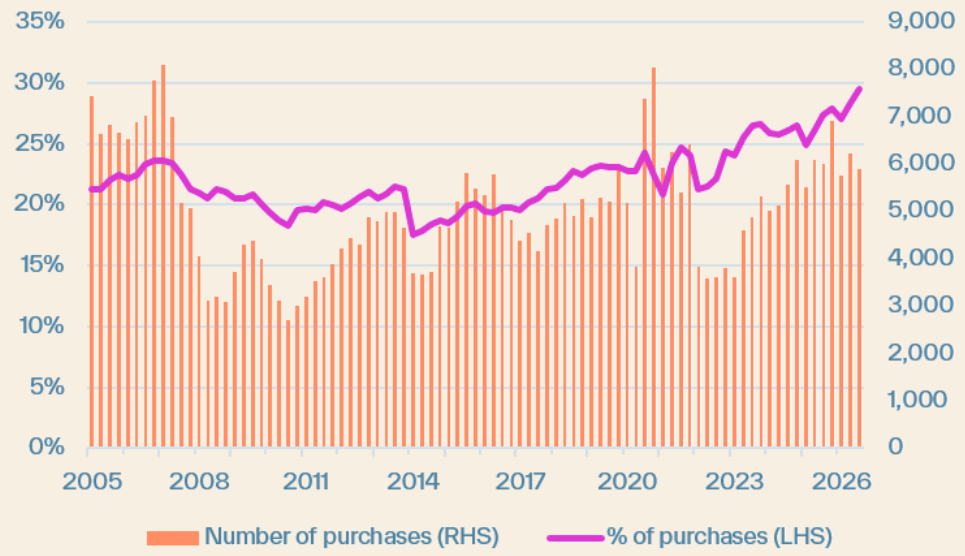
Clearly, lower property values – still down by more than 18% nationally from the peak – and improved housing affordability (even despite some recent rises in mortgage rates) are helping FHBs. But those aren't the only factors; access to (ever-growing) KiwiSaver pots for at least part of the deposit is also a factor, alongside decent availability of high LVR finance at the banks.

Indeed, the 25% allowance/speed limit to lend to owner-occupiers at less than 20% equity (or >80% LVR) is not being tested at the moment and recently more than half of FHB loans have been advanced at less than 20% deposit. **Westpac's own mortgage lending records show this in a different way – with the average LVR for their loans to FHBs in recent months still running a touch above 80%.** LVRs tend to be higher in Auckland, but a bit lower in Canterbury and Wellington.

They're also getting more for their money

FHBs have always tended to be willing to compromise on location or property type to make the shift from renting into ownership, but lately there hasn't been much need to take such an approach. **Over 2026 to date (Q3), standalone houses have comprised 76% of all FHB purchases, up from 75% last year, and well above 2023's cyclical trough of less than 70%.** For comparison, standalone houses have accounted for around 72% of deals across all buyers year to date.

National FHB activity



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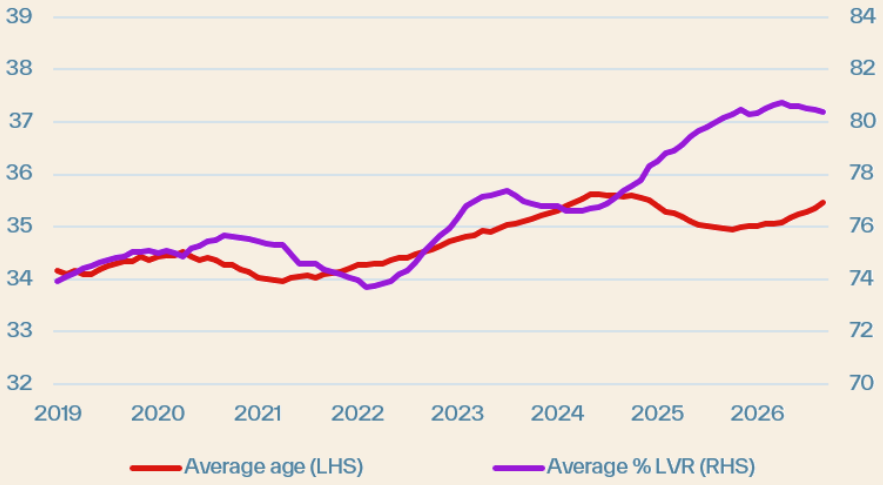
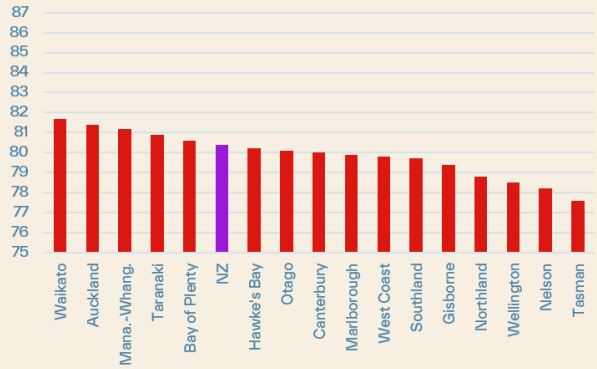
Average % LVR for Westpac FHB loans and average age of borrower (12-month rolling averages)

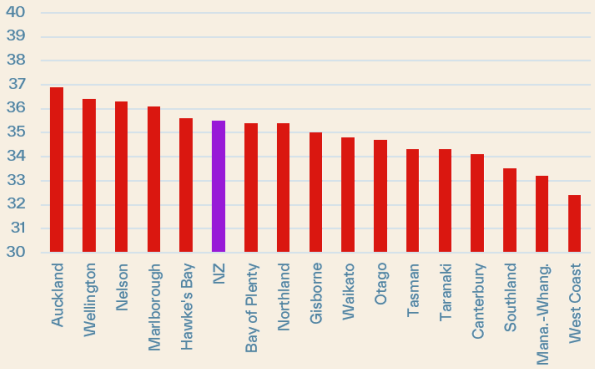
Source: Westpac



Regional % LVRs and average FHB age (12-month rolling averages)

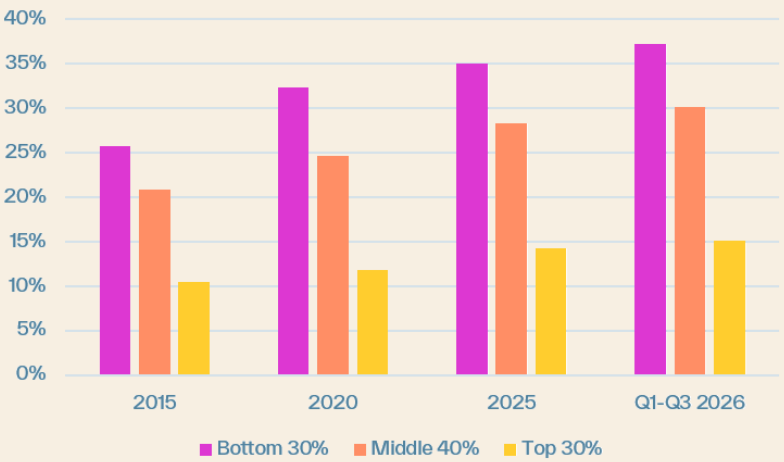
Source: Westpac





FHB % market share by price paid band

Source: Cotality



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This shows that FHBs are getting the most for their money in a quieter market. Admittedly, the median price they've paid so far this year has risen to $715,000, up from $701,000 in 2025 and also higher than the 2023 ($695,000) and 2024 figures ($692,000). But that latest price is still around $4,000 lower than in 2022, yet FHBs are still getting 'more house'.

Another important point to make is that FHBs don't always enter at the bottom of the housing ladder and work their way up – many actually enter well above the lowest tiers of the market. Indeed, the FHB median price paid of $715,000 this year is below the all-buyer figure of $785,000, but well above the all-buyer lower quartile (bottom 25%) of $595,000.

This point can be made another way too, with Cotality figures showing a rising share of activity for FHBs right across the price spectrum. Perhaps most notably, FHBs have accounted for 30% of purchases in the middle 40% price bracket of transactions so far this year, up from a 28% share in 2025, 25% in 2020, and only 21% in 2015. They've even accounted for 15% of activity so far this year in the top 30% of deals split by price.

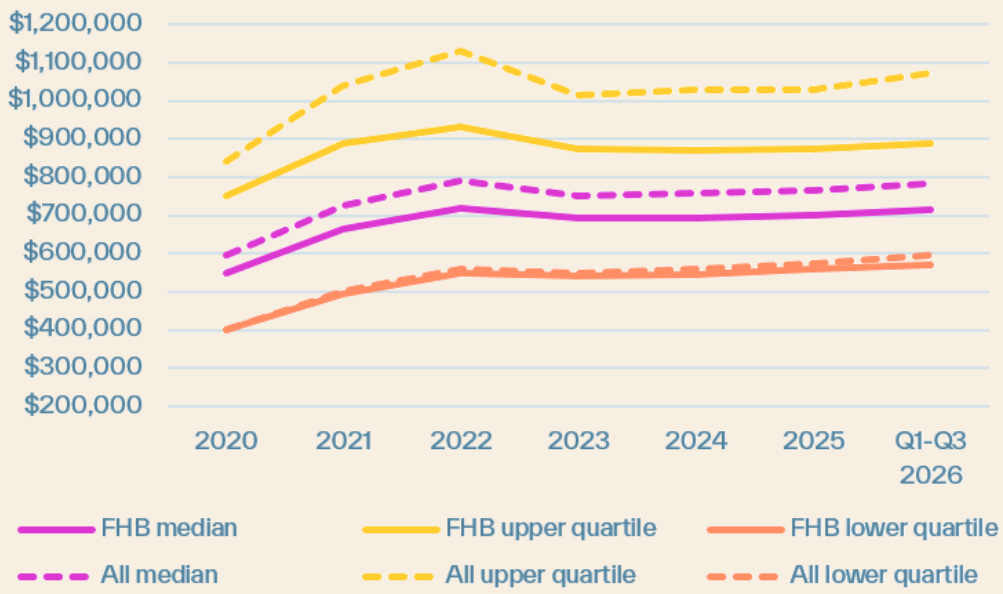
FHBs' average age has edged higher again, but probably just due to a lack of pressure

Meanwhile, at face value, Westpac's data showing that the average age of a FHB has recently edged back up to around 2024 levels of 35.5 again, after a trough of 35 late last year, could seem at odds with the other, more encouraging trends. But rather than being out of necessity (e.g. due to affordability pressures), this could reflect the abundance of listings and subdued house prices, meaning that **some/many FHBs might just be choosing to wait a bit longer to get their ideal property, without fear they'll be left behind by a rising market.**

A solid outlook

Overall, it's never easy to buy that first home and FHBs certainly continue to face challenges. But their presence has remained strong in recent months and, although nothing lasts forever, it's not hard to imagine that FHBs stay a solid presence into 2027 as well. This is a 'good news story' which we should never get blasé or complacent about, after so many previous years (decades) of intense housing affordability pressures and a declining home ownership rate.

Purchase price paid



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The main centres

Looking at the data across Auckland, Hamilton, Tauranga, wider Wellington (i.e. combined City, Lower Hutt, Upper Hutt, Porirua), Christchurch, and Dunedin, the national trends can also be seen at the more granular level – indeed, all of these areas have had FHB market shares lately that are above their own averages.

The wider Wellington area remains a standout for FHBs, where their share so far this year has been a touch above 37%, well in excess of their long-term average in that market of 30%. FHBs have also had a market share in 2026 above 30% in Hamilton and Auckland. The figures have been a little lower in Christchurch and Dunedin (both around 28%), as well as Tauranga (circa 25%), but in each of those markets the figures have still been 4-8%-points above their own averages.

Looking at the different property types, standalone houses still dominate in most areas, accounting for 85-90% of FHB purchases in Dunedin, Tauranga, and Hamilton – broadly in line with the long term norms in those areas. The share for houses amongst FHB purchases is always lower in Christchurch, Wellington, and Auckland, but it's perhaps the former that stands out most at present – with only 66% of FHB purchases so far in 2026 in Christchurch being standalone houses, versus the historical average of 75%. This no doubt reflects the recent townhouse construction upswing.

In each main centre, the median FHB price is lower than the figure for all buyers, but higher than the lower quartile for all buyers – in other words, FHBs don't always enter at the bottom. In terms of the prices themselves, Auckland is the main centre where FHBs pay the most, at a median of $880,000 so far in 2026, which is $110,000 less than the all-buyer median, but $110,000 more than the all-buyer lower quartile. Median FHB prices paid are $795,500 in Tauranga so far in 2026, followed by Wellington at $736,250, Hamilton $715,000, and lower still in Christchurch and Dunedin.

FHB % share of purchases

Source: Cotality

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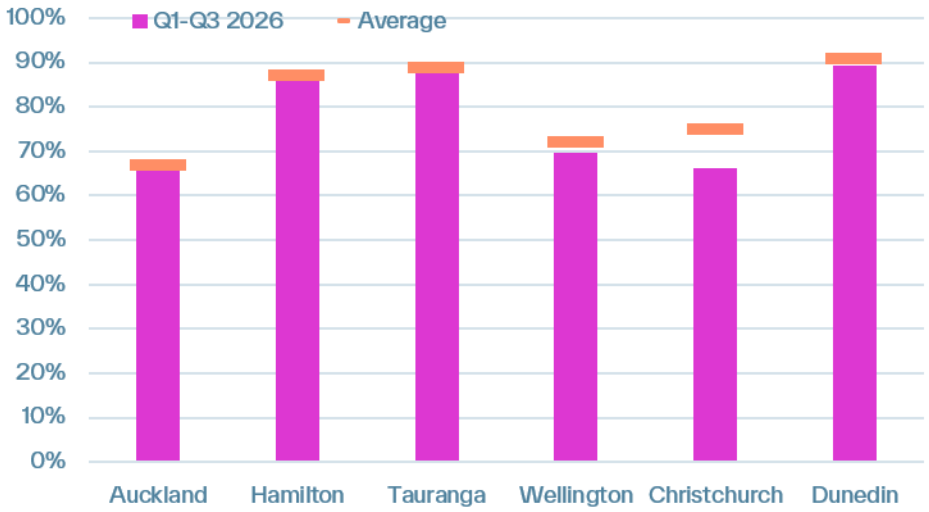
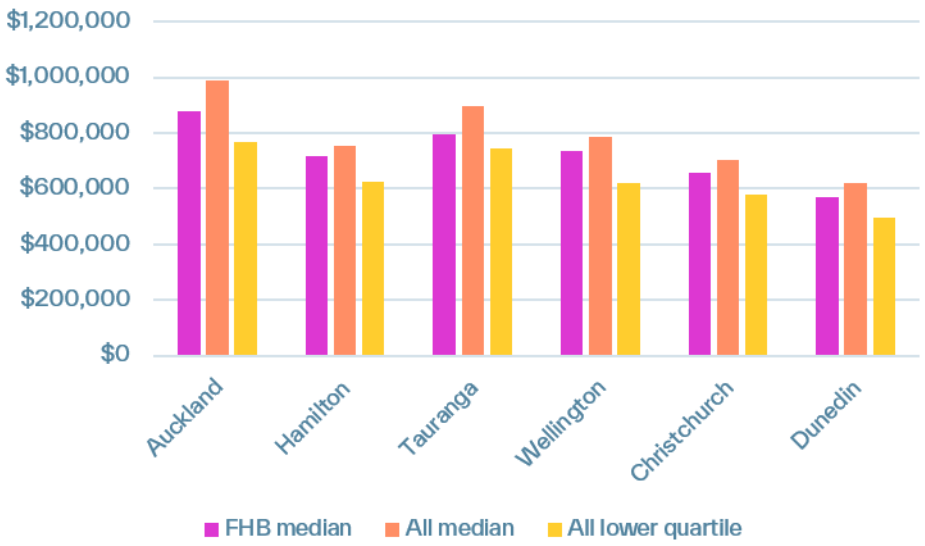
House % share of FHB purchases



Source: Cotality

Purchase price paid Q1-Q3 2026



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The main urban areas

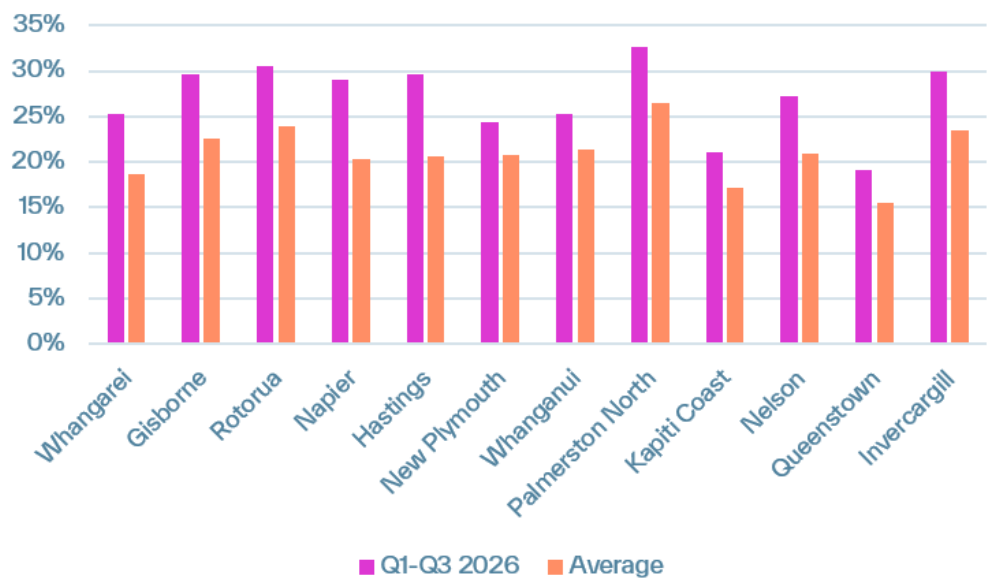
Digging deeper into the next 12 key centres around New Zealand, the story of relative strength for FHBs' market share has remained in place so far in 2026. Palmerston North stands out with 33% of transactions in the year to date going to FHBs (6%-points above its average), although Rotorua, Gisborne, Hastings, and Invercargill have also had FHB shares of 30% or more this year. Relative to their own averages, Napier and Hastings have been strongest, with figures 9%-points above normal.

But even in areas where FHBs have traditionally found conditions harder or have simply been less interested, there's still been relative strength this year. For example, Whangarei's share going to FHBs has been 25% in 2026 (versus average since 2005 of 19%), Kapiti Coast at 21% versus 17%, and Queenstown-Lakes at 19% versus 15%.

Standalone houses tend to be the dominant type of property amongst the existing dwelling stock in many provincial areas, and therefore also account for a high share of FHB purchases. So far this year, houses have been at least 90% of FHB purchases in Invercargill, Palmerston North, Whanganui, Rotorua, and Gisborne. It's been 80-89% in Nelson, Kapiti Coast, Hastings, Whangarei, Napier, and New Plymouth. Queenstown is lower at just 64%, but that's likely to reflect a wider range of property types amongst the existing stock of dwellings, as well as affordability pressures which are probably pushing FHBs towards lower price brackets (and hence smaller dwellings).

Indeed, in terms of median prices paid by FHBs so far this year, the highest figure (amongst the main urban areas) has been in Queenstown, at $1,275,000. Kapiti Coast comes in at $700,000, with Whangarei, Rotorua, Napier, Hastings, New Plymouth, and Nelson all at least $600,000. By contrast, Invercargill ($480,000) and Whanganui ($460,000) are at the lower end.

FHB % share of purchases



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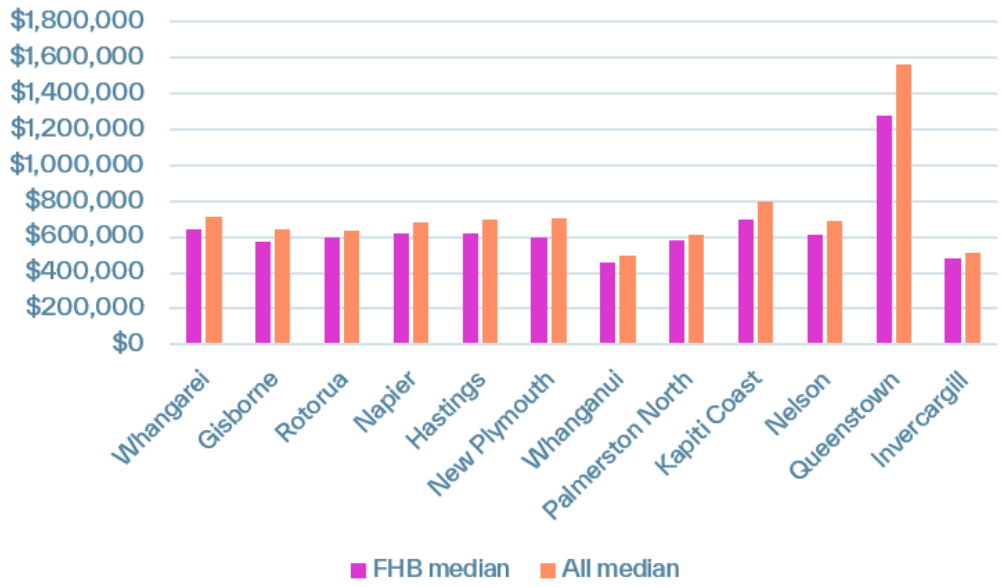
Purchase price paid Q1-Q3 2026



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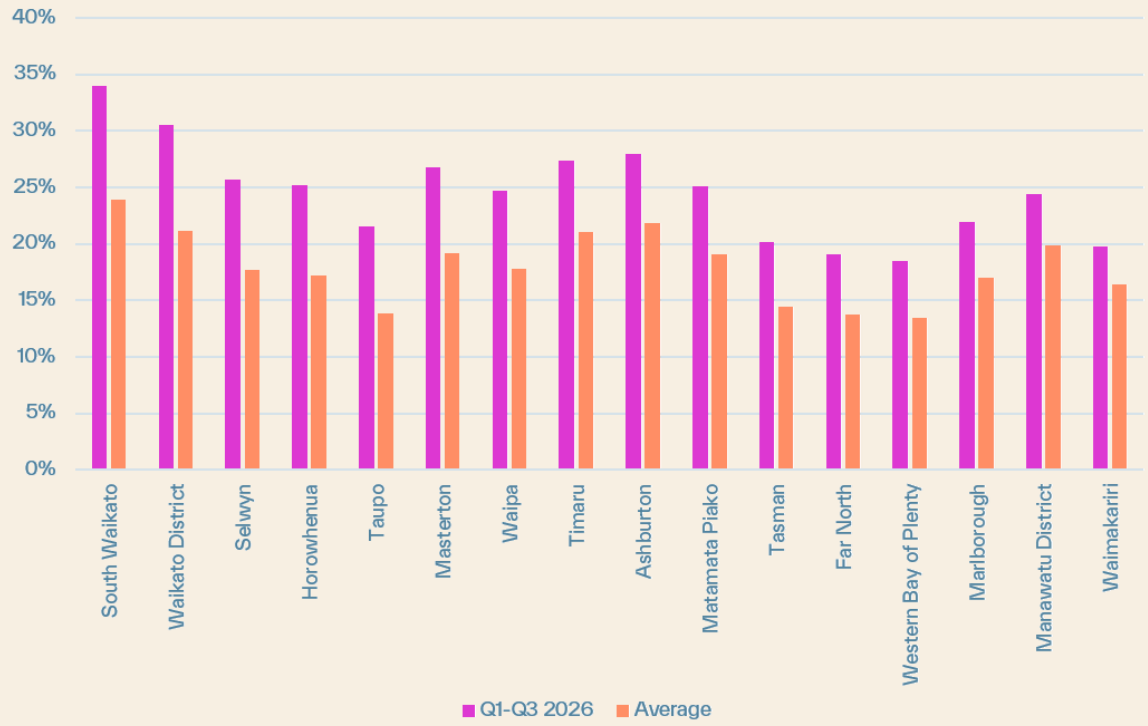
The provinces

Around NZ's provincial markets (with a minimum number of 125 FHB purchases so far in 2026), all have had a FHB % market share above the long-term average. The highest raw numbers have been in South Waikato (34%), Waikato District (31%), along with Ashburton (28%), Timaru and Masterton (27% apiece), and Selwyn (26%). The figures have been less than 20% in Far North, Western Bay of Plenty, and Waimakariri. Compared to their own averages, South Waikato and Waikato District have also been robust for FHBs, along with Selwyn and Horowhenua.

Meanwhile, in terms of the prices being paid by FHBs in these provincial areas, Western Bay of Plenty has had the highest figure so far in 2026 ($760,000), with Selwyn at $749,000, and Waipa and Waikato District both on $730,000. By contrast, the prices have been $500,000 or less in Masterton, Timaru, Horowhenua, and South Waikato.

FHB % share of purchases



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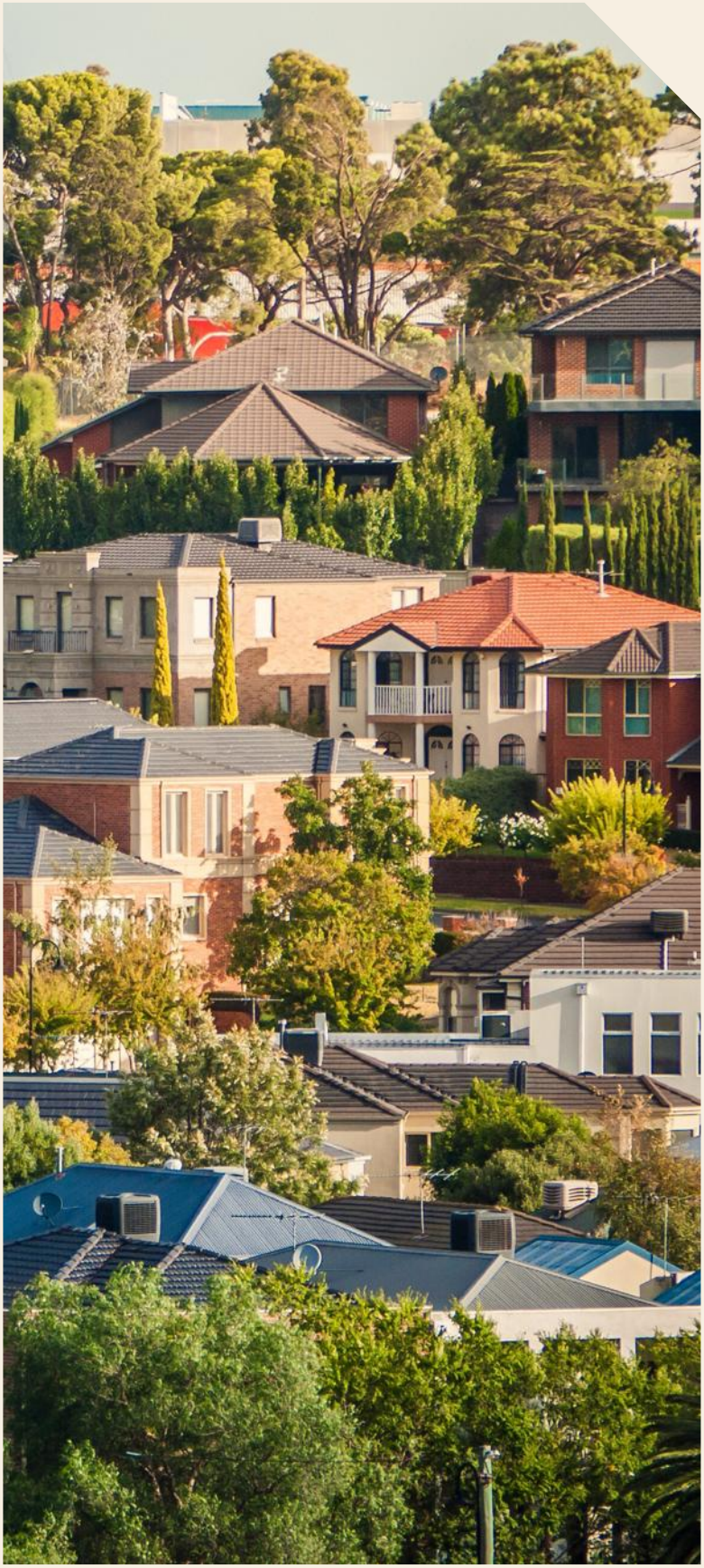

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First Home Buyer Report

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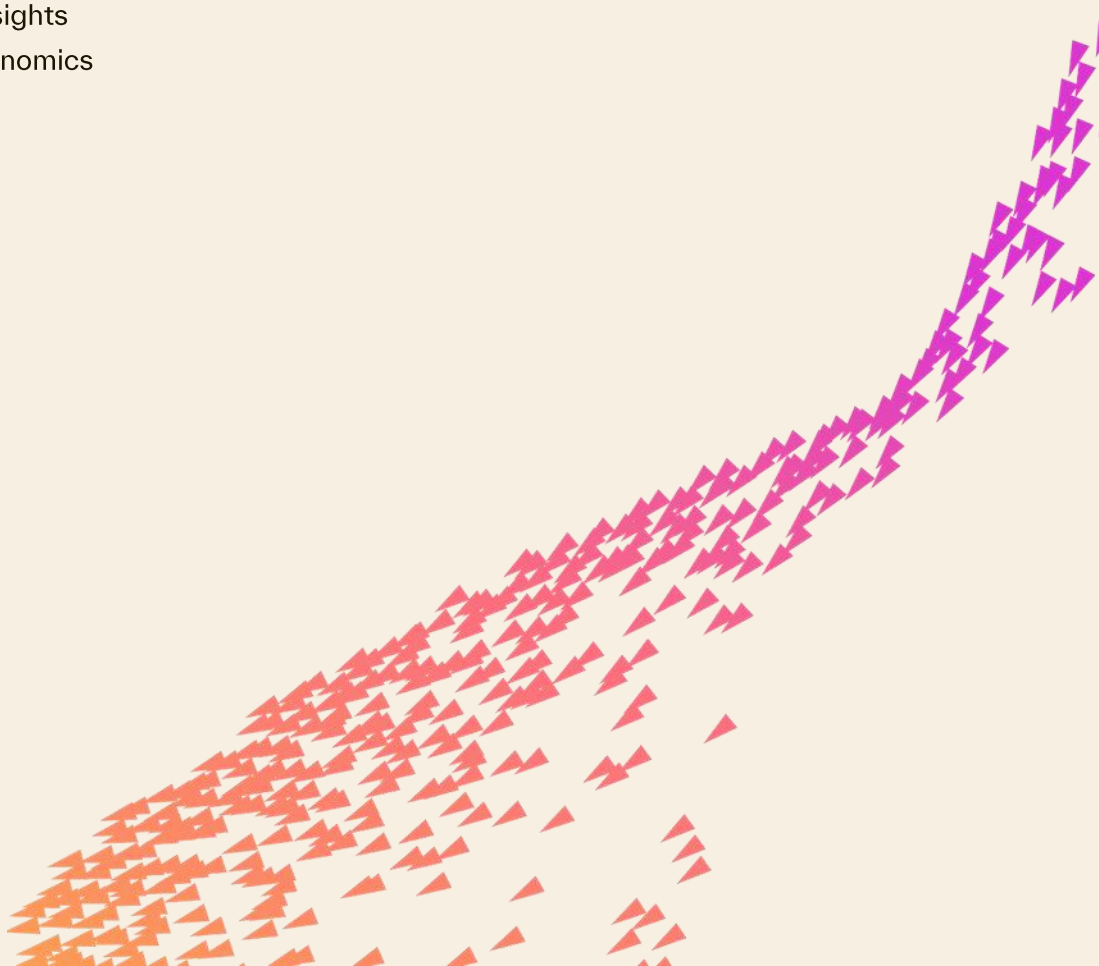


October 2026

ECONOMIC BULLETIN

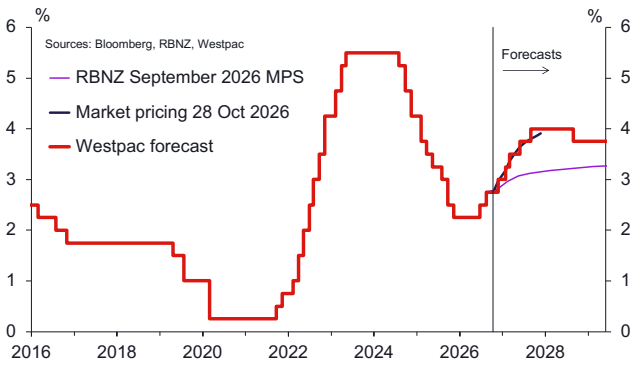
RBNZ October 2026 Monetary Policy Review.

28 Oct 2026 | **Kelly Eckhold**, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Sticking with the plan

- **The RBNZ left the OCR at 2.75% - a shock to the market.**
- **The committee voted 4:3 against a 25bp hike, with Governor Breman within the "on hold" camp.**
- **The RBNZ delivered on its September strategy of pausing to assess the impact of OCR increases done to date.**
- **The MPC remains of the view that the OCR will increase eventually, although views on the timing differ among members.**
- **Westpac expects a 25bp hike in December and continues to expect an eventual peak OCR of 4% in September next year.**
- **However, a December hike is not a done deal and will depend on data on fuel prices, inflation expectations and second-round pricing pressures and information on evolving global economic risks that accumulate in the next six weeks.**

Official Cash Rate forecasts



OCR remains at 2.75%, further hikes remain their base case.

Today the RBNZ left the OCR unchanged at 2.75%. This was a shock to markets and most analysts as a 25bp hike had been nearly fully priced by markets. The decision went to a vote which resulted in a 4:3 split in favour of an unchanged OCR.

The RBNZ has followed through on the pause it signalled for this meeting back in the September *Monetary Policy Statement*. All MPC members continue to see a case for a higher OCR in time, but there are different views around the timing of those increases. The Governor noted that further interest rate increases remain likely in coming meetings but are conditional on the whether the outlook evolves in line with expectations.

The key case made by more hawkish MPC members (Silk, Gourley and Conway) put greater weight on the persistence of underlying inflation and the risk that higher inflation becomes entrenched in price-setting behaviour. They noted that core inflation has been above levels consistent with the 2% target midpoint for some time,

and viewed aggregate economic growth as relatively resilient despite weakness among many households and businesses. In their view, tightening now would guard against sustained inflation pressures and reduce the risk of needing to do more later.

The case made by the majority in favour of no change in the OCR (Breman, Hansen, Gai and Williams) argued that the two recent OCR increases warranted more time to assess their effects. They placed weight on inflation having been weaker than expected in the Q3 data (the Governor emphasised this point in answer to questions at the press conference), smaller-than-anticipated indirect effects from higher fuel prices, stable inflation expectations and subdued wage growth. They also emphasised downside risks to the recovery, particularly the continued weakness in household consumption and investment, and judged that there was little evidence so far that businesses were using higher costs as an opportunity to rebuild margins.

One point of note today is that the RBNZ seems more concerned about risks to the global outlook, notwithstanding its recent resilience – possibly channelling some recent comments made by the IMF. The RBNZ notes that geopolitical events, high energy prices, and high and rising public and private debt levels pose downside risk to global growth. It also notes uncertainty about whether the surge in AI investment will be justified by economic fundamentals. In addition, the MPC debated whether higher global interest rates reflected a higher neutral rate – due to higher inflation expectations and demand for funding – or posed the risk of bringing forward a potential global downturn (possibly leading to a rapid decline in the event of an abrupt global adjustment).

The exchange rate has adjusted sharply lower today, reflecting the market shock. The NZD/AUD exchange rate has moved to a new cycle low of around 0.7980 at the time of writing. This is in line with our year-end target for the NZD/AUD exchange rate of 0.79 cents. Compounding the downward pressure on the NZD/AUD exchange rate has been strong CPI data in Australia combined with hawkish RBA commentary. Our colleagues in Australia continue to **expect a Cash Rate hike in Australia** on Melbourne Cup Day and some risk of a further Cash Rate rise in February. Hence downward pressure on the NZD exchange rate seems a reasonable prospect given interest rate differentials are weighing heavily on the NZD. The RBNZ does not sound especially perturbed by the prospect of weakness in the exchange rate and noted that the low exchange rate is supportive of the medium-term prospects of the export sector and the economy more broadly.

Westpac outlook – December hike likely, but not done deal.

We changed our forecasts from no change in the OCR at the October meeting to a 25bp hike in the wake of the CPI data last week. Given the absence of the hike today we are reverting to the OCR forecast profile we had had in place since July – i.e. one further 25bp hike in 2026 and then 25bp increases in the February and March 2027 meetings, followed by a slower pace of increases at the June and September *Monetary Policy Statement* meetings. Our forecast of a peak OCR of 4% from September 2027 has remained unchanged throughout, as has our assessment of a 3.75% neutral OCR.

That said, in the current uncertain environment, it goes without saying that the evolution of monetary policy will depend on how both global events and key data evolve (we summarise the near-term economic diary below). Therefore, as the RBNZ noted itself today, the exact timing of the tightening profile is highly uncertain and even the tightening we forecast at the December meeting should not be regarded as a done deal.

Things to watch ahead of the 9 December meeting.

The RBNZ's next policy review is on 9 December, when it will also publish a full *Monetary Policy Statement* (MPS) and refreshed economic forecasts. How the RBNZ's policy stance evolves between now and then will depend on both international and domestic factors.

Regarding the former, the MPC has clearly become more concerned about risks to the global economic outlook, stemming from geopolitical events, high energy prices, high and rising public and private debt levels and uncertainty about whether the surge in AI investment will be justified by economic fundamentals. So, the RBNZ will pay close attention to any developments that suggest that downside risk to the global outlook is materialising.

There are only a few important domestic economic indicators scheduled for release ahead of the 9 December meeting (by contrast there is a full slate of indicators due for release prior to the following meeting on 10 February). We think the following are the key ones to watch.

- **Q3 labour market surveys**
  (4 November): Indicators from these surveys will cast light on economic activity in Q3, capacity pressures in the labour market and whether the lift in headline inflation is impacting growth in wages and salaries.
- **Q4 RBNZ surveys**
  (17 November, 20 November, 24 November): Inflation expectations measures from the RBNZ's surveys of professional forecasters, households and businesses will be analysed to assess the impact of elevated headline inflation.

- **October Selected Prices** (17 November): These pricing indicators will provide a partial read on how inflation is tracking early in Q4.
- **October/November ANZ Business Outlook** (29 October/30 November): The ANZ surveys will provide a timely account of how business activity and pricing behaviour is responding to the sharp rebound in oil prices.
- **October PMI and PSI surveys** (13 November/16 November): These may provide some early insight regarding GDP growth in Q4.

In addition to the above, we will monitor a range of other high-frequency indicators, such as monthly data on filled jobs, consumer spending, building consents, housing market activity and prices, job ads and consumer confidence. We will also be paying close attention to developments in prices for New Zealand's key export commodities.

Finally, with the General Election taking place on 7 November, it is possible that opinions regarding the likely path of monetary policy could be impacted should a Labour Party-led government – with an intention to restore the RBNZ's dual mandate – seem likely to be formed.

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Westpac Banking Corporation.

ECONOMIC BULLETIN

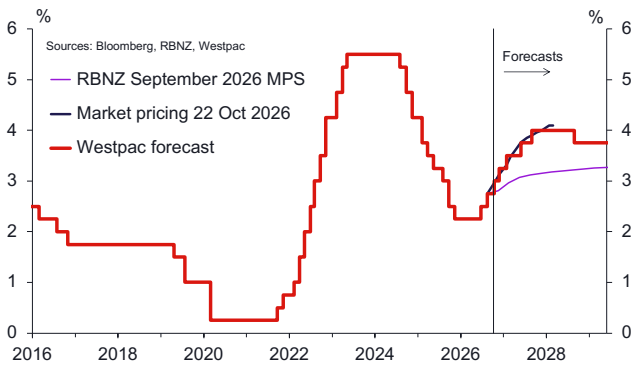
Preview of RBNZ October 2026 Monetary Policy Review (Wednesday 28 October, NZT 2pm).

22 Oct 2026 | **Kelly Eckhold**, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Following on?

- **We expect the RBNZ to raise the OCR by 25bps to 3% at the 28 October Review.**
- **A vote seems very possible as differences in view will likely remain among the MPC about how much the medium-term inflation outlook has really shifted in recent weeks.**
- **Data since September show a higher outlook for year-end inflation and a stronger GDP starting point, but increased risks to domestic consumption and residential investment. On balance, the medium-term inflation picture will probably be judged to have worsened slightly given recent movements in energy prices and the exchange rate.**
- **Forward guidance will likely leave open the option to raise the OCR further at the December Monetary Policy Statement without presenting it as a sure thing.**
- **Given the 'pause' signal in September, the press release will likely emphasise the more concerning short-term inflation picture driven by the lower exchange rate and higher energy prices. The tightening in financial conditions through higher short- and long-term interest rates, as well as lingering spare capacity, will be presented as offsets that means the MPC retains confidence that inflation will return towards 2% over time.**
- **We still think a more measured tightening approach is appropriate from here. Raising the OCR at every meeting until something 'breaks' could be a risky strategy if downside growth concerns crystalise.**
- **Nonetheless, the expected hike will bring the OCR to the top of the RBNZ's neutral range more quickly. We now think the OCR will hit 3.5% a meeting earlier in February. Thereafter we expect further 25bp hikes at the June and September 2027 meetings, lifting the OCR to a peak of 4%.**

Official Cash Rate forecasts



RBNZ decision and communication.

We expect the RBNZ to raise the OCR by 25bps to 3% at the 28 October Review. As there will likely be differences in perspective about recent developments in energy prices and the exchange rate, we think it is quite possible that the decision will be reached after a formal vote, rather than by consensus.

As the RBNZ will not be presenting new forecasts (aside perhaps from updated short-term CPI forecasts) we will not see an updated OCR forecast track. Rather we expect the RBNZ will aim to leave their options open at the next meeting in December. As in September, we expect the RBNZ to note that conditional on the central economic

outlook, the OCR may need to increase further (the September projection had portrayed an OCR eventually rising to 3.25%). The RBNZ will emphasise the future OCR path is not predetermined.

In September, the MPC agreed that further tightening in policy was likely required. The bulk of the MPC saw upside risks to the inflation outlook while two members (Conway and Hansen) thought the risks were balanced. Recent developments will likely not have made those seeing upside risks to inflation more comfortable, while the more dovish MPC members will likely still see the growth downside risks given continued softness in house prices and the mounting pressure on real incomes. Indeed, all MPC members saw some degree of downside risks to growth which likely remain relevant. All these messages should remain in the RBNZ's updated views.

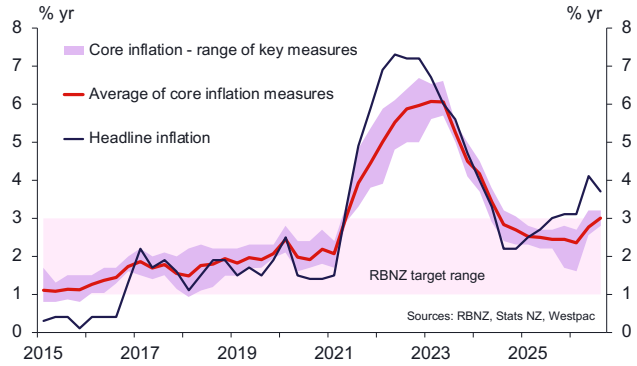
The MPC will likely continue to present their decision as a gradual evolution of the approach taken since July, where a higher OCR now is insurance against a much higher OCR later should upside medium-term inflation risks arise. We doubt the objective will be to push market interest rates materially higher.

The exchange rate will likely have greater prominence at this Review, as it did at the July meeting. The TWI is just over 3% lower than previously assumed which – if sustained – will add some inflation pressure over the next few quarters. We suspect this will not have shifted the RBNZ's medium term outlook for inflation. So, the discussion will seek to link the implications of the lower exchange rate for short term inflation projections with the risk this spills over into medium term inflation. We doubt the RBNZ will be trying to actively support the exchange rate in any meaningful way, and indeed the lower exchange rate may be presented as something supportive of the medium-term growth profile, reducing risks there.

Financial conditions more broadly are likely to receive some attention. While the exchange rate is lower than assumed, there have also been marked increases in wholesale long-term interest rates and (to a lesser extent) mortgage rates. The impact of higher interest rates on managing medium term inflation risks will likely be noted.

The RBNZ is likely to continue to emphasise that at this stage there is little evidence of second-round inflation impacts coming from the Iran war and the associated rise in energy prices. We note that most other central banks are drawing a similar judgement at this point. Today's CPI might be consistent with that judgement, although core inflation measures have increased and will likely be noted by the more hawkish members of the MPC. We expect the RBNZ to point to the risks that such persistent inflation pressures might emerge at some point. But that would depend on the duration of the oil price shock. We expect the RBNZ to continue to have the assumption that the shock dissipates and that energy prices and hence CPI inflation will be appreciably lower in the medium term.

Headline and core inflation



We expect the RBNZ to note the labour market remains cyclically weak and is not a significant driver of inflation. Still-weak employment growth compared to labour force growth, weak job vacancies growth and low levels of labour market turnover are in line with this view and could be emphasised.

Finally, the RBNZ is likely to acknowledge a still-solid global growth outlook but with significant downside risks looking forward given the Iran war and concerns around the sustainability of the AI investment cycle.

Implications for Westpac's forecast profile for the OCR.

The expected hike will bring the OCR to the top of the range of the RBNZ's neutral rate estimates more quickly. It seems likely that the OCR will hit 3.5% a meeting earlier now. Beyond the pause that we had previously expected at next week's meeting, we had expected the RBNZ would be looking to slow the pace of OCR increases once it had reached 3.5%. We retain the latter expectation, so this earlier hike also implies that the pause will come a little earlier, after two further 25bp hikes at the December 2026 and February 2027 reviews.

We continue to see further 25bp hikes at the June and September 2027 meetings – taking the OCR to a peak of 4.0% – as it's likely that more restrictive conditions will be required to push core inflation back sustainably to 2%. Needless to say, the path of the OCR in 2027 will depend on the evolution of numerous factors that remain very uncertain, not least being developments in the Middle East.

Arguments in favour of a hike.

- The ongoing conflict in the Middle East and related developments in global energy markets point to upside risk for headline inflation, at least in the near term. Westpac's forecasts for headline inflation are now at 2.5% or above for most of 2027 now. Upside risks to core inflation and inflation expectations also may emerge the longer the oil price remains above $90-100/bbl.

- The exchange rate is notably weaker in recent months as global interest rates have been rising, and the NZ OCR is low compared to Australian and US settings. Financial markets even envisage further interest rate increases in Europe given the high levels of inflation implied by their September adverse scenarios (3.2% 2027 HICP inflation vs 2.5% baseline). If the NZ OCR doesn't keep pace with global trends, then the risk is for more inflation generated by a lower NZD exchange rate.
- The 'real' OCR rate is relatively low – plausibly around -1 to -2 % based on headline inflation projections. Based on core CPI levels the real policy rate is likely negative. An OCR in the 3.25-3.5% range would deliver positive real rates based on core CPI forecasts.
- The economy has grown above trend in the last year reflecting strong export sector incomes and the lagged impact of past low OCR settings. The output gap is likely still negative but is closing. Relying on a prolonged negative output gap to bring core inflation pressures down could be risky.
- The areas of economic strength in the last year are not yet waning. Agriculture sector returns remain strong, while global growth forecasts are being revised up as the AI investment boom proceeds. The construction sector is picking up, as is the manufacturing sector. Tourism is strong, supported by an advantageous exchange rate.
- Market pricing leans strongly towards an OCR hike at this meeting. It may be less disruptive to go along with market pricing, especially given the RBNZ's forecasts imply two further OCR increases including one by year-end. Moving now versus six weeks later is of little consequence from a macro view. A smaller 'splash' at this meeting could be desirable given the proximity to the election.

Arguments in favour of no change.

- For all the upward pressure on short term inflation, there is little evidence that the medium-term inflation outlook has shifted much. Domestic inflation in the September quarter was 0.3ppts weaker than the RBNZ had expected, which should be a source of comfort. In addition, energy and exchange rate inflation impacts on inflation occur too early for the MPC to offset and will be what they will be. And measures of pricing behaviour and inflation expectations in recent consumer and business surveys seem benign given the scale of recent energy price increases.
- Firms report pressure on margins and an inability to set prices high enough to recoup cost increases. Profitability is struggling which clouds the outlook. Firms expect better times ahead – perhaps because they think energy prices will fall – but note tougher trading conditions now. Hiring still seems modest albeit positive. It does not appear that hiring is yet strong enough to reduce the high unemployment rate.
- Housing market trends look quite weak and seem set to constrain consumer spending and residential investment. Despite very low mortgage rates in the last year, house sales have declined and house prices are flat to falling. It seems unlikely we will see a change in these weak trends soon – especially if interest rates continue to rise. The result is we are not seeing a 'consumption rich' recovery and growth is relatively unbalanced. There could be additional risks to the sustainability of this recovery should external demand suddenly weaken for some reason.

How might the election play into the decision?

While next week's meeting is close to the General Election on 7 November, the decision taken by the MPC will not be politically motivated. However, the election outcome is close. And should it result in a Labour Party-led coalition, it seems likely the new government would adopt the Labour Party's promise to restore the RBNZ's dual mandate. That would require the MPC to weigh the degree of labour market slack more highly in its deliberations. As the degree of labour market slack currently seems high, a new mandate might justify the MPC taking more time to return inflation to the middle of the target range (**our earlier note** discusses this issue). This could figure into the deliberations of some MPC members if the decision between leaving the OCR unchanged and raising it now is viewed as finely balanced.

Scenarios.

Our core scenario, with perhaps around a 60% probability, is that the RBNZ increases the OCR by 25bp and signals the December meeting is live but without committing to a markedly tighter future stance than presented in September. Alternative scenarios include:

- A hawkish scenario (around a 20% probability) would see the OCR increase to 3% and have the RBNZ more strongly emphasise the upside risks to core and medium-term inflation, leading to the implication that an upward revision of the RBNZ's forward OCR profile is in the offing in December. The downside risks to the exchange rate could also be emphasised.
- A dovish scenario (around a 20% probability) is one where the RBNZ leaves the OCR unchanged and signals that the medium-term outlook for inflation has not yet changed meaningfully relative to that forecast in the September meeting, despite the higher near-term inflation outlook. This would cause the RBNZ to reiterate its previous forecast, i.e. one 25bp increase in December and one more hike in 2027 sometime.

Appendix: Key developments since the September Monetary Policy Statement.

Activity: The economy is coming from a stronger starting point than the RBNZ assumed in September. GDP rose by 0.2% in the June quarter, and along with revisions to earlier quarters, the annual growth rate lifted to 2.6% against the RBNZ's forecast of 2.1%. Against this, recent high-frequency data and the resurgence in fuel prices presents some downside risk to the RBNZ's growth forecasts for the second half of the year. The RBNZ's Nowcast estimates of growth have drifted lower in recent weeks, and while these are not the same as the RBNZ's official forecasts, they may be a useful guide as to the direction of change.

Sentiment-based activity indicators: The NZIER's Quarterly Survey of Business Opinion was mixed. Firms were more optimistic about the coming months, but recent performance has been more subdued and continues to fall short of expectations. Hiring and investment intentions picked up compared to last quarter, but more firms cited a lack of demand rather than capacity as their main constraint on growth. Meanwhile, the monthly PMI surveys have shown ongoing strength in manufacturing, with more modestly positive readings for service industries.

Housing market: Housing market conditions have remained soft. House sales have fallen a further 4% since July, the average time to sell remains elevated, and prices have continued to edge lower. The RBNZ had already assumed a modest decline in prices over 2026, and the recent performance has been broadly in line with their assumption.

Labour market: Filled jobs have picked up in the last two months, having been flat through the first half of this year. That's in line with the RBNZ's forecast of a rise in employment and a tick down in the unemployment rate to 5.5% in the September quarter. The QSBO showed some tightening in the availability of skilled workers and a lift in hiring intentions. Net migration has been in line with the RBNZ's assumptions.

Inflation: Annual inflation slowed to 3.7% in the September quarter, below the RBNZ's forecast of 3.9%. The downside surprise was on non-tradables inflation, while tradables inflation was in line with the RBNZ's forecast. Underlying inflation pressures remain elevated, with the various measures of core inflation close to or above the top of the RBNZ's 1-3% target range. Since the September MPS forecasts were finalised, oil prices have surged higher again, with petrol prices setting new record highs. The Dubai crude spot price is currently around $110/bbl, compared to the RBNZ's assumption of an average price of around $84/bbl for the December quarter.

Inflation expectations: The QSBO showed that firms' expectations of costs and prices remain elevated, but lower than they were in the June quarter. ANZ's monthly survey showed a small dip in inflation expectations among both businesses and consumers, although the survey period may have pre-dated the worst of the latest resurgence in fuel prices (the next updates will be released just after the OCR review).

Trade: The June quarter terms of trade were in line with the RBNZ's forecast. Prices for New Zealand's commodity exports have generally remained firm in recent months, with a pickup in dairy prices against some easing in beef and lamb prices.

Financial conditions: Domestic financial conditions have provided mixed signals since the September MPS. Long-term interest rates have risen sharply along with global markets, which the RBNZ may regard as an unwarranted tightening of financial conditions to the extent that it hasn't reflected domestic economic conditions. Most fixed-term mortgage rates have risen by 5-15 basis points since the September MPS, but rates for the popular two-year term have actually fallen a little as lenders have looked to compete in this space. Meanwhile, the New Zealand dollar has fallen sharply and the trade-weighted index is just over 3% below the RBNZ's assumed average for the December quarter. If sustained, this will add to imported inflation pressures over the year ahead.

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